Mahanagar Gas Ltd. (MGL)

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Call: May 2023

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An ISO 9001, 14001 & 45001 Certified Company

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To,
Head, Listing Compliance Department
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National Stock Exchange of India Ltd
Exchange Plaza, Bandra –Kurla Complex,
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Script Symbol : MGL

Sub: Transcript o f Earnings Conference Call on A udited Financial Results for the quarter and year ended 31st March 2023

Dear Sir/ Madam,

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earning s Conference Call on A udited Financial Results for the quarter and year ended 31st March 2023 held on 09th May 2023 .

The transcript of the Earnings Conference Call uploaded on the website of the Company can be accessed through the web link: MahanagarGas -Q4FY23 Earnings Call Transcript -May09 -2023.pdf

The Earnings Conference Call was attended by following attendees on behalf of the Company:

Name of Management Attendees Designati on
Mr. Ashu Shinghal Managing Director
Mr. Rajesh Patel Chief Financial Officer
Mr. Rajesh Wagle Senior Vice President, Marketing

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the call.

We request you to take the above information on your records.

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: a/a

“Mahanagar Gas Limited
Q4 FY23 Earnings Conference Call”

May 09, 202 3

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE – SENIOR VICE PRESIDENT ,
MARKETING
MODERATOR : MR. S. RAMESH – NIRMAL BANG EQUITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Mahanagar Gas Limited Q4 FY23 Conference Call hosted by Nirmal Bang Equities Private Limited.
As a reminder, all partici pants ' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touc h-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. S. Ramesh from Nirmal Bang Equities. Thank you and over to you, sir.
S. Ramesh: Good evening and thank you very much. On behalf of Nirmal Bang Instituti onal Equities, I have great pleasure in inviting you all to the Q 4 FY23 Earnings Call with the Management of Mahanagar Gas Limited.
Their Company is represented by Mr. Ashu Shinghal – Managing Director, Mr. Rajesh Patel – Chief Financial Officer, and Mr. Rajesh Wagle – Senior Vice President, Marketing.
May I hand over the call to Runjhun from E&Y to give the disclaimer statement following which we will have opening remarks from the management and Q&A. Runjhun, over to you.
Runjhun Jain: Welcome to the participants in this call.
Before we begin, I would like to mention that some of the statements made in today 's discussion may be forward -looking in nature and we believe that the expec tation contained in the statements are reasonable. However, these statements involve a number of risks and uncertainties that may lead to different results. The risks and the uncertainties related to these statements are included but not limited to fluctua tion of sales volume, fluctuation in foreign exchange or the cost and ability to manage growth. I urge you to consider the quarterly numbers not a reflection of long -term trends or an indication of full year results. They should not be attempted to be extr apolated or interpolated into a full -year number.
That said, I would now hand over the call to management. Thank you and over to you, sir.
Management : A very good afternoon to all connected with the call. On behalf of MGL Management , I welcome all to the Earnings Call of this 4th Quarter Results of Financial Year 2022-23. I would like to thank all of you for attending our call today.
Just to give you a b rief of the financial performance and the physical numbers of the Company , and before that, just to set the tone, domestic gas prices and gas allocations have remained a challenge during this financial year. However, with the notification of government on HPHT (high pressure high temperature) areas, given the priority to allocation to CGD and new domestic

gas pricing policy from April '23, this has given a good relief to the CGD sector. In February '23, gas from HPHT is available to CGDs for CNG and domesti c PNG on priority allocation as per MoPNG notification dated 13 January. This helped CGD entities in replacing earlier costlier LNG (RLNG) for CNG and PNG with HPHT gas. Further, the government also has changed the APM pricing formula and accepting key rec ommendations of Kirit Parikh committee with effect from 8th of April 2023. APM gas will now be priced at 10% slope to Indian crude basket on monthly basis with a floor of $4 per MMBtu and a ceiling of $6.5 per MMBtu for the first 2 years and annual escalation of 25 cents per MMBtu thereafter 2 years.
New guidelines remained silent regarding deregulation of APM prices and removal of ceiling price for HPHT produced gas prices. Post availability of HPHT gas on priority, MGL reduced its CNG prices with e ffect from 1st of February 2023 by Rs. 2.50 per kg, i.e., from Rs. 89.50 per kg to Rs. 87 per kg. Further, post implementation of new pricing formula, CNG prices were

again reduced effective 8th April 2023 by Rs. 8 per kg,

i.e., from Rs. 87 per kg to Rs. 7 9 per kg.
Similarly , domestic PNG prices were also reduced by Rs. 5 per SCM with the same effective date of 8th April from Rs. 54 to Rs. 49 per SCM.
MGL continues to create CGD infrastructure across its business segments in the licensed area, and during th e quarter, 92,274 domestic households were connected and thus we have established connectivity for nearly 2.17 million households, i.e., 22 lakh households. We have also laid 128 km of steel and PE pipelines thereby taking the aggregate length to 6,535 km. We have also added 12 new CNG stations. With these, we have now 313 CNG stations as of 31st March 2023. We also added 115 industrial and commercial customers during this quarter and thus on the financial year end, we have 4,558 I&C customers. In relation to our Raiga d GA, we are connected to 68,033 domestic households and 28 CNG stations are currently operational. During the quarter, we laid around 10 km of pipeline in Raiga d thereby taking the total length of pipeline to 382 km. This expansion of the pipe line network has created a good ecosystem for CNG and PNG in this area. The first CGS and first mother station was also commissioned in GA3.
Coming to MGL 's operations now :
Average sales volume for the year ending 31st March '23 is 3.423 MMSCMD against 2.999 MMSCMD in the corresponding period last year. Therefore, there is an increase of 14.11% in the overall sales volume compared to the previous year. Average sales volume for the current financial year end is 3.423 which consists of 2.492 MMSCMD for CNG, 0.487 MMSCMD for domestic PNG, and 0.444 for I&C segment. Compared to the last year, sales volume in case of CNG has increased from 2.114 to 2.492; that is an increase of 17.86%. In case of I&C sales, volume has increased from 0.419 to 0.444; tha t is an increase of 5.95%. Domestic PNG sales has also increased from 0.466 to 0.487 MMSCMD; that is an increase of 4.45%.

Coming to the quarter -on-quarter comparison :
Average sales volume of Q4 FY23 is 3.372 MMSCMD as compared to previous quarter of 3.412 MMSCMD. The average sales volume of 3.372 consists of CNG volume of 2.41, domestic PNG volume of 0.51, and I&C volume of 0.452 MMSCMD. Compared to the previous quarter, overall volume has reduced due to 2.6% reduction in CNG volume. This is primarily due to high CNG prices of Rs. 89.5 which has been now reduced to Rs. 87 and further reduced to Rs. 79 with effect from 8th of April. Thus, we expect that with reduction in these CNG prices, new growth volume should pick up.
EBITDA for the financial year 2022 -23 is Rs. 1,184 crores compared to previous financial year EBITDA of Rs. 924 crores. That is an increase of 28%. Net PAT (profit after tax) is Rs. 790 crores compared to PAT of Rs. 597 crores in previous financial year. That is an increase of 32%.
Q4 EBITDA has substantially improved to Rs. 390 crores as compared to Rs. 256 crores in the previous quarter. Mainly, this is a result due to reduction in weighted average cost of gas during this quarter. Net PAT for the quarter is increased to Rs. 269 crores from previous quarter of Rs. 172 crores, an increase of 56%.
I am happy to announce that the Board of Directors has also approved the final dividend of Rs. 16 per equity share for financial year 2022 -23. Thus , total dividend for the year including interim divid end already paid is Rs. 26 per share. That is 260% on the face value of Rs. 10 per equity share.
With this, I conclude and would now like to open the floor for questions. Thank you very much for your patient listening.
Moderator: We will now begin the ques tion & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen: You spoke about the HPHT gas

replacing costlier LNG. If we can kindly get some details in
terms of the overall volumes that we have, what is the extent of HPHT gas that we have in our portfolio, and how much was the LNG consumption for this quarter and for this year?
Management : Total HPHT for Q4, we have used is around 0.19 and balance was APM as far as CNG and domestic PNG is concerned. CNG and domestic put together was roughly…. The volumes were slightly down in case of CNG, around 2.93 MMSCMD. And both CNG and domestic requirement was fully catered through APM and HPHT for this quarter. You also asked what was the spot for RLNG. During the quarter, roughly we have bought around 0.14 MMSCMD of

spot and rest was through term contracts which we have in place for I&C. This is the primary breakup.
Probal Sen: The second question was with respect to volume growth. You had earlier highlighted a certain CAGR that you sort of aimed to achieve in terms of 5% to 6%. My question was with the kind of steep reduction in CNG prices that has been afforded due to pas sing on of the domestic gas cost, do we see a stronger demand momentum at least in the near term for FY24 or are we still happy with sort of maintaining that broad guidance of 5% to 6% growth annualized?
Management : I think we have been always indicating or giving the guidance of roughly 5% to 6%. If you look at my volume growth since FY 2018 -19 till 2022 -23, despite COVID and despite volatility in gas prices and high gas prices, we are still clicking a CAGR of around 4.85%, very near to 5%. With Kirit Parikh committee recommendations and prices coming down, we see that CNG sales will pick up. There is also with Raiga d area getting connected, we have lined up I&C customers. Those volumes will also be added. And I think in the case of domestic PNG, we have a very normal growth rate where we are generally clicking on an average 5% to 6% every year. However, since last 2 years, number of domestic connections we have substantially increased. We are almost reaching to 3 lakh houses. As and when they start consuming gas, out of 3 lakhs, at least 1.5 lakh start burning in the same year and rest get added in the subsequent years as and when flats get occupied. We hope that CNG as well as domestic and I&C all three put together, we should be in a position to give a volume growth on a long -term basis around 5% to 6%. However, we can always look at our pricing and see the elasticity of demand with respect to CNG specifically to see how do we trade -off between volume and the price an d achieve the targeted volume as well as profitability.
Management : Just to add, this is a kind of business -as-usual scenario. If there is any upside on account of any environment related initiatives either from the government or from the courts, this numb er can only go up.
Management : Further, if you see that the numbers have been impacted because of COVID during the last few years, and also because of high LNG prices, the prices of CNG were increased in quite a short interval from Rs. 56 to Rs. 89. As you rightly mentioned, now it has come down. So, we expect that the numbers should pick up and maybe 5% to 6% can be slightly better than that also.
Management : Just to add , this little impact , but during Q4 specifically, there were some buses of BEST due to some accident – not as a result of CNG – were under testing almost for a month or so and around 300+ buses remained off the road. That has also contributed a little reduction in our CNG volumes, which was one time. Now, all those buses are back on the road and we are seeing normal consumption by BEST as well in the month of April and in the second half of March.
Moderator: The next question is from the line of Abhilasha Satale from Quantum AMC. Please go ahead.

Abhilasha Satale: My

question is again related to volumes only. During the quarter, we have seen some reduction in volumes. How have the conversions moved during the quarter, and with the reduction in pricing, are we seeing any pickup in the conversions. And of course, if you could give number of NCV conversion quantity.
Management : If you see quarter 2 and quarter 3, we were generally having vehicle on CNG roughly in the range of 15,500 to 17,000. Q4 there was a little reduction and the number is roughly 14,000 approximately. Within that, comme rcial vehicle you wanted to know how much is the commercial vehicle addition?
Abhilasha Satale: Yes, that will be good.
Management : Commercial vehicle is roughly 1,300+ small commercial vehicles, tempos, and trucks put together. Roughly 1,350.
Abhilasha Sa tale: I missed the number for Q4. Did you mention that because Q2 and Q3 you said 15,000 and 17,000. And Q4, what was that number?
Management : 13,700 .
Abhilasha Satale: With the reduction in the prices what we have seen in Q1, are we seeing the momentum picking up as far as conversions are concerned?
Management : Once we dropped the price on 8th of April, we witnessed a week -on-week increase of about 7% in the volumes.
Abhilasha Satale: As you go forward, whatever the reduction has come through APM pricing , this is the maximum we are comfortable with the CNG price reduction or is there any further room that as we optimize cost further, there is a price reduction expected in future also?
Management : It depends on many factors. One is that how the pe trol and diesel prices are faring. Second is what is our total cost of procurement. Whatever the reduction due to Kirit Parikh has happened, we have passed on to the customers, but we will again review the situation on month -on-month basis and if there is something more which can be passed on to get gain in the volumes, we will

be certainly looking at it.
Abhilasha Satale: As our cost structure is also shifted downwards and we have passed on most of the benefit to the consumers, what is our target or what do we see our EBITDA per SCM to be in the range of that Rs. 8.5 to Rs. 9 we should be able to maintain?
Management : EBITDA per SCM is a function of a lot of factors. Apart from CNG and domestic and the available gas prices APM as well as HPHT or any other gas we use for priority, we have

industrial and commercial segment where our pricing is linked to alternate fuels. I f alternate fuels linked realization is good, we may be in a position to make good margins. And also, those term contracts are linked to different index. So, depending on the index movement, the cost of gas will get determined. All these factors will deter mine what should be the overall EBITDA per SCM for the Company . However, with respect to major part of our volume, i.e., CNG and domestic, we see a comfortable position at least for next few months and a quarter or so because as you may be aware, with $6.5 cap on priority gas, spot prices also are reasonably down in the range of $10 to $12 and HPHT is available in the range of around $12+. So, we expect that at least next few months, we should be in a position to maintain our margin. MD also mentioned earlier that , CGD has a priority allocation for HPHT . We have participated in the last round of HPHT gas auction by Reliance and we have tied up something. Further, there is HPHT round coming up in this month and also maybe after 4 -5 months. We will be evaluati ng spot what is beneficial for near term and then tying up for long -term gas under HPHT also. By and large, we feel that at least next few months and quarters, we should be in a position to have a good control over gas costs.
Moderator: The next question i s from the line of Rajesh Aynor from ITI Limited. Please go ahead.
Rajesh Aynor : Sir, my question is on total volume consumption on the C NG side.

Can you give us some idea about how much is consumed let 's say b y the buses, by private cars wh en conversion happens, and by the three -wheeler autos? Any ballpark number which is the major or large r segment for us?
Management : I think we have answered this question on previous calls also and I will repeat once again. Buses comprise about 8% of our CNG volumes, then auto rickshaws is about 35% or so, private cars and taxis aggregators put together would be about 45%, and the remaining would be commercial goods vehicles like small light commercial vehicles, trucks, etc.
Rajesh Aynor : In that case, what i s the penetration in terms of the park which is available versus opportunity of private car side because auto I guess should be completely on the CNG, so should the buses . And what 's the risk of electrification that you foresee?
Management : If you look at penetration, in the black and yellow rickshaws and taxis, it is 100% penetration. If you look at private cars, we have about 4+ lakh of them in our estimate of a total convertible population of about 12 lakhs. That is about 33% penetration. Penetration is very very low in the commercial goods vehicle segment, hardly 2% or 3%, and that is one segment which we are looking to grow as much as possible because of late, some good positive moves have happened. OEs have now started coming out of factory fitted goods vehicles on CNG. Previously, the only option was for retrofitting, but now across the range right from light commercial, small commercial, intermediate commercial, going up to about the 18-ton range, you have CNG variants which are factory fitted and available with f ull warranty and backup from the OE for

service and support, etc. Plus given the fact that CNG is also becoming a more or less a pan India phenomenon where all the highways going out of Mumbai now have got CNG right up to we go north of Mumbai, Gujarat, Ra jasthan, right up to Delhi, you can drive on CNG without using petrol or any other fuel. If you go towards Pune, you can go to Pune, Bel gaum , right up to Bengaluru without having to put in petrol. You have CNG all over the place. Towards Nashik also you go , you have CNG till Nashik. You go down towards Goa and Raiga d district we have stations there. Then, Ratnagiri, Sindhudurg, Goa; the whole belt right up to Goa now has CNG. That is also encouraging the adoption of CNG for these goods vehicles. And of cour se, private vehicles also who travel intercity. That was on the penetration part.
On the EV part, most of the penetration which we are seeing is happening in the two -wheeler segment actually if you look at the nationwide or even statewide numbers. Compare d to other states, Maharashtra is doing slightly better in penetration of EV and fo ur-wheelers, private cars, but that we need to keep in mind that is actually a different market segment. Passenger cars come in the entry levels, then they come in sedans, and then they come in luxury level, high level, etc. The EVs are coming in at the hi gh-level sedan and upwards, so Rs. 8 -10 lakh+ market segment

is where the EV penetration is happening whereas a large majority of the private car adoption of CNG is happening at the entry level which was up to Rs. 6 -7 lakhs per car on road, those models. So, it is not really impacting our CNG volume growth yet.
Moderator: The next question is from the line of Keval Shah from Banyan Tree Advisors Private Limited. Please go ahead.
Keval Shah: Sir, my question is on the UEPL subsidiary. Did we get the final ap proval on the acquisition?
Management : The final approval is yet to be received because there is a lock -in period of 5 years which is ending in September 2023. So, we expect by October or November, the approval from the regulator should be available and th en the transaction will take place of transferring the share and the money transfer

.
Keval Shah: Do we have the volume number for UEPL for FY23?
Management : Around 0.1 MMSCMD.
Moderator: The next question is from the line of Darshit from RoboCapital.in. Pl ease go ahead.
Darshit Vora: I just had two simple questions. First of all, you said that we have a revenue target of say 5% to 6% growth, right?
Management : Not the revenue, volume target.
Darshit Vora: What would be the revenue target if there is any?

Management : Revenue is dependent on so many other factors like the cost of procurement which is a pass -through cost. So, revenue actually depends on the cost of procurement and the pricing which we do.
Darshit Vora: Will we be able to see the previous 35 -40 EBITDA margins going forward, the OPMs? How long would it take?
Management : As far as percentage is concerned in case of CGD, le t us say when my CNG was priced at Rs. 50 and later on when gas prices went up by say Rs. 20 and I had to pass through that Rs . 20, maybe whatever was my margin, within Rs. 50, I retained it intact. Let 's assume I have a margin of Rs. 10 in my earlier price of Rs. 50, my price went up to Rs. 70 because of gas cost increased. My margin still remains at Rs. 10. So, 10 on 50 and 10 on 70, percentage terms, it will reduce but that is not relevant as far as our performance is concerned. So, we measure everything in terms of volumes and what are the margins you are making in absolute terms per SCM rather than as a percentage terms .
Mode rator: The next question is from the line of Devansh Nigotia from SIMPL. Please go ahead.
Devansh Nigotia: Sir, can you help us understand how much will be the percentage APM deficit in FY24 assuming 5% to 6% volume growth and the similar number for FY23?
Management : FY 23 roughly we have got APM around 92% to 93%. And if I am not very pessimistic or optimistic also, we should get around 88% to 90% in FY 23-24 as well. However, this allocation will keep on changing. This I am referring to domestic gas volum e APM gas. However, with availability of HPHT on priority for CNG and domestic, I think the major concern is not there and also spot is comfortable today and going down.
Devansh Nigotia: Sir, you mentioned 88% or 83% for FY25?
Management : Current year, around 93% we have got APM.
Devansh Nigotia: And FY24 you are expecting?
Management : Next year, we assume that it should be in the range of 88% to 90%.
Management : But if you look at February of '23 onwards, if you put together APM and HPHT, they hav e got 100%. It 's only in the previous part of the year, sometimes they are having to put in some market price gas into the priority basket.
Management : From 1st February onwards, government has allocated HPHT on priority to CGD sector. So, APM plus HPHT is almost 100% of PNG and CNG volumes.

Devansh Nigotia: From when will the Kirit Parikh be applicable , the $6.5 cap ?
Management : 8th of April 2023. It's already implemented.
Moderator: The next question is from the line of Shubham Shukla from Voyager Capital. Please go ahead.
Shubham Shukla: My first question is on EBITDA margin. Even though we had a great quarter on this front – It is the highest in the last 5 -6 quarters – but if I look at the past 9 -10 years, we closed the year with lowest EBITDA mar gin ever. Are we expecting those 30% to 35% levels plus EBITDA margins like we had 2 years back?
Management : As I said earlier, I think it is not right to monitor our EBTIDA margin in percentage terms. If gas prices go down from here, I may pass on the gas cost reduction, so my percentage may improve. If the gas prices go up, I pass on that burden onto the consumer and the percentage

may fall. Looking at margins for us or CGD companies in terms of percentage to sale price is not a very right parameter to lo ok at. Rupees per SCM or per kg

is a very good parameter to look at it.

Management : Normally, the cost is pass -through. So, we don 't keep that margins with us. EBITDA to the sales is not a correct parameter to judge the performance. Better parameter is EBI TDA to the per SCM, i.e., the volume sold.

Management : That is mainly because of selling price is very very strongly correlated with our purchase price and that is what moves the selling price the most. Our other costs, non -gas costs, etc., are more or les s stable. It is only the gas purchase price which has wide fluctuations and which impacts our gas selling price. If a rupees per kg or rupees per SCM margin is relatively moving in a narrow range, you will see EBITDA in percentage terms swinging up and swi nging down pretty significantly. That 's why we don 't usually use that as a measure.

Shubham Shukla: You have guided any like how revenue growth we are envisaging for FY24 next year?

Management : Revenue growth, as we replied this earlier, again, dependent on the cost of procurement and pricing we do. It primarily depends on the prices but prices are also dependent on the cost of procurement. And we have to see what are the alternate fuel prices – petrol, diesel, and other alternate fuels. Revenue is, again, like we see the revenue year -on-year growth of around 55% but the cost of procurement has also gone up significantly. Therefore, the PAT has only increased by lower margin as compared to the revenues. So, revenue is a more or less pass -through. If the cost of procurement goes up, we have to increase the prices; the revenue goes up. However, the profitability is not much impacted on that aspect.

Moderator: The next question is from the line of Varatharajan Sivasankaran from Antique Stockbroking Limited. Please go ahead.

Varatharajan S.: Sir, you had earlier guided for some upgradation of outlets. Has there been any upgradation done during the last quarter as well as the financial year? I thought we were planning to add dispensing units that is part of your expansion program earlier which you had guided for.

Management : The CNG stations are upgraded in 2 manners. One that we add new CNG stations. Around 24 - 25 new CNG stations were added in the whole financial year and almost 41 CNG stations were upgraded. When we say upgraded, it means either addition of compressor, dispenser, or capacity upgradation or things like that. In total, we have done 65 upgradation and new CNG stations in the whole financial year.

Varatharajan S.: And this run rate is expect ed to continue?

Management : 2023 -24 we have set up more aggressive targets in terms of new CNG stations and upgradation will be in the similar lines.

Varatharajan S.: If you can spell out that number?

Management: Around 30 -40 new stations is expected to be added in this financial year and around 30 -40 upgradations may happen.

Varatharajan S.: Any breakup between Mumbai and Raiga d?

Management : All 3 GA 's put together , but mostly new stations will be coming in GA2 and 3. GA1 is already exhausted. GA1 when we say, it is main Mumbai and GA2 is Thane and Navi Mumbai and GA3 is Raiga d. So, GA2 and 3 are expected to see more of a growth in terms of CNG stations.

Varatharajan S.: Any CAPEX guidance, sir?

Management : This year, we have done around Rs. 580 crores and we should be doing around Rs. 500 crores to Rs. 600 crores depending on how the permissions are available , availability of space for putting up these stations. We w ill be doing CAPEX in this range.

Varatharajan S.: For both '24 as well as '25?

Management : Yes.

Moderator: The next question is from the line of Hemang Khanna from Nomura. Please go ahead.

Hemang Khanna: Sir, just 3 quick questions from my side. Sir, if you could help us understand on the operating cost side, what was exactly the reason cost has remained largely steady Y -o-Y an

d are materially down Q -o-Q? Secondly, on the I&C realizations if you could help us with the realizations for

this quarter? And lastly, you had helped us with these numbers earlier but what had been the total gas sourcing for FY24? What is the breakup across the various sources of gas?

Management : We don 't have exact breakup as such b ut let 's say whatever is our requirement for CNG and domestic PNG will be through APM and HPHT mainly. If there is any shortfall in that, it will

be catered through spot RLNG and rest as far as I&C is concerned, we have the terms contracts in place as far as gas sourcing is concerned.
Hemang Khanna: And sir, what would be the total HPHT which we have tied up already?
Management : We have roughly earlier Reliance 0.1 and now we have tied up recently in the RIL auction 0.1, so 0.2 roughly, but of course, the e arlier one pricing is different than the new one as per HPHT pricing of around $12.12 per MMBtu.
Hemang Khanna: And sir, if you could help me with the I&C realizations and operating cost for Q4 .
Management : Current quarter realization of I&C, there was some improvement , but the margins have improved mainly because of the reduction in gas cost. So, the Henry Hub linked gas cost as well as spot and other term contracts, the prices were very favorable and realizations have remained more or less same as last quarter.
Hemang Khanna: And sir, on the operating cost for this quarter? Any one -off or anything we needed to call out in this?
Management : I think operating cost there is not much change. More or less I think things are let 's say hardly 10-20 paise difference and usually in the quarter 4, our maintenance activity, spares consumption, etc., goes up. Most of the activity of pipeline maintenance also happens post rains. So, if you look at my overall OPEX per SCM is around Rs. 5.45 which remains a little low in the first 2 qu arters and it increases in 3rd and 4th quarters. Third and fourth quarters have been in the range of around Rs. 5.75 per SCM. If you look at on an average, annual OPEX , it has come to around Rs. 5.45 whereas last year it was around Rs. 5.39, an increase of 6 paisa which is very normal considering inflation and other general increase in the cost levels.
Hemang Khanna: Lastly, a follow -up. Do you expect largely with the kind of pricing visibility which we have that margins will remain elevated in the years to come or will we go back somewhere around the 3rd quarter kind of numbers which we have seen earlier?
Management : It depends on a lot of factors as MD said earlier. It depends on alternate fuel prices, petrol and diesel prices as far as CNG is concerned. H owever, as he said, now with availability of gas with a ceiling of $6.5 and also balance gas available through HPHT, spot prices also coming down . In case of I&C also, all the index -linked contract prices have stabilized a lot – we see that at least

a few months going forward and maybe 1 or 2 quarters, gas cost is going to be under normal level wh ich we have experienced in Q4.
Moderator: The next ques tion is from the line of Yogesh Patil from D aulat Capital. Please go ahead, sir.
Yogesh Patil: Sir, can you please share what was the APM gas allocation for the quarter 4 and what is the current proportion of APM gas for the priority segment? Sir, this que stion is important from the point of view of your gross margin improvements in this quarter. If your CNG volume has declined sequentially and your input APM gas sourcing remain at the same level in the absolute number, then it suggests that the APM share i n the priority basket is higher which led to the lower cost of gas and that has ultimately led to the gross margin improvement. Is that a correct understanding on the APM side?
Management : Partly yes b

ecause we have had availability of around 2.73 MMSCMD o f APM during Q4. But the reason for gas cost reduction is reduction of spot and replacement with HPHT. Earlier quarter, I had consumed in the overall Company around 0.36 of spot whereas I in Q4 around 1.89 MMSCMD of HPHT has been consumed . Also, the prices of spot in Q3 were roughly average of $33 whereas in Q4, it has come down to as low as $17 per MMBtu odd, a little more than $17. The gas which I replaced was spot to HPHT as compared to Q3, there was a reduction from $33 to $12.5. And the spot which I c onsumed also had a reduction of $33 to $17. So, overall gas cost is reduced because of these two factors – HPHT and spot prices reduction. Apart from these two, the term contracts, be it RIL term contract or GAIL Henry Hub term contract or GSPC, all of the m have seen reduction in the range of at least $1 to $3 in the term contract as well. All this put together has added a very good leverage in gas costs which we have been able to reap and the profits are reflected in those lines.
Yogesh Patil: Sir, my seco nd question is related to APM gas prices which are reduced from $8.6 to $6.5 per MMBtu. Have you passed on the 100% benefits to the consumer or some benefits are retained?
Management : We have passed on the full benefit to the consumer. Final calculations and impact will be the same . In case something more is available; we will pass on again. But as of now whatever is the reduction, i.e., $2 per MMBtu, from $8.57 to $6.5 per MMBtu has be en passed onto the consumer.
Yogesh Patil: Sir, last question from my side. One of our medium -term LNG contract with GSPC will expire in June '23. What is the plan? Are we considering spot LNG? Will we replace that volume or are we trying to extend the sam e contract with the lower flow?
Management : We have currently not taken any decision on this because under our Henry Hub linked term contract, we are now getting full quantity almost, which had a take -or-pay threshold of 60%.

There we will be getting almos t equal gas what we were drawing under GSPC contract. And

since my requirement of CNG and domestic is getting catered through HPHT gas which we have already tied up 0.1 and also currently HPHT gas is also available through exchange and spot is also hoverin g around $10 to $12, so I think the next 3 -4 months is a comfortable situation. We will review that and we will take , at an appropriate time , a call whether to tie up for a long -term gas or no, but we will be certainly tying up some amount of HPHT gas in t he next few rounds as and when it is available. One round is available in this month, another maybe in the month of October or November this year.
Management : One 5 -year contract we have already signed with Reliance Gas from 1st of May 0.1 MMSCMD which is similar volume which GSPC is having.
Yogesh Patil: And the last one, sir. A news flow about a waste treatment plant to produce the compressed biogas. Can you provide some details about that?
Management : Yes, I think in the newspaper, it was reported that B MC has announced 1 plant which we are in discussion with BMC to put up a plant at a suitable location wherein they will be supplying the waste and it will be CBG plant, i.e., compressed biogas plant, of around 300 to 400 tonnes of handling capacity of wast e and producing around 15 tonnes per day of CBG. This plant is still to be configured. BMC is now also called MCGM, i.e., the Municipal Corporation of Greater Mumbai. So, the contours are still not frozen. We are in discussion with them for signing an MoU. Then, a detailed project report will be prepared and then FID will be done.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Services Limited. Please go ahead.
Sabri Hazarika: If we look into Q4, I think EBITDA p er SCM was one of the highest

, probably the highest
barring one quarter when it went up to 14 and now you have mentioned that the gas costing mix is somewhat similar at least for the next 1 to 2 quarters and you have also passed on whatever benefit has accrued from lower APM gas prices. From a 1 to 1.5 quarter perspec tive, is this Rs. 12 to Rs. 13 per SCM EBITDA sustainable now or do you think that you could be passing on further and bring the margins to a more normalized levels?
Management : If you talk about EBITDA per SCM is Rs. 9.5 year on year and Q4 is Rs. 12.8. S o, slightly better as compared to the full year. We will have a relook at these numbers in going future, and if some more price reduction is required, we will do that. But right now, we are not envisaging any such thing.
Sabri Hazarika: We understand that on the industrial commercial, it is completely a formula -driven mechanism, but on CNG and domestic PNG, I think some of your peer group companies have some EBTIDA per SCM in their minds, and based on that, they do the pricing. In your case also, is it the same or you will be taking it as it comes?

Management : We will be looking at elasticity of demand as far as CNG is concerned. If we find that the volume momentum as expected is not coming off, then we will review our pricing because at anytime price review is in our hands.
Management : And our EBITDA per SCM is always hovering around Rs. 8 to Rs. 10 in that range. We are still in Rs. 9.5 on the whole year basis. Similar type of profitability is being maintained. One quarter, yes, you are right. Last quarter was slightly much better. But we will see going ahead how does this year rolls out.
Sabri Hazarika: Under the challenging circumstances, maybe like Rs. 9 to Rs. 10 could be…. Of course, not the final but could be something which we can assume, right?
Manag ement : Yes, we are comfortable in that range.
Sabri Hazarika: Sir, one bookkeeping question. What was the industrial volume for Q4 as well as FY23 as a whole?
Management : Q4, I will give you the volume combined – commercial and industrial.
Sabri Hazarika: I think the combined is there. I just needed for industrials.
Management : There has been some classification . So, it won ’t be really apple -to-apple if you look at them separately.
Management : So, combined is around 0.45 for Q4 and for the full year is around 0.44.
Sabri Hazarika: Has there been any change in the kg per SCM conversion for you or is it the same, 1.4 sort of a run rate?
Management : There has been a marginal drop. It is about 1.36 or 1.37, it is ranging around that. But then that fluctuates in a very small range.
Sabri Hazarika: In Q4, right?

Management : Yes, on a few days, if there is an upset in the ONGC plant at Uran , we get relatively richer gas but then that change pretty quickly.
Management : Not much has changed.
Moderator: The next question is from the line of Nitin Sharma from MCPro Research. Please go ahead.

Nitin Sharma: Last year, we started deploying CDUs. Can you help us understand what happened throughout the year? What kind of volume came from it? How many have been deployed and what are your plans for FY24?
Management : Unfortunately, the CDU roll out is still stuck in a few regulatory hurdles. Currently, the approvals which we are getting from PESO are not permitting us to deploy the CDU as it is , in true spirit of t he CDU . It is becoming more like a location -specific approval where I can 't really move the CDU around. If you are fixed to any location, it makes more economic sense to have a small conventional CNG station there which is much cheaper than a CDU. You can have larger sales volumes also. So, though we have given out 2 or 3 LOIs to some parties to deploy CDUs, we haven 't seen much progress on that. There is still work to be done the

re on the regulatory
front , on the state regulations basically.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: One question on the growth rate that we have seen in GA1 and GA2. Would you be able to give a breakup of the volume growth that we have seen in these two GA's?
Management : Before that, just one point I would like to make. A big chunk of our volume is CNG , 70% +, and as far as GA1 and GA2 are concerned, a huge common boundary is there in between Thane, Navi Mumbai, Mira -Bhayander, etc., where vehicles keep coming in and out, in and out, they fill depending on their convenience either in GA1 or GA2. So, attri buting any particular growth rate, analyzing it that way is slightly difficult because these are almost seamlessly connected. If you look at the PNG sector, yes, there we can have some proper numbers because the households, industries, and commercial estab lishments, they are either in GA1 or in GA2. But the analysis becomes a bit difficult when it comes to CNG.
Kirtan Mehta: You also mentioned about lining up of some of the industrial consumers for Raiga d with the implementation of CGS3. Would you be able t o give us an insight what kind of volume growth that we can see in FY24 and FY25 by connecting them?
Management : We should see at least a double -digit increase on our industrial sales.
Kirtan Mehta: Overall, when we are say on a base of 0.45 MMSCMD that we have seen, we can see double -digit increase?
Management : 0.45 includes commercial also. We are talking of industrial which will be about 0.3 maybe.
Kirtan Mehta: And how long the run rate would be? Basically, the way we are looking at the Raig d GA, the GA potential is somewhere in the range of 0.5 to 0.6 MMSCMD. How much of that proportion would be the industrial demand?

Management : Industrial would be about 0.25, but again, there is another issue there because when we are saying industrial demand is 0.25, it is the potential where typically gas penetrates against those alternate fuels which are being used by these customers. Otherwise, the total industrial fuel consumption of GA3 is huge if you take the coal, etc. There are some restrictions on the use of solid fuels and polluting heavy fuel oils, etc., then the demand can go much higher. But given the current situation where we are only able to replace relatively higher cost liquid fuels because the market price gas which we have to use for I&C is high, th en we are looking at these kind of numbers.
Kirtan Mehta: And one more question if I can squeeze in. In the commercial or the light commercial vehicles and tempos that is your target segment, what kind of the payback period or what kind of the implicit sav ings could motivate that segment of the consumers to translate into a faster growth of conversion? What is your sense around those numbers?
Management : In the last year, the differential between CNG and diesel was not much. We were selling CNG at Rs. 89; d iesel was at Rs. 94. Now, the differential has increased a bit and we are at about a 16% discount to diesel. If you look at a small or a light commercial goods vehicle and compare its diesel variant to CNG variant, the price difference is not that differen t. The driver for the adoption of CNG in light commercial and small is more to do with what is the daily running of that vehicle and in which area it runs and whether it can conveniently refuel CNG or not. And since all these boxes are getting ticked, we were seeing a few thousand of these vehicles adding on every quarter.
Q4, there was a dip in those numbers because of reasons which you mentioned, but going

forward, we are expecting that number to increase.
Moderator: The next question is from the line of S. Ramesh. Please go ahead, sir.
S. Ramesh: Before we close the session, I would

like to have your thoughts in terms of what is the
contribution from new OEM vehicles in your conversions for 4th quarter? And do you see any
increase in the numbe r of new OEM CNG vehicles? Because Maruti is talking about very
ambitious growth plans for CNG vehicles. What is your view on that?
Management : You are talking of commercial vehicles or passenger cars?
S. Ramesh: Both, because Delhi in IGL, they are talking about primarily new CNG cars but in your case
perhaps, you are looking at both. So, we would like to have a color in terms of if you are looking
at the overall number of conversions, what would be the split betw een actual genuine physical
conversion and new OEM models and within that if you can give some color on cars and trucks,
it would be great.

Management : Retrofitting is almost negligible now. With so many OEs coming with some many CNG variants,
whoever had to retrofit earlier because he was finding petrol expensive and driving a lot, would
have already retrofitted. And probably 95% plus addition is coming from the OE market. If you
look at the adoption in private cars, etc., now Q1, Q2, and Q3 on an average, we were seeing
about 11,000 to 13,000 vehicle additions per quarter. Q4, that has gone down to about 9,000. In
small commercial vehicles again, Q1, Q2, and Q3, the range was about 1,600 to 2,000. Q4, that
has come down to about 1,300. We are hoping that t his Q4 dip was mainly because of pricing.
The April numbers are yet to come in for the vehicle conversion. So, we will get an idea only
after maybe another few days or weeks, but we are hoping with the price differential again now
is good, the CNG vehicle adoption should improve.
Management : Plus, several OEMs have started making new models also. So, this year 2023 -24, we expect
people have more choices, and therefore, CNG prices being attractive should get in better
conversion.
S. Ramesh: On that note, let me thank the management of Mahanagar Gas for being kind enough to host this
conference call. And I also thank all the participants for making it a very enlightening
experience. May I now pass on the proceedings to the management for closing comments?
Mana gement : Thank you so much all for joining this call. Because of paucity of time if somebody has not got
the answers completely, they can always write to us separately and we will be giving proper
answers. Thank you so much for supporting the Company and we look forward to have your
support in the coming years. Thank you.
Moderator: On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us and
you may disconnect your lines.

(This document has been edited for improvi ng readability)
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An ISO 9001, 14001 & 45001 Certified Company

Ref: MGL/CS/SE/2023/486 Date: 10th August, 2023

To,
Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street, Mumbai - 400 001
Scrip Code/Symbol: 539957; MGL Head, Listing Compliance Department National Stock Exchange of India Ltd
Exchange Plaza, Bandra –Kurla Complex,
Bandra (East), Mumbai - 400051 Script Symbol : MGL

Sub: Transcript of Earnings Conference Call on Unaudited Financial Results for the quarter ended
30th June 2023

Dear Sir/ Madam,

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call on Unaudited Financial Results for the quarter ended 30th June 2023 held on 04th August 2023.

The transcript of the Earnings Conference Call uploaded on the website of the Company can be accessed through the web link:
https://www.mahanagargas.com:3000/Mahanagar %20Gas_Q1FY24%20Earn ings%20Call%20Transc
ript_Final.pdf

The Earnings Conference Call was attended by following attendees on behalf of the Company:

Name of Management Attendees Designation
Mr. Ashu Shinghal Managing Director
Mr. Rajesh Patel Chief Financial Officer
Mr. Rajesh Wagle Senior Vice President, Marketing

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the call.
We request you to take the above information on your records.
Thanking You Yours faithfully,

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: a/a

"Mahanagar Gas Limited
Q1 FY '24 Earnings Call Conference Call"
August 04, 2023

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL

OFFICER
MR. RAJESH WAGLE – SENIOR VICE
PRESIDENT, MARKETING

MODERATOR : MR. Probal Sen – ICICI Securities

Moderator: Ladies and gentlemen, good day, and welcome to Mahanagar Gas Limited Q1 FY '24 Earnings Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded
I now hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you. And over to you, sir.
Probal Sen: Thanks, Yusef. Thank you, everyone, for making the time to attend this post -Q1 FY '24 results call of Mahanagar Gas Limited. With us from the management, we have the senior leadership team represented by Mr. Ashu Shinghal, the Managing director of MGL; Mr. Rajesh Patel, the Chief Financial Officer; as well as Mr. Rajesh Wagle, the Senior Vice President of Marketing.
I will first handover to the E&Y IR team of MGL to make their disclaimer remarks, and then we can go to the management for their pre -summit remarks. Runjhun, over to you.
Runjhun: Thank you, Probal. Welcome to the participants on this call. Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and we be lieve that the expectations contained in the statements are reasonable. However, these statements involve a number of risks and uncertainties and may lead to different results. The risks and the uncertainties related to these statements are included, but n ot limited to fluctuations of sales volume, foreign exchange or the cost and ability to manage growth. I urge you to consider the quarterly numbers as not a reflection of long -term trends or indication of full year results. They should not be attempted to be extrapolated or interpolated into a full -year number.
With that said, I would now hand over the call to the management. Thank you. And over to you, sir.
Management : Thank you and on behalf of Mahanagar Gas, I'm Ashu Shinghal, Managing Director. So once again, welcome , and very good afternoon to all who have joined this earnings call of MGL for the first quarter of the financial year 2023-'24. I would like to thank you all for attending our call today, and I will give you the brief of the results.
Before that, as you're already aware, APM gas prices and market determine gas prices be it the term contract or the spot gas prices have softened during the quarter and this has given very good respite to most of the CGD companies.
With APM gas prices now capped at $6.50 per MMBTU for 2 years, it is providing a very good stability in our gas cost. Further, MGL has also participated in e -tendering process of HPHT gas, which has come through initially IGX and later on through direct bidding. And we have secured long-term gas supplies which has resulted in optimizing gas sourcing portfolio and significantly reducing our reliability on high -priced imported RLNG. Earlier we used to take a lot of spot RLNG, now it has come down substantially.

During the quarter, MGL has signed 2 Memorandum of Understandings, one for the compressed biogas with BMC and the other is for the setting up of LNG dispensing stations across various places.
For CBG plant, MGL has entered in MOU with BMC; that is Brihanmumbai Municipal Corporation, for setting up around 1,000 tons per day of CBG plant in Mumbai. This initiative will add several benefits. Some of them are like reducing the emissions of methane from landfills, develop alternate sources for the natural gas, making Mumbai a greener city and healthier space, and helping in generation of local employment, development of circular economy and towards achieving our sustainable development g

oals.
One more MOU has been signed for setting up LNG stations with Baidyanath LNG, who was the first com pany to set up LNG stations in India and this will be in Maharashtra and outside Maharashtra also. This will help in developing the supply side LNG corridor ecosystem. On 18th

May, MGL also launched a mobile application MGL -TEZ in partnership with the BEST , the transport company in Mumbai to facilitate convenient refueling for CNG commercial vehicle owners, that is bus, truck, tempo , and cabs, mostly targeting the commercial segments.
MGL continues to create CGD infrastructure, its business segment in the licensed area. During this quarter, 41,580 domestic households were connected. And we have established connectivity for nearly 2.2 million households. We have also laid 77 kilometers o f steel and PE pipelines whereby making the aggregate length of 6,612 kilometers. We have 312 stations operating as on 30th June. We also added 76 industrial and commercial customers during this quarter. And as on 30th June, we have 4,589 industrial and co mmercial customers.
As far as our Raiga d GA is concerned, we have connected 69,106 domestic households and 29 CNG stations are currently operating there. During this quarter , we laid 6.5 kilometer of pipeline in Raigar d, taking the total length to 6,389 ki lometer s. This expansion of our pipeline has created a very good ecosystem for CNG and PNG in Raigar d area.
Our Savroli station, which is having LNG dispensing facility also was recently commissioned. And we have started filling LNG into the vehicles from the Savroli station. Coming to MGL's operations during this quarter, we have achieved overall average sale volume of 3.412 mmscmd as against 3.372 mmscmd in the previous quarter, which is an increase of 2.3%.
Current quarter volume consists of CNG volumes of 2.481 mmscmd and domestic CNG volume of 0.496 mmscmd. And industrial and commercial segment's volume is 0.435 mmscmd.
Compared to previous quarter, sales volume in the case of CNG has increased from 2.41 to 2.481 mmscmd, which is an increase of 3%. Howe ver, in case of industrial and commercial, sales volume has decreased from 0.452 to 0.435. That is a decrease of 3.7% and sales volume for domestic CNG has decreased from 0.51 to 0.496 mmscmd, which is a decrease of 2.9%.
The financial numbers : Current qua rter EBITDA is INR 521 crores compared to previous quarter EBITDA of INR 390 crores. EBITDA margin is at 33.9% for current quarter as compared to previous quarter EBITDA margin of 24.2%. Net profit after tax is INR 368 crores for this quarter as compared t o INR 269 crores in the previous quarter. Therefore , there's an increase of 36.8%.

We are continuing with our initiative in area of environment safety and CSR. I'm very happy to announce that MGL was awarded the best CGD company of the year by Navbharat En vironment Conclave Awards in 2023. The award was conf erred ed by Honorable Union Minister Sri Nitin Gadkari Sahab. MGL was also conferred with Greentech Award at the hands of Honorable Former Chief Justice of India and Additional Commissioner of Delhi Traffic Police under the category Construction Safety from Greentech Foundation.
With this, I conclude my opening remarks, and we'll be happy to take any questions. Thank you so much.
Mode rator: First question is from the line of Amit Rustagi from UBS.
Amit Rustagi: First is on the volume. Sir, what could be the reason for a Y -o-Y drop, the volumes in CNG this year?
Management: Last year, Q1, one reason is the prices, if you have noticed, they were around INR 60 at time. This time Q1 we started off with INR 79. Now again, we may not have very very scientific accurate answers for this. But what we're trying to give you is what we perceive to be the reasons. Second could be -- probab ly later part of this year we have been getting slightly r

elatively richer
gas. So , when you convert it in SCM terms, the volume shows a smaller number. The kg drop may not be that much.
Managment : In fact, just to add to what Rajesh is saying, the kg numb er has slightly improved over the last Q versus Q comparison, whereas in SCMD there is a shortfall of around 2.3%. So as there are few reasons, one that although their numbers have been added by the vehicles, but the volume has not grown because the prices were higher in the last quarter, this quarter Q1 versus Q1 comparison. The other part is that maybe the price differential with the adjoining state.
Management: And the other additional observation we had was the sales volumes of BEST in Q1 last year were higher. So , the number of CNG buses have dropped marginally. That has contributed to a small decrease. Lastly, what we have observed is the number of medium and heavy commercial vehicles converting on to CNG, when the price started increasing dramatically , we used to get a few, I mean, 300, 400 of these about a year back, that number dropped. So , their contribution also would have decreased. And these are the 3, 4 things which come to mind.
Amit Rustagi: Okay, sir. Got it and sir, with respect to the devel opments with the MSRTC, I think you have been highlighting that you have asuccessful agreement with them on getting some buses. So , could you give some progress on that? And what could be the target for this year and next year on that front?
Management: So MSRTC currently, they are running about 120 -plus buses from what used to be double -digit

numbers until about 1 or 2 months back. And we are expecting 450 more buses to be inducted in 8 MSRTC depots in our geographical areas by November or De cember of this year. So about 50, 60 or so will add on every month. We have recently commissioned online CNG filling facility for the vendor Vithalwadi Depot. And we are in the process of setting up CNG infrastructure in 6 more of their depots which are at : Panvel, Karjat , Pen, Roha, Alibaug, Uran. So those 450, 500 buses will definitely contribute to volume addition over the next 2 quarters.

Amit Rustagi: Sir, just to add on this, when our commissioning will be over in the bus depots? And second is, what i s the average consumption of 1 bus because it could be significantly higher than the average of other buses maybe?

Management: So, these buses will take about 80 kgs per day.

Amit Rustagi: Okay. And when you will complete the stations at these depots?

Mana gement: The stations will all get completed by, say, November, December. And if there is any small mismatch between the buses come before, let's say, a few weeks or a month before our station is ready, we have offered MSRTC private retail outlets where the y can fill their bus, which are very close to their existing depots or which are on their routes which they run.

Moderator: Next question is from the line of Kunal Thanvi from Banyan Tree Advisors Private Limited.

Kunal Thanvi: My question was largely on o ur pricing strategy, especially on the CNG side. So , as you alluded to the fact that our sourcing costs have come down significantly, and we have got benefited out of it in terms of our profitability. But when I look at the pricing differential between, sa y, diesel and CNG continues to be much lower than our historical averages. So what is our strategy in terms of pricing? Are we looking like in order to improve volumes, does it make sense to take a price cut? Or how do management look at it from a longer -term perspective?

Management: The current discount is, I think, good enough compared to petrol. And as far as diesel is concerned, also a very good discount is there in the range of around 16%. So currently we have seen the numbers also increasing compared to last quarter where around 13,500 odd vehicles came on CNG. This quarter, around 14,750 vehicles have come on board . And this trend is increasing. So , in April, May, June. June , we have seen the more conversions.

So having reduced price in April, I thin k it may take some time. However, we are open, as you were saying that on gas cost front, there is very good improvement. Since now, very good stability and visibility is there with respect to APM prices at $6.5, it is capped. Also, HPHT is available, plus currently spot is also at a very good level. So , we can consider some price reduction as well.

However, our strategy to enhance volume will be in dual manner, in a target by increasing our marketing effort and sales promotion effort to these segments and the customer or vehicle type where we see currently small penetration and penetration can be increased with targeting specific type of vehicles. So , we will be doing a 2 -pronged strategy of targeting specific segment and also considering price revision as and when required.

Kunal Thanvi: Sure,so just a follow -up on that. So basically, what you're alluding to that is at this price also it is attractive from the customer perspective. That's what you are saying?

Management: Good traction and the numbers are increasing. So current quarter we have added around 14,750 vehicles andnd the monthly trend was increasing.

Management: Another observation there, wha t we have analyzed is the adoption of CNG in the commercial goods vehicles has dropped compared to about 2 -3 quarters back and they are the ones who have relatively high per capita consumption , and the contribution is accordingly higher in volumes.

So, we are looking to target these segments by some direct marketing initiatives, trying to catch hold of aggregators, fleet owners, etcetera, and incentivize them to use CNG.

Management : Or we may try, one fill larger volume s discount kind of a thing, so that t he specific segment can be targeted for capturing the volume s and conversion s more incentivize d.

Kunal Thanvi: Sure. Yes, because this segment, which you're saying is dropping down is more price -sensitive because they are fleet owners and they would want t o have a better pricing composition. Sure, makes sense.

Management : Add to Mr. Wagle's, though commercial vehicles are slightly, numbers are less, we are seeing very good number of private cars getting converted, maybe because of the OE vehicles models are available. So there we don't need to push much, it appears. But yes, if it's target -specific vehicle type, mainly commercial , through specifically devised schemes, it will help us better in

future.
Management : And in the long term, we are also trying to increase the infrastructure reach out and trying to bring digital initiatives and more CNG stations in the areas wherever we can put so that the queue is reduced. We are also looking at the turnaround time and ot her initiatives to address some of the issues related to the queuing in the CNG stations. So , all these things put together, we expect that the volume should improve from here on.
Kunal Thanvi: Sure, and second, if I can squeeze is, on our profitability. I f I look at this quarter number, right, like if I look at like unit economics, our EBITDA is like INR 16 per SCM. Any thoughts on the sustainability of the same? And what should one look at from a medium - to long -term perspective, what is the profitability that we are kind of working with?
Management: So this quarter, in terms of managing the gas cost was very good. So probably we could time it very well in terms of buying spot when it was cheaper than HPHT and then later on tying up little more quantity of HPHT as well. So maybe this quarter the EBITDA margin is very good or gross margin in case of CNG is very good.
And this quarter has been very good with respect to even industrial commercial realization and the gas cost in for in

dustrial commercial becaus e most of the term contracts, majority of our term contract for industrial commercial is linked to Henry Hub and the index was quite low that has given us a very good benefit.
This is probably one of the best margin, gross margin as well as EBITDA margin kind of a quarter. You may see a little reduction going forward depending on how the indexes move, how spot market moves and how we are able to optimize our gas costs.
Kunal Thanvi: Okay. Sure. And from a longer -term perspective, we continue to hold on that 5% - 6% volume growth and what level would be our EBITDA per SCM like from a longer -term perspective?

Management: I think longer -term perspective, INR10 average you should consider as EBITDA margin. So , in case we have to do a little more and aggressive marketing, we will not shy away from doing that .
But we will try and secure more vehicles and future volumes. So that should be our strategy.
That is what our current plan is.
Kunal Thanvi: Sure, and 5% - 6% volume growth i s what we are targeting, right?
Management: We are targeting a higher number. But then can, in business as usual scenario case or whatever, if you look at past trends, 5% to 6%, we are confident of getting, but we'll be attempting more.
Moderator: Next que stion is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Congratulations on the good set of numbers. Sir, can you please share APM share in the priority segment for the quarter 1? And if possible, can you please provide a detailed breakup o f your gas or LNG contracts?
Management: By priority segment, you're saying APM availability?
Yogesh Patil: Yes, sir.
Management: We have got APM to the tune of, for the Q1 it was around 89%. There was a shortfall of around 11%. Some part of it was met thr ough HPHT and some part of it was met through spot gas, slight reduction compared to Q4. Q4 was having APM allocation of around 91%.
Yogesh Patil: Okay. And if possible, can you please provide us a detailed breakup of your gas or LNG contracts, mostly non -APM?
Management: Non-APM, we have one RIL contract, which is old HPHT. Oil-linked, Brent -linked and around 0.5 Henry Hub, 2 cont racts, 0.4 we signed earlier and 0.1 we signed later on. So these are the 3 contracts which primarily suffice our requirement for I and C. They have a good threshold for a ramp up and ramp down with take or pay . And 0.2 from RIL (HPHT gas) .
Yogesh Patil: Okay. This newer 0.2 mmscmd recently you bag ged in the recent auction. Am I correct?
Management: Yes, in 2 stages, we took I think initially 0.1. And then later part of the June, we have signed one more 0.1 HPHT gas.
Yogesh Patil: So in total we have close to 0.8 mmscmd kind of a non -APM gas contract?
Management: No, no. Yogesh, the last 0.1 and 0.1 HPHT is specificall y for priority, you cannot use that for I and C.
Yogesh Patil: Yes, sir. And second question is regarding vehicle addition. As you mentioned, 14,750 vehicle addition during the Q1. Can you please give us an idea how much improvement you have seen on a mont h-on-month basis because the April, May and June. So the May and June, you might have some jump into the volumes. So can you share some thoughts on that side? And secondly, you also mentioned that the commercial vehicle addition has a little bit slowdown. Can you share us a number how much was during the quarter?

Management: So just to give you commercial vehicle number was around 1,200 , whereas Q4 it was around 1,300 . Whereas during this quarter, private car is around 9,750 out of 14,770 . Whereas priva te car last quarter was around 8,800 . So there is an increase of 1,000 numbers in the case of car and some marginal reduction in case of commercial vehicles.
Yogesh Patil: Okay. Sir. And monthly jump, a

ny idea on that?
Management: So if you look at June, highest number of small vehicles are there, more than around 450, whereas in the earlier month it was around 350. As far as car were concerned, car s were almost 3,700 was in June, whereas in the earlier month they were in the range of 3,000. So maybe post price reduction, it will take some time for people to realize and then maybe booking and then actually vehicle coming on the road may take time because there's vahan portal where vehicle registered on C NG data is available .
Yogesh Patil: Yes. And the last one from my side, sir. Can you provide us the capital expenditure details during the quarter? How much we have spent.
Management: Spent roughly INR150 crores capital expenditure during this quarter.
Yogesh Patil: And what is our target for FY '24?
Management: '24, we are targeting more, but minimum, I think INR 600 crores we can spend and maybe it can go up to INR 800 crores, depending on availability of sites for construction of the CNG stations, permissions for laying pipeline, etcetera.
Moderator : Next question is from the line of Niharika from Aequitas Investments.
Niharika: So my question is based on the biogas plant. What kind of investments are we looking for this? And what kind of revenue do you see getting generated?
Management : See, the bio gas, we have signed an MOU. The process is on for finding a partner to come up with technology and setting up the plant. It is expected that another 1.5 to 2 years will be required to complete the plant and start commissioning it because, first, the land h as to come in place, then grading of the land and then setting up the plant and then commissioning it. So the top line from it depends ; it will not be a very big number, but maybe in the range of 50 to 60 CR will be there once the plant is commissioned and similarly, the profitability will be in the range of 20% to 25%.
Niharika: Okay , and in our annual report, you're betting that we are working with MSRTC to ensure the conversion of 1,000 buses to CNG next year. So how are we on that at front?
Management: I had answered that some time back. There are 120 -plus buses right now out of that lo t which are already running and out of these 1,000, we are expecting 500 to 600 of the buses to be operating within our geographical areas. Those 500, 600 buses will all c ome on the road by November or December of this year, by which time we will have set up infrastructure in 8 more of MSRTC bus depots to cater to filling these buses.

Niharika: Okay. Understood , and my last question would be are you looking for any more red uction in prices from Europe, passing any more price?
Management: This question also we answered I think in the beginning itself. So we may consider some price reduction depending on how the volumes journey takes from here. But our target will be to give impetus to vehicle segment where current penetration is low and which is a high -potential segment. So , we will do a 2 -prong strategy of promoting those vehicles or giving them more discount and if required, consider a price reduction, depending on how gas cost moves here onward. Of course , Q1 was very good with respect to gas cost, and that is reflected in our profitability as well.
Man agement : Just to clarify on your last question that the CBG plant is expected to make 50 -60 crore top line in the 500 tons plant. And if we go to 1,000 tons plant, in a phased manner, it will go to 100 crore per annum and 20% around EBITDA margins are expe cted.
Niharika: And how much of cash are we carrying in our books as of now?
Management: So roughly carrying INR1,800 crores to INR2,000 crores of cash.
Moderator: Next question is from the line of S Ramesh from Nirmal Bang Equities.
S. Ramesh: So if you l ook at the numbers you're talking about for vehicle additions and the

addition of the
MSRTC buses, is it fair to assume that once they are all in operation on an annual basis in full potential, should be able to increase your CNG volumes by about 1 million to 1.5 million cubic meters a day. And that means you will possibly talk about 5 million cubic meters a day in the next 1 or 2 years. Is that a fair assessment? Because buses itself will firstly add about 9 to 10 lakh kgs. So is that a fair calculation?

Management: Ramesh, I think your question is not clear. Can you repeat it again?
S. Ramesh: Yes. So based on the numbers you've shared in terms of the addition of MSRTC buses and the monthly run rate of CNG vehicle additions. So the CNG vehicle additions wi ll go up to the extent of the buses being added and your weighted average consumption of CNG will increase. So if I do a back of the envelope calculation, I get a number of around 1 million to 1.5 million cubic meters per day of additional CNG consumption. So that should take your volumes close to 5 million cubic meters a day, maybe in the next 1 -2 year. Is that a fair assessment?
Management: No, no, no. These 500 additional MSRTC buses, if you take a average of 80 kgs per day fill, that is 40,000 kgs per d ay.
Management: Which is roughly 0. 06 mmscmd or maybe 0. 055 mmscmd.

Management: But Mr. Ramesh, you're right in terms of if the existing vehicle plus these buses are added roughly 55,000 cubic meters gets added on a daily basis.
S. Ramesh: On cumulative basis you are saying it will add about 55,000 to 60,000 cubic meters a day, okay.

Management: Only from MSRTC buses if they are on target and they convert the number of buses we talked about. But our strategy is we may push more of commercial vehicle s, and we will try and put more of commercial vehicles. And that will give us good volum es going forward .
S. Ramesh: And on the LNG auto fuel plan, once you start the operation of the LNG station. So what is the number of stations you're planning and what is the kind of volume you are targeting in the next 1 or 2 years? And what is the kind o f pricing and margin profile you're looking at there? You can help us understand the broad economics of that business?
Management: To start with, we may target around 5 to 6 stations in next 10, 12 months , and pricing will be obviously whatever customer we are targeting is mainly heavy vehicles and buses, and one is the ESG agenda of most of these truck operators or whoever is using the trucks. It will be priced linked to diesel. So we will give a discount over diesel so that their additional cost of switch ing from diesel vehicle to LNG vehicle gets covered in a reasonable period of time. So we may price it around maybe around 15% to 20% discount, in that range.
Management : There is a lot of potential in our view that LNG in long haul on LNG in highways will be a very suitable solution for transport because electric vehicles are still to come and electric vehicles, the battery weight is very heavy to make it a good choice for long-haul. The other option is hydrogen, which again may take many years down the li ne, especially the infrastructure which is required to be created.
So, the only realistic options left are, one is diesel, which is already there. But considering the environmental problems associated with diesel, we see more traction will come either on CNG or LNG. CNG again is having some issues related to the range and the number of cylinders which are required for heavy transport vehicle. So , LNG is one solution which is workable. So we are very optimistic about that and therefore, we have st arted this joint venture company to roll out on fast manner.
First, we want to commission 5 to 6 stations in 1 -1.5 years' time and subsequently, based on our ability to get more contracts, some downstream contract, downstream customers or the aggregators, we will

roll out more stations on fast basis because one station can cater only to 40 to 50 trucks and each truck carries around 450 kg of LNG. So , which is a substantial amount of filling in one go. Therefore, if we put out more stations, the volumes can pick up very quickly.
S. Ramesh: What is the investment required for this JV? And what is the kind of LNG price which would make it attractive for you to develop that business?
Management: So roughly per LNG session, excluding land, it should be in the range of around INR 5 crores to INR 6 crores. That's our estimate and we may try and capture two segments one is B2B. There you may have a contract and a close contract, so you may offer more discounts and there could be B2C where you may have a slightly lesser discount one -off. If a large fleet vehicle is coming under one contract, then linked to diesel we may offer better discount.
Management : Around 10% discount to diesel is what we think is workable and which is a win -win situation to both the parties.

Moderator: Next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: Yes, sir. Firstly, so how much of th e volume in kg terms in CNG?
Management: It is 1.84 mmkg deal, million kgs.

Management: 18 kg per day, 18.4 lakhs kg per day.
Sabri Hazarika: And sir, this MOU -- this LNG station, it is a final agreement signed with Petronet, right, for the JV -- for the joint venture company.
Management: Not Petronet.
Management : It is a company called Baidyanath LNG. This is the first company to set up the LNG stations in India. One is in Nagpur and other is in a place called Wani near Nagpur. So they were the first company to set up the LNG dispensing stations in India. So we have set up an SPV with them and the term sheet has been signed, it will be a 51% stake for MGL and 49 % with Baidyanath. It will be a joint venture company with two companies joining hands.
Sabri Hazarika: Okay and LNG sourcing will be done by whom? It will be like taken from the bulk marketers? Or you will be involved in that also?
Management : It is a strategic call by a company and SPV will take a call on it. But we will optimize on the sourcing from MGL side also and try to get the best deal for the company so that the last point is to get the vo lumes from the diesel side to come on to the LNG side. So we will try to optimize both on the procurement of LNG and bringing MGL expertise in getting the best cost in it. The other part is to bring the infrastructure at optimum cost.
And third is to promo te the ESG agenda so that the benefits which are available to the customers on ESG side and commitment, especially if you talk about cement and steel, if any company is exporting, they have to cut down their carbon and therein comes a very good potential o f LNG to support that objective.
Sabri Hazarika: Right, sir , and sir, second, just one small follow -up. What's the status of open access now? Anything happening there? Or it's like, again, slowed down? Because there's some paper which came a few months bac k from PNGRB side. Anything has happened since then?
Management : Matter is under sub judice. And the hearing was somewhere in May, but it is now scheduled for somewhere in September or October because of paucity of time available in the Delhi High Court .
Management : The matter could not be heard because the bench was saying that they need more time to hear this case, 2 days back -to-back , they have scheduled, but some other priority engagements suddenly came on that day. So , they have now given the time in either in September end or October this year.
Moderator: Next question is from the line of Somaiah V from Avendus Spark.

Vishnu: Yes. Sir, Vishnu from Avendus Spark. So just wanted to understand this LNG, what will be the rough costing? I mean I understand gas is a component that keeps moving up and down. But let's say you get the gas and what will be the additional cost involved if we need to keep, let's say, for 15 -day inventory, there's a boil -off there 's electricity. Wha t will be the additional load in terms of costs that you expect in terms of dispensing the LNG apart from the gas cost, any rough idea, if you can help us.
Management : Other than gas costs, I think roughly around INR 10 to INR 12 could be the cost, includi ng boil -off per kg.
Vishnu: Boil-off rough rate per day, what would be the number, sir?
Management : It is 2% to 3%, but we have an inherent advantage available with Mahanagar Gas that if it is located in our geographical area, we can use the boil -off-gas to put into the pipeline grid. So that can be pushed into CNG or PNG segment, and therefore we don't lose that boil -off-gas. What boil-off-gas will be lost will be to the transporters account, which will be -- I mean, actually, that will also not be there b ecause if the truck is running, then the boil -off-gas is used in the engine also.
In case the truck is not running, then sometimes if the waiting time is more than 1.5 to 2 days, then we generate some 2% to 3% of boil -off-gas, I mean engine has to be run f or 10, 15 minutes idle, then the total boil -off-gas gas for next 2 days will be accounted for. So more things are developing to optimize on BOG. But if you have a CGD company associated with the LNG station, then most of it is taken care of.
Vishnu: So thi s boil -off, 2% to 3%, got it, sir. So INR 10 to INR 12 is the overall additional cost over and above the gas is what you are seeing?
Management: That's a present rough estimate, yes.
Management : Over and above gas cost means like the opex and the capex and the margins and overheads and BOG and things like that. So that will be in the range of INR 10 to INR 12, which Rajesh has just mentioned.
Vishnu: But through the train you need to keep it at 16 0 degrees centigrade for this to be a workable option?
Management : 160 is the temperature at which it is taken in the LNG terminal. So , in the operating temperature

when it comes to the tanker and when it comes to the tank and when it goes to the dispensing, it
is in the range of minus 135 to minus 150 degree centigrade.
Vishnu: Okay. So this INR 10 to INR 12 includes the power cost to ma intain that 130, even at 130?
Management : The power cost is negligible because it is in liquid form. So hardly any power is required. And
therefore, what we are saying not exactly INR 10 to INR 12, it can be INR 10 to INR 13 also,
INR 9 to INR 13. So it d epends on several factors, but it should be in this range, yes.

Management: The LNG is not refrigerated by any electrical power or anything. It is kept in a very thickly
insulated tank so that the temperature doesn't rise. The little amount of power which is required
is for the loading pump – which is very small.
Management : See, in case of gas, when you have to compress from, say, 19 bar to 220 bar, there's a lot of
power requirement because it is a compressible fuel. Whereas in case of LNG, it is pumping
from whatever little pressure it is there and it is kept at this almost similar pressure because the
liquid is flowing from one tank to the tank in the vehicle. So the power requirement is negligible
as compared to CNG.
Vishnu: Understood. Sir, a rough ma th, we know is that between 15 -- if I take $1 of mmbtu, it's about
INR 2.5 to INR 3 in scm terms. So here, if you are looking at $15 or $20 gas, roughly cost
between, if I take even a 15 into 3, about 45. And I -- let's take it even to 50, 55 plus 15, thi s will
come down to about INR 70 odd in terms of fuel per kg.
Management: No, the point you are saying is if you have to take it in per kg terms, you're right.

And if you
take it in per kg it will be around INR65 or so, INR65 to INR70. Diesel is being sold at around
INR95 or so INR90 to INR95. So this delta is available to take care of operating costs, capex,
overheads, pro fitability and the margins. So that is the play we were talking, that 10% of discount
is offered to the diesel company, diesel operators will be prompted to convert to LNG.
And the second part is the sourcing is very critical in terms of getting the right cost for LNG and
which can be handled in two manners, one is that you can have a portfolio mix of Henry hub gas
or the Brent -linked gas or NDP -linked gas or a mixed index so that the parity is maintained with
respect to diesel and more stability is there i n the procurement cost.
Vishnu: Just to ask, sir, what will be the cost of a diesel truck and a LNG truck ?
Management : Currently, the gap is around INR 25 lakhs to INR 30 lakhs per truck, a 40 -ton a truck or 50 -ton
a truck. But that is expected to come dow n if more OEMs from India like Tata , Eicher and
Ashok. They are also trying to build it. Right now, what we are saying, the differential is
primarily because the LNG kit is being imported from China and other places. So currently, Blue
Energy have rolled out these trucks, which is around INR 25 lakhs to INR 30 lakhs costlier than
the corresponding diesel trucks.
Vishnu: And there will not be any pulling issues which normally people a re
Management : No, the traction which is available in LNG is as good as di esel or even better because LNG is
having the highest dense energy which is available for burning. The issue when it comes to CNG
is because if you have a low HP engine or a retrofit CNG vehicle is there, then the issue comes.
But if an engine is ab initio designed for an LNG running engine, it will give you as good a
traction as a diesel truck can get.
Moderator: Next question is from the line of Hemang Khanna from Nomura.
Hemang Khanna: Sir, I just wanted to check with if you can please help with what is the realization for the I&C
consumers in this quarter? And post the quarter, have you -- has there been any downward

revision for realizations for the segment? And secondly, on the sourcing, could you please just
repeat how much was the total gas from RIL HPHT for the I&C sector?
Management: Firstly, realization net of tax for I&C as a whole average is around INR53 per SCM, Q1 this
year. And you –were asking how much was RIL gas use for I&C sector?
Hemang Khanna: Yes, for I&C.
Management: 0.1 mmscmd.
Hemang Khanna: 0.1 mmscmd, right?
Management: Yes.
Hemang Khanna: And sir, the realization for I&C INR 66 in the previous quarter, right?
Management: No. Previous quarter was roughly INR 54.5.
Hemang Khanna: INR 54.5.
Management: There is a difference. I'm talking about average in case of commercial A, which is a small

restaurant category, we price linked to commercial LPG. The realization is higher. In case of industrial commercial, it is lower. So what number I'm giving you is an average of industri al and commercial put together. The difference would be more than INR10 - INR12 when it comes to commercial LPG and industrial category.
Hemang Khanna: Definitely, sir. So INR 54.5 in the previous quarter is INR53 in this quarter. And after this quarter, have you all taken any further cuts on this?
Management: So we are pricing linked to alternate fuels. So automatically, alternate fuel prices move upward or downward, the pricing gets adjusted. Whatever benefit or good margin you see in the current quarter in industrial commercial segment is not on account of price realization, but this is mainly on account of gas costs going down in this quarter substantially. Almost INR 8 to INR 10 we have been able to save in gas cost during this quarter because of the index Henry Hub

and Brent,
both were down. So gas cost was very good during this quarter.
Moderator: Next question is from the line of Nitin Sharma from M.C. Pro Research.
Nitin Sharma: Two small questions. First of all, can you please provide a bre akup between the volume in commercial and industrial? And then I have a follow -up.
Management: Breakup of commercial, in volume.
Nitin Sharma: Yes, commercial and industrial.
Management: CNG was 2.48 mmscmd, domestic was around 0.49, and rest is industrial and commercial.
Nitin Sharma: No, a breakup between industrial and commercial.

Management: Industr ial was around 0.32 and commercial 0.13 roughly.
Nitin Sharma: Understood , and a bookkeeping question. Is there anything that the employee cost, th ere's a decline of 11% to 12%?
Management: Yes. Last year we had pay revision. So act uarial cost was higher, which was booked, it's a non - cash flow item but actuarial liability was booked in Q4. So marginally, Q4 was higher.
Otherwise, actual payments and all that is maybe little higher because of the increments in current year or new people added in the company. The high numbers seen last quarter is mainly because of provision on account of actuarial valuation.
Moderator: Thank you. Next question is from t he line of Vikash from CLSA. Please go ahead.
Vikash: This is regarding volumes. If you could tell me, firstly, you said that on a kg basis, this particular quarter was 1.84 million kgs of CNG and last year, 1Q was what number, the same number, is it?
Mana gement: No, no, it was 1.81 million kgs and this quarter, it is 1.84 million kgs, per day.
Vikash: Okay. Now what I wanted to check was that are the current volumes that you people are doing, current daily volumes, there are you seeing a reasonable pickup versus the 1Q added since you said that the cuts in price was in April and the positive impact of that would only flow out in second quarter later. Are you seeing daily volumes to be much better than what it was in 1Q? And do you think that this year you s hould be able to close with a 4% - 5% kind of volume growth which has been your guidance?
Management: See, traditionally, first quarter, because of the school vacations and other things, CNG volumes, we have seen drop, okay, especially in May and part of June. And now it has picked -up in end of June as well as July and also the number of vehicles getting a dded on to CNG has also gone up in the month of June comparatively to April and May. So that shows that there is a growth. Also, since prices were reduced in April, the addition of vehicles and now more clarity on stability of gas cost is reflected. So we expect that there should be good amount of vehicles getting converted from here on and it should add to the volumes in the range of 5% to 6% by year-end.
Vikash: Okay. No, sir, my question was if you look at the current volume trends and do a Y -o-Y comparis on so that the seasonality is adjusted, does that give you a kind of confidence that 4% - 5% kind of a growth should become visible very soon and you can say that this particular quarter was something which is maybe a one -off kind of a blip and the thing sho uld normalize to closer to the guidance of 4%, 5% volume. Is that a fair way to look at things?
Management: Okay, that's very difficult to make predictions in a very small range. This 5% to 6% guidance which we give is typically for a five -year CAGR. Now t here can be good years, good quarters, bad years, bad quarters. Last quite a few quarters we have seen relatively flattish kind of trend. But what we are basically saying is nothing fundamental has changed in this. And we expect that, yes, that 5%, 6% CAGR , we will achieve. Whether exactly at the end of this year we'll be at 6% or 3% or 7%...

Vikash: No, sir. I'm not

even getting on to that. But broadly in that range of 4%, 5%, 6%, you still hope
to close the year at that kind of volume growth number. Becau se why I'm asking this question is
that never other than the three - four quarters impacted by COVID, have you had a volume
decline on a Y -o-Y basis. So this is the first time that that has happened.
Management: Actually the volumes have gone up by around 1%-plus
Vikash: Okay, per kg basis.
Management: Density factor, and we report in SCM terms, it is looking lower.
Management: Look, the revenue was, we get in kg terms. We were selling in rupees per kg.
Vikash: No, I understand. I appreciate that. But that 's something which we only get to know during the -
- but even it's possibly one of the most subdued quarters other than the COVID quarters, that's
why from a volume growth perspective. And it's understandable because the cut happened only
in April and the pickup in terms of conversions, etcetera, would take a little bit of time. But as
long as it is that, then it's fine. But from a perspective of is there any other change for us to get
more concerned about changing that 4%, 5% kind of a number, that is what the thought of the
question was.
Management: Look, this, the 500 MSRTC buses, they have worked out 40,000 kgs. Now if you look at 40,000,
it is 2% of our CNG volume. So, no, of course, the whole volume will get only by end of
December.
Management : Just t o put one more thing in perspective, '21 -'22, we had 1.21 million kg per day. '22 -'23 whole
year we have 1.35 million kg per day. This first quarter we have 1.84 million kg per day. Now
the last two quarters, Q3 and Q4 of '22 -'23 were not good because the prices were INR 89.5 and
therefore, the impact has started coming from this Q1, wherein we have seen 1.84 against 1.81
which was year -on-year Q1 versus Q1.
Now it is slightly better Q1 versus Q1 on kg basis, but the things are going to improve now, in
our view in the next three quarters, primarily because the rates have come down the more
conversions we are targeting to have more segmented approach for sales promotion. Also in case
required, we will go for some price cut also in case sourcing and other competitive fuel prices
are there and our margins are maintained at a healthy level. So seeing all these things and putting
it into the right perspective, we ex pect that volume growth of 5% to 6% should be achievable by
the year -end.
Vikash: Sure. And sir, just one suggestion firstly, sir. It will be rather than this confusion of kgs, etcetera,
since there could be a time variance on how rich the gas that you get could be. I would suggest
that maybe if we could add that one extra line in terms of the release when we give out that
volumes
Management : Vikash, this problem comes only in case of CNG. So henceforth, in our declaration we will give
a kg per day sale also for CNG.

Vikash: No. Let's give both kg and mmscmd.
Vikash: Yes, that is one. The other is, sir, see, I think the biggest target area where there is a lot of growth
potential is like you were saying the LCV segment. Now what kind of targeted discount s,
etcetera, that we could give over there to attract more conversions? You said that they kind of
started going down in terms of conversions. So is there some thoughts around that, what kind of
marketing effort we are kind of planning, maybe some kind of loyalty cards specifically for those
customers or something on those lines?
Management: Yes. So , the exact schemes, I mean, a lot of thinking had already happened on this. The final
touches are being given to the schemes, which we are planning to launch so on. And we're
looking at a two -pronged strategy. One is maybe we could fund part of the retrofitment cost or
fund part of the delta between the price of our new diesel vehicle and a new CNG vehicle.
The second bit of course is

what you're suggesting. After our targeted discount in rupees per kg
through a loyalty program and card. Buyback programs also, we already started building it, and
we should be ready to launch it also in a couple of months.
Management : See, what Rajesh is saying is that there is somet imes a delta between petrol vehicle and a CNG
vehicle or a diesel vehicle and a CNG vehicle. Now the running cost is cheaper in both the cases.
So therefore, we expect that if we discount or incentivize on the upfront to purchase prices in
one way or other , the traction should be available for people to take on CNG commercial
vehicles.
Moderator: Thank you. Next question is from the line of Sameer Deshpande from Fairdeal Investment.

Please go ahead.
Sameer Deshpande: Congratulations for the excellent number s. And I would like to know now we have the margins which we fix after our per kg cost for the gas, which we are getting suppose it is INR 100, and we have a margin of about INR 10 after that. So , if the prices go down or if your prices go up, we keep our INR 10 at the same level or we keep on changing it?
Management : It depends on so many things. Typically, if you see we have INR 8.5 EBITDA per SCM for '21 - '22. '22 -'23, we are INR 9.5. The last quarter was INR 12.5. This quarter, it is INR 16. So obviously these margins have improved over this quarter primarily because of very low cost of procurement in some of the quarters and the high -cost gas has taken off from our portfolio, and we got better margins.
Now this should be in the range of s ay INR 9 to INR 11 EBITDA per SCM. However, again, we have to balance it out with the volume growth, which we are targeting the competitive prices of the alternate fuel.
And thirdly, the whatever margins we want to keep it in what range. So obviously, some corrections will happen either in terms of launching certain schemes to get attract more volume or to maybe address the issue related to the pricing of CNG and PNG in respect to get the margins in order.

Sameer Deshpande: Overall, for the year, you say th at we will be having a INR 9 to INR 11 as…
Management : That is the normal range. Since 8 to 10 years, if you see, we have been operating in a similar range, INR 9 to INR 11. But we expect the similar range to continue in future also unless something drasti cally changes.
Sameer Deshpande: Okay. Because in this quarter we had significantly higher, INR 16. So maybe going forward, they are likely to come down.
Management : No, no. As I said, again said, there are three things which are important for margin. One is the volume growth we are looking at. Second is the competitive alternate fuel prices. Third, the range of margins which we want to keep. So , all these three put together, we will take a decision on what are the correct margins. But typically, we keep it in the range of INR 9 to INR 11.
Sameer Deshpande: Okay. So overall we expect this year to be a significantly better year compared to the last year concerning the Q1?
Management: Q1-on-Q1, we are much better Last Q1 was INR 9, Q4 was INR 12.8, and this ti me it is INR 16.8. So it is much improved than the Q1 of '22 - '23. But again, as I explained, we will take some correction.
Sameer Deshpande: Going forward, in the next nine months, there will be some averaging going on and all this thing. Things will be good for the gas sector because last year we faced lot of issue because of our sourcing, etcetera. So now all those things are behind us and the overall competitive intensity and all those things, and we also have a low base for the last year.
Management : Absolutely. See, the prices last year went, shooted out of the roof for spot LNG. There were lot of uncertainty related to the war which is going on and the winters which were there in the Europe. So all that has contributed to lot

of uncertainty and volat ility in the prices of LNG.
Going forward, we expect this year to be much more stable. And hopefully, we have seen the worst. Now things should improve in terms of more stability in LNG prices. But having said that, companies are also more pragmatic now in terms of having a more balanced portfolio in terms of having more linked or term contracts related to Henry Hub, Brent, things like that, so that the dependence on spot is minimized.
So that is one learning which we have also done. And the results of whic h can be seen in the Q1 results of this year, the cost of procurement has come down, and that has already resulted into high margins, EBITDA margins for the company.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for the day. I now hand the conference over to the management for the closing comments.
Management : Thank you so much for all the investors and for joining on for the earnings call. We expect that you people will be supporting us in future as well and we expect that the confidence will be maintained in the company. Thank you so much for joining in. And I'm very pleased to share that there have been some improvement in the margins, and we are taking actions to improve

the growth numbers also for vol ume. Other thing is also in terms of strategical initiatives also the company is contemplating about several initiatives which will be rolled out in near future.

Thank you so much.
Management: If anybody has been able to not ask some questions, get back to us. We'll surely come back to you. Thank you.
Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited for improving rea dability)

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An ISO 9001, 14001 & 45001 Certified Company

Ref: MGL/CS/SE/ 2023/ 504 Date: November 03, 202 3

To,

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Dalal Street,
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Scrip Code/Symbol: 539957; MGL Head, Listing Compliance Department
National Stock Exchange of India Ltd
Exchange Plaza, Bandra –Kurla Complex,
Bandra (East),
Mumbai - 400051
Script Symbol : MGL

Sub: Transcript o f Earnings Conference Call on Unaudited Financial Results for the quarter and half year ended 30th September 2023

Dear Sir/ Madam,

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call on Una udited Financial Results for the quarter and half year ended 30th September 2023 held on 30th October 2023 .

The transcript of the Earnings Conference Call uploaded on the website of the Company can be accessed through the web link:
https://www.mahanagargas.com:3000/Mahanagar%20Gas%20Q2FY24%20Earnings%20Call%20Transcript_Final.pdf

The Earnings Conference Call was attended by following attendees on behalf of the Company:

Name of Management Attendees Designation
Mr. Ashu Shinghal Managing Director
Mr. Sanjay Shende Deputy Managing Director
Mr. Rajesh Patel Chief Financial Officer
Mr. Rajesh Wagle Senior Vice President, Marketing
Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the call.
We request you to take the above information on your records.
Thanking You

Yours faithfully,

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: As above

Mahanagar Gas Limited
Q2 FY24 Earnings Conference Call

October 30, 2023

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR
MR. SANJAY SHENDE – DEPUTY MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE – SENIOR VICE PRESIDENT ,
MARKETING
MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator: Ladies and gentlemen good day and welcome to Mahanagar Gas Limited Q2 FY2 4 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.
As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assis tance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited . Thank you and over to you sir.
Nitin Tiwari : Thank s Rico . Good evening ladies and gentlemen . On behalf of PhillipCapital (India) Limited , I welcome everyone to Mahana gar Gas Limited 's 2nd Quarter Earnings Call .
We have the pleasure of having with us the senior management team of M ahanagar Gas Limited , represented by Mr. Ashu Shinghal – Managing Director, Mr. Sanjay Sh ende – Deputy Managing Director , Mr. Rajesh Patel – Chief Financial Officer and Mr. Raj esh Wagle – Senior Vice President (Marketing).
I shall now hand over the floor to the Management for their remarks which shall be followed by the Q &A session . Over to you Runjhun .
Runjhun Jain : Thank you Nitin . Welcome to the participants in this call.
Before we begin , I would like to mention that some of the statements made in today's discussion may be forward looking in nature and we believe that the expectation s contain ed in the statements are reasonable. However , these statements involve a number of risks and uncert ainties that may lead to different results. The risk s related to these statements are included but not limited to fluctuation s of sales volume , foreign exchange at the cost of ability to manage growth. I urge you to consider the quarterly numbers a re not a reflection of long -term trends or indication of full year results. They should not be attempted to be extrapolated or interpolated into a full year number.
With this that said I will now hand over the call to management. Thank you, sir .
Management: Good afternoon and welcome to the earnings call of Ma hanagar Gas Limited for the 2nd Quarter of the Financial Year 23 -24. I would like to thank all of you for attending our earnings call today.
During the quarter, gas prices linked to different indices as well as spot LNG have remained stable. HP HT gas ceiling price has reduced with effect from October 23 from $12.12 to $9.96 per MMBT U. Stable gas prices and availability of APM plus HPH T gas for CNG and PNG , available to domestic PNG , available to C GDs on priority will help offering competitive price compared to alternate fuel prices and accordingly MGL has reduced prices of CNG by R s. 3 per kg from 79 to 76 per kg and domestic PNG price by Rs. 2 per SCM , that is from Rs . 49 to 47

per SCM . Currently, CNG off ers attractive savings of more than 50% compared to petrol and almost 20% compared to diesel prices in Mumbai .
MGL continues to create CGD infrastructure across its licensed areas. During the quarter , 43,051 domestic households were connected and thus , we have established connectivity for nearly 2.25 million households. We have also laid 40.31 kilometers of s teel and PE pipelines thereby taking the aggregated length of pipelines to over 6 ,653 km. We have added 7 CNG stations and with this we have 319 CNG s tations as on 30th September 2023. We also have added 120 industrial

and commercial customers during this quarter and thus as on 30th September we have 4 ,639 industrial and commercial customers. In respect to our Raiga d GA, we have connected 70,654 domestic households and 32 CNG stations are currently operational. During this quarter , we laid 3.75 k m of pipeline in

R aigad GA, taking the total length to 393 km. This expansion of our pipeline network has created a very good ecosystem for CNG and PNG in R aigad. The first CGS and first mother filling station in Sa vroli in GA3 has also been commissioned and this will now enable expeditious unlocking of demand in Raigad.

During the quarter, MGL has commissioned its LNG station in Savroli and LNG sales to B 2B customers has commenced during this quarter . Coming to MGL ’s operation ; during the quarter , we achieved overall average sales volume of 3.5 75 MMSCMD as against 3.4 12 MMSCMD in the last quarter which is an increase of 4.1%. Current quarter volume consists of CNG volumes of 3.58 3 MMSCMD , domestic PNG of 0.491 MMSCMD and 0 .501 of gas was supplied to industrial and commercial. Compared to the previous qua rter, there is an increase in sales volume in the CNG which has increased from 2.48 1 to 2.58 3 MMSCMD , that is an increase of 4.1%. In case of industry and commercial , sales volume has increased from 0.435 MMSCMD to 0.501, an increase of 15% whereas sales for domestic PNG has marginally decreased from 0.496 to 0.491 MMSCMD which is a decrease of 0.9%.

Overall gas sales for H 1 of the current financial year compared to the corresponding H 1 of the last financial year has increased to 3.4 94 from 3.45 3 MMSCMD , that is an increase of 1.2%. H 1 volume consists of CNG volume of 2.5 32, domestic PNG of 0.493 and 0.468 MMSCMD of gas to industry and commercial segment. Current quarter EBITDA is R s. 479 crores compared to previous quarter EBITDA of 521 crores . Net profit after tax is 338 crores for this quarter as compared to 368 crores in the last quarter. Current half yearly EBITDA is R s. 1,000 crore s compared to previous year half yearly EBITDA of 538 crore s. Net PAT is Rs. 707 crore s for this half yearly result as compared to 349 crore s in the H 1 of last year.

We would like to further touch upon EV policy which is a major development in Delhi region. Government of NCT, that is National Capital Territory of Delhi has approved th e scheme of motor vehicle aggregators and delivery service providers 2023 subject to approval of Delhi Governor's office. The scheme is for licensing and regulation of MVA providing passengers transport service and DSP for delivery service of goods and com modities , including last mile connectivity in NCT of Delhi. The Delhi mandates switch to EV from existing conventional

vehicles. In case of three wheelers, switch to EV mandated on net new onboarded vehicles is from 10% to 100% in a span of 6 months to 4 years. In case of four wheelers , passengers and good vehicles, switch to EV mandated on the net new onboarded vehicles is from 5% gradually to 100% next 5 years . The aggregator shall switch to an all-electric fleet by 1st of April 2030. Whereas the primary objective of Maharashtra Draft EV Policy 2021 is to accelerate adoption of EV in the state so that they contribute to 10% of new vehicle registration by 2025. For urban areas including Mumbai, targeted EV adoption by 2025 i s 25% for public transport and last mile delivery. In our view, the drivers for EV adoption in NCT of Delhi vis-a-vis Mumbai are not one to one comparable which can be seen from past policy on adoption of CNG for both these regions.

During the month, MGL has signed a joint venture agreement with Ba idyanath LNG Private Limited for incorporating a joint venture company for undertaking the business of selling LNG (Liquefied Natural Gas) as fuel to LNG vehicles. We continue our initiative in the area of Enviro nment Safety and CSR. MGL has been awarded the National Award for Excellence in CSR and Sustainability by showcasing its interventions in the category of Best Overall Excellence in corporate social responsibility practices implemented through our partners , NGOs. With this, I conclude and would

now like to open the floor for the questions. Thank you very much.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities .

Probal Sen : I have three questions. Firstly, you mentioned about, of course the major discussion point which is the EV policy. Just to get a little bit more clarity the Maharashtra Draft EV policy advocates 10% of new registrations by 2025 and 25% of EV conversion for public transport and delivery services. Is my understanding correct?

Management: Yes, that is right. 10% of new vehicles by 2025 and for public it is 25% by 2025. That was draft in 2021.

Probal Sen: Has anything moved on adopting or implementation of this policy as of date ?

Management: The policy had mandated 4-5 things , all with the deadl ine of 2025. There was only one thing with a deadline of 2022 which the government could not achieve. So they deferred it. The only deliverable on 2022 was that all government vehicles in Mantralaya and government offices et c. have to be EV , but they were not successful in doing , so they deferred that one provision of the EV. All the other asks are due only in 2025.

Probal Sen: Secondly , with respect to the volume growth obviously the overall H1 growth has been impacted by the fact that Q1 had a fairl y low volume growth . This quarter I believe MD sir mentioned about roughly around 4% YOY growth . Now I know you don't like to do this on a quarterly basis

but based on the H1 numbers , can we draw some sense of where we stand with respect to our overall gui dance? We have consistently guided to somewhere around 5% to 6% growth targets on an annualized basis for our volumes. But does FY24 look a little bit at risk given what H1 performance has been from a volume perspective?

Management: Well, the volume hit w hich we took in the last 2 years mainly on account of pricing of CNG , pricing for our cost of gas which we got etc . that tide has turned. And what degrowth or zero growth which we are showing that in Q 2 we have shown that , yes now we are again back on the track of growth, but we still not have hit that 6% kind of a number yet because you're still seeing in the CNG segment for example , commercial vehicle growth still has not taken up. Maybe the transporters are waiting for a little more time or maybe once so me mindset is set in sometimes it takes a bit of time to reverse it. It is only 6 months back that we started dropping the prices of CNG and it is only since 1 or 2 months now that we have partnered aggressively with the OE s to promote these vehicles. So, the impact will come slowly, and I won't say we are there right now but , yes, the trend is positive and all other things being equal we are hoping to hit that rate maybe in two three quarters.

Probal Sen: One last question if I may , if you can indulge me. The LNG sales JV with Ba idyanath. Can we get some understanding of how the revenue partnership would work , how the earnings model would work for this JV?

Management: It's a 51 :49 JV with Ba idyanath LNG . So, it's an incorporated joint venture company and the same proportion of profit sharing will be done as per the equity holding.

Moderator: Our next question is from the line of Yogesh Pat i from Dolat Capital.

Yogesh Pati: The recently announced Delhi EV Policy Extension has also impacted Mahanagar Gas s tock price. So , the question is how many Ola -Uber tax is are running on the roads inside 3 GAs of Mahanagar Gas and h ow much CNG do they consume on a daily basis? Can you give us some idea on that side?

Management: That number we can only guess because Ola -Uber themselves say that they have difficulty because the driver partners , they have downloaded both the apps. Sometimes they're sitting here sometimes they're sitting ther

e. So , saying how many does Ola have , how many Ubers has is difficult. B ut what best guess we have is that maybe about 50 ,000-55,000 of them may be plying on the roads in our GAs on any given day. And their per capita consumption would be about 7 or 8 kgs. So , whatever the resultant number is about 3.5-4 lakh kgs out of the to tal 19 -20 lakh kgs we sell is from there.

Yogesh Pati: Could you please share the CNG volume consumption breakup of each category of vehicle , like the BEST buses , three wheelers , four wheelers , private car s, four-wheeler taxis ? Just wanted a rough breakup from your side on each category.

Management: Again , to answer that let me start with the caveat. We do not have data at that level of granularity because we don't get to capture and store sales at the dispenser for each vehicle against each category and stuff like that. So , whatever again best estimates we have on the basis of a few surveys that you have done, or some other secondary data is what I can share with you. There are about 4.4 lakh private passenger cars running on CNG and our estimate is they take about 30% of the roughly 19 .5 to 20 lakh kgs per day of CNG which is sold. There are about 3.9 lakh autori ckshaw s which ply and buyer estimates , their contribution is about 30% or so. The cabs and aggregators as I told you , it will be about 4 lakhs out of —when I say cabs and aggregators it is predominan tly—this overall law because the black and yellow fleet has really shrunk and not many of them are actually operating on the roads. If you look at the buses of the state transport undertakings B EST, MSRTC , NMMT etc ., they represent about 7% of our volumes. They take roughly about 1.4 lakh kgs a day. The remaining is shared between basically commercial good segments small , medium , large etc. Please take i t with a pinch of salt because these are not very accurately measurable.

Yogesh Pati: So, how many CNG ve hicles added during the quarter second FY24 and out of that how many

of them are LCVs and CV s?
Management: Roughly 19 ,900 CNG vehicles are added during the quarter. You are saying out of that how many LCVs ? SCV -LCV is around 1300.
Yogesh Pati: So, frankly speaking this number has , we have seen a jump. So, last quarter you have said close to 15 ,000 per quarter kind of CNG vehicle addition. Now it has gone up to the 19,000-20,000- level . So, have you seen the same kind of a jump in the LCVs, CV side?
Management: I think there is an increase of around 100-150 LCVs.
Management: Overall , the m ajority of the increase would have come from the passenger car segment where since the first -second week of September we started running these incentive schemes th ere. And the CNG volume has increased from 2.481 MMSCMD to 2.58 3 MMSCMD . That is a jump of more than 4% Q1 this year versus Q 2, primarily because of the number of additional vehicles which are running , addition.
Moderator: Our next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika : Two questions from my side. First is we have seen that you cut the prices and there's been some sort of like volume growth which has happened. So , is the Mumbai market showing some sort of good price elasticity in terms of CNG demand in particular ?
Management: Price elasticity for a Rs. 3 change is really difficult to measure. But what we are trying to do is we are trying to reverse the sentiment in the market when in a span of 2 years CNG went up from Rs . 49 a kg to Rs . 89 a kg. And since the last 8 months or so whenever we have got the

opportunity, we are trying to reverse that trend. So , we did a small drop in February , then in April etc. So , this time I think we got an opportunity when our gas cost decreased because of the reduction in the H

PH T price cap and our margins anyway were the healthiest ever in Q1. So, basically , to move consumer sentiment and to encourage adoption of more CNG we dropped that price by R s. 3.
Sabri Ha zarika: With this recent price cut to 76 , are we at a 10 -11 sort of EBITDA per S CM, any idea on that?
Management: Some savings have come due to the reduction in HPHT ceiling from 12.12 to 9.96. Also , consistently we are getting HPHT gas for our balance requirement for priority sector over and above APM availability. APM availability has been constant. So, we feel that very little dependence , if at all , on spot will be there for CNG as well as domestic PNG . HPHT capped at 9.96 and APM available at 6.5 , I think gas cost will remain very stable at least till this year end unless something happens on the foreign exchange side. In view of that we can say that yes , our margin will remain and on annual basis as earlier we have been guiding Rs. 10 to 12 is an achievable target. This year it could be little higher than that having already achieved in the first half almost 14 .5 EBITDA per SCM .
Moderator: Our next question is from the line of S Ramesh from Nirmal Bang Equities.
S. Ramesh: If you were to go back to this question about the concern on the EV penetration , I know we are all possibly groping in the realm of what could happen in the future. But when you look at your overall target of 6% growth if you take FY25 -26, is a 6% volume growth achievable even if you see some progress in the EV conversion in your GAs, how do you see that?
Management: Yes, the policies have been announced earlier also and now also some targets have been announced in NCR. So , one that the overall volumes are growing because of CNG conversions also, new vehicles are being added. We are l aunching new schemes to get more conversions. So , the impact of that will also come and there is a scope of market to grow for all the segments because overall the health of roads are getting better in highways and other connected areas where the floating population of heavy commercial vehicles are also expected to pick up in next few years. So, having said that the impact of EV is not likely to be very significant as far as our analysis goes . Yes, it will have an impact after 7-8 years or so when actual co nversions of EVs take place. But there again the scope in existing vehicles which are running on diesel to get converted into CNG is also going to happen pretty fast in next 3-4 years ' time. So , our volumes are not actually in total danger. Maybe it will get impacted if very aggressive conversion happens. But we expect that 5% to 6% growth of volumes to continue for next 5 to 6 years of time.
S. Ramesh: And second thing is the recovery in the industrial and commercial segment. Is it something which we can expect to continue for the next two quarters and the next couple of years? Is there a sustainable recovery there?

Management: If you look at a quarter -on-quarter basis , the number looks high about 14 %-15% or something. But there is a reason for that. Q1 o ur industrial volumes are really actually low. They were lower than previous year also. The main reason for that was 2-3 of our largest consumers happened to take a maintenance shutdown in that quarter which impacted our volumes. Now that depressed the base and in Q 2 we had upside in about 15 ,000-16,000 SCMD from one existing customer who was using liquid fuel whom we could persuade to switch to gas for the remaining requirement also. If you look at H1 versus H1 , the increase is normal 5%-6%. Having said that I&C growth in the next 1 or 2 years you may see slightly higher than what we had been doing in the past. This is main ly because we have tweaked our contracts. We have made them more user friendly. We have done away with elements like 'Take or Pay ' etc. We have given

a lot of
flexibility to customers. We are also giving them a kind of 3-year 10% discount guarantee for new customers who are using a good amount of gas. Because of all these changes we have signed up more than a lakh SCMD worth of contracts which we will be connecting and commencing gas supply over the next few quarters. There will be an uptick in the I&C segm ent. Later, with pipeline reaching few more areas in R aigard, Raigard also industrial volumes will start contributing.

S. Ramesh: So, if you were to just summarize your existing GAs in Raigard, just a clarification you gave some numbers in terms of infras tructure addition. So , the 319 CNG and the 32 CNG stations are they separate numbers, or should we read the 319 including the 32?

Management: 319 including 32.

S. Ramesh: And secondly this 6% growth will include the ramp up in the volumes in R aigard also, right?

Management: Yes.

Moderator: The next question is from the line of Varatharajan Sivas ankaran from Antique Limited.

V. Sivasankaran: Just wanted to understand on the commercial vehicle front , what is the promotional scheme which we are running as of now?

Management: We have basically segmented the commercial vehicle market into categories depending on the gross vehicle weight. For vehicles which are more than 3.5 tons weight up to about 10 tons, we are giving a fuel card - CNG fuel card worth about Rs. 2 lakh. Then if the gross vehicle weight is between 10 and 15 , we are giving 3.5. If it is more than 15 , we are giving 5. Now this card can be used to buy CNG from our 319 stations and since the per capita consumption of these vehicles is large , the higher the tonnage the more kgs per day they take every day for their runs , we have calculated that we get an attractive payback. So , initially some 1 or 2 years of sales promotion expenses will result in volume addition in the longer run and the oth er main condition is these vehicles need to be registered in RTOs inside MGL's GAs, so it's not the case that some vehicle from Karnataka , Gujarat or Delhi comes here and takes that incentive and goes because

whoever takes it has to fill it from a CNG stat ion inside MGL's G A. That is the limitation we put on the card.

V. Sivasankaran: So, this is a blanket scheme for all the existing vehicles as well or is it only for the new vehicles which are g etting register ed?

Management: It's only for new vehicles .

Management: For commercial goods vehicles there are about (+20) models in the market. I think we are doing incentives with almost all and in the passenger car vehicles also we are doing giving incentives worth 19 ,999. This we are only giving to select model s of the top OE s because in CNG there are some very high selling models which have a wait time of 3 months , 4 months et c. So, they are anyway selling so there's no need to incentivize them. So , we sat down together with four of the top OE s of passenger veh icles and we have identified which models we are going to promote, and the models were selected on the basis that their base sale is not really good but given a nudge the potential for sales was high. So, out of the 12 models of Maruti which are on CNG , out of the 14 total models we have identified with them 7 models in which are in incentive , Hyundai we identified a couple and with the other OE s also Tata and Mahindra we are doing something .

V. Sivasankaran: When were these schemes started?

Management: It started progressively from about 7th or 8th of September , till the last one we signed up was probably in the last week of September.

V. Sivasankaran: How are you publicizing these things? How does it reach the intend ed target customers?

Management: There are joint advertisements by us and the OEMs like Maruti is putting a joint advertisement with MGL or Ashok Le yland is putting a joint advert

isement with us, and they are advertising
like that . Also, at the point of s ale at the dealer's location also wide publicity is being given to them. As far as the retrofitment is concerned , all the retrofitters are taking sufficient measures to publicize it. In fact, the better way for the CV is to have the potential customer meet which Ashok Le yland and others have lined up and already done. We have done close to around 3 to 4 customer meets in which the potential fleet owners are being invited to talk directly with the

OEM as well as with MGL officials.
V. Sivasankaran: Just curious about this fact that you are also incentivizing retrofitting fitment. Given the fact that there is wide variety of OEM vehicles available , is there any real requirement to address your retrofitment market?
Management: We feel that retrofitment will add vehicles because this market was almost coming to a standstill and with our scheme it has has come to life again . And what we have done this time is that we have gone through the retrofitme nt route through the kit manufacturer or a distributor rather than

going to the retrofitter directly , so that the quality is maintained at the same time when the retrofitment is being done .
Management: These vehicles will add on to the new sale s. So, retro fit is always an add on to the existing OE models available and there's an option which is now available for existing vehicle owners to shift to CNG given the environmental benefits and cheaper cost of running.
Management: As you know that beyond a certain number of years the diesel vehicles are not allowed. So , it is a win-win for the vehicle owner also that his life of the vehicle to ply within MMR region gets extended by 7 years.
Moderator: Our next question is from the line of M aulik Patel from Equir us.
Maulik Patel: A few questions , one, can you just give the supply breakup and what's currently the cost of LNG what was there in Q 2? How much of the APM you received and other long term or medium - term LNG contract you have?
Management: Currently if you look at our contracts , APM we are getting around 2.7 MMSCMD and around 0.8 MMSCMD is through various term contracts including Henry Hub , term contract and HPH T.
Maulik Patel: Hardly any spot LNG purchase you have ?
Management: Very negligible spot LNG. But let's say if spot is cheaper than any of these term contracts then we do have some ram p down in the existing term contracts. To that extent we substitute spot for these term contracts if it is advantageous in terms of lower pr ices of spot. So, last two quarters at times we have added spot whenever it was cheaper than either Henry H ub or cheaper than HPH T.
Maulik Patel: And in the last con -call you mentioned about that Rich gas which you g uided which essentially led to the lowe r MMSCM volume and in the last con call you gave the number of around 184 million kg was the number for CNG. What was the corresponding number for this quarter?
Management: CNG in terms of kg is 1.897 million kgs per day for Q 2.
Management: Q1 was 1.8 38 million kgs per day.
Moderator: Our next question is from the line of Niharika from Aequitas Investments.
Niharika: My question is regarding the Unison acquisition. So , any update on that as we are already end of October?

Management: Yes, the update i s the term , the 5-year lock in has expired on 25th of September. So , Unison has applied to the regulator. Now the board meeting is yet to be h eld for the PNGRB. So , they will put up the proposal and once the proposal is cleared , so we expect that in the mo nth of November we should get the clearance from regulator and thereafter we will get the acquisition.
Niharika: So, numbers should start flowing in our book from probably the last quarter of

this financial year.
Management: Probably Q3, y es. If it happe ns in November Q3 of this year.
Niharika: And my next question is that we have reduced our prices by R s. 3 in CNG and Rs . 2 by PNG and HPHT got reduced from 12 to 9. So, have we passed on the full benefit or is it more than the benefit that we have passed on?
Management: As we said earlier , I think it is little more than the benefit of HPH T itself.
Management: The numbers can be seen from EBITDA per SCM also, our EBITDA per SCM has slightly come down from last quarter. So , what we are also focusing at is to increase the volumes and therefore we have reduced the prices slightly higher than what the benefit we were getting in the procurement cost.
Niharika: And how much HPHT have you procured in Q 2?
Management: Q2 HPH T was around 0.3 MMSCMD , roughly 0. 28.
Niharika: And on the card scheme which you just mentioned so how are we expensing the card expense? So, as soon as we issue is it coming in our P &L or is it like deferred whenever the card is swiped?
Management: No, it will be based on the utilization by the person. So , if you are getting a card and you are filling the gas you will get a statement from the bank for card utilization based on that it will be expensed out. However , it can be done on an estimated basis as well . So, since we have just

launched it in the end of Q 2 we will wait and see. Both options are available with us.
Niharika: So, there'll be a slight jump in the sales promotion expense ?
Management: There will be jump in the sales promotion expenses , yes.
Niharika: And my last question is that I read an article which said that some 10 ,000 EV buses are going to get incorporated in Mumbai. Do you have any idea or any update on that front? Is BEST or any other bus player is getting very aggressive on the EV fro nt?

Management: On the contrary we heard that whatever commitment B EST had from the supplier that itself is not getting fulfilled. So , I don't know we are not ….
Management: Total b uses running are hardly how much , 3000?
Management: They have 480 EV buses , in the last one year they have not managed to get more than 10 or 20 buses. And there was also a news report today or yesterday the Honorable Petroleum Minister , I think in some conference had made a statement saying that the government is coming up with giving a subsidy for some 10 ,000 odd buses across the country. But that subsidy will only go to smaller cities and towns not to the metros because whatever subsidies they have got for the metros and that metros have taken. So , the next tranche this i s a public announcement which had been made is going to smaller towns and cities.
Management: EV adoption of buses in Mumbai will be a slightly challenging job because of space constraint in Mumbai also . Right now , the charging happens at night and the bu ses run during the daytime. The range of electric vehicle buses is much lower as compared to CNG. Therefore , the chaff er having the same equal of movement of buses they will require higher number of buses. Storage of that buses will not be available in Mumbai -like city. So, that is another issue then. Then charging point is another. Third is the availability of buses. Fourth is the cost which is much higher. C APEX is required for procurement of electric vehicles. The supply side is still a constraint. So , we expect these issues to be addressed then only the penetration of electric vehicles especially in a city like Mumbai wil l have made any significant impact.
Management: Just to tell you , in Mumbai today the B EST is operating their lowest number of buses in their history. And that's how the queuing time at a bus stop is 45 minutes. So , it is primarily maybe because of their dependence or their calculation of getting EV that they have not received so far. In fac

t , if you have read the newspapers about a recent development in Pune , they are now switching back to CNG , PMPR.
Management: Even MSRTC is adding up more buses to CNG from their diesel fleet to CNG convergence are happening month on month basis.
Management: This quarter we have MSRTC -NMMT put together around 80 odd buses added in Quarter 2 and BEST 80 buses have come on CNG this quarter , Q2.
Moderator: Our next question is from the line of Vikas Jain from CLSA.
Vikas Jain: Firstly , thanks a lot. I think after our feedback last time you have given the million kg number in the footnote for 1Q and 2Q. Could you give me the comparable numbers for the quarter of 1Q FY23 and 2Q FY23 as well? That's the first one. And the second question is on a Q OQ basis the decline that we see in gross margin , what could be the broad reason for that? Because the price cut that we are talking about is something that has happened only in October. So , from that

perspective why do we see this decline? Any particular reason for that? So, those are my two questions.
Management: First, I'll address the question of gross margin r eduction. So , first quarter the prices were higher for around 7-8 days. That also gives some little upside . In case of Q 2, we have been aggressive with respect to I&C marketing and the volume push with good amount of discount to the new customer and custom ers with higher load. So, that is where our I&C margin compared to Q1 are lower and marginally there is an increase in gas cost maybe in the range of 30 -40 pa ise compared to Q1 . And sometimes within CNG also the proportion of realization changes depending on the mix of sale through our own outlet , sale through OMC outlet , sale through private outlet. So, sometimes margins in CNG keeps on changing depending on the mix of the outlet. These are the 2-3 reasons where you can see that around a little l ess than Rs . 2 is the reduction in gross margin compared to Q1 of this year.
Management: The second part of your sales volume CNG is around 1.80 million kg per day for financial year 2022-23. For H1 -H1 comparison it is 1.82 million kg per day for 2022 -23 half year and this year it is 1.87 million kg per day for H1 2023-24.
Moderator: Our next question is from the line of Amit Rustagi from UBS.
Amit Rustagi: If we have to grow our volumes from here maybe let's take 0.2 or 0.3 MMCMD , where do you

think tha t additional gas will come from? Do we have additional domestic sources like HPH T available to us or we have to move to spot LNG if we have to see a volume growth now?
Management: The gas is available in ample quantity. As much as we want , we can take it . First that APM is allocated for PNG and CNG which maybe can slightly go down. But HPHT is available in sufficient quantity and spot also is at a very reasonable rate as of now. So , the gas is available HPH T or spot we take a call primarily HPH T is anyway available . And more or less our dependence on spot has reduced since last year or so primarily because we have gone for more term contracts. So , we find that gas at reasonable cost will be sourced in the coming few quarters or next few years.
Management: As you are aware that we also expect that Reliance and ONGC will also come out with fresh bidding for HPHT .
Management: HPHT b idding for November I think 20 -21 around 4 million .
Management: And from February onward this year the first priority i s given to CGD for HPHT sales .
Amit Rustagi: So, we are looking to bid some gas in this upcoming bidding to ensure that we get sufficient volumes at a good price because spot is r eally around $18 right now , APC currently.

Management: Yes, we will do that.
Management: We will evaluate, and we may go for some more term contracts depending o

n the volume of ftake
which is expected to increase in next few quarters.
Amit Rustagi: And lastly on the propane pricing. Now propane prices have gone up in the third quarter. So , are we seeing some industrial volume returning back to us?
Management: There are hardly any propane customers in our geography. Most of them have long back shifted to natural gas from propane. So , we hardly have any propane customer.
Management: Most of our customers were using F O, LFHS, LDO etc.
Moderator: Our next question is from the line of Kirtan Mehta from B OB Capital Markets.
Kirtan Mehta: Would you be able to give us some color on the volume growth between G A-1 and G A-2, particularly in terms of the CNG volume pickup that we are seeing?
Management: GA-1 and GA -2 are actually seamless , attributing CNG volume in GA-1 and GA-2 because vehicles go all the time from M ulund to Thane, Thane to M ulund, Chembur to Vashi, Dahisar to Mira Road. So , for purpose of analysis, we usually club GA-1, GA -2 as one unit.
Management: GA wise r econciliation of CNG is not possible because as Rajesh explained , vehicles are moving all around the GA-1 and 2.
Kirtan Mehta: Understood. What is the ac tual CAPEX run rate that we have done in the H1 and what would be our target for the entire year ?
Management: We have done around 300 crores in H1, and we expect anywhere between 700 to 800 crore s. If most of the plant activities permissions or pipeline laying as well as availability of plot is there , we can go up to even 900 to 1000 crore s.
Management: This is excluding the Unison acquisition.
Management: Yes. Usually our H1 is lower because of the season starts somewhere around October - Novem ber so H2 is always higher CAPEX .
Kirtan Mehta: One more , in terms of the employee cost run rate we are seeing bit of a pickup this quarter. So , what would be sort of the annual guidance on the employee cost.
Management: This increases mainly on account of new employee numbers getting added. I think most of it has been done. Some could be because of some incentive schemes etc. So, it should be now onwards normal quarter -on-quarter basis .

Moderator: Our next question is fr om the line of Yogesh Patil from Dola t Capital.
Yogesh Pati: During Q 2 we have seen a jump in other expenses. Is this because of increase in marketing cost or any specific reason or any one -off?
Management: No, marketing cost is there but it is not so hi gh. Nominal increase is there in the marketing cost. With increase in the volume , there is an increase in the linked costs like transportation power and fuel etc. Also , there is an increase in case of repair maintenance etc. Apart from that , on overhead si de, we were running our strategy exercise. So , there was an increase in the consultancy expenses and as outcome of strategy also we have taken up lot of digitization and other initiatives. That is where O PEX has gone up. You will see some increase in O PEX towards this year Q2 and Q 3 on account of marketing , once the CNG numbers click in.
Management: Our next question is from the line of Manikant ha Garre from Franklin Templeton India.
Manikantha Garre: Just wanted to understand on this partnership with OE s that you have done . How long will this partnership continue? Is there any limit on number of vehicles you want to give this incentive?

That's first question and what would be the contribution of the OEMs towards the fuel costs that you are offering? That's the second question.
Management: As regards the tenure , initially we are looking at the festive season. If the schemes work and they succeed , we see no reason to discontinue them because more volumes come in , more vehicles come in the y are going to be with us for 10 -15 years. As regards what contribution the OEs making , I'll give an example of Maruti for t

he 7 vehicle models which we are incentivizing ,
Maruti is also chipping in with discounts and benefits ranging between Rs. 15,000 to Rs. 60,000 against our 20 ,000.
Manikantha Garre: So, this 20 ,000 for PVs and 2 lakhs to 5 lakhs that you have mentioned for CV s, there is a contribution from OEs included in that is what you're mentioning ?
Management: In the passenger car segment yes, it is there. This is over and above what MGL is giving.
Management: For p assenger vehicle OE contribution is over and above MGL's contribution of 20 ,000 in the range of 30 ,000 to 50 ,000 from OE side in some of the passenger vehicles.
Management: And the commercial vehicles the offering from the OE s is more in terms of extended warranty and those kind of things. It's not upfront financial benefit is not on the table.
Manikantha Garre: And just one last question , here if you decide on continuing this schem e for long and if it gets successful this season , I was just wondering would that have some downward pressure on the unit EBITDA margins for you going forward? Have you worked on that numbers?

Management: It's not very significant because whenever we laun ch these schemes it takes some time for it to pick up. And the numbers , in overall expenditure , is not very heavy to make any significant impact on EBITDA.
Management: And the additional volumes which we'll gather through all these schemes , they will more than take care of any small reduction in EBITDA over SCM and for the short term .
Moderator: Our next question is from the line of Varatharajan Sivasankara n from Antique Limited.
V. Sivasankaran: In terms of upgradation of outlets , you used to give a number. What is the kind of numbers we had last quarter and maybe in the first half also if you can give us the overall number ? This quarter as well as the previous quarter .
Management: I think they are not much , maybe around 7-8 statio ns have been added . Upgradations are more.
V. Sivasankaran: My second question was on the availability of high-pressure high temperature gas. Is it still available in IGX as and when you want can you access it?
Management: Yes, HPHT is available in IGX. A s far as upgradation is concerned , I don't have quarter wise number but in H1 we have upgraded 16 CNG outlets. I don't have Q1 and Q 2 breakup but 16 outlet s.
Moderator: Our next question is from the line of Devang Patel from Sam eeksha Capital.
Devang Pat el: Very briefly just wanted to understand the new scheme for incentivizing CV s. How long are you planning to offer this?
Management: I think we just answered it sometime back. We are definitely offering this for the festive season and depending on what r esponse we see and what we get , it's beneficial for all we can continue it.
Moderator: Our next question is from the line of Saurabh Handa from Citi Group.
Saurabh Handa: I had two questions. Firstly , on the volumes of HPH T that you said were 0.28. So, we assume out of this 0.2 MMSC MD, the contracted portion that goes for industrial commercial use and the balance is what you use for the priority sector ?
Management: Completely this is for priority sector. 0.28 is for priority sector. HPH T procured on priority basis for CGD is not allowed to be used industrial commercial. Our industrial commercial is catered through Henry Hub term contract and there is another term contract linked to Brent through Reliance. That is more than su fficient for our I&C requirement.

Saurabh Handa: So, your old Reliance contract of 0.1 is not included in this 0.28?
Management: No. 0.28 includes 0.2 term contract and balance we have got through IGX , HPH T bidding regularly.
Saurabh Handa: So, the 0.1 MMSCMD of Reliance Gas is over and above this?
Management: Yes.
Saurabh Handa

: Just another question. Given that you have seen a pretty meaningful pickup in CNG conversions last quarter , can you just comment on the volumes that you have been see ing this month in October , either just CNG or overall basis are we seeing a sequential pickup? Anything that you

can throw some light on?
Management: Usually there is not any material increase between Q 2 and Q 3. Q1-Q4 normally are a bit low , Q2-Q3 are a b it high. And having said that some of these , the festival season on the holidays are there , that sometimes depending on the timing of the holiday , it can have up or down on your CNG volume. So , till now if you're talking in October , there were any material significant jump we have seen , the answer is no. But we are waiting for these schemes to gain traction. Especially the commercial goods vehicles , they haven't really started coming back to their old numbers yet. The increases which we are seeing in the 19 ,000 vehicles , the Q -on-Q the 4 ,000 odd number increase is predominantly from private cars whose per capita consumption that is relatively lower. Of course, this quarter those 100 odd buses also came through. But on the small light and intermediate commerc ial goods vehicle segment , we are still way off the numbers which used to be there a couple of years back when CNG and diesel price differentiate used to be significant.
Saurabh Handa: So, you are hoping for some maybe uptake from next quarter when the fu ll benefit I think of the festive season being over and you spoke about I think 0.1 MMSCMD of new industrial contracts. Even those should start kicking in from the fourth quarter / March quarter ?
Management: The end of the construction season basically Q 4 and a bit in maybe Q1 next year.
Management: But some I mean in October as a trend we are seeing slight increases there in the volume of overall volume.
Moderator: Our next question is from the line of Darshit f rom Robo capital. in
Darshit: I just have one , rest of them are answered. You said currently for H1 of FY24 , it is 14.5 EBITDA per S CM, correct?
Management: Yes.

Darshit: And you said twelve is the number that looks sustainable , is that correct?
Management: Yes, for the longer period of time I'm saying 12 as of now it is sustainable.
Darshit: At least for the next 2-3 years as what the condition s are?
Management: Quarters, years w e can't say .
Management: 2-3 years is a very long period .
Management: 14.6 is this quarter and 15.6 is the H1 for this year. The EBITDA for SCM.
Moderator: Our next question is from the line of Mohit Me hra from Guardian Capital.
Mohit Mehra: For this industrial and consumer incentives that we are running the 10% discount , are we still making money on the incremental volumes because the gas sourcing blend would also be different. It would be a mix of spot and H PHT .
Management: I think we have clarified the I&C segments we are not feeding with spot or HPH T. They are being f ed using our term contracts. So, even with the additional 10% discount for the new large customers , we are making money on them also.
Mohit Mehra: So, even the incremental volumes that will flow , those will also be satisfied by the term contract?
Managem ent: Yes, it's like this. As we keep on aggregating volumes and the volumes increase, we will keep going for tranche of term contracts to feed them.
Mohit Mehra: And again, so the focus seems to be shifting from margins to volume and these schemes that we are running for the CNG discounts as well as for the heavy commercial vehicles , is there a floor margin that we would be comfortable with?
Management: Yes, focus has shift ed. We are not exactly shifted. We are making a balance between the margins and volumes. And what was your second question? It's not very clear.
Mohit Mehra: So, is there some floor margin

? So , let's say we would not go below say Rs . 8 per S CM, Rs. 9 per S CM whatever. Is there any such number that you could provide?
Management: We don't keep any floor margin as such in the mind. However , we do keep floor for pricing with respect to our gas cost s and some margin over that rather than keeping an absolute to this. But all that is done keeping in mind overall absolute profitability should go up. I'm saying the absolute amount of PAT we generate or EBITDA we generate should go up with the incremental volumes at a company level.

Moderator: Ladies and gentlemen, our next question is from the line of Kirtan Mehta from B OB Capital Markets.
Kirtan Mehta: I just wanted to check on the fuel savings schemes that we are offering . the fuel card that we are offering. So , in terms of how does the card work? This would be the upfront initial sort of the 2-lakh card that we are doing. Would it be immediately against the entire CNG purchase or would it be a discount on the exact numbers? How does the card actually work?
Management: So, the card is loaded by us, and the vehicle owner can go to our CNG station , fill up CNG. If

he's filled up let's say Rs . 800 worth of CNG , he swipes the card and 800 gets reduced from his card balance.

Kirtan Mehta: So, it would be s ort of the upfront loaded cost that we will take. And we'll be booking this cost into our numbers as and when the card gets swiped.

Management: Correct.

Moderator: Ladies and gentlemen that was the last question of our question -and-answer session. I would now like to hand the conference over to the management for closing comments .

Management: Thank you so much all for joining in today's earnings call and we look forward to your support in future as well and posing confidence on the compan y. Thank you so much and very Happy Diwali and Happy New Year which is going to come soon to all the investors in MG L. Thank you so much.

Moderator: Thank you . On behalf of PhillipCapital (India) Private Limited. That concludes the conference call. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for improving readability)

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An ISO 9001, 14001 & 45001 Certified Company

Ref: MGL/CS/SE/2023/521 Date: January 31, 2024

To,

Head, Listing Compliance Department BSE Limited
P. J. Towers,
Dalal Street, Mumbai - 400 001
Scrip Code/Symbol: 539957; MGL Head, Listing Compliance Department
National Stock Exchange of India Ltd
Exchange Plaza, Bandra –Kurla Complex,
Bandra (East), Mumbai - 400051 Script Symbol : MGL

Sub: Transcript of Earnings Conference Call on Unaudited Financial Results for the quarter and nine months ended 31st December 2023

Dear Sir/ Madam,

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call on Unaudited Financial Results for the quarter and nine months ended 31st December 2023 held on 24th January 2024.

The transcript of the Earnings Conference Call uploaded on the website of the Company can be accessed through the web link:
https://www.mahanagargas.com:3000/Mahanag ar%20Gas%20Q3FY24%20E arnings%20Call%20Tra nscript.pdf

The Earnings Conference Call was attended by following attendees on behalf of the Company:
Name of Management Attendees Designation
Mr. Ashu Shinghal Managing Director
Mr. Sanjay Shende Deputy Managing Director
Mr. Rajesh Patel Chief Financial Officer
Mr. Rajesh Wagle Senior Vice President, Marketing

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the call.
We request you to take the above information on your records.
Thanking You Yours faithfully,

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: As above

Mahanagar Gas L imited
Q3 FY24 Earnings Conference Call
January 24, 202 4

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR

MR. SANJAY SHENDE -- DEPUTY MANAGING DIRECTOR
MR. RAJESH PATEL -- CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE -- SENIOR VICE PRESIDENT , MARKETING

MODERATOR : MR. YOGESH PATIL -- DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome everyone to Mahanagar Gas Q3 FY'24 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance duri ng the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Patil from Dolat Capital.

Yogesh Patil: Good evening, lad ies and gentlemen. On behalf of Dolat Capital, I welcome everyone to Mahanagar Gas Limited 's Q3 FY'24 Earnings Conference Call. We have the pleasure of having with us senior management team of Mahanagar Gas Limited, represented by Mr. Ashu Shinghal , Managing Director; Mr. Sanjay Shende, Deputy Managing Director; Mr. Rajesh Patel, Chief Financial Officer; and Mr. Rajesh Wagle, Senior Vice President, Marketing. We shall begin with the remarks from the management, followed by the question -and-answer sess ion.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in the nature, and we believe that expectations contained in the statement are reasonable. However, these statements involve a numbe r of risks and uncertainties that may lead to different results.

The risks related to these statements are included , but not limited to fluctuations of sales volume, foreign exchange at the cost of ability to manage the growth. I urge you to consider that quarterly numbers are not a reflection of long -term trends or indication of full year results. This should not be attempted to be extrapolated or interpolated into a full year number. In case of any queries, please feel free to get in touch with the E&Y In vestor Relations team.

With that said, I will now hand over the call to management. Over to you, sir.

Ashu Shinghal: I'm Ashu Shinghal , MD, Mahanagar Gas, and I welcome all of you to the earnings call of Mahanagar Gas Limited for the third quarter of the f inancial year 2023 -24. I would like to thank all of you for attending our call today.

MGL continues to create CGD infrastructure across its licensed areas. During the quarter, 118,215 domestic households were connected . And thus, we have established connectivity for nearly 2.37 million households. We have laid 90 kilometers of steel and PE pipelines during the quarter, thereby taking the aggregate length to 6,742 kilometers.

We have added 1 CNG station during the quarter. And with this, we have 320 CNG stations as on 31st of December. We have also added 98 industrial and commercial customers during the quarter and thus have about 4,691 customers as on 31st December.

In respect of our Raigad GA, we have connect ed to 75,432 domestic households and 32 CNG stations, are currently operational. During the quarter, we have laid 11 -kilometer of pipeline in Raigad, thereby taking the total length of pipeline to 4 04 kilometers in Raigad district. This expansion of our pi peline network has created a very good ecosystem for the CNG and PNG system in the Raigad area. The first CGS and the first mother filling station at Savroli in GA -3

has been commissioned, and this will now enable expeditious unlocking of the demand in Raigad.

During the quarter, MGL has commissioned its LNG station at Savroli, and LNG sales to B2B customers has also commenced. Coming to MGL operations for the third quarter ending 31st December '23 compared to the corresponding quarter of the last year, a t company level, average gas volume sales has increased to 3.671 mmscmd from 3.412 mmscmd, which is an increase of 7.6%. Sales volume in the case of CNG has increased to 2.632 mmscmd

from 2.474, which is
an increase of 6.38%.

In case of industrial and comm ercial , sales volume has increased to 0.508 from 0.439 mmscmd,

which is an increase of 15.84%. Sales for domestic PNG has increased to 0.53 from 0.499 mmscmd, which is an increase of 6.37%.
The current 9 -month quarter EBITDA is INR 1,449 crores compared to previous year's 9 -month EBITDA of INR 794 crores, that is an increase of 82%. Net profit after tax for the 9 months is INR 1,024 crores compared to net profit after tax for previous 9 month s of INR 521 crores.
Net PAT is INR 317 crores for the quarter as compared to INR 338 crores in the previous quarter.
I'm happy to announce that Board of Directors has also approved an interim dividend of INR 12 per equity share for the current financial y ear.
In December '23, MGL signed a MOU with Mitsui O.S.K. Lines for production and utilization of hydrogen associated products and LNG for various applications. During the quarter at the prestigious , Governance Now Awards , MGL has been awarded in 2 categor ies: IT infrastructure excellence for being the first CGD entity moving to AWS cloud -based servers and digital transformation leader award for providing better customer and vendor experience under PSU IT category.
We continue our initiative in environment, safety , and CSR. MGL has also been awarded the Mahatma award for working on maximum number of sustainable development goals under the banner We Care. MGL assessed 14 out of the 17 SDGs impacting the lives and livelihood of marginal communities.
With this, I conclude, and would now like to open the floor for questions. Thank you very much.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities.
Probal Se n: Congratulations on a strong set of numbers. I have 3 questions. One, this is obviously a 5 quarter high in terms of the volume growth that you have reported. And I know you do not like to comment on quarter -to-quarter volume fluctuations. But just direc tionally, can you just let us know what are the primary reasons why volume growth picked up this sharply in this quarter? And what can we actually expect over the next few quarters, whatever view you can give us? That's my first question.

Management : Well, volume growth is basically driven by CNG. If you look at the current year quarter versus previous year same quarter, CNG has grown by about 8% in KG terms. And there has been a high double -digit growth in our industrial volumes also, almost exceeding 20%. So these two are the major contributors.
On the industrial front, we have managed to add some new large industries, consuming a high quantity of gas. We had launched some scheme a few months back where above a certain volume, we had started giving th em a discount for some fixed time period. So now those customers have come online and started contributing to the volumes.
CNG, hopefully, the difficult times, are now past us, all the pricing troubles and availability troubles. So there also the market is now looking up. And we are having a slow , but steady increase in MSRTC buses, which a few hundred of them -- 300 or 400 will be joining in the next 4-5 months. So that is helping. And going forward, we are again hoping for some increased traction in the c ommercial goods vehicle segment, where the contribution per vehicle is relatively high.
Probal Sen: Right. So just as a follow -up there, sir, what's the kind of vehicle conversion run rates we saw per month in this quarter?
Management: This quarter, tota l vehicles added is around 22,400. Just to add to what Mr. Wagle said earlier, one of the contributors to the volume is also increasing trend in the number of vehicles getting added. First quarter was 15,000. Second quarter was almost 20,000 and now it is a

lmost 22,000.
So, cumulative effect of all this is seen in the volumes.
Management : There is an uptick in the commercial vehicles from about 1,100, 1,200 to 1,400. And even in the private car segment. Of course, private cars individual contribution is not much, but every little bit helps and has built up the volume.
Probal Sen: Sorry, for commercial vehicles, you said from a run rate of 1,100 - 1,200 that's on a per month basis or this for the entire quarter results?
Management : So that's for the quarter.
Probal Sen: So, in the beginning, it was 1,100 -odd in Q1 maybe, now it's gone up to 1,400. Did I understand you correctly?
Management : Yes.
Probal Sen: Just 1 more question, if I may, sir. On the margins front, I just wanted to understand what sort of spot RLNG was consumed this quarter as a percentage of our total sourcing if at all?
Management: Roughly 2% plus spot. When I say spot that includes spot RLNG as well as sometimes through IGX, HPHT as well. So , it's not completely spot means RLNG spot. And that was really for

peaking requirement around 2% plus.
Probal Sen: 2%. And the rest is all now tied up in a combination of mid -term and short -term LNG contracts, right?

Management: Correct.
Probal Sen: Right, right. So sir, from a margin guidance perspective, given the way that prices have behaved both for medium term as well as spot, can we expect that this kind of margin trends will ,I mean, barring any other issues with respect to pricing, can we expect that some of this kind of a margin strength will sustain over the next year or so?
Management: See margin is a function of a lot of things. As you said, gas costs as far as APM is concerned, prices are going to be stable with the cap of $6.5. HPHT availability as well as the HPHT contract already signed by MGL, good enough to, I think, have the availability of quantity.
We see that minimal spot we wi ll be using. We'll be also taking up any further HPHT if it is available through biding in the next few rounds . So as far as gas cost is concerned, yes, and availability of gas is concerned, priority segment very well under control.
As far as even [I&C is concerned, we have term contracts in place for almost full requirement, okay. But there could be factors like availability of APM allocation, exchange rate. And if there is anything with respect to alternate fuel prices, petrol, diesel going down or somet hing, we can think of taking a little bit hit on margin to sustain and continue this vehicle convergence.
Management : So, margins are expected to be properly, I mean, under control, as Rajesh explained. The other part to it is that we have sufficient leg room available, around 13.29 is this quarter and the 9 month s is 14.83. So , we are comfortable in that zone of having a pro per margin, and our rates are also very reasonable in terms of other CGD companies in PNG and CNG segment.
And all our major reason for fluctuation in margins were that earlier, we were having a lot of components of spot gap, which was as high as $31, $32 p er MMBtu, which has come down to $15 per MMBtu. That is the reason we are having better margins as compared to Q3 of last financial year.
Probal Sen: Right, sir. Sir, 1 last question, if I may. What was the proportion of APM in the priority sector alloca tion as a percentage right now?
Management: It was roughly 78% - 80%, in case of APM (priority allocation) .and roughly almost 19.5% to 20% was HPHT and balance 2% was spot.
Moderator: The next question is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Sir, your CNG volume grew by more than 6% on Y -o-Y basis so considering this, will you increase the CNG volume growth guidance for the long term?
Management: No, no, not really because what we have seen is just a quarter -on-quarter kind of a t hing, which may not be

appropriate to extrapolate long term...
Management : The focus remains for CNG. We have recently launched some schemes for private vehicles and commercial vehicles. So private vehicles came and expired in end of December. But commerci al vehicle, we are still giving a lot of focus, and we expect that the CNG volumes will maintain the CAGR, which has been the case for the last few years or maybe better to some extent.

Yogesh Patil: Okay. And can you tell us about your CNG Mahotsav or CNG incentives on the CNG conversion? How many new vehicles obtained this scheme during the quarter? And are you planning to extend it for the next few months or quarters? Have you seen any more PV conve rsions during the CNG Mahotsav sir?
Management: You're talking about both PV, passenger, and commercial vehicle, right...
Yogesh Patil: Yes.
Management: In the passenger car segment, we witnessed an uptick of about 30% from what used to be the vehicle sales there. And the commercial segment, however, the base numbers itself was pretty low, but it is still taking some time for that impact to kick in.
Management: As we have told the passenger vehicles, the CNG Mahotsav ended on 31st of December, whereas we are continuing with the commercial vehicle scheme, except for the small commercial vehicle till 31st of March , 2024.
Management : Part of that increase in the quarterly number of vehicle addition, which has gone up to 22,000 from 19 500 is partly attributable t o this CNG Mahotsav .
Moderator: The next question is from the line of Maulik Patel from Equirus Securities.
Maulik Patel: Can you just give us an update on this acquisition of Unison, –what is the expectation is that it

will be commencing from the next financial year in terms of an approval and everything?
Management: Approval of PNGRB as with respect to transfer of control from Ashoka Buildcon to MGL, including the shares held by Morgan Stanley or North Haven India Infrastructure Fund, has come . We will be soon consuming the transaction. So , it will be in our fold within this quarter itself .
Maulik Patel: Q4?
Management: Q4, yes.
Maulik Patel: And what kind of , I mean given that you will be probably involved in the business and Unison also now going forward, what kind of numbers, which is Unison currently giving , any update which at the time of the acquisition, which was almost 2, 3 quarters back. Can you just update what kind of number Uniso n has been reporting now?
Management: I think when we did the transaction or sign the SPA, they had 40 -odd stations, now they are almost 50 -plus CNG stations. In terms of volumes today, they should be touching around 1,30,000 -odd cubic meters a day and most of that is CNG .
Maulik Patel: Okay. That was at that time it was around 0.1 mms cmd, right, around 1 lakh cubic meter when you announced the acquisition.
Management: Yes.

Management : More than 1 lakh now.
Management: And ultimate potential estimated over about 1.2 million mmscmd .
Maulik Patel: Okay. Sir , there has been a cut in the petrol and diesel prices at retail level, what could be the strategy of MGL? Will you try to reduce the CNG price? Or how would you like to play?
Management: We'll basically first gauge the reaction from the market. If our sales volume increase is not impa cted too much, we may not intervene, but if we see any slowdown in the growth, then we may take a conscious call to do something on pricing. But it's too early to say because we don't know when the price will drop at all. If they drop, when will they drop and if they drop by how much ?
Management : To what extent it will get dropped. And PNG, you said is not related to petrol, diesel. So that is an independent pricing related to LPG primarily.
Maulik Patel: Right. Now this spot has c

ome down to around 9.5 below per MMBtu compared to the 14 - 15, which was the average in the previous quarter. Are you probably looking for more volume growth in the industrial segment?
Management: Which number you're referring to?
Maulik Patel: LNG has come down. So p robably you have between your portfolio this quarter and is only 2%, 3% of the overall volume mix and supply mix side. But as it was falling at the kind of level, do you anticipate a more volume growth in the industrial segment?
Management: We are basical ly cashing on this opportunity by offering our large industrial customers a discount if they consume more volumes.
Maulik Patel: But are you seeing that more industrial users are getting connected to the grade down than what they were earlier because pro bably the pricing was not in the favor from a gas perspective, now it is little much better. More customers are getting connected and approaching you.
Management: We are focused on industrial customers, especially in GA -3. And there, we are connecting to some of the important customers in GA -3 and Taloja as well as Patalganga, MIDC. The increase in the numbers of & C itself suggests that the number of customers also increasing and the offtake of the consumers also by incentivizing them for a higher offtak e is also working out. So definitely, we are focusing on the I & C segment also.
Management: Just to supplement, I don't know, about a year or so back, we were selling gas directly to alternate fuels, be it a new customer, old customer, whatever. But consci ously, for increasing our volumes and penetration, we changed that a year back, and we now guarantee a 10% discount for 3 years for any new industrial customer in GA -3 and any new large industrial customers in GA -2. GA - 1 of course, industry is negligible. We have added on almost 150,000 SCMD worth of contracts. Part of this has started flowing and remaining would flow in maybe a couple of quarters.
Maulik Patel: I think that is a sizable volume you achieved through the incentives or the price protection, the 0.15 mmscmd, given base we have, it's a unsizable number.

Management: Not only price production but also the fact that connectivity was established in some of the difficult areas in Patalganga and Taloja.

Management: Even on Khalapur site, we managed to get pipelines into the factory of Godrej & Boyce and 1 or 2 other customers.
Maulik Patel: Sir, last question. Have you seen an absolute drop in APM volume from the government because I think you mentioned around 78% of the volume comes from the APM side, right? But have you seen this number in absolute terms lower than the previous quarter?
Management: It is lower than the previous quarter. Previous quarter was around 84% odd. This quarter, it is about between 78%, 80%...
Maulik Patel: Will it drop further in the coming quarters? Is there any indication from the ministry on the same?
Management: No, no such prior indication comes in -- the allocation comes in on a monthly basis. So probably the reduction, we understand was maybe due to some production constraint at ONGC. Some of it may get restored also, but no formal communication exists.
Management: But they are backstopping it with HPHT, so whatever priority re quirement we have is getting from I mean if not APM, HPHT.
Management: The CGD sector is also growing. I mean, so many companies are demanding APM gas. So going forward, yes, it may come down slightly.
Maulik Patel: HPHT allocation is a part of the Relian ce portfolio, right?
Management: No, it can be anybody. It is on the exchange also. And if everything else is equal, then CGD get a priority for the priority sector, which is CNG and DPNG and that's how we are getting whatever is required additional volumes from HPHT because today, even i f we bid it at par with fertilizer and

power, earlier the gas is to go to fertilizer or power because of their huge volumes but now government has given a priority for CGD if everything else is equal in bidding.
Maulik Patel: What could be your HPHT volume in terms of -- it's 0.1 MMSCMD.
Management: See, overall, HPHT will right now for a priority. So , we have signed up roughly 0.51 MMSCM D
Moderator: The next question is from the line of Niharika from Aequitas Investments.
Niharika Jain: So, my first question is, has the MGL bid for the 12th round, which has got concluded for Northeastern and North...
Management : Right now, we are not thinking about it, but we are still -- when is the date?
Management: Date has gone...
Management : So, we have not bidded for it.

Niharika Jain: So, do we plan to bid for any further geographical areas?
Management: There are no such geographical areas left. This was the round where in almost 98% of population is covered. Even these rounds were they're quite remote like in one in J&K, Ladakh, Northeast...
Management: Ladakh, didn't bid so that was only one left now.
Management: So, there is hardly anything which we expect will come on block.
Niharika Jain: So, for our growth, are we looking for some other companies who must have gotten the allocation to kind of come on the block and like Unison and we might bid for this...
Management: That's a long -term thing. Actually, there is nothing in the market as of now, which is we are keeping a track and exploring and scouting for the opportunity. But as of now nothing is ere, which is very substantial . Yes, you are right, maybe after some minimum lock -in period is over when people start to consolidate.
So maybe a year o r so or 1 or 2 years, we will find something. But the good part is Unison is going to be acquired in this quarter. The formalities have been completed – we've received the formal clearance from PNGRB. We are in the process of completing some language and other issues related to the transition documents, which we will be completing this quarter itself.
Niharika Jain: Okay. And my other question is PNGRB chairman, I think had come and said that they are going to increase the competition for CGD players. And basically, they would allow multiple players where the exclusivity period has ended. So , what I understand is for GA -1, our marketing and infrastructure exclusivity has already ended and do we feel that a significant competition could arise in our geographi cal area?
Management: See that matter is still sub judice so we don't want to comment on that. The PNG RB, chairman, I don't know on what forum we have commented. But as of now, we don't want to comment on it because it is a matter which is sub judice under the Delhi High Court. Wait for the decision of the Delhi High Court and wait for the development.
However, if the exclusivity ends, it is a gain and loss in both the sides because then we also will have access to other areas where the access will be gi ven to other. It cannot be on pick and choose basis. So , it will be both a loss and a gain for all the CGD entities.
Niharika Jain: Right. And my last question is some update on this MOU with BMC, has some substantial development taken place and have you sta rted something on it?
Management: Discussions are ongoing with the BMC. MOU is already signed last year. Now we are finalizing

the terms and conditions for concession agreement and other related documents to land finalization, which we expect will take a m onth or 2 months before we can proceed in the transaction.

Niharika Jain: And from that date, it would take another 1 to 2 years to build a plant?

Management: Yes, 1.5 years roughly from the date we sign the concession agreement.

Niharika Jain: Okay. And how much cash do we have on our books as on the date 31st of December?

Management: It was around INR 2,000 crores plus, but we will be using substantial cash for UEPL soon .

Moderator: The next question is from the line of Varatharajan from Antique Stock Broking Limited .

Varatharajan: Wanted to understand this promotion, which we ran during the quarter, will obviously like to know when they use the card, it will be charged on to the P&L. But cumulatively, like what would be the amount broadly just to get an idea of what kind of an expense we should expect next quarter or following quarter?

Management: So, for these scheme s, which we have roughly spent around INR 10 crores in this quarter, and maybe another INR 20 crores, and INR 25 crores could be spent if there is a good response. And that is the budget we have kept for these schemes .

Management: Around INR 20 crores could be for this quarter and INR 10 crores was in the previous quarter.

Varatharajan: Cool. Sir, as far as the delta in the CV sales is concerned, was it to our satisfaction because what I was wondering was that this is a very, very attractive scheme. But somehow like 10%, 15% kind of an increase in sales doesn't real ly seem to be a big impact. So , am I right in judging that? Or do you think like it is broadly along expected lines?

Management: The commercial vehicle segment, the scheme did increase the number of vehicle sales, but the base number itself was so small tha t it didn't move the needle when you look at the overall CNG sales. And one primary issue which we are trying to deal with in the market and along with the OEs and MGL together is many of the transporters, they have that worry in the back of their mind the CNG prices, say, a year or 2 back had crossed INR 89 in MGL's case. In some GA’s , it had touched diesel price, etcetera.

So that we are working hard to dispel those kinds of issues and telling them that now with the government changing its policies and ens uring availability of domestically produced gas, we are seeing clear pricing stability at least for a few years going ahead. And of course, at current price levels, the proposition is quite attractive for them.

So, some of them are opting for it. The only t hing additional, which needs to be done is to convince them that they will have this advantage for a few years. And when you look at the total cost of ownership, it will be beneficial for them.

Varatharajan: Fair enough, sir. Secondly, on the new acquired GA, have you drawn out any plan in terms of investment? Sir, should we look at some outflow in terms of investment next year and the following year?

Management: Around INR 100 crores to INR 150 crores is expected to be invested in the Unison this year, 2024-2025 .

Varatharajan: Sure. And the similar kind of a run rate should we expect for subsequent years as well?

Management: Actually, it depends, but once we take over the acquisition in our hands, we will thoroughly review about the minimum work program. But we are going to be aggressive in terms of capex because we would like to have the basic infrastructure in place to take the leverage in coming few years. So yes, the investment after a thorough review of the company and the av ailability, the financial strength and the expected growth, we will take a call on it. But yes, INR 100 crores to INR 150 crores is the numbers we expect year - on-year.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equity.

S. Ramesh: So, if you're looking at the Unison Enviro GA development, when do you expect to complete the payment for the acquisition cost? And what is the current reading of the gas connectivity for the supply of gas to those networks? Are you going to use vir tual network? Or is there pipeline connectivity for sourcing the gas?

Management: Payment, we are expected to be completed in 2 - 3 weeks' time. We are in the process of finalizing the documents. And this quarter, definitely, it is going to be completed. Re lated to the gas availability and connectivity, all the 3 geographical areas which the Unison has is already

connected to the main grid pipeline of GAIL . So, the gas availability in the main hub is available.
The other transportation depends on the type of terrain which 3 GAs have, like in Ratnagiri, most simply, it is connected through daughter booster station and other 2 GAs are connected to pipe grid also.
So, all of these combinations, which are typically available in a CGD company is being utilized.
And also, it depends on number of customers, industrial or commercial on the CNG trucks and PNG. We decide the mode that what is the most economical way of operating the GA.
Just to add, apart from 3 CGAs for receiving gas, they also have LNG facility in Ratnag iri, which enables them to take LNG at any point of time and cater to industrial customers as well. They have 4 points where they can receive gas.
Management: Also , the fact that the LNG loading facility at Dabhol is already commissioned or is about to be commissioned. So , it will be advantageous for the Ratnagiri due to source energy of LNG also from the Dabhol...
Management: That is very near to their LNG station. Maybe this is less than 50 kilometers from Dabhol...
Management: In case of LNG transportation costs from the LNG facility to your location is a bigger cost. So this will help reduction in cost.
Management: We will relook at the procurement contracts and try to optimize on the transportation cost.
S. Ramesh: Okay. So , in terms of the long -term potential, what is the reading in terms of the split between CNG and PNG in the 3 new GAs under Unison?
Management: 80%- 90% CNG.
Management: Mostly it is CNG and PNG is being developed, but not that much.

Management: PNG and co mmercial will be very, very low...
Management: Industrial will be around 7%, 8%.
S. Ramesh: So, for the CNG consumption, is there any number you can share in terms of the number of vehicles on the ground right now , including the floating vehicles that you d iscussed at the time of acquisition? And secondly, in terms of CNG, is there any number you can , any words or numbers you can share this, please?
Management: We don't have any number right now in that area. But just to give you maybe we have 53 stations and around 26,000 -27,000 vehicles in all the areas put together. At the time of acquisition, I do not have the data.
S. Ramesh: Okay. Got it. Just 1 last one. In terms of your HPHT gas, this is tied up right now it's about 17% of your overall priority sect or volume, which you're reported in the third quarter. So , there's a 10% growth that implies requirement of another 0.3 mmscmd. So , assuming that APM gas allocation doesn't go up, how will you source the incremental requirement of gas for the growth in CNG a nd domestic PNG? Will you expect to tie it up from Reliance and then eventually ONGC or will you have to buy LNG? Or how do you see that sourcing strategy for the priority segment?
Management: I think there will be some HPHT available in the next year or s o because there are some contracts which will be expiring, and some HPHT fresh bidding also can come. Apart from that, we are even signed up other term contracts, which we can always use here, depending on how the Henry Hub index and Brent index is okay. So , I think all options are available.
Management: Just to add to that, I mean, if spot prices continue their downward creep for very short -term requirements, we can take spot also and ramp back a bit on our other contracts...
Management: Most of them have 80 % or some of them have 60% kind of a minimum guaranteed uptake. So 40% can be done away and swipe the spot if required. And in some of the contr

acts, maybe 10%
or 20%...
Management: But HPHT gas is expected to be put on sale for this year -- this financial year and the next financial year also because some of the contracts of older allocation or whatever contracts have been signed by Reliance and ONGC are expiring in this next financial year also. So that will also come for sale through the bidding mechanism.
S. Ramesh: That makes sense.
Moderator: The next question is from the line of Vishnu Kumar from Avendus Spark.
Vishnu Kumar: Just following up on one of the earlier participant's questions , if the petrol price cut happens, you mentioned that at some point, we'll have a look at volume growth and decide. So , what we see currently is there is a INR 30 price gap between petrol and CNG. What level of price difference do you think can have an impact on our volumes?

And the second question would be the m edium or longer term at what level of per unit EBITDA where we would be comfortable rather to take a price cut? And how much would probably we'd be thinking as a medium -term target?
Management: Look, as regards CNG versus petrol, the fuel cost in CNG is ro ughly half of that of petrol the INR 30, I mean, as the rupees per kg and rupees per liter difference, but you get a 15% - 20% uptick in the mileage also. So , in the running rupees per kilometer, CNG is almost 50% cheaper than petrol. So even if petrol goes down by INR 5-10, we will not be seeing too much impact. But on diesel, we are currently at about 18%, 19% discount. There, if diesel prices go up, then potentially -- I mean, that market -- that volume growth could go down.
But again, the share of the comm ercial goods vehicle segment and the overall volume contribution that is relatively little. Out of the 22,000 vehicles which came on in the quarter, only about 1,500 out of it were commercial goods vehicles. So private car segment, the other 3-wheelers, th e aggregators, et cetera, they will -- we don't expect any impact on those volumes. And overall , there on CNG anyway, we will use CNG. So , we will basically be tracking the incremental vehicle additions very carefully.
Vishnu Kumar: Okay. And to put it differ ently, sir, at what level of additions, let's say, if it comes below a certain number, will we go for additional price cut rather at what growth -- let's say, it's 2% growth only on CNG, then we'll take for an additional cut or -- I mean, any markers that we have to track so that we get some sense that, okay, this is a point where you will probably take us the additional cut. That is what we are trying to understand.
Management: That is a strategic call. So , there's no point speculating on that because as ex plained, it depends on many factors, including the margins, the cost of alternate fuel, the cost of procurement, our growth, the number of vehicles which we expect and the balance between all these parameters. So, it is not a good idea to speculate on that.
Vishnu Kumar: Understood, sir. And what would be the -- so the second question, what would be a medium -term EBITDA per SCM that we will continue to operate with? I mean whatever history we've seen that INR 14 -- INR 13, INR 14, this is the highest ever we have done. What would be a normative run rate that we'll work with?
Management: See I think you can't decide our run rate and decide that this is the EBITDA I want to earn. What probably any business should look at is how do you grow the absolute profit y ear-on-year, along with how you earna reasonable margin on a per unit basis. So , one has to keep on doing trade -off between various factors and decide how they want to grow.
So, one of the factors will be a resultant factor, which is EBITDA. So , if you note last year, my average EBITDA was 9.5. Today, I'm having better EBITDA, but tomorrow, see whether my absolute profitability , turnover, et cetera,

grows. I may take a cut on EBITDA and still work on a scenario or a combination, which gives me goo d return on my investment. So , it's a very- very subjective question. And it has to be dealt at a point of time in a different manner depending on host of factors which actually culminates into EBITDA for this year, right?

Management: But just to give you m ore comfort on that is that our CNG prices are one of the lowest in the country, even the PNG prices are one of the lowest in the country. Cost of procurement has been optimized. Cost of operations is also being , I mean some older assets are being replaced . We are running some schemes also.
So as of now, 9 months, we are having an EBITDA of 14.83 against 8.4, which was there for the previous 9 months of the last financial year. So , we have sufficient leg room available with us. With the schemes coming on pla ce, we expect to get some growth also. And with the prices already being on a lower side, we expect that the EBITDA will be in same range. Around 10 to 12 is very safe to assume in the next year or so.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: Congratulations on good set of numbers. So , I have 2 sets of questions. The first one is relating to UEPL. Unison -- so you mentioned that currently, the volumes are around 0.13 mmscmd. So, what has been the growt h like in the last 1 year for UEPL?
Management: Maybe they have grown from 1.1 to 1.33. 18% to 20% growth is there.
Sabri Hazarika: Okay. So , 20% sort of growth is the current recurring growth, which is happening for this company, right? Okay. Secondly, an y profitability numbers, etcetera, can you share? I don't know whether you would be able to, but is it possible to give 9 months PAT or EBITDA or something of that sort for UEPL?
Management: They are EBITDA positive . And I think once you get UEPL results in public domain, you may be able to see that .
Management: Next quarter onwards, we'll be doing the consolidation reporting so in that results of UEPL will

also be declared along with MGL results. So just wait for the next quarter in the end of April or some time that we will be declaring their results.
Management: Stand -alone and consolidated will be available. So , you'll be able to make out.
Sabri Hazarika: Right. And a few bookkeeping questions. First is, what were the industrial volumes for the quarter?
Management: Industrial volumes for the quarter 0.38 mmscmd.
Sabri Hazarika: And what is the CNG volumes in KGs?
Management: CNG volume in KGs is 1.937.
Sabri Hazarika: 1.937 million KGs, right? Okay. And sir, what was the 9 months capex and full year guidance?
Management: Nine months capex was around INR 500 crores odd and maybe INR 750- 800INR 800 crores by this year -end.
Sabri Hazarika: Okay.

Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: I'd like to take this opportunity to understand some of the volume growth drivers for the next year. So , we have signed 0.15 mmscmd of the industrial contracts. Would you be able to bifurcate that between Ratnagiri and the other GAs? And going into FY '25, what kind of potential that we can target in GA -3 as well as sort of the other industrial customers left out in GA-1 and GA -2?
Management: If you're talking of industrial customers, we're currently only talking of MGL. We are not talking of UEPL or Ratnagi ri...
Management: And maybe you mean Raigad?
Kirtan Mehta: Yes. I mean Raigad, GA -3, correct.
Management: Okay. So , volume will be roughly 60% GA -2, 40% GA -3. GA -1 is actually industrial volume that is degrowth because industries, whatever few are left, the y are shifting out. But sometimes some of them shift to GA -2, GA -3.

So , we get the customers. For example, Godrej has closed down from Vikhroli, but they moved to Ambernath and some of it is moving to Khalapur, etcetera. So , we get the same volume elsewhere.
Industrial volumes and the other, next year, what the volume drivers or something you're asking for, again, a lot hinges on CNG, which is 3/4 of our sales volume. So , for us to grow at 6%, 7%, 8%, whatever, CNG will have to grow at that rate. Industry, we are hoping, will be a bit more. Industry, we'll expect double -digit volumes increase. Commercial is business as usual, I mean, kind of whatever 4%, 5% volume increase happens.
Kirtan Mehta: Just a follow -up on the CNG itself. So , we have launched the incent ive schemes this year and this has probably added some of the volumes. So , do you think that if we continue this into -- or we'll give some sort of other incentives, would you be able to sort of grow above your historical growth rate by offering higher ince ntives? Would that help to grow into 6%, 7%, 8% range?
Management: Yes. If we start getting traction on the commercial goods vehicle segment, that definitely will happen. And we are putting in all efforts along with partnering with the OEs, who are having factory -fitted good vehicles. So , we are partnering with them to give incentives and convince transporters to move away from diesel into CNG.
The good thing is now there are more than 30 CNG factory -fitted commercial good vehicles variants available right up to 18, 20-ton gross vehicle weight range, which was previously not there. So , the issue of vehicle performance of a retrofit that we have managed to dispel from the minds of transporters. So , they don't have that much of an issue on vehicle performance now because factory -fitted goods vehicles are available.
But we still continue to work on the perceptions they have on the pricing. Hopefully, over time, we should g et them over that barrier too and the sales volume increase will happen because that is an underpenetrated market for us, the commercial goods vehicles segment. And those vehicles

per capita is sale of CNG consumption of CNG is much, much higher. I mean if you get 1 truck, it's equivalent to about 20 passenger cars .
Kirtan Mehta: Understood, sir. And in terms of the CNG station footprint, how many we have added in the 9 months and what could be complete this year and what will be our target for the next y ear?
Management: This year, we have completed around 10 in the 9 months period, and we expect around 45 stations to be added this financial year, and similar numbers are expected in the next financial year. The progress of CNG stations typically happen in the last quarter because construction

time is there, land is there, permissions are there and so many other formalities required. So , bulk of the CNG stations are commissioned in the last quarter of the financial year.
Kirtan Mehta: In terms of the addition of the new station is only part of the growth. Other growth will come from the sort of addition of the additional dispensers or sort of converting them to online. So , in terms of the compression capacity wise, what sort of the growth will achieve this year ? And what could be the target for the next?
Management: Compression capacity wise, we are at a pretty comfortable level because our station utilization or capacity utilization is only about 40% or so. So , we are not expecting any challenge on that front. I t is maybe for a couple of hours during the day, 50,000 or 100,000 auto rickshaws decide to fill because the shift is changing. There will be some peaking.
But we have put in a lot of initiatives to increase customer awareness that there are many hours during the day in which they can comfortably come to the CNG stations, fill CNG and go without waiting.
But we have an agreement with BEST, which allows us to se

nd vehicles into their depots with
the prior app-based slot booking where they can fill w ithout waiting. The BEST bus depots have got infrastructure because we fill our buses during the night and in the daytime, the depots are empty, and the infrastructure is idle so it's a win -win for everyone.
Management: 45 new stations are being added and a lmost similar numbers are being upgraded in terms of converting DBA station to online or adding dispensers or compressors . So, in the existing compressor CNG stations also, we are upgrading the capacity depending on the requirement and the load on the CNG station.
Management: So, your compression capacity probably is increasing at more than 10%, where the sales volumes are going at 6%, 7%. But when we intend to pursue that because we believe that once you create the capacity, the demand will pick up. And mor e and more people get incentivized to switch to CNG because they will see it's readily available and convenient.
Kirtan Mehta: Understood. Just 1 last question on the capex front. So , for FY '25, would we be looking at target of somewhere in the range of INR 900 crores to INR 1,000 crores of capex , considering INR 700 crores to INR 800 crores run rate on the existing GAs an additional INR 100 crores to INR 150 crores on the Ratnagiri GA.

Management: Yes, yes. I mean, INR 800 odd crores in the Mahanagar Gas a nd around INR 100 crores in the -
- UEPL INR 100 crores to INR 150 crores. So , putting together will be more than INR 900 crores
-- expect it to be more than INR 900 crores.
Moderator: The next question is from the line of Somaiah from Avendus Spark.
Somaiah : So, first question is on the HPHT gas. So , the HPHT gas that we procured we'll be getting at a price closer to the ceiling of $10 for MMBtu, that would be right...
Management: So, it is around $9.96 MMBtu from October this year. Earlier, it was $12.12 prior to...
Somaiah: Correct, sir. I was asking more from -- I think we required -- probably last quarter, we required around 0.6, of which 0.5, I think, you mentioned a long term, this long term, what would be the linkage and the linkage price leads to above ceilings, so we have been getting at a ceili ng price. Is that right understanding?
Management: Yes, we have been getting at ceiling price all this time, yes.
Somaiah: So the long -term contract that we have on 0.5 of HPHT, what -- I mean, what would be the linkage, sir, that would be linked to...
Man agement: That's a ceiling of HPHT prices with a formula, which have a ceiling of 3 different fuels. And the lower of the 3 is considered. So it is around $10 per MMBtu as of now. So whatever transactions we are getting until 31st March will be around $10 p er MMBtu. And next year, it is expected that it will be in the similar range or maybe slightly lower than that.
Somaiah: Okay. Got it, sir. Sir, also those conversions that we have been seeing increased, say, as you said, 15,000 to 22,000 so when we are th inking about a mid -single -digit growth in our existing GAs, so what what would be conversion number that we'll be thinking it as a good number in this context of 15,000 to 22,000 range.
Management: It is a number we have been traditionally getting was 80,0 00 also in some of the previous year. Last year, it was 65,000. This year, in 3 quarters, we obtained almost 60,000. So we expect another 20,000. So 80,000, we will be touching this financial year.
Next financial year, the impact of the schemes, which we h ave launched, and we will have a reassessment after the end of the financial year, and we expect maybe around 80,000 to 100,000 vehicles should be added in the next financial year also.
Somaiah: Okay. Got it. Earlier you used to give on the industrial and c ommercial segment, the alternate fuel prices. So if you could just help us with the Q3 and Q2, the alternate f

uel prices.
Management: As far as LDO and FO is concerned, compared to last quarter, this quarter, there was a better realization. LDO was 61,350 -odd per KL, which has gone up to 72,000. And FO was 47,500 -odd, which went to almost 52,800 . Whereas in case of 19 kg LPG, it reduced from 1,700 to 1,641 this quarter.
Moderator: The next question is from the line of Raunak from Robo Capital. Please go ahead.

Raunak : Natural gas prices have come down by 15% to 20%. So how do we see its impact in the volume of our business?
Management: It has improved some extent -- the connected customers continue to take how much our gas they need. And to some extent, your volume increase is also a function of how much infrastructure you can roll out and how many more PNG customers you can connect and how many more C NG stations you can open up.
Management: Another way you look at your question is that the LNG prices are linked to our industrial and commercial segment because our CNG and PNG segment is catered through APM gas and HPHT, which is not directly linked to t he LNG prices.
So coming to industrial and commercial, again, it is a variety of factors like what is alternate fuel. So we have different segmentation of pricing in different segments. And therefore, yes, it makes an impact on our pricing methodology and the profitability. However, our dependence on the spot has come down substantially, which was a major indicator in last financial year wherein we were purchasing a lot of spot, and that used to give a lot of volatility in our profits, which is now much mor e stable.
Management: Of course, the government's policy, which came in February last year also helped where we started giving HPHT priority to CGD.
Management: And the term volumes are more still linked with Henry Hub, which is a very stable index and not much of variability happens in the Henry Hub index.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.
S. Ramesh: Just on the LNG station additions , what is the kind of cost you are likely to incur in the second half of this year? And how do you plan your capex ? And what is the kind of visibility on volumes and the top line we can expect from the LNG sales, say, over the next 1, 2 years?
Management: It's a very small, miniscule number because only 1 LNG station is working in Savroli. So the contracts have already been signed up with the suppliers in terms of procuring LNG. So we have signed contracts for selling LNG on B2B segment as of now. And the volumes are low and the impact on the total financials of the company will be miniscule.
S. Ramesh: Okay. And then what is the information you can share on the margins on the industrial and commercial segment or the selling price to get a sense in terms of how it impacts your overall EBITDA per SCM? Would it be close to your blen ded EBITDA per SCM or slightly given the fact that your alternate prices have gone up?
Management: If you look at -- just now sometime back, I said how LDO and FO prices have moved. So this quarter, the margins were good, okay. Had this improvement not happened, maybe the INR 3 reduction in CNG would have brought a little bit of my sales realization. Bu t industrial has helped in this quarter. So we can talk about whether we sell at parity or how much discount to these alternate fuels.

But this quarter, more or less realization is slightly more compared to maybe domestic and CNG prices in case of commerci al A and commercial B. Industry is more or less in line with average sales regime of priority sector.
Moderator: Thank you . That was the last question. I would now like to hand the conference over to Mr. Yogesh Patil: from Dolat Capital for closing commen ts. Please go ahead.
Yogesh Patil: Thanks a lot to M

ahanagar Gas management for such a detailed answer to each questions.
Thanks a lot for your time, sir. Now we will conclude the call.
Ashu Shinghal: Thank you everybody for joining me. Thanks.
Moderator: On behalf of Dolat Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for improving readability)

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An ISO 9001, 14001 & 45001 Certified Company

Ref: MGL/CS/SE/2024/537 Date: 16th May 2024

To,
Head, Listing Compliance Department
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Mumbai – 400 001
Scrip Code/Symbol: 539957; MGL Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra –Kurla Complex,
Bandra (East),
Mumbai – 400051
Script Symbol : MGL

Sub: Transcript of Earnings Conference Call on Standalone and Consolidated Audited Financial Results for the quarter and year ended 31st March 2024

Dear Sir/ Madam,

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call on Standalone and Consolidated Audited Financial Results for the quarter and year ended 31st March 2024 held on 10th May 2024.

The transcript of the Earnings Conference Call uploaded on the website of the Company can be accessed through the web link:
https://www.mahanagargas.com:3000/Mahanagar%20Gas%20Q4FY24%20Earnings%20Call%20Transcript_Final.pdf

The Earnings Conference Call was attended by following attendees on behalf of the Company:

Name of Management Attendees Designation
Mr. Ashu Shinghal Managing Director
Mr. Rajesh Patel Chief Financial Officer
Mr. Rajesh Wagle Senior Vice President, Marketing

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the call.

We request you to take the above information on your records.

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: a/a

Mahanagar Gas Limited
Q4 FY24 Results Conference Call
May 10, 202 4

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR

MR. RAJESH PATEL -- CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE -- SENIOR VICE PRESIDENT , MARKETING

MODERATOR : MR. SABRI HAZARIKA -- EMKAY GLOBAL FINANCIAL SERVICES .

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Results Conference Call of Mahanagar Gas Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sabri Hazarika from Emkay Global Financial Services. Thank you, and over to you, sir.

Sabri Hazarika: Good afternoon. On behalf of Emkay Global, I'd like to welcome you all to the Q4 FY '24 Post - Earnings Conference Call of Mahanagar Gas Limited. We are pleased to have the top management from the company, led by Mr. Ashu Shinghal, Managing Director; Mr. San jay Shende, Deputy Managing Director; Mr. Rajesh Patel, our Chief Financial Officer; and Mr. Rajesh Wagle, Senior Vice President, Marketing.
Before we start, I'd just like to read the disclaimer on behalf of the company. So I would like to mention that some of the statements made in today's discussion may be forward -looking in nature, and we believe that expectations contained in the statement are reasonable. However, these statements involve a number of risks and uncertainties that may lead to different results. The risks related to these statements are included, but not limited to fluctuations of sales volume foreign exchange and the cost of ability to manage the growth.
We urge you to consider that quarterly numbers are not a reflection of long -term trends or indication of full year results. And this should not be attempted to be extrapolated or interpolated into a full -year number. In case of any queries, please feel free to get in touch with the Ernst & Young Investor Relations team.
With that said, so I just wanted to say that today's session will be an opening remarks by the management and followed by the question and answer round . So I now hand over the call to the management.
Over to you sir.
Ashu Shinghal: Yes. Very good afternoon to all of you. First of all, on behalf of management of Mahanagar Gas, I wish all of you a very happy Akshaya Tritiya. And just to put on record, Mr. Sanjay Shende, the Deputy Managing Director, is not here today. So it is being at tended by other 3 members from the management.
Good afternoon, and welcome to earnings call of Mahanagar Gas for the fourth quarter of the financial year 2023 -24. I would like to thank all of you for attending our earnings call today. I take this opportunity to highlight few accomplishments during this financial year. We have commissioned 36 new CNG stations and upgraded 45 existing CNG stations, which is the highest number achieved in the history of the company.
We have provided 3,20,125 domestic PNG connections. And along with our subsidiary, Unison Enviro, we have completed 3,30,000, which is highest in the country by any CGD entity. We have completed acquisition of 100% stake in Unison Enviro Private Limited and is now a wholly -owned subsidiary of Mahanagar Gas.
We have started the JV company, Mahanagar LNG Private Limited, with 51% equity holding , for supplying LNG to vehicles and a step towards developing the supply -side LNG corridor ecosystem.
We have also made equity investments in 3EV Industries Private Limited, a start -up in the business of manufacturing 3 -wheeler cargo and passenger electric vehicles. And also, they have

a business of last mile mobility through their associate company. MGL has signed MoU with MCGM for setting up of a CBG plant in Mumbai.
We have achieved highest volume of sales, which is 3.609 mmscmd. MGL continues to create CGD infrastructure across its licensed areas. During this quarter, we have achieved 1,17,279 domestic household connections. And thus, we have established connectivity for nearly 2.49 million households in the 3 GAs. We have also laid 226.04 kilometers of steel and PE pipeline during this quarter, thereby taking the aggregated pipeline length to 6,968 kilometers.
We have added 28 CNG stations during the quarter. And with this, we have 347 CNG stations as on 31st March '24. We also have added 108 industrial and commercial customers during this quarter. And thus, as on 31st March '24, we have 4,769 industrial and com mercial customers.
In r

espect of our Raigad GA, we are connected to 80,041 domestic households and 47 CNG stations which are currently under operation. During the quarter, we laid 13 -kilometer of pipeline in Raigad GA, thereby taking the total length of pipeline to 416 kilometer in Raigad.
Coming to MGL's operations, average sales volume for the year is 3.609 mmscmd, whereas it was 3.423 mmscmd in the last year. Thus, there is an increase of 5.45% in the overall sales volume compared to previous year.
Average sales volume for the year ended 31st March '24 of 3.609 consists of CNG volume of 2.549, domestic volume of 0.52 and industrial and commercial volume of 0.499 mmscmd.
Compared to the previous years, sales volume in case of CNG has increased from 2. 492 to 2.591 mmscmd, which is an increase of 3.98%. Domestic CNG sales volume has also increased from 0.487 to 0.58, which is an increase of 6.72%. And in case of I&C, volume has increased from 0.444 to 0.499 mmscmd, which is an increase of 12.32%.
Coming to quarter -on-quarter comparison, average sales volume of Q4 is 3.779 mmscmd as compared to previous quarter of 3.671. Such average sales volume of 3.779 consists of CNG volume of 2.666, domestic CNG volume of 0.563 and I&C volume of 0.55 mmscmd.
EBITDA for the financial year is INR 1,843 crores compared to previous financial year of EBITDA of INR 1,184 crores, which is an increase of 56%. Net PAT for the current financial year for FY 2023 -24 is INR 1,289 crores compared to net PAT for the previous financial year of INR 790 crores, which is an increase of 63%.
Net PAT for the quarter is INR265 crores as compared to previous quarter net PAT of INR317 crores. In consolidated results, operation for 2 months of Unison Enviro Private Limited are included from the date of acquiring control. That is from 1st of February to 31st March '24.
Mahanagar LNG Private Limited has started its construction activities and yet to start the sales operation as on 31st March '24. We continue our initiatives in environment, safety and CSR activities. During this quarter, MGL is bestowed with the 2nd prize of 18th CII Western Region HSE Awards and in Excellence & Innovation Award 2024.

I'm happy to announce that Board of Directors has proposed a final dividend of INR18 per equity share for the financial year '23 -'24. Thus, total dividend for the year, including interim dividend already paid is INR30 per share. That is 300% of the face value of INR10 per equity share.
With this, I will conclude my opening remarks and would now like to open the floor for questions. Thank you very much for your patient listening.
Moderator: The first question is from the line of Probal Sen from ICICI Securities.
Probal Sen: I have a couple of questions. Firstly, in terms of the cost in this quarter, there seems to be a sudden increase in the operating expenditure in the sense that other Op ex has gone up very sharply and Op ex for SCM is also probably the highest we've seen in the last 6 quarters. We just wanted to understand the reasons for this, sir.
Management : See, in line with the volumes increasing, some of the volume -linked expenses have certainly gone up, like power and fuel, LCV, transportation, dispensing charges, etc .. And in case of fixed overheads, some of these expenses have gone up. Mainly, there is an increase on account of the marketing scheme we introduced for promotion of CNG vehicles. So almost more than INR25 crores has been spent during the quarter on account of these marketing schemes, which is the main component of comparative incr ease from around INR168 crores in the previous quarter to around INR192 crores this year. So this is a kind of one -time expenditure, and we have finished with the schemes at the moment as of March . So this is not ongoing or a recurring expenditure, INR25 crores odd amount.
Probal Sen: Sir,

as a recurring number, sir, we should continue to see it around basically the INR5.9 to around INR6 in SCM kind of a range, adjusted, of course, for inflation impact. Is that a fair way to look

at it?
Opex for SCM, sir. If I look at the average, for example, till about Q4 for the last several quarters, it was at somewhere around INR5.7 to INR5.8 per SCM, including, of course, raw material charges.
Management : Understood. Yes. So there could be a one -time increase of around INR0.20, INR0.25 on account of these schemes and certain things. Also, in Q4, some of the expenses on account of maintenance, etc, are taken up, which is slightly lower in earlier quarter because most of the things starts after October, and then, it gets finished by t he year -end or mid of May, which is the construction season.
Apart from that, let's say, whatever is the spending on account of CSR expenses, those are also if there is something unspent which gets booked in the last quarter. So all this put together may be accounting for around 20-25 paise Opex higher, of course, but the marketing expenses are one of its kind. And depending on how frequently we take up such activity, it could be there. Otherwise, it may not impact the Op ex as such on an ongoing basis.
Probal Sen: Understood. The second question was with respect to the gas cost. Just wanted to know what was the priority gas allocation as a percentage this quarter. And is that the primary reason why there is a Q -o-Q increase in the gas cost per unit? Is that a fair w ay to look at it?

Management : Yes. yes. In this quarter, on an average, we have been able to get around 74% APM compared to our sales in the priority sector. But with the availability of HPHT, I think still the weighted average has remained well under control, in the range of around, l et's say, $7.25 or $7.3 per MMBtu.
Probal Sen: Right. And going forward, sir, basically, if I can get a sense in terms of the sourcing mix now, given that volumes will also increase by maybe around -- as the guidance given, 5.5%, 6%, will we need to source basically higher spot LNG, given the trend in this lower -- consistently declining allocation?
Management : You're right, maybe spot, or it could be through some term contracts. As of now, we have almost 0.75-odd Henry Hub contract, which we are not utilizing completely for our I&C requirement. So we are in a comfortable position. And this gas, –even if we draw up to 100%, we can use Henry Hub also. And as you are aware, currently, I think spot prices are quite comfortable and maybe sometimes lower than even HPHT. So we try and blend even spot, if possible, to the extent of whatever term contracts we can ramp down, okay?
So yes, you're right that if there is a 5%, 6% growth, and if there is no increase in APM, of course, in the first quarter, there was, I think, temporary issue from ONGC side, whereby the production was down. Initially, some more cut was there, and it was again restored by some percentage. So depending on how much is the production from ONGC, balance will hav e to be sourced through HPHT and either term contracts or spot.
Probal Sen: Sir, one last question or suggestion, if I may. If I look at the kind of improvement that's happening in terms of our cash flows, in terms of our operating cash flows and in terms of our free cash flow, there is a lot of leeway in terms of either increasin g dividend or looking at more substantial acquisitions itself. Just wanted your thoughts on how the management is looking at capital deployment because the danger is that this kind of surplus cash flow getting generated, your return ratios can see a little bit of moderation even if enough capital deployment avenue is not there. What's your thoughts on that will be appreciated.
Management : Yes, yes. Your observation is very correct. If you look at this year full year, o

ur surplus would
have been in the range of INR2,000 crores plus. But today, my surplus is in the range of INR1,400 crores, INR1,500 crores. Around INR560 crores, we have spent on acquisition of Unison Enviro. Another INR50 crores we have invested in this company called 3EV Industries Private Limited, which is into manufacturing of 3 -wheeler cargo and passenger vehicles. Some amount of Cap ex or equity infusion we hav e done in the new joint venture, which we formed for catering to LNG supply to the vehicles, okay . And of course, we have signed the MoU with MCGM for setting up the CGD plant where we expect at least INR100 crores plus of equity infusion, but of course, it will be in a phased manner.
Having said that, you must have also heard that MD said, this year the final dividend, which is at INR18, so total dividend for the year is INR30 per share, 300%, which is a substantial increase compared to the last year. We had given INR26 total dividend last year. We have increased it almost by 40% .,

And as far as new opportunities are concerned, we are keeping a tab, and let's see, as and when there is a suitable opportunity, our endeavour is there to deploy our surplus cash to either diversify and make the existing business more of this. We have also incurred this year a Cap ex of almost INR775 crores, okay . And our endeavour is to spend more.
If you heard the number of stations laid, we have achieved, I think, highest station in this year, 36 stations. 45 stations are upgraded. Number of connections given are also highest. So our endeavour is to spend more and more Cap ex going forward and utilize our surplus to tap the balance potential in these areas.
Going forward also, in the case of UEPL, currently also what we have done is we have repaid their borrowing by giving unsecured loan from MGL to the extent of INR200 crores. And we would be funding them at least for 2, 3 years till they start accruing cash and which is being utilized for their own Cap ex through internal generation. So there also, we expect that around INR150 to 200 crores will be utilized apart from MGL Cap ex, which is already in the range of INR800 crores per annum .
So I think all efforts are being made to see that we do the capital investment and go ahead, use the surplus as far as possible . Other options, we will consider if need be. We are open to all those options.
Moderator: The next question is from the line of Niharika from Aequitas Investments.
Niharika: My first question is what is the breakup of the intangible asset of INR520 crores in the consolidated balance sheet? And this is over and above the goodwill of INR71 crores.
Management : See, as for the accounting standards, there is a timeline of 1 year for accounting the acquisitions, okay . So currently, whatever accounting we have done is a provisional accounting based on the valuation report, which we have received from the valuer.
See, we have acquired this company or we got the control on 1st of February, so hardly 2 months. So during that period, the valuer has visited all the assets, and they have submitted their valuation report. So whatever numbers are being now accounted are p rovisional, and we will be coming up with the actual numbers based on the final report, which the management accepts from the valuer and the valuer is able to finalize. You need any specific information with respect to valuation from what I accounted?
Niharika: Actually, I would want to know that. What are these intangible assets? Are these geographies...
Management : So major intangible asset in case of a CGD entity is basically valuation of the authorization, okay . Apart from that, it is a normal case with any other business which we acquire, so like it is from customer relations, the established form of workforce and the structure of the ongoing business, which generates a normal

goodwill. So other than goodwill, th e major amount is on account of license authorization, which is accounted as intangible.

Management : And in this license, we get the right to market the gas to all the customers, including CNG, PNG and I&C for the economic life of the whole project and the whole 3 GAs. So if you take into that account, that numbers are currently given as intangible assets .
Moderator: The next question is from the line of Yogesh Patil from D aulat Capital.
Yogesh Patil: Sir, you just mentioned that total term contracts are of 0.75 mmscmd. Can you please provide the breakup in terms of how much is Henry Hub, Brent link and the KG -D6 HPHT?
Management : So I just mentioned 0.75 is Henry Hub, around 0.1 is our Brent link, okay . And roughly 0.49 or 0.5 is HPHT term contracts. These are the 3 term contracts currently we have.
Yogesh Patil: And 0.75, we are not utilizing completely?
Management : Yes. Because currently, our requirement is slightly lower than that.
Yogesh Patil: Okay. Sir, second question, vehicle addition details. How many CNG vehicle additions you have noticed in Q4? And how many of them are passenger vehicles, commercial vehicles, taxis and autorickshaws? Along with this, if you could share the MSRTC CNG bus ad ditions in the last 3 months and expected additions in the next 6 months?
Management : The CNG vehicle addition in Q4 was slightly more than 20,000 numbers, out of which about 13,000 were private cars. About 5,400 were autorickshaws, and about 1,400 were small commercial vehicles. As regards MSRTC, they have succeeded in converting and brin ging on the road, 300 of their buses cumulatively in our GAs, in the depots that we have set up our CNG facilities, and we are expecting 100 more to add on in the next 1 or 2 quarters.
Yogesh Patil: Okay. Okay. Sir, one question related to volumes. Your company has stopped providing CNG discount coupons from 1st Jan 2024 for the passenger vehicles. And we see quarter -on-quarter CNG volume growth is quite muted in Q4. So is this a right way to analyze the muted growth over quarter -on-quarter for the CNG? Or is there any reason Q -on-Q growth for the CNG volume is only 1%?

Management : Just to put the marketing schemes in right perspective, it was not a discount on CNG. It was a scheme where a person buys a car, we were giving INR20,000 worth of gas coupon, and he can use it for filling those coupons for -- at our stations. So that was not a discount on the CNG sale as such, okay .
Management: But having said that, the total number of vehicles which added, these are passenger vehicles, which were added in Q3 or Q4, for that matter, was between 13,000 and 15,000. Now, this is on a base of almost 9, 10 lakh vehicles. And these private cars, the pe r capita consumption is relatively lower. So it may not be correct to attribute stoppage of giving this INR20,000 incentive from 1st Jan onwards to any muted CNG growth because CNG growth major drivers is not incremental passenger cars in a way. It is comi ng from how the existing large customer base is using CNG, what is the per capita fill moving like and how much they are consuming.

Management : To that, I would just like to add, Yogesh, if you look at my numbers traditionally also, Q3 is generally good, and there is slightly seasonality, and volumes are lower or the increase is not that high in Q4. So though there is a net increase from Q3 to Q4, because of seasonality, the volume increase or the vehicle addition which has happened is not getting reflected correctly in the volumes clock ed for Q4. If you look at even last year, my Q3 volumes were around 2.47, whereas Q4 was 2.41. So thi s year, there is a net increase, which is actually because of the addition of these vehicles. It will start showing results in the quart

ers going forward.
Yogesh Patil: Okay. And the last one, your company completed the acquisition of 3 new GAs in February. So the volume of these 3 GAs are included in the reported volume, which we reported 3.79 mmscmd. Please correct me if I'm wrong on this side.
Management : No, it was excluding those volumes. The metrics which was given in the stock exchanges was only for the stand -alone if you see the paper, okay . And the numbers which MD discussed in the speech were also only stand -alone MGL. But just to give you the information on UEPL volume, UEPL has clocked around 0.14 mmscmd volume in the quarter -- 1,40,000 volumes in the quarter 4 on an average.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: Just wanted to understand more about the volume growth. From the INR25 crores scheme expenses that we have done this time, what is the translation of the benefit in terms of the number of vehicle additions? And was it primarily for the MHCV segment where we have spent this incentives?
Management : Well, if you look at the commercial goods vehicle segment and if you exclude the very small commercial vehicles and talk of only above 1 ton kind of a range, we have been witnessing a pretty good percentage growth in the numbers pursuant to the scheme. However, on an absolute basis, that has not really started to move the needle on the overall CNG sale yet. We expect it to take a few more quar ters and for these numbers to really hit a level where they will start materially moving CNG volumes, right?
Just to give you an example of trucks, etc., I mean, we were doing a negligible amount of additional trucks every quarter, but then Q3, we managed to do 67; Q4, 97. So traction is coming. And along with the OEs, we are pushing transporters, fleet owners, etc. to adopt more and more CNG.
Kirtan Mehta: Understood. About the commercial scheme, in terms of the INR25 crores that you have spent, which segment was it spent on?
Management : It was both passenger car vehicle -- cars with Maruti and Honda, etc., as well as OE -fitted commercial goods vehicles from Ashok Leyland , Tata Motors, Volvo , Eicher, etcetera, as well as with 2 parties who are retrofitting commercial goods vehicles and 2 parties who are retrofitting private cars. So combination of all this is about that INR25-odd crores.
Kirtan Mehta: I'm slightly confused, sir. The way we said is that from the 1st of January, we have stopped sort of issuing the discount coupon on the passenger vehicles, but...

Management : Passenger vehicles, we have stopped. We have not stopped the commercial goods vehicles.
Kirtan Mehta: So the expense that we have booked from INR157 crores to INR192 crores in Q4, does it still relate to the past bookings that we have done in the passenger vehicles?
Management : No, no. Nothing of the past quarter. But yes, apart from the schemes, we have also done some amount of advertising in media, television and maybe on newspapers and highways, that also is included in this INR25 crores. The CNG drive, PNG drive, if you see and look at the bus stops,

some of the highways, there has been a good amount of advertisement and as well as on the radios we have done. It includes some amount of PNG promotion as well.
Kirtan Mehta: And do we intend to continue with this promotion? Or do we like to sort of stop at this point and see the benefits?
Management : We have been discussing this with the vehicle manufacturer. What we are getting from them is saying that promotional schemes have to be intermittent. They cannot track on for a long time. Otherwise, the urgency and the imminent sense of – that the customer has to feel that, okay, if I don't buy now, maybe after 2 months, I will not get this opportunity. So that angle goes away if you have it in a long stretch. So that is why we 've decided

jointly to give a break.
As and when the time is appropriate, we will again engage with the passenger car vehicle manufacturers to re -engage. But, however, in the commercial goods segment, where we are seeing a good case for continuing our promotions because the value proposition also for us is very high, and those numbers are relatively small. It is more of B2B, catching hold of transpo rters, convincing them where this delta of 3 lakhs or 5 lakhs, which we are pitching with, and the OE also pitches in with something from his side, that makes a good difference.
So from literally zero adoption, we have moved to now a few hundreds coming on, adding on every month or so, whereas if you look at the passenger car vehicles, the delta from the schemes has not really been that much, I mean, maybe 10% or 20% we might have got. But in the commercial goods vehicle, the percentage increase is very high.
Kirtan Mehta: Understood. Just similar thing on the industrial and commercial side, our volume has increased from 0.45 a year ago to 0.55. What has been the driver for this increase? And how can -- how do we extrapolate this in the future?
Management : The drivers for this, something we had mentioned earlier also, there were some key pricing policy interventions, which we talked about a year, 1.5 years back, in which we almost guaranteed all new customers -- large new customers of a 10% discount to FO fo r 3 years if they used our gas.
Now that guaranteed 10% discount enabled us to sign up more than 1 lakh SCMD worth of new contracts, and many of those have now come on stream. So that is where you're seeing roughly 12% increase in volumes in I&C. As on date, we have another 1 lakh SCMD w orth of industrial contracts, which we will be connecting in the coming year, I mean, after the construction season starts in October, November, so maybe Q3, Q4, those sellers will add. 1 or 2 may add on in the

next by May, June. And we are expecting to see double -digit growth in the I&C segment in this financial year also.
Moderator: The next question is from the line of Vivekanand Sub baraman from AMBIT Capital.
Vivekanand Subbaraman: Can you explain to us the commissions that you're paying to the OMCs for hosting -- for the sale of CNG through their outlets? That's question one.
Secondly, you have commitments to invest in CBG. When is your first plant coming on stream? And what's the potential that you're looking at in terms of substituting your current sourcing of either HPHT gas or RLNG with CBG over the next 3 years?
Management : Answer to your first question with respect to OMC trade margins. See, the trade margins are decided based on the class of city they're having the stations with us. So for metro city, the commission is in the range of around INR5.40 per kg and depending on the other class of city, class A, B, C, it goes down as low as around INR4.68 -- INR4.60. And in C class city, it goes to around INR3.70 per kg. So this is the range depending on where is the station located of oil marketing company.
Management : Regarding the CBG plant, we have signed an MoU with BMC, and our Board has also approved the investment proposal. We are waiting for the land to be get in our possession. And once we get the possession of the land, it will take around 1.5 years to get the plant running and commissioning. The quantity is not very high. I mean it is around 30 tons per day for 500 TPD plants, so around 55 to 60 tons of CBG will be produced, which is equivalent to around 70,000 SCMD, which is not a very significant number considering our whole volumes of 3.6 mmscmd, that is 36 lakhs cubic meter per day. So that's a very small number. It will be maybe consumed during the growth of the company year -on-year.
Vivekanand Subbaraman: Okay. And just one follow -up on the trade margins to OMC's . Is there still any disput

e between
the industry, the CGD sector and the OMCs on trade margins? Or have those issues been resolved already?
Management : There were some discussions going on. We have -- I mean, this is a continuous engagement with OMCs. And as a matter of this discussion, Ministry also was getting involved for some time,

and they have issued some broad guidelines as all India basis. So ther e is no dispute as such barring that for an interim period of 1.5 years the numbers are yet to be frozen, which are getting negotiated with the OMCs, which we expect that will be resolved in a few months' time.
Management : To add, there is no impact as such of such things on financials because we have been adequately providing all those estimates if any of that.
Management : Provisions have also been created in the accounts.
Vivekanand Subbaraman: Sorry, just to follow up further. So are you paying currently less than the amount you mentioned? And is there any amount that you are providing for but not yet paying?

Management : No, no. As MD said, we have already settled for the current period, and it has been paid at the rates agreed, but some period in between intermittent in the past, there are some settlements still pending and negotiations are on and which I'm saying are ade quately provided by us.
Vivekanand Subbaraman: Okay. How much is that amount?
Management : I think I can't put that amount, okay .
Management : Not very significant, otherwise.
Management: Not significant, not possible to quantify accurately also this point in time.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.
S. Ramesh: Sir, if you look at your consolidated results and try to break it up, I get a revenue of around INR56 crores and a loss of INR12 crores before tax and the gross contribution of INR31 crores , presumably for the Unison Enviro and the gross margin seems to be very high, if we just take February, March volumes on that 0.14 run rate. Sir, can you give us some sense in terms of what is the aggregate volume MGL has done for February, March in the consolidation? And what is the gross margin? And when do you expect to turn around this PBT loss to EBITDA positive? We don't know whether the EBITDA is positive or positive gross margin. So what is the reading in terms of how much it can grow in FY 2025 -26? And what is the kind of EBITDA run rate you can expect, say, over the next 2 years? And when do you expect to see positive profits at the pre-tax level?
Management : Mr. Ramesh, there are 2 things. When you consolidate the results, there is certainly some impact of the valuation and the values which are attributable to license, those are also amortized. So straight away, you can't compare the stand -alone entities resul t by minusing the consolidated results of MGL, okay .
So there are some charge, which are noncash charge, which are appearing in the consolidated results. And hence, you see a gap of whatever number you said, around INR12 crores, okay . Just to confirm on an annual basis, as earlier also, we have said, Unison is an EBITDA -positive company. And currently, they are making around INR60 crores EBITDA per annum. That is a range. And as I said, average sales is in the range of 1,40,000 cubic meter or 0.14 mmscmd.
S. Ramesh: So -- and how do you see that growing in the next 2 years in terms of percentage growth?
Management : See, all new CGDs have a better growth. And our endeavour is to put up the pipelines and connect most of these stations. Currently, they are having most of the stations. Out of 55 -odd stations almost, only 4 stations are online, 4 or 5. So as soon as we are able to connect through pipeline, the throughput per st ation will go up. Apart from that, our endeavour is to put up more stations to capture the volumes in those areas.
As we have said earlier also in the call

that as for our estimate, the overall terminal volumes, which can be achieved over 7, 8 years are in the range of 1.2 mmscmd. And gradually, I think it should be a double -digit growth if you are able to put up these stations and convert some of the

existing stations from DBS to Online and also some of the industrial and domestic potentials in these 3 GAs.
Management : See, we have recently taken over the company, and we have aggressive plans for both CapEx and also looking into the way the business is being conducted there. So as CFO mentioned, we expect that the growth will be in double digits in terms of volume. And w e want to capture both CNG volume, which is the main profit and the volume with revenue generating from the Unison plus industry and commercial in some of the sectors in Ratnagiri also we are targeting. So we expect that growth will continue. A nd with the aggressive plan in the Cap ex, the results will start coming in from maybe next financial year.
S. Ramesh: Okay. Is it possible to quantify these noncash charges in consolidation on order of magnitude basis?

Management : Sir, at this moment, I think it will not be really appropriate to do that because, as I said earlier, we have accounted this intangible on the provisional basis because the accounting standards permit us almost a period of 1 year and then freeze the valuat ion. Also, in these 2 months, some of the one -time expenditures, which are spent for obtaining the transfer from PNGRB and then other management consultancy expenses for doing this deal apart from the notional valuation charge which might have gone in the consolidated profit and loss account.
When you see the full year on or full quarter on expenses, I mean, the results, you will get a better feel of the results. I think 2 months is a period . Also, a lot of realignment of MGL policy and their policy we have done. So we have taken some credits also in this consolidated results. So once you see the first quarter, we will be able to see properly what is stand -alone UEPL as such, okay .
S. Ramesh: So one more thought. Now, in terms of your growth for the next 4 to 8 quarters, is it fair to assume that your industrial and commercial may possibly grow faster than CNG on the kind of trends we are seeing or what we hear from other companies?
And secondly, can you give us some sense in terms of how you see the commercial for LNG retailing move in terms of the discount versus diesel? And how do you see the vehicle additions there? What is the roadmap there?
Management: On your first question, yes, for the next 4 to 8 quarters, we expect the industrial and commercial sales volumes to grow in double digits, which will be more than CNG or domestic PNG.
Management : LNG prices are slightly discount to diesel. Right now , to promote the industry, we have recently commissioned our Savroli station last year, so we are also promoting the sale in terms of getting more contracts there. So , we have developed the fixed margin on our cost plus basis and trying to promote this as a product in substitute to diesel. So as of now, we are selling around 4 tons per day of LNG from that station on an average basis, which has picked up over the last few months, and we expect that this financial year, it will be much better.
S. Ramesh: Any sense you can give in terms of how you see that growing, say, in the next 2 years, 3 years?

Management : Another point is that we have already established a joint venture company with Baidyanath LNG with 51:49 equity investment. So first station is expected to be commissioned from that joint venture in 1 month's time. And during the year, we are expected to ad d another 4 stations during this financial year. So the volumes will pick up from Savroli because that station is more or less established.

For this joint venture company, also some volume will start picking up during this financial year. Capacity of this station is around 10, 15 tons per day. So , we are at average sale of 4 tons, and it can go up during the financial year, and we expect 2, 3 quarters down the line it would increase.
Moderator: The next question is from the line of Nitin Tiwari from Philip Capital.
Nitin Tiwari: Just a few bookkeeping questions. So if you can help me with the CNG sales in kgs and also the breakup of industrial and commercial sales in respective industrial and commercial segments? Currently, I do not know if you can give the breakup of total number of I&C customers that you mentioned between industrial and commercial customers. So that would be one.
Management : In terms of kg, for Q4, we have sold around 1.94 million kgs, okay . In industry, we have sold around 0.418 mmscmd, okay . And other than industry, that is commercial, it is roughly 0.142.

Nitin Tiwari: Understood. And sir, a breakup of the number of I&C customers between industrial and commercial? I suppose the number that you mentioned was 4,769. 4,769 is the total number of I&C consumers that we have, right? So , if we can break that in industrial and commercial separately.

Management: Roughly, slightly more than 4,000 would be commercial. Industrial should be about 300 -400. And we'll get back with the exact number.
Nitin Tiwari: Sure, sir. Sir, I just wanted to have 2 clarifications. One, on the margin guidance, so in the previous quarter we mentioned that we are guiding for a margin of 9% to 11%. So do we maintain that guidance? That's one. And secondly, a clarification on the coupons that you mentioned for -- basically it was promotional in nature. So have we completely expensed these coupons or there is also some revenue that would have been booked with respect to CNG sales, which will be a ssociated with these coup ons getting utilized?
Management : I'm not very clear about the second question. As I said, the person who buys the vehicle, we were giving him the coupon for filling up CNG, okay? So obviously, if that coupon is getting utilized on my outlet and the corresponding sale is in my books, so if you look at actual cost to me, let's say, if I'm giving a coupon of INR20,000, so my cost is actually gas cost. But of course, he gets the value, which is the MRP of the gas he fills. So , let's say somebody has filled up 10

kg of gas, and my gas is at INR80, he gets worth INR8 00, whereas my cost is different because
I also make a margin on that particular volume, which has gone to him.

Nitin Tiwari: Yes, sir. Actually, sir, I was just trying to get a sense around the accounting aspect of this transaction only. So basically, you've given a coupon for INR20,000, and the person utilizes the coupon and the gas gets filled, as you mentioned, like your -- so basically, there is no revenue, which will be booked against this utilization of gas and it will only...
Management : One-on-one, there is no revenue linkage. It will be coupon costs, which will be booked as my marketing expense, and revenue will get booked as and when he utilizes. That I'm not supposed to link and see, though I may track it from the perspective of contro l that how much was issued and how much has been utilized or unutilized, okay .
Nitin Tiwari: So basically, out of this INR20,000, there is some benefit which will accrue to you because of that differential you spoke about between...
Management : Indirectly. Indirectly, it's my profit or gross margin that accrues to the company. Yes.
Nitin Tiwari: Understood, sir. And about the EBITDA margin guidance, do we maintain the INR9 to INR11 per SCM number?
Management : Yes. I think if you look at current year average also, we are quite comfortable and even if we expect that some amount of weighted average

gas cost going up. But with volume increase, we should have a good control on Op ex once this initiative of marketing CNG vehicle pays off. So currently, average of 13.95% is our EBITDA per SCM. So even if we expect some cost increase and gas costs going up, we are still comfortable with the range of 9% to 11% in the long -term, I mean.
Management: As far as the previous question, about the breakup of industrial and commercial, out of the 4,700 -odd I&C customers, 4,300 roughly are commercial, 460 -odd are industrial.
Moderator: The next question is from the line of Dhaval Joshi from Dymon Asia.
Dhaval Joshi: I'm sorry, I joined in a bit late. If you can just let me know about the volume guidance that you've given for FY 2025 -26, volume growth guidance?
Management : We have not talked about volume growth for this financial year, which is 2024 -25. What we have disclosed all the numbers, which we achieved for 2023 -24 vis-à-vis 2022 -23. So, there is a growth of around 5.5% compared to the last financial year, 3.423 mmscmd was the overall volume. And this year, we have achieved 3.609 mmscmd.
Dhaval Joshi: So how do you see the growth for 2025 -26 then sir?
Management : For this 2024 -25 and next financial year, we expect growth to be slightly better than 5.4% -- 5.5%, maybe in the range of 6% to 7%. Our internal targets are more aggressive, but we expect around 5% to 6% or 6% to 7% will be the numbers.
Dhaval Joshi: And this you're talking purely of CNG or the total volumes, including the industrial and the commercial segment?
Management : This includes both CNG, DPNG and commercial.

Management: Again, since CNG is almost 2/3 of our volume or more than 70% in fact, CNG growth will be very close to this number. We have mentioned that industrial and commercial, we will expect low double -digit growth. The remaining will be DPNG.
Dhaval Joshi: Okay. And sir, given right now our margins are lower in the industrial segment, with the higher growth out over there, our margins should be a bit lower on a sequential basis or do you think, sir, you'll be able to make it up through the CNG sales?
Management: No, no. Look margin per SCM may go down, but on absolute term, the margins will go up.
Dhaval Joshi: Yes, yes. I was talking of the margin per SCM?
Management: No, no, there's a trade -off there, no, because at a particular selling price level, there is a section of customers who doesn't come on board because FO is cheaper for them. If you want that volume, you have to take a hit on your margin. You can't get them with keeping a INR8 or INR10 margin, I mean, but you can always still work with the INR4, INR5 margin and get that volume. So overall, in absolute terms, you are gaining. But yes, the percentage increase in volume as long as that is higher than the percen tage decrease in price, I mean, you are good financially.
Management : Secondly, when you look at margins of maybe CNG and domestic on a gross margin level basis, you may feel, okay, they are higher than industrial, commercial. But when you look at a total OpEx level basis, you incur a lot of expenses, and more of the facilit ies are deployed for catering

to domestic segment, okay, and CNG segment. So other operating expenses like power and fuel, LCV -based , in case of domestic, the billing of the customer collection and all that is pretty high.So when you include al l that operating expenses or overheads in case of DPNG, and there is a very less amount of such kind of expenses in case of industrial or commercial customer, where volume consumed is larger per customer, so more or less, the margin after adding the respec tive direct operating expenses are still comparable or reasonably good.
Dhaval Joshi: Okay. I'll just repeat, you said 6% to 7% is what you are guiding in terms of volumes, although your internal targets are much higher

. And this is for the standalone, right? I'm assuming this is not considering the acquisition.
Management : Yes, that's right.
Moderator: The next question is from the line of Amit Rustagi from UBS.
Amit Rustagi: And for posting a wonderful result on the volume front. Sir, my question pertains to the CNG stations. So we have added a historic number of 36 stations this year. So can you guide us like how many stations we can expect to add in the coming years, like FY 2025 and 2026 ? And when most of these stations came, where they came in first half or did the stations came in second half? And then based on the last 2 quarters, we're seeing we are posting double -digit growth. So can we expect that we can move to a grow th number of 8% to 9%, given the strong addition of CNG stations and the past 2 quarters' performance?

Management : See the CNG stations, as you have all rightly mentioned, we have achieved 36 number. But this year, FY 2025 , we expect to do much better in terms of CNG stations. Maybe more than 50 stations we are targeting to be completing this year and maybe around 40 to 50, around that number will be for FY 2026 .
Regarding the phasing of the stations, typically, the working season is limited. We have to get the land and the permissions. And, therefore, most of the stations get commissioned in Q4 of the financial year. And that the same trend we expect, but it's not that everything will be commissioned in the last quarter of the financial year. Q3 and Q4, we get the numbers, which are added on to this.
Management: And sometimes, we get a small amount of spillover . 2-3 stations, which we somehow missed the target in Q4, they spill over into Q1. So Q1 also really we see a bit of a small number of stations.
Amit Rustagi: Got it, sir. Sir, can we consider 8% to 9% kind of volume growth in the coming quarters? Within that, we are already posting the volume growth now.
Management : As there was a jump because of industry and commercial last quarter, we could add some more customers. And some more will be added in this Q1 and Q2 of this financial year. The main will have to come from CNG, which is the main thing which needs a push. So overall, considering IC, CNG and PNG, we expect 6% to 7% as mentioned earlier, but we will try to better it.
Moderator: The next question is from the line of Hemang Khanna from Nomura.
Hemang Khanna Firstly, could you please help us get a sense of what will be your CapEx guidance for FY 2025 , 2026 and 2027 ?
And the second question is relating to, could you give us the realizations for the industrial and commercial segments individually?
Management : As far as our CapEx guidance is concerned, we target and have an internal budget approval in the range of INR900 crores to 1,000 crores, at least in the next year. This year, we have clocked CapEx of around INR775 crores, okay . And the minimum we expect that we should be able to spend that much amount in CapEx because we are targeting higher stations compared to this year, we are targeting equally, domestic connections also higher than what we have done this year. With addition of UEPL, we'll be spending another maybe INR150 to 200 crores in those areas also, okay . So put together as a group, our CapEx should touch INR1,000 crores or a little more than INR1,000 crores, okay .

Coming to the margins of industrial, commercial, they range -- commercial A are typically -- we benchmark our prices to commercial LPG. And in case of industrial and commercial -- I mean, industry benchmark it to the alternate fuels like LSHS, FO, LDO. So the price realization depends on this alternate fuels and the gas cost, which I incur for these segments, okay?

If you want to know about what is my realization for this year, it was in the range of -- gross margin

level at least in the range of INR25 to INR30 depending on whether it is a commercial
A customer, B customer or C customer, that is it. And sometimes it has gone down to as low as
INR12 also.
If at times, Brent is lower, then I end up selling at a price where margin is lower, specifically
when a customer is very large, consuming maybe 10,000 -20,000 cubic meter, then we do give
that pricing so that my overall profitability, absolute profit increases, and we get volumes as
well.
Moderator: The next question is from the line of Somaiah V., from Avendus Spark.
Somaiah V: Sir, first question is on the CBG plant that you said. So what would be the CapEx for that 70,000
volume that you said?
Management : It will be around INR550 crores to INR600 crores for -- there will be 2 phases, one, 500 tons per
day of waste handling in Phase 1 and 500 tons per day of waste handling in phase 2. Cumulative,
put together, it will be INR550 crores to INR600 crores.
Somaiah V: Got it, sir. And this industrial and commercial, where you said -- where you assign contracts
giving at least a 10% discount to FO. So is there any gas price, because you are linked to Henry
Hub, beyond which this could be probably tough? I just want to understand, is there any hurdle
rate on the gas price?
Management : See, the gas price, we are having a portfolio mix of both, Henry Hub and other sources of gases.
Sometimes shortfall is managed through spot gas also. The margins are different, and we are not
exactly matching it with the procurement cost. The procurement is done on a portfolio basis, and
the selling is done on the alternate fuel linkage to the industry or the type of commercial customer
it is in. Like for commercial, LPG is the target price. And on discount to LPG, we sell -- industrial
LPG, we sell commercial PNG.
Industry also, we see the type of customer, and based on the category of customers, we have
different pricing structure for maintaining the price range. So it is not directly linked to
procurement costs as such.
Somaiah V: So one final question, this 0.75 of Henry Hub midterm contracts, is this take or pay?
Management : Yes. It is take or pay, but the take or pay is limited to 60%, around that range. And in the new
contract, it could be 70% to 80%. So a lot of flexibility is there. That's why we can switch over
either from reducing our term contract in some of these contracts and take spot if that makes
sense. Otherwise, we may go for full Henry Hub.
Moderator: The next question is from the line of Sunil Shah from 3PMS.
Sunil Shah: Sir, I somehow missed your statement earlier, so I just wanted to confirm that. Sir, the acquisition
that we have done where there are those 3 geographical areas, there are already 55 existing CNG
stations in that locality and majority of them are not onli ne. Is that the correct sense?

Ashu Shinghal: That's right. Around 50 to 55 stations are already functional. I mean, earlier it was 49 plus 7
were added, so around 56 stations are there, which are operating in these 3 geographical areas.
Most of them are DBS, i.e., daughter booster station and only very few are online stations.
Sunil Shah: Okay. Sir, so like in any other geographical area where, in Bombay, Thane, Raigad, we have
virtual monopoly, it applies to these 3 new geographical areas as well, like we'll be the only
supplier over a period of time?
Management : As a matter of policy, it is not only for MGL, it is on all India basis. These are not monopolies.
Actually, these are bidded areas. The PNG RB with the regulator issues the bids and interested
parties or entities they quote for it. And whosoever gets the highest bid, they get the license for
it...
Sunil Shah: For a 10 -year period.
Management : Not 10 years period. It is 25 infrastructure and 8 years marketing and exclusivity.
Sunil Shah: Okay. Sir, one last question.

The margin, which you stated, INR 5.4 for tier 1 cities, could you
please repeat those for tier 1, tier 2, tier 3, the final trade margin?
Management : Yes, it is 5.4 1 for metro, that is Mumbai main. Then, 4.68 for Thane and otherwise. And below
that, it is 4.3 8 or something, and then, 3.7 for rural and small areas.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the
conference over to the management for closing comments.
Management : So on behalf of MGL management, it is a pleasure that we have good results. I hope the investors
are also pleased with the overall financial performance of the company. This has been one of the
finest performances by the company in terms of both physical and financial numbers, as you
might have noticed. So thank you so much for having a faith in the company and keeping on
investing in the company. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited for improving readability)

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An ISO 9001, 14001 & 45001 Certified Company

Ref: MGL/CS/SE/2024/ 555 Date: August 01, 2024

To,
Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code/Symbol: 539957; MGL Head, Listing Compliance Department
National Stock Exchange of India Ltd
Exchange Plaza, Bandra –Kurla Complex,
Bandra (East),
Mumbai - 400051
Script Symbol : MGL

Sub: Transcript of Earnings Conference Call on Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2024

Dear Sir/ Madam,

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call held on July 26, 2024 on Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2024.

The transcript of the Earnings Conference Call uploaded on the website of the Company can be accessed through the web link:

The Earnings Conference Call was attended by following attendees on behalf of the Company:

Name of Management Attendees Designation
Mr. Ashu Shinghal Managing Director
Mr. Sanjay Shende Deputy Managing Director
Mr. Rajesh Patel Chief Financial Officer
Mr. Rajesh Wagle Senior Vice President, Marketing

Further, we wish to inform you that no unpublished price sensitive information was shared/ discussed in the call.

We request you to take the above information on your records.

Thanking You

Yours faithfully,

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer
Encl.: a/a

Mahanagar Gas Limited
Q1 FY 2025 Earnings Conference Call
July 26, 2024

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR
MR. SANJAY SHENDE – DEPUTY MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE – SENIOR VICE PRESIDENT , MARKETING
MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL (INDIA) PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Mahanagar Gas Limited Q1 FY '25 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited .
As a reminder, all the participants' line will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now have the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited . Thank you and over to you, sir.
Nitin Tiwari: Good evening, ladies and gentlemen. On behalf of PhillipCapital (India) Private Limited , I welcome everyone to first quarter FY '25 Earnings Call of Mahanagar Gas Limited.
We have the pleasure of having with us today the senior management team from MGL represented by Mr. Ashu Shinghal – Managing Director; Mr. Sanjay Shende – Deputy Managing Director; Mr. Rajesh Patel – Chief Financial Officer; and Mr. Rajesh Wagle – Senior Vice President, Marketing.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in the nature, and we believe that expectations contained in the statement are reasonable. However, these statements involve a number of risks and uncertainties that may lead to different results. We urge you to consider that quarterly numbers are not a reflection of long-term trends or indications of the full year results. And this should not be attempted to be extrapolated or interpolated into full -year number s.
With that, I will now hand over the call to management. Over to you, sir.
Ashu Singhal: A very good afternoon to all of you. Thank you, Nitin, for organizing this. So, good afternoon to all the investors on this earnings call of Mahanagar Gas Limited for the first quarter of the Financial Year '2 4-'25. I would like to thank you all for attending our Earnings Call.
MGL continued to create CGD infrastructure across its business segments in the licensed areas. During the quarter, 35,544 domestic households were connected, and thus we have established connectivity for nearly 2.53 million households. We have laid 85.51 k ilometer of steel and PE pipelines, taking the total length to over 7,054 kilometers. We have added 2 CNG stations during this quarter, and with this we have 348 stations as on 30th June, '24. We also have added 104 industrial and commercial customers dur ing this quarter, and therefore as on 30th June, we have 4,845 industrial and commercial customer s.
In respect of our Raigad GA, we have connected 80,854 domestic households and 47 CNG stations, which are currently under operation. During the quarter, we have laid 8 kilometers of pipeline in Raigad, thereby taking the total length of pipeline to 424 kilo meter in Raigad.

With respect to Unison Enviro Private Limited, a wholly owned subsidiary of MGL, the company has added 1 CNG station during this quarter and has a total of 57 CNG stations as on 30th June. During the quarter, 341 domestic households were connected, and cumulative household connections are 27,339 and UEPL has 57 industrial and commercial customers as on 30th June .
Overall, average gas sales for Q1 of the current year compared to the corresponding Q1 of the previous years has increased to 3.858 mmscmd from 3.412 , which is an increase of 13.1%.
Compared to Q1 of the current year compared to corresponding Q1 in previous year, sales volume in case of CNG has increased from 2.481 to 2.772 mmscmd, which is an increase of 11.7%. Sales volume for the domestic PNG has increased from 0.496 to 0.547 mmscmd, which is an increase of 10 .4%.
In the case of industrial and commercial sa

les, commercial sales volume has increased from 0.435
to 0.539 mmscmd, which is an increase of 23.8%. During the quarter, we achieved overall average sales of 3.585 mmscmd as against 3.779 in the previous quarter, which is a n increase of 2.1%. The current quarter volume consists of CNG volume of 2.772 and domestic PNG volume of 0.547, while 0.539 mmscmd of gas has been supplied to industrial and commercial segments.
Compared to the previous quarter, sales volume in the case of CNG has increased from 2.666 to 2.772 mmscmd, which is an increase of 4.01%. However, in the case of industrial and commercial, sales volume has marginally decreased from 0.55 to 0.539 mmscmd, with a decrease of 2.13%.
The sales for domestic PNG have marginally decreased from 0.563 to 0.547 mmscmd, which is a decrease of 2.8%. As per our past trend, it is observed that generally PNG volumes remain same or little lower maybe due to school vacatio ns and other seasonal reasons.
Current quarter EBITDA is Rs. 418 crores compared to the previous quarter EBITDA of Rs. 394 crores. EBITDA margin is 26.33% for the current quarter as compared to the previous quarter of EBITDA margin of 25.13%. Net profit after tax is Rs. 285 crores for the quarter as compared to Rs. 265 crores in the previous quarter, an increase of 7.4%.
Coming to UEPL, Unison Enviro Private limited. During the quarter, they have achieved an overall average sales volume of 0.168 mmscmd as against 0.146 mmscmd in the previous quarter, which is an increase of 14.51%. Current quarter volume consists of CNG vo lume of 0.165 mmscmd and PNG volume of 0.01 mmscmd. Therefore, MGL as a consolidated entity has achieved total sales volume for the quarter of 4.026 mmscmd.
There's a recent launch of CNG two -wheeler with Bajaj on 5th July, and also there has been announcement by TVF for introducing CNG scooters around first half of 2025. It has opened up new set of customers for CGD companies, and MGL sees it as another volum e growth opportunity considering the large number of two wheelers in the country. And we are gearing up to cater to this segment.
With this I conclude and would now like to open the floor for questions. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen: Good evening, sir. A couple of questions. Number one, what was the percentage of priority sector allocation for this quarter? And any sense you can give us in terms of what that number would be for the rest of the year?
Management: Current quarter APM allocation for the priority sector, that is CNG and domestic put together, was in the range of around 69%. And I think the previous quarter was around 73% - 74%. As respect to going forward I think we'll have to wait and watch how does it move. Last few quarters it has been reduced but let us see that the trend may get stabilized or may reduce slightly.
Probal Sen: So, sir, just extrapolating, this obviously means that our share of term LNG and spot LNG will continue to increase, assuming this because our volumes are also going up and the rate of decrease is fairly sharp the last few quarters. So, in terms of margins then, is Q1 run rate basically something that we should be sustaining? Or is there some scope for improvement, particularly spot LNG prices remain at the moderate levels that we have been seeing for the last few months?
Management: So, I think as you have seen in the last year also, quarter -on-quarter we have been adding HPHT as and when there is a decrease in the APM allocation. And our endeavor will be that blended cost for priority sector remains in this range. And I think if you see my Q1 results, we have been able to maintain or marginally improve.
Also, we have signed term contracts w

here we may be able to use it for priority in case the indexes
remain lower. And yes, if the spot also remains in the current range or goes down, we are hopeful that we will be able to maintain the gas cost, subject to, yes, APM allocation going down marginally or remaining same, not drastically going down. I think other factors like exchange rate also needs to be monitored. So, as of now we are confident that more or less gas cost will remain in this range.
Overall I think it is a comfortable position whatever guidance we have been giving in the past Rs. 10 to 12 per SCM EBITDA, we are hopeful that we will be able to achieve that for the year.
Probal Sen : Got it. The last question, if I may, if you can give, given the very strong volume growth numbers we have been seeing in the last couple of quarters, guidance obviously has been raised in a way by the management anyways to about 7% plus. Should we still h old on to that? And if you can kindly also give Unison what kind of growth should be there, given the relatively smaller base for at least '25 and '26, any indication, sir?
Management: Our CAGR volume guidance remains the same, I mean, slightly more than 6% - 7%. Quarter -on-quarter it can vary, we can have some strong quarters, some weak quarters. But directionally, we do not see any change. Of course, it is still a improvement from our last many years' average which has been maybe 5%, 6%. From there we are moving up, definitely.

Management: UEPL is, I mean, small volume, so we have seen a growth of around 14% as compared to the last quarter. But we expect that the volume growth in Unison will continue to happen because we have taken several steps after we have taken over the company. And the results will be visible during this financial year as well as coming few more years. So, we think that the volume base is small, but the growth rate will be more than 10% on year -on-year basis for at least few years to come in Unison, or maybe slightly more than that.
Management: You will see quarter -on-quarter 14%, with I think already almost 56 stations in place. And we endeavor to put more stations. You will see minimum double -digit growth, higher double -digit growth.
Probal Sen: So, mid-teens is what we should be working with, sir, roughly, on an annualized basis?
Management: Yes, mid -teens.
Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Congratulations for the great set of numbers. Sir, wanted to know about, considering the strong CNG volume growth, we wanted to know the CNG vehicle addition details during the quarter. And do you have any updates on the CNG buses addition by the MSRTC?
Management : Yes. During the quarter, roughly 20,800 odd vehicles were added on to CNG. This is compared to, let's say, 20,100 in the last quarter of last year. And MSRTC added about 90 buses during the quarter.
Yogesh Patil: Sir, can we get a little bit break up on the passenger vehicle, commercial vehicle, auto rickshaws, on these 20,800 CNG vehicle addition details?
Management : About 14,200 odd would be private cars, taxis, etc. Roughly 5,000 would be three wheelers. And the really small commercial vehicles, means the Tata Ace, Maruti Super Carry types will be about 1,200, 1,300. The remaining will be medium heavy commercial veh icles and buses. In buses, MSRTC's contribution was 90, BEST 's contribution was 59.
Yogesh Patil: Sir the second question is related to your capital expenditure plans for FY '25. How many new CNG stations additions or upgradations are expected in FY '25? And what was the CAPEX during the quarter?
Management : During the quarter, we have incurred CAPEX in the range of around Rs. 250 crores. And with stations, we are going to add ; we have set up a shift target around more than 50 stations we expect to

add this financial year in MGL alone, and maybe another 25 stations will be added in Unison Enviro. So, in total maybe around 75 stations will be added in the overall numbers, 350 + 57 of Unison, and another 75 will be added for this financial year. CNG stations.

Yogesh Patil: Sir, APM gas allocation sites, you mentioned that it was close to 69% during the quarter for FY '25, what is the current APM gas allocation run rate, any ballpark figure you can share, if possible?
Management: I said 69%. Currently also it is in the same range.
Yogesh Patil: Sir, just a few hours back we attended the IGL call and they mentioned that they are getting a 62% APM gas allocation for the priority segment. So, the difference in APM gas allocation is due to the CNG volume growth or any other reason? And just wanted to get some clarity on that.
Management : I think maybe there is a difference in the manner in which the percentage is worked out. Either it could be total volume versus priority, or it could be they are allocating first whole priority to domestic, balance available they may be comparing with the CNG. And that percentage that could be there. What I am telling you is total APM versus total priority gas sold, that is domestic plus CNG put together, that is 69%. So, I do not know in what manner the percentage is worked out or what is the b ase with which APM allocation is being compared.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: Basically on Unison Enviro, based on the volumes you have achieved so far, what is the kind of top line you have booked this quarter? And how do you see the EBITDA per SCM for the quarter and for the coming quarters in FY '25? And how do you see that impr oving, say, in FY '26?
Management: In terms of volumes, it was roughly 153 lakh SCM or 0.17 mmscmd, which is already touched upon in the call. In terms of value revenue, it is roughly Rs. 88 crores for the quarter Q1 of this year, as against Rs. 82 crores in the last quarter.
S. Ramesh: So, in terms of the earnings, EBITDA or EBITDA for SCM, can you give us some insight?
Management: EBITDA is more or less in similar range as MGL. Not sharing the exact number because there are certain costs which are specific to this Q1 and we taking over, so not very right way to compare it. But I will tell you, gross margins are also more or less in the similar range. Their prices are higher and their costs are a little bit higher. So, they are also in the range of or little more than in MGL, maybe Rs. 1 more than MGL in terms of EBITDA margin.
S. Ramesh: Just trying to get a sense, since you have shown the consolidated results, is the contribution from

Unison profit break even or a loss in your consolidating the result?
Management: So, I think as we have been informing you in the earlier calls also, UEPL as such is breaking even at EBITDA level, there is a cash profit. And for the quarter, there was a PAT of roughly Rs. 10 crores. However, when you see on consolidated basis, there are some notional entries that keeps on coming, so you will not get the correct picture, at least on the Quarter 1 . When you see our annual report, maybe you will be able to get more information on the details on an annual level basis for UEPL.

S. Ramesh: Understood. So, now if you look at your core business in terms of the Y -o-Y trend, when do you see the Y -o-Y trend reversing to growth? Will it happen in the second -half, or will you see that happen by FY '26? But last year was admittedly a very high base, so given the current run rate in conversions and potential for any improvement in EBITDA margins, with the Rs. 1.5 increase in prices, should we expect the earnings traj ectory to improve on a Y -o-Y basis to positive growth by second

-half or next year?
Management: Are you referring to volume growth this quarter?
S. Ramesh: I am talking about earnings growth. See, because if you look at your results, they're down, right, Y-o-Y its down. So, from an investors' perspective, you are doing the right things in terms of adding vehicles and showing growth in volumes. So, the question is, based on the current run rate in volume growth and the kind of pricing power and the ability to manage the gas cost, what is your sense in terms of when you will be able to show growth at EBITDA and PAT level over the next say four to eigh t quarters? Would it happen in the second -half? Should we expect that to happen in FY '26? What is the current expectation?
Management: I think there are a lot of factors on which this depends. First of all, the volume growth is there, which is visible compared to the corresponding quarter last year. If you consider that there is a seasonality in Q1 always, so we expect that there will be better growth in Q2 and Q3. We have also taken a price increase, as you may be aware, in the month of July of Rs. 1.5, so our endeavor is to maintain margin in line with the gas cost available to us .
And with volume growth going up, there will be reduction in the Op ex per SCM as well. So, if we are able to achieve maybe more than 6% to 7% volume growth, we see that absolute EBITDA will also grow. Maybe it may take three to four quarters for absolute EBITDA to start crossing the current or the past year levels. Because as we have been saying that in the past year our margins were quite high, and the EBITDA achieved is slightly higher than the normal performance in the year. And after that there has been a decrease in APM allocation, and we have been trying to manage that gas cost.
So, considering the APM allocation available at this stage compared to what we got in the last year, last year almost 90% APM was available. So, presuming that APM allocation remains where it is, volume growth accrues in the manner in which it is accruing now, we are able to do better physical infrastructure laying down in UEPL as well as in MGL, which will certainly add volumes. And we are hopeful that we will be able to take from here on the EBITDA level and cross maybe the best in the past.
S. Ramesh: If I may squeeze one more question, in terms of the LCV additions, when do you see that show some improvement? And when you see that delivering in terms of increase in the growth rate for CNG sales?

Management: If you see, small commercial vehicles have been getting added quarter -on-quarter quite well, more than 1,000 at least every quarter. And currently we have more than 12,000 odd small commercial vehicles, tempos and RTVS are also almost 16,000, both put tog ether we are almost 28,000 odd. And the truck number is also increasing. If you notice, even BEST buses have come back this quarter 59, and 90 MSRTC buses.
Management : One point we would like to add about the commercial goods vehicles is that, whatever reports in media we are seeing on that segment, the commercial vehicle additions across fuels is lagging slightly. I do not know if it's because of the economy or what, but however , we are still attempting to claw out a larger market share for CNG out of whatever comes new in the market. So, we have developed traction, and we are hoping that the numbers will improve from here on.
S. Ramesh: And any concern on the increase in the growth rate of hybrid vehicles? Technically, is that going to be a kind of a deterrent for incremental growth in vehicles?
Management : In short, maybe that doesn't move the needle, hybrid vehicles, the number is too small right now.
Management: It is not going to have any impact as of now because the overall volumes are much heavy and the volume of potential to get petrol vehicles or the diesel vehicle on CNG side is

much, much more.
So, it's not that EVs or hybrid vehicles are going to make any impact as of now.
Moderator: Thank you very much. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.
Sabri Hazarika: Congratulations on the good numbers. So, just two questions. Firstly, on the LNG you've given the revenue, but what is the current unit economics of the LNG station? So, you've got 1 right now, so how much was the sales and what was the margin profile? And what are your plans for LNG for the next one year as well as for the next three, four years?
Management: I think within MGL, this is 1 station, because after this station we have entered into joint venture with Baidyanath LNG and more new stations we'll be taking up under that JV. Coming to your question on the volume of LNG in MGL, that Savroli station, we were selling around 3,000 in the last quarter. Currently , it is almost more than 4,100 kgs a day. That is the volume.
Sabri Hazarika: And what is the maximum potential for this?
Management: The tank is 20-ton capacity, so typically we have to make some volume already in the tank, maximum we can go up to 12 tons, 13 tons per day.
Sabri Hazarika: And the EBITDA margin profile is better than CNG or it is similar?
Management: So, today we are seeding the market, so EBITDA margins cannot be better .

Management : Right now it is j ust for making sure that we get the proper contract, and every ecosystem is in place, so we are seeding the market. So, it cannot be compared with the established market like CNG.
Sabri Hazarika: And secondly, regarding this open access, it is completely done for good right now or is there anything? Like there was this document which came in PNGRB that they have put it on hold. So, is there anything there or it is like completely off the radar at the moment?
Management : There are few many things in it. One is that infrastructure exclusivity is there for which we have sought extension from PNGRB, and we are expecting that it will be processed and given to us. Because there's a precedence and provisions in the regulation to give 10 year block extension on the request.
Regarding the marketing exclusivity, there have been several developments like guiding principle they have been repealed by PNGRB. 54 notices which they have issued to different entities have also been repealed. Now, again, the guiding principles are under subjudice plus batch matter related to its marketing exclusivity, and infrastructure exclusivity is also under sub judice being debated in the court. So, we do not want to comment on it, maybe after the court's decision. Till the time court decides, ther e is a stay order on both these things for any coercive actions to be taken against us. So, we think our interests are protected till the time judicial decision comes.
Moderator: Thank you. The next question is from the line of Rajesh Aynor from Athena Investment. Please go ahead.
Rajesh Aynor: Sir, c an you please shed some more light on the volume growth which we have achieved in the last two quarters ? Sir, the trajectory seems to be moving upwards , what exactly has been the reason? Are these reasons sort of sustainable? Why I am asking is because despite this, you are still guiding for around 5 % to 6% kind of growth for the future years. So , some more color on that will be helpful.
Management: Look, the volume growth, look at the last two quarters , has primarily been driven by CNG. In fact, if you look at our domestic household or DP NG numbers or I&C numbers have actually decrease d slightly. So , on an overall basis, we are not changing our outlook . And again, it's not 5 % to 6% , it's more than 6% is what we have been saying , 6% - 7% at least. And again quarter -on-quarter, commenting on exactly why some volume went up 2% higher , why something wen

t down 1% is
very difficult to quantify in retail business, we do not have information at that level of granularity.
Yes, vehicle additions have been strong. More commercial vehicles have been adding, whose per capita contribution is higher . And all that we can say is there are more vehicles on the road, more CNG ve hicles on the road , we have cross ed 10 lakhs now and they must be running either how much ever they used to run, or slightly more for this volume contribution.
Moderator: Thank you very much. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta : I just wanted to check on the volume guidance that we are keeping in 6% to 7% range while we are running at 12 % to 13% , and we have a good visibility on the industrial sort of doing a double - digit growth over two years. So, which is the area where we expect the normalization to come through ? Or which is running at a higher than the sort of the rate which may not sustain ? Any thoughts or any color on this?

Management : I mean, if you look at Q4 versus Q1 , CNG increase is almost 4%, which is a very large number. And if you annualize that, the number is much higher . We do not think that is sustainable for a long time , so that may moderate a bit. Industrial and commercial, we repeat that we will most probably be getting double digit growth in industrial and commercial segments this year also. And domestic continues its slow and steady contribution , because the base is very high. And w hatever 1 lakhs - 2 lakhs we keep adding every year but will contribute to slow and steady growth. But the CNG number this quarter was, yes, slightly, maybe higher than usual.
Management: Maybe we are under estimating. The point is that CNG volume is the main driver for growth. Around 70% volumes come from CNG. But it can vary quarter -on-quarter. So, this quarter has been much better as compared to Q4 of last year . Going forward, there can be some reduction. So, overall , we expect that more than 7% growth at least we will hit year -on-year.
Kirtan Mehta : Second question was on the cost side. So , what sort of gas transportation cost on an average ? How much it is for us ? How much of the gas we receive from Zone -1 and Zone -2? Is there any split available?
Management: Most of our gas is in Zone -1, except HPHT what we buy comes from Reliance i.e. Zone -2.
Management: Most of our gas i.e. APM as the things are coming at Zone -1. Some gas which we are taking from let us say KG Basin of Reliance, plus maybe some from Hazira , that will be coming under Zone - 2.
Kirtan Mehta : Is it possible to share the delivered cost for APM and HPHT in different bucket?
Management: HPHT is around $9.9 per MMBtu . And different bucket means t ransportation, you are saying ?
Kirtan Mehta : Basically, delivered in terms of the Rs./SCM number, is it possible to sort of differentiate within the different buckets, how the cost var y?
Management: I think if you add the Zone -1 maximum, at least 80 %, 90% quantity , you will be able to arrive at it, because $6.5 is APM, HPHT is around $10.
Moderator: Thank you. The next question is from the line of Gagan Di xit from Elara Securities. Please go ahead.
Gagan Dixit : Sir, my question is regarding, in the past basically MGL was adding 20 to 25 CNG outlet , now you are targeting almost 50 CNG outlets per annum. So, what is the change actually that you see ?

I mean , what are the easy ways you find to add to double this, something , your CNG outlets rates per annum ? I think if you give some color over that.
Management : I think several steps have been taken in last few years . We have , I mean, taken steps in trying to promote different schemes for getting the lands. Also we have been very aggressivel

y following up with different authorities. And we have rationalized smoo thened the process of issuing LOI , and execution also we are trying to promote , simplifying the processes , and several other things which we have taken maybe.
Management: In the last few years, traditionally we used to have just a couple of models of CNG channels , one was to Oil Marketing Companies, and one was COCOs, t here were very few DODOs . Now few years back we widened that ambit, and we now have almost four or five different types of offerings for partners who are willing to do business with us and open CNG stations. We now have the ability to , in case we really need a CNG station somewhere and land is available , yes, we are willing to pay close to market price for it if that's what it takes to get a strategically important CNG station.
So, in the marketplace what we are observing is , if any entrepreneur or person wants to open a fuel retail station , they are preferably coming to MG L compared to other alternative operators like OMC's or even the private fuel retailing companies. So , that has change d and that is contributing to the increase in numbers . Also of course as MD said, we are pursuing very aggressively with government and other quasi government authorities to get more and more land parcels from them. So, in the last one or two ye ars we have got an unprecedently large number of these government plots.
Management : Yes, but we are also planning ahead to see that we maintain good potential to increase more stations wherever it is possible .
Gagan Dixit : So, I can simply assume that this this potential will continue for few years ?
Management : Yes. I mean, there are obviously certain problems and certain limitations that after a while the land availability in certain pockets would be difficult . But we are keeping some margins and we are trying to get new opportunities , new models, new way of execution. Permissions also are being expedited and so on and so forth. So, that at least some pipeline is clear that how much we can add in next few years at least.
Gagan Dixit : And sir my second question is, I think I am following the since FY ’19 actually that MGL is proactively I think ha s arranged the gas supply procurement , I think , you have done . I think you are the few of the C GD companies who have contacted Reliance CGD Gas also I think 8 % - 8.5% rate in the initial . So, how much is that you had the overall gas supply contract, I mean , over and

above also something the actual you demand that , I mean , whatever the overall supply you have the mid -term long -term contract these are available with you, sir?

Management : We have already signed almost all term contracts . As you already said, Reliance was there , 0.1. Apart from that we have signed Henry Hub linked contracts . Already we had up to quarter end around 0.76. And after that also we are taking up one or two contracts. HP HT was already around 0.5 million, and we proposed to take little more again in the times to come. So , as and when our volumes are stabilizing and we are sure that we will be able to maintain the volumes , we are going and tying up with the term contracts . All these term contracts are in the range of five to six ye ars, except one or two where it could be three years.
Gagan Dixit : So, they are over and above whatever you r demand is , you have the some cushion, if you r demand increase s so you have the availability ?
Management: Yes, if you look at the sign ed contract , over and above it is demand . But there is a threshold of minimum take or pay , some contract s 60, some at 80, some at 90. So, whenever I ramp down, it can meet and whenever I want to go a little more --
Management : Right now we have not over contracted , some shortfall and balancing is done through exchange also. So , I mean , we are almo

st at par with what the gas is being consumed and the contracts which have been made . Because see , as was being explained, around 69 % is APM, balance shortfall in this is being met through HPHT. A nd for industrial and commercial we are importing LNG, I mean , taking LNG from different aggregators and suppl iers. So, there is a mixed portfolio , plus we have got exchange where we do the balancing part whenever demand goes up or down and contract flexibility is also there to balance it.
Management: Just to add , short term marginal growth we can do on spot also . Once the spot level increases and stabilize s, we take a tranche out of that and move it to t erm, so spot again comes down.
Moderator: Thank you. The next question is from the line of Lokesh Manik from Valium Capital. Please go ahead.
Lokesh Manik : Sir, if you can just share details on this 4% Q -o-Q growth in CNG geography wise , which geography was the main driver for this group it would be great.
Management: See geography , it is I mean floating population, GA1 and 2 vehicles are moving here and there .
Management: I think percentage wise GA3 will be higher. That's anyway double digit , but the base is small there . GA1 , GA2, we not really put that on very, very knife edge kind of this is GA1 this is G A2, because vehicles move across the border, fill from anywhere. People stay in Mumbai, travel to Thane and vice versa. It's just one expanse of the metropolitan region. But having said that, from the maybe the core city of Mumbai , volume growth is not that high. B EST is stagnant for example. In fact, last mayb e one year we might have lost a few percentage points on state transport undertaking volume, which now is reversing because of MSRTC and marginally B EST.

Management: Simply if you take a station situated in each geography then you have some number , but that is of not much relevance. So, if you see GA 1 and GA 2 wherever the stations are and I collate it, maybe it is almost equal GA 1, GA 2 or little more GA 1 because of the traditional volumes and all that.
Lokesh Manik : So, incrementally, GA2 is in Unison given the volume , is that a correct assessment?
Management: GA3 also . GA2, GA3 and Unison . These are the new volume drivers in a way . I am saying the higher growth percentage. That will be in GA1 as well, but the percentage is lower.
Lokesh Manik : GA1 is saturated, I mean GA1 is matured market.
Management: Even the stations are being added up in G A2 and G A3, primarily . GA1, the addition of stations is slightly limited.
Lokesh Manik : And this commercial vehicles coming into this in the CNG format, these are more in Mumbai region , they are outside Mumbai, or they are equally distributed ?
Management: They are distributed across our geographies. These typically run on highways, and they are also involved in last mile delivery for e -commerce and things like that.
Moderator: The next question is from the line of Sagar Kapadia from Prabhudas Liladhar. Please go ahead.
Sagar Kapadia : Sir, in the last quarter conference call you had mentioned that in Q3 FY ’24, 67; and Q4 FY ’24, 97, these were the medium and heavy commercial vehicles addition you are referring to, right?
Management: So, 67 number was actually trucks.
Sagar Kapadia : Yes, trucks. These were the medium and heavy trucks you were r eferring to , correct ?
Management: 97 was in Q4 trucks.
Sagar Kapadia : Yes, these were the medium and heavy commercial vehicle s. So, this quarter, how much will be the number Quarter 1 FY ’25?
Management: Number in this quarter is 163.

Sagar Kapadia : So, this is an improvement , no, s ir?
Management: Yes, good improvement.
Sagar Kapadia : So, can we continue for this year , at least around 150 trucks can be added every quarter?
Management: We are hoping so, but one thing we have to realize is t

he slight change taking place in this market .
With the availability of factory fitted medium and heavy vehicles , quite a few transporters are shifting from the small commercial vehicle to the medium commercial vehicles. So, the small

commercial vehicles actually have dropped from over 1 ,400 to about 1 ,250. And that delta has got picked up in the medium and heavy ranges , that will improve our overall sales volumes because medium and heavy take more per capita CNG compared to light. But then the overall number is remaining roughly the same , 20,000 – 21,000 kind of a range.
Sagar Kapadia : Okay, I understand. So, they are shifting for the bigger trucks only , so that will be beneficial to them also . And for volume fro nt, it will be beneficial to us, although in numbers it will not be showing.
Management: Yes, correct.
Sagar Kapadia : Sir, another thing I wanted to ask you, you always refer to the CNG vehicle additions 20,000. So, these are all conversions, this 20,000 you are referring to or the new vehicles added ?
Management: So, these are predominantly factory fitted OE vehicles. Retrofitment number is hardly about 900 or so out of this 20 ,000 – 21,000.
Sagar Kapadia : But you include in that also ? In that 20,000 number you retrofit also you include it every time ?
Management: Yes, roughly 20,000 factory fitted and 1 ,000 retrofit. Let's say 21,000 or 20, 800/20,900 , or whatever.
Sagar Kapadia : Got it. And so another one important thing, in MSR TC buses you always say, around last quarter we had said 300 cumulative buses , even this quarter they have added. So, in our geographical area, what is the total scope of th ese MSRTC buses which we can finally over a period of time they can keep converting ?
Management: We are expecting another about 200 -odd to come on maybe in the next two quarters or so. After that, again, we are pursuing continuously with MSRTC to bring up more and more depots on CNG and convert more buses. But let's see how it goes.
Sagar Kapadia : So, any range which you have worked out , like what is the total MSRTC buses plying in our GA area which has the scope of conversion?
Management: MSRTC has about a total fleet of about 17,000 buses. Out of which probably about 6,000-odd would be touching our GAs.
Sagar Kapadia : Okay, so that's a big number ?
Management: Yes, t hat's a big number . And these buses run a lot of kilometers a day , so per capita consumption is almost 80-90 plus kgs per day. And they run a few lakh kilometers. I think they replace the buses in four or five years and that's how hard they drive them. Of course, the road conditions also do not help.

Sagar Kapadia : These can compensate us for our dropping volume from the B EST, right?
Management: Yes. But if you will notice , BEST is also slightly slowly creeping back. We have added 59 buses in this quarter net additions. We are pursuing them also to adopt more CN G.
Sagar Kapadia : Because in media now often we hear that they are going to shift to electric, they are going to shift to electric. So, then that makes the sentiment towards the stock a bit negative for the B EST.
Management: Despite whatever has been happening with B EST, we are still growing at a good rate overall. And 90 plus percent of that is basically noise. If you look at the on ground numbers , BEST currently only has 5 00, 600 odd electric vehicles. Maybe in the last one quarter or so, they have managed to add some 70 , 80 more . But for a very long time, maybe two or three years, that number was stagnant in about 500 o dd range .
Sagar Kapadia : From last two to three years only this 500 to 600 is the stagnant number of the EV ?
Management: Yes.
Sagar Kapadia : So, we still have a scope in BEST also to slowly keep on increasing the CNG vehicles ?
Management: Yes,

definitely.
Moderator: Thank you. The next question is from the line of Somaiah V. from Avendus P ark. Please go ahead.
Somaiah V.: I was looking for Unison in terms of next couple of years for th e year FY ‘25 and ’26, what is your expectation in terms of volume growth?
Management: Volume when we started was 0.13 mmscmd. Currently , we are around 0.1 7 mmscmd . So, we think

it will grow pretty fast in at least quarter -on-quarter and year -on-year because number of stations are getting increased in these areas . And we think our guidance was that six, seven years we will cross 1 mmscmd , maybe 1.3 mmscmd .
Somaiah V.: So, this 6% to 7% kind of volume growth that we are expecting , I mean , I just want to understand how much Unison would be contributing and how much Raigad would be contributing?
Management: This is excluding standalone MGL , 6% to 7% which we have been guiding is MGL alone , excluding UEPL. UEPL is a separate number which will get added.
Management: Overall volume wise , in case of MGL we are having around 3.9 mmscmd . The volumes of Unison is currently 0.17 mmscmd and going forward it will be , in another six, seven years it can be crossing 1 mmscmd, so maybe 1.3 mmscmd .
Somaiah V.: Sir, a lso you mentioned in terms of profitability for Unison, you said it's more or less in line with company level numbers. So, is it because your realizations are higher in this GA when compared

to Mumbai , that's the reason ? Because I guess in terms of operating leverage it will be lower when compared to your other GAs?
Management: Currently, prices in all the G As of Unison are higher than MGL. And maybe that is because some cost is also there may be in terms of gas transportation as well as LCV transportation , because their stations are mostly daughter booster. As and when we lay further lines, these operating costs will come down. So, their price to the customer is also higher and t he gas costs and other operating costs are also higher . But at EBITDA level, more or less they are making equal margin as MGL.
Somaiah V.: And also you did mention about the two wheeler potential. Any rough thoughts , currently how you are thinking at the opportunity set ? And in terms of any incremental volumes currently you are penciling in your outlook?
Management : Two wheeler is just launched so it will take some time for pick up in term of availability of these two wheelers on road , adoptability , the experience, the customer experience . We are anyway taking up internally that how we will address this issue of an additional business segment. So, as of now we think wherever the space is available we can allocate one dedicated dispenser for filling up these two wheelers . But going forward, a s and when they increase, we will take necessary steps to make sur e that they are address ed properly. The volume pickup will take some time because the per capita or per fill is very low, maybe around 2 kg is the cylinder size, so we will be filling around 1.5 kg per fill. So, the numbers to add up point to overall kitty of our vehicles will take some time to make some significant impact.
Management: Just to supplement the launch of this Bajaj motorcycle , I think over 1 30 motorcycles have been delivered in our geographical areas. When we are speaking to Bajaj, their projections are maybe 700 odd would add every month or so. So, when you look at the overall CNG vehicle number of 10 lakh plus and all that , we should be able to accommodate this. But as MD said, our material growth , yes, it will take a long time . But this is slow, steady , and we are expecting this market to contribute. This was never a market segment which was there in a traditional mix.
Moderator: This is a very welcome thing which we appreciate the effort taken by Bajaj and other OEs to design and then launch successfully these ty

pe of application for CNG , which is a very welcome thing for the industry.
Management : And since then there have been media reports of one or two other major two w heeler manufacturers who are talking of now introducing something similar.
Moderator: Thank you. The next question is from the line of Anuj Sharma from M3 Investment. Please go ahead.
Anuj Sharma : My question is , you touched upon it a while ago . See, the economics of the government transport with respect to electricity and CNG , earlier the data would have been scarce, but how do you

perceive the economics of electric BEST bus or MSR TC b us versus a CNG bus ? How is it evolving also, that will be a little helpful.
Management : There are certain subsidies available in EV. Secondly, we have done some back of the envelope calculations on the total cost of ownership of a CNG vehicle and electric vehicle , bus particularly . Because let us say CNG bus is costing around Rs. 45 lakhs to Rs. 50 lakhs per bus. The electric bus cost is somewhere around Rs. 1.5 crores, Rs. 1.6 crores. We have done studies which show that the total cost of ownership or TCO for a CNG bus is actually lower. But there are all kinds of optics around the electric bus with 0 tailpipe emissions and nothing, somehow it's making more news and noise. The total cost of ownership of a CNG is around much less, maybe 1.5 x at times. And especially given the very, very poor financial situation of BEST , they are totally dependent on the Municipal Corporation and the State Government to fund them for these buses. So, w e are

expecting that there will be some limitations there also on how they can grow CV. So, they will have to look at CNG and that's our belief.
Anuj Sharma : That’s helpful. And you touched upon few numbers, but if you could just quantify . You said the cost of an electric bus with subsidy would be approximately Rs. 1.5 crores, versus a CNG bus of Rs. 40 lakhs, Rs. 45 lakhs .
Management: Currently it is Rs. 1.6 crores to Rs. 1.8 crores per bus , electric vehicle.
Anuj Sharma : Without subsidy or with subsidy ?
Management: With subsidy.
Anuj Sharma : And when you elongate this on a TCO , what is the difference in a 10- and 15 -year period?
Management: TCO is typically 1.4 x to 1.5 x higher than the CNG , total cost of ownership basis . For buses you are saying , right?
Anuj Sharma : Yes, sure , busses . And this economics , as the subsidy weans off or maybe comes of f, this economics will become more and more lucrative to own a CNG, is that a fair assumption ?
Management: So, many assumptions. See , the numbers which we gave you were also dependent on the fuel price, CNG prices, electricity , I mean , the cost required for sourcing the electricity and charging it. So, there are certain assumptions in what they have done. So, it depends , going forward if electricity tariff comes down or if CNG prices come down or go up, then the economics gets slightly different.
Management: The subsidy element going forward, I think what we read from media, the government is targeting Tier-2 and Tier-3 cities now.
Management: But the bigger issue with electric vehicles is that the supply is not available, especially in the buses. The booking , like earlier the question was being asked , around 2 ,000 buses were ordered by BEST

and only maybe 40 0, 500 are available as on date , despite two years have lapsed. So, there is a question mark on the availability of buses as well . Plus, again, Chinese buses are getting imported , or some of the batteries components are getting imported from China. The re also there are certain restrictions on imports. So, going forward, we see that there are several factors which can impact overall profitability or economics and as such .
Management: Cannot say with confid

ence, but if you look at the current Union Budget , the FAME subsidy allocation has been reduced compared to the past. So, probably if that is some indication that maybe EV will be slowly left to the market forces . We do not know, but that is what the number shows in the Union Budget.
Management: This is despite the fact that GST on electric vehicles is 5% as compared to CNG vehicles which is attracting 28% GST.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now ha nd the conference over to the management for closing comments.
Management : Thank you so much to our investors for posing and show ing confidence in Mahanagar Gas, and we value that. Thank you so much for joining in today.
Moderator: On behalf of PhillipCapital (India) Private Limited , that concludes the conference call. Thank you for joining us . And you may now disconnect your lines.

(This document has been edited for improving readability)

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An ISO 9001, 14001 & 45001 Certified Company

Ref: MGL/CS/SE/ 2024/575 Date: October 30, 2024

To,

Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code : 539957 Head, Listing Compliance Department
National Stock Exchange of India L imited
Exchange Plaza, Bandra –Kurla Complex,
Bandra (East),
Mumbai – 400 051
Symbol: MGL

Dear Sir/ Madam,

Sub: Transcript o f Q2FY25 Earnings Conference Call for the quarter and half year ended September 30, 2024

This is i n continuation to our letter dated October 21, 2024 and October 25, 2024 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015 (' Listing R egulations'), read with Schedule III of the Listing Regulations, we submit herewith the transcript of the Earnings Conference Call held on October 25, 2024 on the Unaudited Standalone and Consolidated Financial Results and operational performance of the Company for the quarter and half year ended September 30, 2024 .

The said transcript is also available on the website of the Company at https://www.mahanagargas.com:3000/Mahanagar%20Gas%20Q2FY25%20Earnings%20Call%20Transcript_Final.pdf

You are requested to take the above information on record.

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: a/a

Mahanagar Gas Limited
Q2 FY25 Earnings Conference Call
October 25, 202 4

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR
MR. SANJAY SHENDE – DEPUTY MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE – SENIOR VICE PRESIDENT , MARKETING

MODERATOR : MR. PROBAL SEN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Mahanagar Gas Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and "0" on your touchphone telephone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Probal Sen from ICICI Securities Limited. Thank you, and over to you, sir.

Probal Sen: Thank you, Palak. Welcome, everyone, to the post Q2 FY '25 earnings call of Mahanagar Gas Limited. With us, we have members of the senior management, including Mr. Ashu Shinghal, Managing Director; Mr. Sanjay Shende, Deputy Managing Director; Mr. Rajesh Pa tel, Chief Financial Officer; and Mr. Rajesh Wagle, Senior Vice President of Marketing Division.

Before starting the call, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature, and we do believe that expectations contained in the statements are reasonable. However, these statements do involve a number of risks and uncertainties that may lead to different results. So we urge you to consider that quarterly numbers are not a reflection of long -term trends or indication of full year results.

With that said, I will now hand over the call to the management for their opening remarks, post which we will have a Q&A session. Over to you, sir.

Management : Very good afternoon. I'm Ashu Shinghal. I'm Joined by my colleagues here. A very good afternoon to all the investors and posing confidence on the Mahanagar Gas Limited and all the analysts who are on this earning call of MGL for the second quarter of the fi nancial year '24, '25. At the outset, I would like to thank you all for attending this call and wish you a very happy Diwali, an precious occasion for all of us and a prosperous new year in advance.

MGL continues to create CGD infrastructure across its business segments in the license area. During the quarter, 58,845 domestic households were connected and thus, we have established connectivity for nearly 2.58 million households. We have laid 70.59 kil ometers of steel and PE pipeline, taking the total length to over 7,124 kilometers. We also added 5 CNG stations during this quarter. And with this, we have 352 stations as on 30th September '24. We also have added 99 industrial and commercial customers du ring this quarter. And therefore, as on 30th September, we have 4,920 industrial and commercial customers.

In respect of our RA Raigarh GA, up to September, we have connected 83,364 domestic outsourced and 49 CNG stations, which are currently under operation. During the quarter, we have laid 10 kilometers of pipeline in Raigarh, thereby taking the total length to 433 kilometers.

With respect to UEPL, that is Unison Enviro Private Limited, a wholly owned subsidiary, the company has added 7 CNG stations during this quarter and a total of 64 CNG stations as on 30th September. During the quarter, 1,890 domestic hou seholds were connected and accumulated household connections at 29,229 for UEPL and they have 59 industrial and commercial customers as on 30th September.

We also commissioned first LNG station in Aurangabad in month of October under the joint venture company, which is Mahanagar LNG Private Limited. This LNG station was set up within 6 months from the availability of land, one of the fastest commissioning of LNG stations.

Coming to MGL operations during the quarter. Overall average gas sales volume was -- for the Q2 of the current year compared to the corresponding Q2 in the previous year has increased to 4.042 mmscmd from 3

.575, which is an increase of 13.07%. Q2 volume consists of CNG volume of 2.886, Domestic PNG of 0.528 and 0.628 mmscmd was supplied to industrial and commercial segment. Compared to Q1 this year, overall sales volume for Q2 has increased by 4.75%. Current quarter EBITDA is INR399 crores compared to previous quarter EBITDA of INR418 crores.

Net PAT is INR283 crores for this quarter as compared to INR285 crores in the previous quarter.

Coming to UEPL during the quarter, company achieved an overall average sales volume of 0.164 as against 0.168 mmscmd in the last quarter. The current quarter volume consists of CNG volume of around 0.152 and CNG volume of 0.012. Therefore, MGL as a consoli dated entity has achieved total sales volume of the quarter of 4.206 mmscmd.

On October 7 this year, MGL has entered an indicative and nonbinding term sheet with International Battery Company USA for setting up an EV battery cell manufacturing facility in India under proposed joint venture company, which is called International Bat tery Company

Private Limited. The plant initial capacity is 1 GWh , which will be developed in 2 phases of 500 MWh each. The proposed equity investment by MGL in the range of INR385 crores in this joint venture with the equity stake of approximately 40%.
The Board has also approved the scheme of merger of Unison Enviro Private Limited with MGL. The scheme is subject to necessary statutory and regulatory approvals from NCLT and other regulatory authorities under applicable laws.
MGL has been awarded 4 Golden Star under National Safety Council of India Safety rating for our occupational safety, health and environm ental management system at CGS Mahape .
With this, I conclude and would now like to open the floor for the questions. Thank you very much for your patience.
Moderator: Thank you very much. The first question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: My first question is on this APM gas allocation reduction. So I understand that there's a change in classification of the APM gas by ONGC, which has led to this. My thought was that if all the new production is going to come from -- I mean, it's going to c ome from the wells, which will be priced higher, does it mean that the $6.5 gas that comes to you will keep falling now every quarter from even the current levels? So could you just help understand that?
Management : I mean the point is well taken that at a one point APM reduction has happened, but this is not a very regular phenomenon because maybe there are certain decisions and the government has taken a call for the onetime reduction. After this, it will be gradual on year -on-year basis. This is not expected to be sudden cut on the APM.

Amit Murarka: No, but the new production that comes in will be from the newer wells, which do not qualify under the $6.5 gas. So even if you get the domestic gas, it will all be higher priced at, let's say, $9 or so. Is that understanding correct?
Management : Yes, that is correct. Because the APM production is in 2 categories. One is the old wells and the second is new wells for which ONGC and other producers are putting more money into it. So as per Kirit Parikh recommendations and as per the guidelines approved by the cabinet, the new wells will qualify for a different price regime , which is around 12% of the Indian oil basket. So whatever new gas will be coming will be priced higher. But again, CGD is getting priority there also, like in HPHT. The full gas, which is available from new well will be allocated on CGD and priority before giving to other companies.
Amit Murarka: Sure. You'll get the volume, but basically, it will be at a higher price then?
Management : That's right. And HPHT volumes are also expected as and when they come on or the older contracts are expiring, that gas will come on the bidding. And ther

e again, CGD will get the first priority.
Amit Murarka: Right. But like I'm sure you must be taking this up with the ministry, but if, let's say, the gas price is going to go up consistently, and I mean, the blended gas cost because of the newer wells issue, how do you kind of stay competitive versus the liquid fuels and also kind of push LNG -- push gas into new markets?
Management : So as I think MD said, whatever cut is there of that almost 50% will be available to CGD on a priority basis at 12% of the Indian crude basket, okay? That could be, as you said, maybe around $9 or so. So it will increase the weighted average cost to a cert ain extent definitely right now. So we will be attempting how do we optimize our cost by -- initially, we may have to blend spot, but we will slowly optimize by signing a mid -term contract. and we'll work upon how do we devise our long -term gas sourcing strategy so that -- and one more point I would like to bring is, yes, we were always prepared as a company or as a city gas industry also people are prepared that this is likely to go down. But yes, it has happened a little faster.
So all of us are working on strategy in the long term, how do we have our sourcing contract strategy in place, which gives you an edge and our dependence reduces day by day on the APM, which was a scenario already known. But yes, the speed has with this cut slightly gone up.
Management: Just to supplement that, since you asked how we would be placed against alternate fuel. Currently, our CNG prices are the lowest in the country. So by a corollary, the headroom which we have is more comfortable compared to what other people have. So that also helps a little bit.
Management : Just one more point I would like to add on to what CFO and Rajesh Wagle has mentioned is that our gas, whatever we are getting new well gas is linked to oil -linked prices. And the alternate fuel for industrial and commercial is primarily linked to oil -linked prices. Plus CNG is competitive to petrol and diesel, which again is oil -linked prices. So obviously, there will be costly procurement in terms of APM allocations. But still, as far as we are concerned, our one - to-one competition with the al ternate fuels will be more in tandem.

Amit Murarka: Sure. And just last question. Is there any baseline margin that you look to protect that not go below this?
Management : Not be given a number that this is what we target, but general guidance, which we have given is INR10 to INR12 EBITDA per SCM, which we have still maintained. If you have even seen our Q2, still we are at around INR11 per SCM. So that margin, that range we expect to continue for some more time. And let us see how the prices vary of LNG and APM gas and Indian crude basket and petrol and diesel, plus we will keep an eye on the volume growth, which we think, as you migh t have seen in the results, the volume gr owth has picked up quite substantially in this particular quarter.
And last year -- last quarter -- quarter -on-quarter, we had more than 2%. This year -- this quarter -on-quarter, we have more than 4%. So the whole last year -on-year growth was 5.5%, whereas in 1 half yearly, we have seen a growth of 7%. So this has come ou t because we have launched CNG schemes also. Our prices are very competitive as compared to petrol and diesel. So it is a mix of all these factors that we will decide on the margins. It is not that we have a set number in our mind.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: So a few questions. Firstly, I think the opex per SCM was also higher during this quarter. So any particular reason or is it the normal run rate.
Management : The operating expenses marginally higher, you're right, around INR0.25 per SCM, okay? There were 1 or 2 one -off items during the quarter. In cas

e of employee cost, there was an actuarial valuation hit that has slightly increased in the quarter linked to revision in the gratuity policy of the company linked to income tax limit being increased from INR20 lakhs to INR25 lakhs. So that has given some increase. Also in this quarter, there was an ex gratia payment, which has been accounted. So these 2 items are costing maybe around INR7 crores, INR8 crores in a quarter, which is a one -off item.
Apart from that, there were some costs booked on account of repair maintenance, we have taken up some aggressive repair maintenance and improvements in the network for monitoring the consumption geography -wise within GA, DRS-wise or so, so that we have a better control. And some small amounts have been spent at least in this quarter towards marketing or promoting the CNG vehicles, okay? So maybe our expenses on promotion of CNG will continue for some time to come. But these are some of the onetime initiati ves to ensure the long -term volumes by capturing more and more vehicles and making these systems more robust.
Sabri Hazarika: Secondly, regarding this volume, it has been like 3 quarters now that your volume growth is very strong and you have always maintained the 6% of the guidance. So is there a relook into the guidance and also the fact that what exactly is driving so much of growth? And both CNG as well as industrial, I think both of them are growing very rapidly . In CNG you have said the marketing schemes and all. But any other sector in industrial market and Industrial volume ?
Management: Industrial in the last couple of quarters, we have managed to add on some large volume customers. In fact, one of our largest volume customer has ramped up to his full volume

requirement in September. That happened in some phases. So these customers whom we have reached out and managed to connect in GA -2 and GA -3 especially, have contributed to this. And this is the outcome of almost a 1.5, 2 -year initiative, which we have been pursuing by convincing these industries to switch from liquid fuel to gas by giving the m a guaranteed 10% discount to FO, whatever fuel they burn . That has paid off -- started paying off, and that is giv ing a double -digit increase in industrial volume.
Sabri Hazarika: So guidance remains same or is it now further up from 5%, 6%.
Management : I mentioned earlier also, 5.5% was the overall volume growth year -on-year. This first half, we have clocked 7%. So our guidance was around 7%, 8% by the year -end. Now first half, we have around 7% growth on the volumes as of 31st March this year and 30th September this year. So by year -end, we expect another 2%, 3% to grow. So we will be touching around double -digit number for the year -end. And for next year, we'll see how it rolls out, but the momentum is there. As mentioned earlier that we have launched certain CNG Mahotsav , very recently once again. And we are promoting PNG also very aggressively in domestic and industrial and commercial. In fact, industrial and commercial has grown by more than 10% last year. And this year, again, we expect it to be in double digit. So these initiatives and competitive costs have made the fuel more viable for all the segments.
Sabri Hazarika: Okay. And a couple of bookkeeping questions. What was UEPL revenue and EBITDA for the

quarter -- sorry, revenue and PAT ?
Management : Yes, for H1, it is around INR173 crores and EBITDA was in the range of around INR11 also. PAT INR6 crores for the quarter.
Sabri Hazarika: APM allocation for the quarter was how much by percentage for MGL ?
Management : So 71% was the overall CNG and PNG, we were getting 105% as per the government policy. So CNG has come down in this last reallocation to around 57%, 58%.
Sabri Hazarika: You mentioned 69% in Q1. So that has become 71% in Q2, but now it has gone down to 57 %,
58%. Is that right?
Management : Overall APM, that is domestic plus CNG, both put together is around 71%, okay? And on an overall basis, around 16%, 17%. But if you consider only on CNG after allocating full requirement for domestic towards -- out of APM, then on only CNG when you conside r it is 20% down.
Management: 20% from the earlier allocation. Overall 13%, 14% down from earlier in absolute numbers.
Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital.
Nitin Tiwari: Sir, my questions are partially answered, but just staying on that topic of deallocation of APM gas and how the strategy would evolve post that reallocation because as you also pointed out, this reallocation has just accelerated the change, which was alrea dy happening, right? So

essentially, it all boils down to how we are going to price the products I mean CNG particularly in order to maintain our growth and margin.
So again, I mean, like we want to question you on do we maintain our -- are we going to maintain our guidance of 5% to 6% growth that we were looking at earlier and along with a margin of INR10 to INR12 because I mean, the way we look at it given this reallocation, a broad sense is that INR5 to INR6 revision in CNG price might be required for you to maintain the margin.
And when that happens, I mean, the gap certainly closes with a petrol price and a lot more with the diesel price. So would that not impact conversion of vehicles and growth of volumes? And I mean, this is certainly a near -term problem. A corollary to that is that essentially, this change was any which was happening. So what's your strategy like 4 to 5 years down the line when your APM allocation would be really low and you would largely be dependent on imported gas or expensive gas. So how do you see the s cenario panning out then? If you could throw some light on that, sir.
Management : Your question is primarily divided into 2 parts. The first part is which we have already discussed that the volumes in this year has already touched 7% growth from 31st March of 2024. So in 6 months, 7% growth is seen, which we were thinking about whole year 8% guidance was there. So in the remaining 6 months, we can see another growth of 3%, 4%. So we will be touching around more than 10% of growth for this particular year.
Now coming to the long -term perspective, yes, you are right. APM will be definitely not available to the extent it is available righ t now. And we have sufficient leg room available, one, and we have our operational efficiencies coming in place. We have our assets which are slightly depreciated. We have volumes in our place. We are doing procurement efficiencies. We are going to different sources.
We keep on examining what are the alternate available like Brent link, Henry Hub link, HP HT, Newville Gas, APM gas, which is not connected to the grid can get connected and that can get allocated to CGD. So overall, if you see, we have been selling CNG and PNG at the cheapest in the country. And we have some margins are also in the reasonable range of INR8 to INR12 or INR13.
Now having said that, we don't think that we will not be able to manage these cuts in APM in the future. And as and when things roll out, it also depends how crude moves, how gas moves, what is the delta between the 2 and how the petrol and diesel supplies and how CNG -- because once the CNG vehicle is in, it is there to stay for 15 years.
We don't expect that CNG vehicle will be sold out or whatever happens because see, petrol, again, there are projections about oil getting costlier and gas getting cheaper because gas several terminals are coming across the globe, mostly in Qatar is adding capacity. Australia has already added capacity. U.S. has already come on board.
So we have a scenario where gas costs will be competitive as compared to oil prices. And so we feel that we will be able to manage, but it's very difficult that down 4 years down the line, what

will be the margin. So we can't predict anything on that. But nevertheless, we are prepared to have position in different scenarios which unfold over a period of time.
Nitin Tiwari: Fair enough. That's very helpful what you pointed out. We were just looking at it from the perspective back like once the gap really closes with petrol, I mean when your breakeven time period basically increases substantially and starts like inching closer to maybe a productive life of the vehicle. So I mean, correct me if I'm wrong, a CNG vehicle is about INR1.25 lakh costlier than a petrol vehicle, right? And essentially, the breakeven right now would be at about 4 or 5 years roughly. So giv en the gap between CNG and petrol prices. I mean once this gap closes and your breakeven reaches 8, 9 years or more than that, then certainly, I mean, it doesn't make any sense to own a CNG vehicle.
So like again, a second part to that question, would you also then start looking incrementally more at LNG as a sales product rather than focusing purely on CNG? And what is happening, sir, on the tax front? I mean we did hear some rumors or media bites du ring July about the price cut or possibly like inclusion of natural gas in GST. So any incremental development on that front, if you can throw some light on that aspect as well.
Management: In the volume, let me respond first and while we see that it sustain in the coming years also. There are 3 primary sources from where the CNG volumes are coming. Number one, private cars, attributed OE. A lot of OEs now are pushing and encouraging and the percentage of CNG cars sold out or the total cars sold in the country is continuously increasing. Today for a new car buyer, CNG is offering almost 50 % lower fuel cost compared to petrol today's price. Tomorrow even if that goes down to 40% or 30%, there still remains a substantial incentive to CNG . This is about the private car segment.
Second is volume from three wheelers . Savings are very attractive. The last segment where we are getting traction, especially in the last few months is the commercial goods vehicles and especially in the intermediate and heavy commercial goods vehicle segment. And we are -- even though the c ompetition there is diesel, we are targeting those segments by giving very attractive discounts, fuel cards, etcetera. incentives in the favor the transport or the buyer.
So we still believe that there is enough of a long growth runway to maintain this 6%, 7% or whatever, even in the head of a f uel pricing challenges, which are, again, these are commodities, there will be times when they'll move one way, there will be times when they move the other way. But the volume growth will be there without too much of a problem.
Management : Coming to your 2 questions, which you mentioned right now that the one that CNG vehicles cost versus petrol vehicle, there is . So there are different costs involved in different segments. If we talk about passenger vehicle, the delta could be in the range of INR50,000, INR60,000 from petrol versus CNG. If you go to commercial vehicles or heavy segment of around 18 tons, 20 tons trucks and the delta could be in the range of INR3 lakh, INR4. So in bikes, it is different. In 3-wheelers, it is different.
So the payback also depends on the running of the vehicle. If it is a commercial vehicle, the payback could be less than a year. If it is a passenger vehicle, the payback could be as long as 3

years. But definitely, it is not in the range of 8 years. And over a period of time, if you see the history back in 10 years also, the CNG and petrol delta has been maintained quite substantially over a period of time despite fluct

uations in both petrol versus CNG prices or oil versus LNG prices. So going forward also, we think a substantial delta should be available at least in petrol vehicles.
In case of diesel vehicles, the technology is improving, the infrastructure is improving. And we are funding, as Rajesh correctly mentioned, that part of the upfront capex we are funding for diesel commercial vehicles. And also, we are promoting retrofit of the diesel or diesel in commercial vehicles from diesel to CNG because in Mumbai, after 8 years, you can't run a commercial vehicle on diesel in the municipal limits.
So they necessarily either have to sell those vehicles or take it as -- either we have to sell those vehicles outside Maharashtra or they have an option to retrofit it. And in case of retrofit, we are funding 50% of that cost. That's a very good incentive for the owner of the truck because here, trucks are sometimes owned by a single person, and it's not a very big fleet. So they are very sensitive to the price. And if it gives a delta of around 15% to 20% also over diesel, they will be more than happy to c ontinue with CNG.
The other part related to excise cut and GST, this has been under discussion for quite some time. GST, again, is a GST conscious subject and the excise cut was talked about during the budget also. So let us wait. If that happens, it will be very good for the industry.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Thanks for taking my questions. Sir, as you mentioned, the EBITDA margin guidance of INR10 to INR12 and we are still waiting for the CNG price hike, which is due. So this guidance is considering the CNG price hike or without CNG price hike? That's one.
Management : See, EBITDA margins right now, we have INR11 for the half year basis. Now we have still 6 months to go. What we are doing is we are evaluating all the options of getting the gas at the cheapest price. Also, we are taking operational efficiencies, the volum e efficiencies are with us. So we will see, but INR10 to INR12 guideline is still we can maintain. We hope that we will be able to maintain it. But even if it is certain hit has to be taken to maintain the volumes and to maintain the price stab ility for giving confidence to the customer, we will always be for it. But as of now, we think INR10 to INR12 is the margins after considering the allocation cuts.
Yogesh Patil: Sir, quickly reframe my question. Suppose we do not pass on the gas cost to the consumer, what kind of hit will come to our gross margin level overall basis because of this reduction in APM gas allocation? Any ballpark number if you have?
Management : See, the point is industrial and commercial any which way are going from LNG contracts, which we do have. The PNG is getting 100% allocation. The main effect on the deallocation is on CNG segment. As we said earlier, we are trying to figure out that how th e cost gas can be procured at different sources. We are also going for procurement tenders. The rate discovered will determine about how we can -- how much we can retain with ourselves and how much we have to pass on.

And what is the volume growth we want to see, what is the EBITDA margins, which is in the comfortable range.
It is not a very strict range, that INR10 to INR12 is some sequent number. It is just a guidance. It can go up or it can go down also, depending on the cost of procurement of gas because we will be floating the tenders. There will be gas which will be com ing on HPHT, there is gas, which is on new well gas, which further will be enhanced on the exchange. Then there is IGX, then there is Brent link contracts, there are Henry Hub link contracts. then the spot is available. So all these things are very dynamic in nature. So as I said that we are still comfortable with I

NR10 to INR12, but it can vary slightly up or down as a few months go by and we get more clarity on what the procurement cost is.
Yogesh Patil: So sir, during the quarter, how many CNG vehicles are added? And if possible, please provide a breakup of vehicle additions in terms of the taxis, 3 -wheeler and personal cars. And if you have any updates on the 2 -wheeler additions, that would be helpful.
Management : In the quarter, we have added 23,000 vehicles, around 15,000 are private cars, 6,000 are 3 - wheelers and rest are all put together, small commercial vehicle and few MSRTC buses are there, taxis are there. Two -wheelers, around 1,200 2 -wheelers have been adde d this quarter, which as Bajaj has launched. So if you see the whole year, last year, we have added 77,000 vehicles. And now this half year itself, we have touched around 44,000 vehicles.
So we have seen a traction. But more than the absolute numbers, what is more typical is the commercial vehicles, which are getting added because each commercial vehicle can take much more CNG volume as compared to, say, 3 -wheeler addition. So I mean, we are very hopeful. And the 2 -wheelers are again a new segment which has opened up for CNG. And 2 -wheeler running cost is almost 40% of a petrol 2 -wheeler. So this we find is a segment which is going to attract some volumes going forward, maybe 2 years, 3 years down the line. Anything, Rajesh, you want to add?
Management : No, volume addition we have been seeing has been maintaining momentum. And with the relaunch of our incentives for commercial goods vehicles in this month, October, we are hopeful of seeing the momentum continue.
Yogesh Patil: Sir, lastly capex during the quarter and planned capex for FY '25 -26'?
Management : Half year capex has been a little more than INR400 crores, and we maintain our capex in the range of INR800 crores to INR900 crores depending on availability of pipeline la ying permissions, availability of plots for setting up CNG stations, etcetera. So we are confident that we will do around INR800 crores. If things move positive, we'll be more than that also. As far as budget is concerned, we are geared up to do around INR1000 crores.
Moderator: Thank you. The next question is from the line of Nirmal Gore from Aditya Birla AMC. Please go ahead.
Nirmal Gore: My question is about the APM gas reallocation. Just wanted to know why there was a sudden reallocation done because considering the fact that the allocation towards CGD was any which

was declining, but the sudden decline of 20%. I just wanted to know why this was done, what was the rationale? And in addition to that, if you could throw some light on where this APM gas has been diverted?

Management : I think we are not the right agency to answer this question in particular because the government at a macro level looks at all these aspects about where to allocate the gas at what price. So pricing and allocation is a prerogative of the ministry. So we do n't want to comment much on it, and we don't have really to what the information about where it has been allocated and why it has been allocated to any segment.

Moderator: Thank you. The next question is from the line of Hemang Khanna from Nomura. Please go ahead.

Hemang Khanna: Sir, again, just going back to the APM allocation. I wanted to get a sense on the raw material side, following the cut and with the sourcing efficiencies you're currently employing, what is your current increase in raw material prices or gas sourcing curre ntly? And a follow -up to that is that do you -- what is the view that -- do you believe that you'll be allowed to fully pass on the impact of the higher input cost to consumers? We appreciate that you're the lowest cost CNG provider in the c ountry right now. But even in that landscape, will you be allowed to fully pass on this impact to consumers?

Management : There are two parts of it. One that you mentioned about what is the cost impact or procurement cost impact. So that we are still working out. As I mentioned earlier also, we are -- we will be going to quote for some inquiries, get the rates from the market about Brent, HPHT gas, New Well gas . So that portfolio will be determined depending on the bids we receive maybe next month or so. And then we will take a call on what will be the procurement cost.

Coming to your question on the ability to pass on, I think that question is very well understood by the market that it's an independent decision of the Board of the company or the delegated powers of the Board of the company to decide on pricing, dependin g on the alternate fuel price, cost of procurement, operational costs, our volumes and the margins which we want to have and overall strategies of the company.

So I don't think we are under any compulsion to pass on or not to pass on. It is a pure business decision taken by each individual company. Also depends on what the other CGD entities are doing, what is the price in the adjacent geographical areas, what ar e the volumes. All those things are taken into consideration before taking a call on price hike or price reduction.

Hemang Khanna: Got it, sir. Got it. And just as a second question, what do you -- what are the current volumes which are currently in the network?

Management : It's around 4.05 mmscmd for the whole quarter, Q2. And on a year -on-year basis, it is 3.95 for the whole half year basis as compared to 3.6 for the financial year -- full financial year '23 -'24 and 3.5% for H1 of the last financial year. So we have seen a growth of around 13% on Q2 of last financial year versus Q2 of this. So you see the amount of effort we are putting to make the volume grow.

And that is one of the main reasons that we decide on when to price or pass on the price or not to pass on the price because the customer has to be given a very comfort that their interests are protected. A person who takes a decision to purchase a CNG veh icle or a diesel vehicle or a petrol vehicle is very critical for the company because then he is hooked up for 15 years with the fuel. So therefore, those decisions are taken by -- as a business decision by the company. Like we have launched this CNG 2 Moh otsav scheme, which almost subsidized or pass on the 50% cost to the -- is taken by the company to make sure that the more volumes are attracted.

Hemang Khanna: Got it, sir. No, definitely. Your volume trajectory in the past few quarters has been exceptional, and that's clearly visible. Just as a last bookkeeping question, could you just help with the EBITDA for UEPL I missed that?

Management : EBITDA for UEPL. Around INR10 per SCM EBITDA.

Moderator: Thank you. The next question is from the line of Kartik from CLSA. Please go ahead.

Kartik: I had one question on what do you think is the current discount versus diesel in percentage terms? And based on your experience, what is the level of discount that you think customers are finding so that your volumes are not impacted?

Management : Currently, the discount level is at about 16% or 17% to diesel. And we have empirically in the past, we have seen that as long as the discount levels are in 15% to 25% kind of a range, the traction continues and we get a continuous stream of new vehicles, new CNG vehicles and conversions. So while we are at a lower discount level, but there is still -- it's still in a do able

range. And again, the discount to diesel is relevant in commercial vehicles where the competition is diesel. For the priv ate car and for the auto rikshaw or 2 -wheelers, or et cetera, the competition is petrol, where there is a very large incentive anyway for the customers.
To offset this relatively low discount and to promote heavy commercial vehicles, we have

restarted this incentive scheme. But if you look at the sale number of our small or light commercial vehicles, that remains at 1,000 plus, and that has not got impact ed by lowering of a discount from, I think, 1 or 2 quarters back, it would have been about 19%. Now it is down to 16%, but we haven't seen any decrease in adoption because of that.
Management : And the petrol discount to petrol is around 45% to 50% range, between 47%, 48%. So there is a substantial delta for attracting petrol vehicles. Now just keep in mind, there are several other things which are happening when a person decides to take CNG or p etrol or any other vehicle is that a lot of infrastructure is getting added up. Typically, we have been adding around 25 stations every year. This year, combined with UEPL, we expect to add 85 to 90 stations this year still.
So OE models are available and there's a lot of choice, even original equipment manufacturing like Tatas and others, Marutis are very aggressive about promoting CNG vehicles. They are redesigning their vehicles. More and more CNG stations were added up by other CGD companies also. So the whole highway is getting created. What I want to say is that the whole ecosystem over the last three decades for CNG vehicles have been created. So we want to take -- make sure that this ecosystem is maintained properly fo r next few years, at least make sure

that the volume growth is maintained and proper delta can be arranged or tweaked to make sure that the volume growth happens.
Kartik: And just to follow up, do you think customers care more about the running cost or the overall cost -- like the upfront cost that they have to bear in this, CNG versus petrol.
Management : As we just discussed some time back, there are 2 type of users. One that private car owners, if they purchase a vehicle, they see 2 things: one, that convenience to fill CNG and second, how much they run, what is the operational efficiency. Typically, priv ate cars don't run too much. So their payback is high. For commercial vehicles, if the CNG is available, they have to be competitive in the market. That type of pressure is not there in private vehicles.
So for remaining competitive, they will always go for a cheaper running fuel. They typically take account the total cost of ownership and running kilometers is very important for a commercial vehicle. And therefore, the delta also is not very significant bec ause if you see the life of the vehicle for 15 years, 20 years, then this original -- the upfront capex can be quickly payback in 1.5 years or less than a year for a commercial vehicle. So the decision point is what is the delta between diesel and CNG or p etrol and CNG for a commercial vehicle.
Moderator: Thank you. The next question is from the line of Saurabh Handa from Citi Group. Please go ahead.
Saurabh Handa: Sir, my first question is just on this APM allocation cut. Now the perception is that the CGD sector has been singled out and bearing the brunt of this whole reallocation to, say, ONGC petrochemical plant. Now in your discussions with the government and th e ministry, do you get a sense that there is indeed a shift in their stance towards the priority for the sector? Or this is just something which needs to happen and a sort of one -off. And if it was a one -off, then why not do a pro rata cut a cross sectors why just the CGD sector?
Management : I think, again, this was asked some time back. There are -- I mean, this is a government's prerogative at the macro level that what type of allocation and what pricing they give. If you see, it is not one single point which you can single out and take as a general -- I mean, general consensus about it. You have to look at last 15 years or so. The CGD sector has been promoted over a period of time. The first priority has also been given to CGD. The HPHT gas allocatio

n
was given to CGD. The APM pr ices were readjusted once we found that LNG prices have gone over the roof in terms of war and corona times.
So it's not that one decision can be taken as a general guidance for what the priorities have shifted or not. Anyway, we are not the party to decide those things. And we don't think that those are the things which we can take as a general guiding for the fut ure also because the first priority to CGD is still there as far as the government guidance is concerned.
Saurabh Handa: Okay, sir. Fair enough. Sir, my second question is on the recent exclusivity, whatever end of exclusivity notices that have been sent by the PNGRB. Now in that, I think all 3 GAs of laws are covered. So what -- could you talk us through if there are any implications of this? Or would this again be subject to legal challenges, etcetera?

Management : I think if you have seen the public notice which PNGRB has taken out maybe yesterday, there are 73 geographical areas, which have been called for the consultation. And if you have gone through that notice, it says that the matter is subjudice and the court has asked -- I mean, they have given the freedom to PNGRB to go for consultation. But if any action is to be taken, that needs to be checked through the court in case it is having any adverse impact on the CGD. So it is the prerogative of the regulator to move ahead with the procedure, any which way the regulation allows for going for exclusivity.
So as has been discussed earlier also, exclusivity is a beneficial thing for all the sector also. We are not against it.
Only as a matter of fact, the matter is subjudice because if exclusivity is ending, there is an opportunity for us to go to other geographical areas to work upon. So we have a market to work with. And since our GAs will be covered, so we will be getting pa id for the infrastructure cost plus certain returns on it. So it's not a thing which we are very much afraid of as such. But anyway, the matter is subjudice, so we don't want to comment on that. What PNGRB is doing is very well within their rights and they are doing for the growth of the sector. We are very much for it.
Moderator: Thank you. The next question is from the line of Madhur Rathi from Counter Cyclical Investment. Please go ahead.
Madhur Rathi: Sir just wanted to understand your perspective on the previous question. Sir, do we see the Indian CGD ecosystem or the gas pipeline ecosystem going towards a common carrier over the next few years, whereby we would receive some kind of rental or for the -- our infrastructure utilization by different players. So on that front from can you thrown some light .
Management : I think if we are talking about main gas grid, it is already on common carrier basis. When we talk about CGD, there are two types of exclusivity under that. One is infrastructure exclusivity, which is for a period of 25 years, and there is a provision in t he act to go for 10 years extension after the expiry of 25 years. So across the globe also, we have seen that the infrastructure exclusivity is maintained in terms of geographical area, there cannot be two parties who build the physical infrast ructure.
Now coming to marketing exclusivity, as discussed earlier also, the matter is sub judice . There is a provision in the regulation, that 5 to 8 years' time is given for ending of marketing exclusivity since the matter is under subjudice. So we don't know when it will end. If you say 2 years, 3 years, we can't say it is 2 years, 3 years or. It's very difficult to give any numbers when the court case will be decided and in which manner or fashion it will be decided. So let us wait for that and see how it rolls out.
Madhur Rathi: Okay. Sir, my next question was, sir, how APM gas allocation decided between different CGD? Is it based on the number of GA that a parti

cular CGD has or has the marketing rights to or how is it decided in the CGD ecosystem?
Management : It is not on number of GAs. It is based on, one, that it is done on unbiased manner. Second, it is done on the availability and the demand. And third, it is in the last month. We are assuming 100

units in the last month. Next month, all the demand is aggregated, all the availability is aggregated and then it is divided. The percentage cut is applied to all the CGD entities irrespective of or number of GA s.
Madhur Rathi: So basically, like how much volume your station can offtake will determine how much APM gas you can bid for? Is that understanding right?
Management : No, it is actual average consumption of the last month.
Management : Last quarter.
Management : Last quarter, not -- sorry, I'm corrected. It is not month. It is the last quarter average consumption is taken as the base figure that is the demand aggregation of all CGD entities and the availability projections are then taken and demand divided by avai lability .
Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: Thank you sir for the opportunity. One question to understand about the sort of our vehicle pool. Would you be able to sort of divide it into two pools where the vehicles use typically 30 kilometers, 40 kilometers of run every day and the one which have th e significantly higher run of 100 kilometer plus. Is it possible to give some approximate number?
Management : Are you saying 30 kilometers, 40 kilometers or 80 kilometers? -- there are different -- I mean,

passenger vehicles run maybe 40 kilometers to 50 kilometers in a day, whereas commercial vehicle will run around 200 kilometers a day or maybe more than that.
Management : And it depends on the class of vehicles. If you take, let's say, Uber or Ola, it may run 150 kilometers a day also. A typical MSRTC bus would run about 400 kilometers in a day.
Management : Commercial vehicles?
Management : Commercial goods -- again, it will depend on the class of vehicle. If it's a small light commercial vehicle doing , from Bhiwandi warehouses to city two, three trips a day, it may be about 80, 100 kilometers a day.
Management : And heavy commercial vehicles run maybe 300 kilometers a day.
Management : The highway -- the vehicles that run on the highway typically run hundreds of kilometers a day. Private individual vehicles, typically, the per capita is a bit lower because they mainly use it for commuting, et cetera.
Management : And even 3 -wheelers run 100 kilometers a day.
Management : Yes, 3 -wheelers also run about 80, 100 kilometers a day.
Management : Is that the question was or something else?

Kirtan Mehta: The way I wanted to understand was how much percentage of our CNG consumption will be coming from the higher usage vehicle, which would be less impacted by -- or which would be subjected to sort of the price change in the CNG. Would it be something like a 40%, 50% of the CNG consumption exposed to that very sensitive to price change?
Management : No, no, look. Once the vehicle is on CNG, the vehicle has to run with -- by CNG. It doesn't have any other choice. So typically, if the discount decreases or CNG price increases, et cetera, what tends to happen is incremental addition of new vehicles, grow th rate starts dipping a bit.
Management : Just to add to what Rajesh said is that diesel vehicle, there is no choice. In petrol vehicles, there is a choice that they can run on petrol or CNG like small passenger vehicles, they can run on either petrol or CNG. But for a diesel vehicle for a heavy t ruck, if it is converted to CNG or if it is an OE truck, then it can run only on CNG. They don't have choice to switch back to diesel or petrol, small commercial vehicles also.
Kirtan Mehta: Yes, I do understand that. But basically, if at all, the savings enjoyed by the existing vehicle goes down, typically the addition also goes down because of the sentiment. So how much percentage of the pool would be basically in that category?
Management : It's a very small number. The commercial vehicles and heavy commercial vehicles and buses, they are as far as overall numbers are concerned, very smaller number. But the vehicle per capita consumption is high in commercial vehicle.
Management : They would not be contributing more than about 12% to 15% of our overall CNG sales. A big chunk of the CNG sales comes from private cars, taxis and auto riskshaws. They transport undertaking put together would be about 7% or 8% of the overall CNG sales.
Kirtan Mehta: Another question was about basically, we understand that short -term allocation of the new well gas has been given up to the 31st March '25. So what is the allocation that we have got for the short term till 31st March? Is it 50% of the APM requirement that we lost?
Management : Not exactly. We will come back to you on this number, but new well gas, we have also bidded and there more gas is expected to come online. So we are waiting for that also. But we did not get the full quota of new well what we quoted for.
Kirtan Mehta: Sure. And the last question was about the industrial and commercial. We are seeing very good growth in this segment. So against sort of the volume that we have agreed, how much percentage is already sort of ramped up to? And what is the balance that can co me over the next year or so?
Management : We are expecting low double -digit growth to continue for at least another year or 1.5 years in the industrial segment.
Ashu Shinghal: Industrial and commercial put together, we got 12% growth last year and maybe 10% to 12% this year. So the sourcing of this volume is already done by us in terms of some contracts of LNG.

Management : We have signed contracts of new industries for a pretty good volume, which we will be connecting in the coming construction season or the ongoing construction season and next year. So that will contribute to adding new volumes.
Moderator: Thank you. The next question is from the line of Ramesh from Nirmal Bang Equities. Please go ahead.
Ramesh: So if you were to look at your plan to acquire that 40% stake in international battery, can you

take us through what is in it for you in terms of your long -term business plan in that business? What is the kind of size and the profitability of this company? And can you tie in with some numbers, whichever you can share in terms of how it would help you generate the return on that investment?
Management : I think this is an opportunity which has come out from the strategy of the company to diversify into, say, non -fossil fuel segment also. We want to have at least 20%, 25% revenue bottom line on non -fossil diversified new areas. So as a matter of fact, we e xplored several opportunities and one such opportunity was there that we are going to set up a new battery manufacturing company, which is a cell manufacturing company.
And this will be -- I mean, one of the first in India because as per our understanding goes, all cells are getting imported in India through China, Korea and other places across the globe. What Indian companies are doing is importing the cells and packagin g them to make the battery pack. So this will be one of the first company or maybe one of the few companies to start cell manufacturing in India.
The size will be -- to start with, we will have 1 gigawatt factory and it can be scaled up to 5 gigawatt factory in at least 2, 3 years' time. We will see the performance of first gigawatt. It's a Korean partner company -- U.S.-based company, which is -- which we have joint ventured with

and they have set up a plant -- pilot plant in Korea. The project is out and it is being tested in Indian road condition also. The capex size in the first phase will be around INR850 crores and for Phase 2, it will be arou nd INR3,500 crores.
The revenue once we have 5 gigawatts will be in the range of around INR4,000 crores at the top line and maybe INR700 crores, INR800 crores on the bottom line. So it's a good segment. Also depends on what is the duty structure which the government gives bec ause government is promoting a lot of Make in India campaign. And also since almost 80% batteries are getting imported from China. So we feel that there is a likelihood to put duty on Chinese imports, especially in battery segment that will further increas e the profitability of the venture.
So it depends on the product, the type of quality which we produce, the type of chemistry, the acceptability, the rate of production and so on and so forth. So it's a newer area for us, a new venture for us, and we are very optimistic and excited about thi s whole opportunity. And if it makes sense, then it can be a good game changer for the company.
Ramesh: So in terms of the time line, when do you expect to finalize a shareholder agreement and get started on this project? And what is the execution timeline?

Management : It's a non-binding agreement which we have signed, and we expect to close this signing of SHA in a few months' time from now.
Ramesh: Okay. So on the LNG retailing business what is the kind of road map you have for, say, 2 years, 3 years or you already talked about adding some stations. And we know that you are doing a certain amount of volume in your Savroli station. So when do you see some kind of critical mass in the LNG retail outlet in terms of number of stations and LNG volumes? And how much do you think it can add to your top line and bottom line, say, in 2 years to 3 years?
Management : It's very nascent stage. Right now, in India, around 17, 18 retail outlets are working of LNG. One is Savroli which we have already commissioned from MGL. And very recently, a few days back, we commissioned another station from Mahanagar LNG which is a joi nt venture company of MGL at Aurangabad. Now next 2 years, there will be several stations which are coming on board from MLPL and from other parties like GAIL. IOC, OMCs, Spectranet and so on and so forth.
So what we think that LNG infrastructure is -- I mean, the puzzles are solved in terms of regulations, in terms of safety standards, in terms of technology, in terms of OEs coming up, in terms of retail outlets coming up, in terms of giving some discount to diesel. And also, if we have to see the environmental impact, if we have to replace diesel, there are very few alternates available and one such good alternate is LNG because LNG one fill can take you to 1,000 kilometers run.
And if we talk about electric vehicles on long haul or heavy commercial vehicles, it is not feasible considering the very prohibitive capex, the range anxiety, the charging time and the weight of the battery and the replacement of the battery in a period o f time. Again, hydrogen is 10 years, 15 years down the line, then you have to have green electricity to produce 60 units of units to produce 1 kg of hydrogen, again burn it or uses a fuel cell to run the hydrogen, create the whole ecosystem technology adap tability, infrastructure. So we think if we have to go for net zero compliances and almost 3% of commercial vehicle is emitting 35% of carbon CO_2 emissions in the transport sector by heavy commercial vehicles to commercial vehicles. That is the segment whi ch LNG is trying.

Maybe in 2 years down the line, if we see MGL, we will have good numbers because more and more ecosystem is getting ready. More OEs will be coming, more customers will be ready to reduce their carbon footprint. And

we, as a company, find that LNG will be a good segment to work on. Exact numbers will depend on how many number of stations we put up, how much volume we are able to attract, but it will not be very substantial in the overall scheme of things in terms of revenue and profitability for at least 2, 3 years. But down the line, 5, 6 years, it can be a substantial number.

Ramesh: So when you talked about the growth outlook in the second half, you said additional 3%. Are you talking about a 10% volume growth in the second half? How should we read that?

Management : No, no, no. I think -- let me make it clear. 7% growth we have achieved from 31st March '24 till 30th September. So if we talk year -on-year from 31st April '24 till 31st April '25, it will be 10%, 7% plus 3%.

Ramesh: So for the full year, it is 10%. That's what you are saying.

Management : That's right.

Moderator: I would now like to hand the conference over to Mr. Probal Sen from ICICI Securities Limited for closing comments.

Probal Sen: Thank you, Palak. Thank you very much for all the attendees as well as the management for taking their precious time out and taking an extended time beyond the said time to answer all the questions with as much details as they could. Wishing everybody and their loved ones a very Happy Diwali. From the management side, sir, any closing remarks you would want to make. Otherwise, we'll cut the call.

Management : Thank you so much, Probal and all the investors who have joined and taken time out to have this conference. Wishing you again and your family a very Happy Diwali and a New Year, prosperous New Year. Thank you so much.

Probal Sen: Thank you, everyone. You may exit the call now.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for improving readability)

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Call: Feb 2025

Ref: MGL/CS/SE/2025/600 Date: February 04, 2025
To,
Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 539957 Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (East),
Mumbai – 400 051
Symbol: MGL Dear Sir/ Madam,
Sub: Transcript of Earnings Conference Call for the quarter and nine months ended December 31, 2024
In continuation to our letter dated January 29, 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘ Listing Regulations’), read with Schedule III of the Listing Regulations, we submit herewith the transcript of the Earnings Conference Call held on January 29, 2025 on the Unaudited Standalone and Consolidated Financial Results and operational performance of the Company for the quarter and nine months ended December 31, 2024.
The said transcript is also available on the website of the Company at
https://www.mahanagargas.com:3000/Investor%20Call%20Script%20Q3FY25.pdf
You are requested to take the above information on record.
Thanking You,
Yours Sincerely,
For Mahanagar Gas Limited
Atul Prabhu
Company Secretary & Compliance Officer
Encl.: as above

Mahanagar Gas L imited
Q3 FY25 Earnings Conference Call
January 29, 202 5

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR – MAHANAGAR GAS LIMITED
MR. SANJAY SHENDE – DEPUTY MANAGING DIRECTOR – MAHANAGAR GAS LIMITED
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER – MAHANAGAR GAS LIMITED
MR. MUKESH PANHOTRA – AVP MARKETING – MAHANAGAR GAS LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Mahanagar Gas Limited Q3 FY '25 Earnings Conference Call hosted by Antique Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking Limited. Thank you and Over to you, sir.

Varatharajan S: Thank you. Good evening, everyone. It is my pleasure to welcome the management of MGL and all the participants to this Results Conference Call. We have with us Mr. Ashu Shinghal, Managing Director; Mr. Sanjay Shende, Deputy Managing Director; Mr. Rajesh Patel, CFO; Mr. Mukesh Panhotra AVP Marketing from the management side.

Before handing over the call for the opening remarks to the management, I would like to run you through the disclosures and disclaimer as well. Some of the statements made in today's discussion may be forward -looking in the nature and we believe that expec tations contained in the statement are reasonable. However, these statements involve a number of risks and uncertainties that will lead to different results. We urge you to consider that quarterly numbers are not a reflection of long -term trends or indica tion of full year results.

Having said that, I'll now hand over the call to the management for their opening remarks. The floor is yours.

Management : Thank you, and a very good afternoon to all and I welcome on behalf of MGL management, I welcome all to the earnings call of MGL for the third quarter of the financial year '24 -'25. I would like to thank all of you for attending this call today. MGL contin ues to create CGD infrastructure across its business segments in the license d area.

During the quarter, 98, 469 domestic households were connected and therefore, we have established connectivity for nearly 2.68 million households in the cumulative manner. We have laid 99.07 kilometer of steel and PE pipeline, taking the total length to over 7,224 kilometer. We also added 9 CNG stations during this quarter. And with this, we have 361 stations as on 31st December, '24.

We also have added 83 industries and commercial customers during this quarter. And as on 31st December we have 4,974 industrial and commercial customers. In relation to our Raig arhd geographical area up to December '24, we have connected 87,794 domestic households and 55 CNG stations which are currently operational.

During the quarter, we have laid 12.41 kilometer of pipeline in Raigarh, taking the total length to 445.67 kilometer. With respect to Unison Enviro Private Limited, the wholly owned subsidiary, the company has added 3 CNG stations during this quarter and total of 67 CNG stations as on 31st December.

During the quarter, 4,774 domestic households were connected and cumulative household connections are at 34,003 for UEPL and they have 63 industrial and commercial customers as on 31 December.

Average gas sales for the 9 months ending 31st December '24 is 4.006 MMSCMD , whereas it was 3.554 MMSCMD in the corresponding period last year, which is an increase of 12.75%. Sales volume in the case of CNG have also increased from 2.566 MMSCMD to 2.859, which is an increase of 11.44%. In case of industrial and commercial, the volumes have incr eased from 0.482 to 0.604 MMSCMD , which is an increase of 25.52%. And the volumes of -- for domestic PNG has increased from 0.506 to 0.542 MMSCMD which is an increase of 7.23%.

During this quarter, the overall average gas sales volume is 4.116 MMSCMD as comp

ared to
the pr evious quarter volume of 4.042 MMSCMD which is an increase of 1.84%. Sales volume in the case of CNG is standing at 2.919 as compared to previous quarter of 2.886 MMSCMD with an increase of 1.16%.

In the case of industrial and commercial, the volume is 0.646 as compared to previous quarter of 0.628 that is an increase of 2.86%. Sales for the domestic PNG is 0.551 as compared to the last quarter of 0.528 MMSCMD which is an increase of 4.32%.

EBITDA for the 9 months ending December '24 is INR1,131 crores and net profit after tax is INR793 crores. For the current quarter EBITDA is INR313 crores and net profit after tax is INR225 crores.

Coming to UEPL during the quarter, we have achieved an overall average gas volume of sales volume 0.192 as against 0.164 in the previous quarter which is an increase of 17.38%. Current quarter volume consists of CNG volume of 0.177 MMSCMD and PNG volume of 0.15MMSCMD. Therefore, MGL on a consolidated entity has achieved total sales volume for the quarter as 4.308 MMSCMD.

Average gas sales for UEPL for the 9 months ending 31st December '24 is 0.175 consisting of

CNG volume of 0.162 and PNG volume of 0.013 MMSCMD. MGL as a consolidated entity has achieved total gas sales volume for 9 months ending December 31, 2024 is 4.181 MMSCMD .
A scheme of amalgamation or merger of UEPL with MGL was approved by the Board in October '24 last year and the scheme was submitted to NCLT Mumbai on 6 December, 2024. And the matter was heard by the Mumbai bench on January 17, 2025 and they've reserved the pronouncement of its interim order.
With respect to Mahanagar LNG Private Limited, a JV of MGL with BLNG. In the business of operating LNG as a fuel to vehicles has commissioned its first LNG station at Aurangabad in the month of October '24 and has sold during the quarter, 91 to ns of LNG, with a present sale of around 2,000 kgs per day. It may be noted that there are reduction in APM allocation in two tranches in the month of October and November across all CGDs.
However, part of the APM allocation has been reinstated with effect from 16 January '25. Thus currently, MGL is having 100% APM allocation for its domestic gas and approximately 50% allocation for its CNG sales volume. There's a positive development that in a Mumbai High Court order dated 9 January with respect to Suo moto public interest litigation.

They have flagged serious concerns over worrisome pollution levels in the city of Mumbai and MMR region, directing the state government to form a committee to study feasibility of phasing out diesel and petrol driven vehicles from the roads of Mumbai and pe rmit only, motor vehicles which run on CNG and electric charge to reduce pollution to the vehicles.
Further, the court has directed MPCB to rigorously monitor and take st ringent action against polluting industrial units in the region. In response to this, the Transport Government -- Department of Government of Maharashtra has issued notification forming Committee on 22nd January to study and give their report within 3 months time under the Chairmanship of Shri. Sudhir Kumar Shrivastava retired IAS Officer, wherein MD MGL has been included as one of the committee members.
The Mumbai High Court order is a very positive development for controlling pollution in the city of Mumbai and MMR region and has provided opportunity to companies like MGL also who are providing cleaner fuel for transport sector and industry to contribute to the -- reduction of environmental pollution. This is in line with what has happened in NCR in Delhi also, a few years back.
MGL continues its jou rney of diversifying and seizing the opportunity in the new energy -related businesses by investing in a Greenfield project for manufacturing of lithium -ion cells for electric vehicle battery and other applications. The company has ent

ered into a joint venture ag reement
with IBC based out of U SA for setting up a facility in the state of Karnataka in this quarter.
MGL has invested INR35 crores for equity holding of 44% in JV company for Battery Company India Private Limited in the month of January '25. MGL for it's annual report '24 has bagged a bronze award at 14th PRCI Excellence Award 2024 for its remarkable annual report from Publi c Relations Councils of India.
In January '25, MGL has been conferred with Greentech Global Work Place Safety Award 2024 for its outstanding achievement under excellence in safety training category. I'm happy to announce that Board has approved an interim dividend at the rate of 120% that is INR12 per equity share for the current financial year.
With this, I conclude and would like -- now like to open the floor for the questions. Thank you very much for patien ce hearing.
Moderator: Thank you very much. W e will now begin the question and answer session. The first question is from the line of Yogesh Patil from Dolat Capital . Please go ahead.
Yogesh Patil: Congratulations for the good set of numbers. As you mentioned, the recent news flow government of Maharashtra has set up a panel and exploring phasing out of petrol and diesel vehicles in the Mumbai Metro region. We wanted to understand how it will be implemented. That's one thing.
And what kind of CNG volume growth you can see from this kind of a decision? Any ballpark number, if you could share with us that would be really helpful .

Management : It is a very preliminary stage to predict that how it will be unfolding itself. The main point what we wanted to make was that pollution is increasing in Mumbai which is known to all the citizens here. I mean, they are getting impacted. So taking note of t his, Mumbai High Court -- Bombay

High Court has Suo moto taken a PIL and given this direction that they wanted to take immediate steps for in two particular things.
One is the vehicular pollution, which is they wanted to replace petrol and diesel in a phase manner by electric vehicles and CNG. And second, the polluting industries can be moved out or they can be promoted to use gas as a fuel. Similar developments has happened in the late '90s in -- or early 2000 in NCR. And we have seen that even in the span of 3 , 4 years, the CNG volumes have picked up in IGL in that particular area.
So it depends that once the committee gave its recommendation in 3 months' time which is the time given by the court to submit its report, if similar there are -- I mean NCR and Mumbai are different regions. Here the land problem is much more severe. So depe nds on what type of allocation or what type of implementation plan is agreed by the government and authorities.
We can -- currently, CNG volumes are growing at the rate of around 11% in 9 months of last Q3 and this Q3. So if we more -- I mean, that depends on how the recommendations are implemented. We can see a growth of around 15% to 20% in case everything goes in favor of CNG.
Yogesh Patil: Sir, Mumbai high Court also directed to BMC that the city bakery units should not use the polluting fuel like wood or coal. And they have directed bakery to convert to use a gas or other green fuel in the next 1 year. What is the additional PNG commercial volume do you expect from this move?
And also, correct me if the PNG commercial volume increases, then it also boosts the overall price realization of a company. Because as per our understanding, the PNG commercial is the costliest product among the all.
Management : I think when you refer to commercial, within commercial, there are two, three categories. The realization which is linked to use of LPG commercial bottles is generally higher which is I think falling into a restaurant category. I'm not too sure about bakeries they may fall in which category. Mostly --

yes, there will be a better re alization, but not as high as a commercial A which is linked to commercial bottled LPG. So that is one.
Just to add with respect to the court order, I think based on the assessment we have a preliminary assessment of number of vehicles in our geographies. Within that, if I take number of commercial vehicles which are mostly on diesel are going to get impacte d initially. And that number is around 4 lakh in our geographies. And currently, we have around 38,000 such commercial vehicles already on CNG which is about 9.5%, 10% penetration.
So we see that this commercial vehicle segment could be a volume churner for us if something happens because that could be the first step to control pollution in terms of fuel -- vehicle related burning.

Management : Further the volume offtake will not be very huge in terms of the bakeries and others because they are a small establishment and it takes some time to connect to them also. It will not be very significant time.
Yogesh Patil: Sir, next question, sir, CNG volume is growing more than 10% last four quarters consistently. Now what would be your guidance for the CNG volume in upcoming years. Will you -- little bit inch up to the 8%, 9% for the FY '26 -'27?
Management : No. If you talk about the overall volumes, we were thinking about 8% year -on-year growth. But in 9 months we have already clocked 11% growth from the last whole financial year numbers.
So if we take Q4 also into account maybe we will clock around 12.5% to 13% growth year -on-year.
Now maybe next year, we will not be able to have that much number, but we are comfortable that around 10% numbers we will be able to clock next financial year also and which will be definitely -- CNG will be a main contributor in that growth along with ind ustrial and commercial segment.
Yogesh Patil: Thanks a lot. I will come back in a queue.
Moderator: Thank you. Th e next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Just firstly on the pricing and margin side. So you did take two price hikes of INR2 and INR1 kg each on CNG. But the margin still has dropped. So are you like looking back to go back to, let's say, INR10 or higher margin as we were doing in the last several quarters or this should be seen as a more stabilized margin now?
Management : The margins have -- I mean there has been some impact because we were reassessing our portfolio and the price hike has happened in late of November. And second rise has happened somewhere in January. So there were some delayed response. And secondly, we have contracted some midterm gas also on -- from the existing suppliers for giving a repeat order .

Thirdly, some reinstatement of APM gas has happened as late as 16th of January. So the impact on the margins will be slightly reduced. You're right, but it will not be maybe as low as the Q3 results. So we may be improving our performance in Q4. And if you see last year we have had EBITDA per SCM of 13.95. And for this 9 months, we have EBITDA per SCM of INR10.3 per SCM.
So it is not very off the mark of the guidance which we have given about INR10 to INR12. So we expect similar range to continue and depending on the price of LNG, Henry Hub and other contracts. W e may be very comfortable in this range, INR9 to INR11 or INR10 to INR12 range. I mean it depends on so many other things. So we can't be very particular about what will be the range.

But we are in a comfortable position because of one that we have made some procurement portfolio adjustments. And second, there have been reinstatement of APM allocation from 16th of January.
Amit Murarka: Sure. So do you mean there's no further price hike is needed in t hat sense after the restoration of the APM allocation?
Managemen

t : More or less 50% of the gas cut has been restored and we have already taken a hike -- hike in the rang e of 50%. One factor which is crucial as of today is also exchange rate because the exchange rate has been inching up and around INR85.5 or INR86. So that may have some impact depending on how it moves going forward, b ut more or less we are back to almost neutral situation of what we were in October mid as of today in January, I'm saying.
Management : And just to add, I mean I know that investors are more pa rticular about both the things, one that the margin, second is the volume. So we also have a very clear cut, I mean, line of sight for volume growth which is more important for the longevity of the company. Margins can adjust for some time, maybe slightly higher or lower.
Amit Murarka: Understood. And on the volume per se, so like you have been I think, talking about close to 7%, 8% ex of UEPL. So with UEPL like can we look at double -digit growth now? I mean I believe UEPL will grow at a faster rate than the core portfolio?
Management : We are already clocking double -digit growth as of now. If you see 9 months this year compared to 9 months last year. And UEPL, all the three geographical areas as well as Raiga d both will see at least 20% plus growth and there is a usual growth in GA -2 as well as GA -1 some margin at least, usual grow of 4.4% to 5%.
So we are hopeful that at least for few quarters, we will see double -digit growth. And as sir said earlier, we can achieve an annual growth of around 10%. Also there is a now that high court order is there. We hope that, that will turn out positive and we will be able to achieve more.
Amit Murarka: And also in terms of your CNG -- sorry, yes.
Management : Yes, 8%, what we had said is, I mean, we have already outperformed stand alone on MGL basis only. If you add on UEPL because it has a small volume, but the growth is much higher there, maybe more plus 20%. So collectively on a consolidated basis, we are around 12% growth as of now, 12% to 12.5%. So in the year -end we expect it to be around 13% or 13.5%. Next year also we definitely should be in -- at least in the double digit, yes.
Moderator: Thank you. The next question is from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen: Sir, just wanted to get a little bit of sense of what are the capex plans, if you can break it down between the different GAs including for Unison? And also if you can get a sense -- give us a sense of how much to be spent on CNG, how much on network and so on. That was my first question?

Management: See, UEPL stand alone should spend in the range of around this year, at least INR125 crores to INR150 crores. A nd it will be further up maybe next year because we have now have the ground and the groundwork is done. So we'll be able to do more capex on CNG stations et cetera. And it could go from INR150 crores to INR200 crores next financial year.
As far as MGL is concerned, already INR650 crores plus capex has been done in this 9 months period and we expect anywhere between INR200 to INR250 additional capex in Q4 as well. Out of these, major will be on steel and low -pressure pipelines . And roughly INR200 crores or plus, minus 10% on CNG. And balance is on steel grid and LMC, last mile connectivity.
Probal Sen: Okay. Sir, in terms you mentioned about the EV initiatives that are being taken. Any sense you

can give us of when these actually start contributing to revenue in a meaningful way? And what
kind of potential do you actually see based on the investments tha t have been made as of now?
Management : It's -- I mean, we have started two investments in EV. One is 31% equity in three -wheeler manufacturing company at Bangalore. And second is a recent joint venture which we have made with IBC, International Battery Company. In this IB

C, we are investing around first phase
INR380 crores, which -- with a total capex of INR870 crores. And after the -- depending on the performance of the first phase, we can go up to 5 gigawatt factory.
The fi rst phase will be 500 megawatt two plants. So 1 gigawatt factory. It depends like 1.5 years we will be able to commission Phase 1 and maybe within a few more months, the phase 2 of another 500 megawatt or 1 gigawatt plant. So it will start earning revenues from 1.5 years from now and it will gradually pick up. We have 40% equity in the joint venture and 60% is with the partner. The numbers will be in Phase 1 around if you can help me on that.
Management: See we are roughly estimating or while estimating this -- evaluating this project we have taken a discounted rate of around 18% or so. So we expect that return should come because it's a very niche kind of area, so higher rate has been applied.
Probal Sen: 18% IRR is the assumption, sir?
Management: Yes, on the full project costs.
Management : It is INR1,000 crore s revenue will be there, it is around that number or 1 gigawatt factory.
Probal Sen: Sorry, sir, INR1,000 crores per gigawatt?
Management : Yes, around that number INR900 crores to INR1,000 crores.
Probal Sen: Understood.
Management : See it is a very, very primitive stage. Why I'm saying because that per cell realization could range between $100 to whatever. So right now we are not in a position to give you the confirmed numbers because once after setting up the plant, already the tria l runs are going on for testing the cells which are manufactured by the prototype plant already in South Korea.

So once we get full customer base and understanding of this, we'll be in a better position to talk about what kind of sales revenue and margins will come. But surely when you look at the EV cell as a market, the kind of capacity which we are putting up is very, very small compared to the requirement in India because currently, all the EV cells are being imported in India a nd then battery packs are made.
So most of the manufacturers who may not have their own facility of having the battery pack and EV cell tie up. We will be able to push this. And considering the demand in India based on whatever survey or the studies we have done, 1 gigawatt is a very very small number.
Probal Sen: Sir, if I can ask a follow -up. Are we already speaking to some customers with respect to this project?
Management : The company is not only speaking, but the batteries which are manufactured in the prototype plant at South Korea are being put into the vehicle. With the customers they are tested. We are taking out their reports and all that has been already done since la st 1 year . And most of the reports as of now are positive and we are hopeful to that customer.
Management: We are already in discussion with some of the customers and very positive response has come. But the final tie -up of contracts will happen once we get more clarity on the final deadline when the project will start producing. And there's enough time for doi ng that.
Probal Sen: Understood, sir. Thank you very much. I will come back in the queue.
Moderator: Thank you. Th e next question is from the line of Gagan Dixit from Elara Securities. Please go ahead.
Gagan Dixit: Sir, for the CNG this allocation - when you say 50%, so that 50% means that $6.5 that's the APM gas that you are getting, if my understanding is correct?
Management : That's right.
Gagan Dixit: Okay. And sir, what are the overall this allocation for the CNG I mean, this other than the APM? I mean, what is the new well gas share? What is the HPHT gas?
Management : See currently, as you said, for CNG, we are getting 1.5 million, another 0.5 million of APM is available for domestic . Other than that for Q3 company had tied up 1.25 MMSCMD of Henry Hub gas

through almost four contracts and HPHT of 0.5 million. And there is an old Reliance contract linked into Brent of around 0.1 MMSCMD.
So we were left with hardly 0.04 or 0.05 for an average volume. After this quarter, we have hiked our Henry Hub contracts to almost 1.45 MMSCMD a nd we are getting small amount of NWG, but the long -term clarity on the NWG is not available as of now. Maybe it will start very soon in this month only, then we will be able to announce what is the contract with respect to

NWG.
We expect that it should be in the range of 0. 25 maybe this month, mid or so. Already, there is a HPHT contract which has come up in this month from ONGC and RIL both. And some more

HPHT bid is going to happen most likely in April by RIL, almost of 5 to 6 MMSCMD . So -- and when you compare today NWG price and Henry Hub price or HPHT, there is not much difference.
Gagan Dixit: And sir, my second question is about...
Moderator: Sorry, to interrupt you, sir. May I request you to ple ase come back in the queue, sir.
Gagan Dixit: Okay, yes.
Moderator: Thank you. Th e next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: Thank you and good evening. S o if you look at the cell manufacturing project, is there -- any detail you can share in terms of the overall tax rate you'll have to pay for th at project? Could it be at 15% a nd secondly any sense you can give us on the VAT rate or GST on capex and the inputs and the final lithium -ion cell?
Management : See this is -- I mean, as I told in the last time also INR875 crores is the total capex, 40% we are funding as equity. And for Phase 2 that means from moving from 1 gigawatt to 4 gigawatts, the capex will be in the range of around cumulatively INR3,700 crores. Tax rate on that...
Management: I think we'll come back to you separately on this because I don't have the figures handy, otherwise, I would have discussed then.
Management : And the selling price wi ll be on the market price like whatever imports are happening to -- from China. Similar prices will be offered to the market because that is the market size as of now. So whatever calculations we have done for the profitability of the project is based on i mport parity price of China.
The positive side of it is, which we have not considered is in case some duty is levied on the imports from China, especially on the import of battery cell, that will be upside to the project which we have not considered on the base case. So things -- they look very positive as Rajesh explained that out of the total requirement of more than 100 gigawatts, we are just talking about 1 gigawatt and maybe other plants which are making -- going to announce or expected is not more than 7, 8 gigaw atts.
So we expect that if more flip or more push is given to the domestic manufacturing, this can be a very good initiative because we are the only company who have the project ready which is tested on road from the pilot which has been set up at Korea and the same setup is going to be restricted in Bangalore. So that's why we are very positive about this investment.
S. Ramesh: Okay. On the con solidated numbers and the stand alone numbers, if you adjust for the difference, I get a revenue of INR275 crores and EBITDA INR154 crores. So is that number correct for UEPL which means in third quarter it's about INR102 crores revenue and INR84 crore s. The market seems to be very high . So can you put the UEPL performance in context based on this number?

Management : Yes. So the revenue that was generated during Q3 was INR102 crores for UEPL with net profit of about INR1.27 crores and cumulative for the 9 months ended UEPL earned INR275 crores. And the net profit after tax generated is INR17.51 crores.
S. Ramesh: Yes. S

o the question is at the EBITDA level, numbers are very high. So what's happening below that?
Management : I will explain it. On a consolidated, you may see that compared to MGL standalone, there is a minor reduction. Now that happens because of the investment which MGL has made and there is a large component of authorization cost which gets amortization on a c onsolidated basis. That amortization is a little higher than the profit which are earned currently by UEPL. And that is why on a consolidated basis, you may see MGL plus UEPL standalone does not add up to MGL or it is slightly lesser than MGL.
S. Ramesh: No. But based on the numbers you have given -- yes, sorry. Please go ahead.
Management : Am I able to answer your query or inquisitiveness on consolidated results?
S. Ramesh: No. That is fine. But if you go by the numbers you have shared for UEPL by itself. From EBITDA to the PAT sir its fairly substantial reduction. So is there a large component of depreciation and interest there, even and the margins are pretty high. So from that margin, the

net margin is very low. So what is happening below the line in terms of interest and depreciation?
Management : Compared to MGL, there are two components. O ne is depreciation, you're right. Another is interest cost is also there in UEPL . So if you take cash EBITDA, it is generating around INR50 crores, INR55 crores cash EBITDA per annum as of now. And this interest is also within the group, it is MGL's loan which is getting accounted as a finance cost in the books of UEPL.
S. Ramesh: Okay. And then one last thought. If you look at the vehicle additions and the growth in the CNG vehicles of around 46% year -to-date. Do y ou think this current run rate in your GAs will sustain or do you see some upside in the next 12, 18 months? What is the sense you get on vehicle addition? And can you give us some split on the number of vehicles being added across categories?
Management : We have already -- see, if you compare last 9 months -- last year, 9 months, we have had around 57,000 vehicle addition as compared to 71,000 vehicle addition in our GAs in these 9 months of this current financial year. So if we take Q4 into account, maybe we will be close to 1 lakh volume addition which will be very high as compared to our last year an d previous year's performance.
So you are right 46% growth has happened across the India on CNG, which has outperformed so many other fuels. And this impact is definitely a good sign for CNG whole as an industry as a whole. And we expect that the growth numbers which we are seeing of 10 % for 9 months comparison of last financial year, we will be able to maintain it for at least 1, 2 years. And from there, we will see how the sector is performing.
S. Ramesh: Thank you very much and wish you all the best.

Moderator: Thank you. Th e next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.
Kirtan Mehta: After this UEPL merger, will we be able to use any tax synergies? Are there any past tax losses, which can be utilized?
Management : In the books of UEPL, currently there are tax losses and accumulated depreciation around INR35 crores, both put together that we wil l be able to absorb. Also, the c apex which we are incurring today, INR150 crores odd and they are not able to absorb that depreciation. On a merge d entity basis, we will b e able to absorb that early. So, of course, UEPL would have absorbed both, accumulated losses as well as the capex, but it would have taken, let's say, 3, 4 years from now, whereas MGL will be able to take that benefit immediately.
Kirtan Mehta: Right, sir. The second question was about the APM reinstatement. I believe the next round of the reallocation would be around February 16 or so. So are we confident that the 51% would remain at the sim ilar level during the February o

r is there a probability of part reversal again?
Management : I think readjustment has happened two, three times. One was 16th October then 16th November and now 16 January this reinstatement has happened. Earlier was the r e-allocation, means two cuts were there. Now in our information, as far as we understand the next r e-allocation or re -adjustments will happen somewhere from 1st of April because around 7% per annum is recommended to be reduced from APM and put into NWG.
The other development we know is that whatever cut from APM will happen, will be allocated to CGD entities on pro rata basis at NWG prices. So basically, the gas will be available APM. The same quantity will be reallocated on a pro -rata basis through CGD at NWG prices. And we expect that to happen somewhere from 1st of April.
Kirtan Mehta: Right sir. Thank you.
Moderator: Thank you. Th e next question is from the line of Pratyush Kamal from Incred Equities . Please go ahead.
Pratyush Kamal: So I have a few sets of questions, which I wanted to ask. First is regarding your sourcing. So you source couple of -- you do have a couple of contracts, which are linked to Henry Hub and some are linked to Brent. I just wanted to understand like what is the pricing mechanism for these contracts? And what is the general sourcing mix for you? What percentage of the total volumes do you get from Henry Hub versus Brent versus APM, etcetera ?
Management : See, general pricing under this contract has a slope linked to the index. So in case of Henry Hub, it is -- Henry Hub is an index. There will be a constant, there will be a slope to the index and some fixed costs, okay? Whether it is a Henry Hub contract o r a Brent contract. So this is the normal term contract structure. Okay.
As far as MGL is concerned, I already said, I think, in the last question, overall, including domestic, we are as of now getting 2 million -plus APM. As of today, that means in January, we have already tied up Henry Hub contracts, all contracts -- put together around 1.45 mmscmd.

HPHT is around 0.5 million, okay? And rest is spot and whatever NWG have. Small amount of NWG is coming on a short -term basis. But as sir said, there will be a long -term allocation or a n allocation like APM in the near future, maybe this month or by April or so.
Pratyush Kamal: Okay, sir. And what are the slopes and fixed components when you talk about Brent like contract and Henry Hub?
Management : Those are confidential between the supplier and us. We cannot disclose them in the public domain.
Pratyush Kamal: Okay, sir. And what is the landing cost approximately for you, when you talk about the Brent contract versus the Henry Hub contract, the landed cost for you, for the company?
Management : So as of now, considering the indices, with respect to Henry Hub, it ranges between $9.5 to around $10.5. HPHT is around -- that is I think available in the public domain, including transportation, it should go around $11, which has $1 per MMBTU transportation and around $10.25 or so as a basic rate.
Pratyush Kamal: Understood. And Brent one?
Management : Brent is an old contract, and that is around 7.5%, inclusive of transportation as far as we are concerned.
Pratyush Kamal: Thank you.
Moderator: Thank you. The next question is from the line of Sabri Hazarika from Emkay Global Financial Services. Please go ahead.
Sabri Hazarika: Yes. So two questions. Firstly, your volume breakup between GA -1, GA -2 and GA -3 and the outlook for GA -3. I mean last time, you mentioned 0.621 mmscmd sort of potential. So any revision on that?
Management : So as of now, for 9 months average, I will give you , GA-1, we have sold around 1.92 mmscmd. GA-2 is around 1.85 mmscmd, 0.245 is GA -3. That makes total sale of around 4 million for this 9-month average, okay? .
If you look at the growth in G

A -3, last year average was around 0.163 and we are today at 0.245 which is a growth of almost 49%, 50% over the last year average. So that is a growth in GA -3.
If you consider GA -1 and GA -2, GA -2 is double digit and GA -1 is in the normal range of 4% to 5%.
Sabri Hazarika: Okay, sure. And a small question. In terms of kg basis, what was the CNG volumes in Q3?
Management : CNG in terms of kg. For the Q3, it is 2.14 kgs -- 2.14 million kgs.
Sabri Hazarika: 2.14 million kgs. per day, right?
Management : Yes, yes. Per day , kgs per day. And in terms of SCM it is 2.92 million kgs .

Sabri Hazarika: Thank you.
Moderator: Thank you. The next question is from the line of Saurabh Handa from Citigroup. Please go ahead.
Saurabh Handa: Thank you for the opportunity. Sir, on you r question on your comments on the number of EVs in Mumbai, say around 4 lakhs and currently, the penetration is 10%. Hypothetically, if a similar sort of directive comes as we saw in Delhi, could this number go up to like 25%, 30%, thereabout? I mean just to get a sense of what is the realistic penetration one can assume if you have similar directives as we've seen in Delhi in the past.
Management : Yes, you're right. I mean, the increase will happen in commercial first because as happened in NCR, the commercial vehicles are generally the first vehicles which gets impacted because of court or the policy intervention. So in case that happens, so our pe netration will go up because we have certain depots in BEST also, which we have opened on an experimental basis for commercial vehicles. So we can open further outlets also in our BEST captive outlets for booking for the commercial vehicle.
Further, we are increasing infrastructure in particularly in GA -2 and GA -3 for keeping in mind the commercial vehicle increase. And GA -1 also, we expect that we will do some management to create more infrastructure for commercial vehicles. Yes, the penetra tion can increase in coming few years.
Management : Saurabh, if you look at current 3 quarters penetration, we have added more than 1% of the existing population. Because roughly 4,600 -odd commercial vehicles are added in these 3 quarters put together, which is more than 1% of the total population in our GA s. And with the high court order, if it gets a little push also, I think we expect that the numbers could be high, but to give a penetration of exact percentage is very difficult as of today.
Saurabh Handa: And sir, what is the usage per vehicle , for a typical commercial vehicle?

Management : So it varies for different commercial vehicles. If I talk about the heavy commercial vehicles, the usage is about 30 kgs per day. This is on an average basis. So LCV is about 25 and the small commercial vehicles consume about 7.5 kgs on a daily basis.
Saurabh Handa: That's very useful. Thank you.
Moderator: Thank you. The next question is from the line of Vikash Jain from CLSA. Please go ahead.
Vikash Jain: I just wanted to understand currently of about 50 mmscmd of gas that ONGC is producing. I think about 6 has been taken away as new well gas. Of the remaining which is there, roughly how much has been allocated to priority sector in city gas? That's the first part of the question. Second thing is when you see a change in allocation again on 1st of April, maybe another 5%, 6% will, again, go away, say, about 2 to 3 mmscmd. Is there a chance that LPG or some other sector you see could get -- could bear the imp act more than city gas? So that's something which I wanted to know.

Management : I think the numbers will be better available with GAIL. But broadly, what we know is around 19 mmscmd was coming to CGD , which got reduced to 16 mmscmd in the first cut, and it went down by another 2 mmscmd in the second cut.
Now 2

-3 mmscmd is restored out of it, so maybe around -- if I'm not wrong, maybe around 15, 16 mmscmd is coming to CGD sector. But overall numbers from ONGC, we don't have proper clarity. Maybe not -- 50 mmscmd is not available as far as we understand. It is lower than that.
Vikash Jain: And sir, any chance of any other sector getting reduced allocation as compared to city gas?
Management : I mean you have to ask this from Ministry. But yes, I mean, if you see some deallocation has happened and now the reinstatement has happened. There are 2 things. The isolated fields, if they get connected to the main grid, then some gas can come to CGD or in case the ONGC increases the p roduction of APM, then the gas can be made available to CGD.
The other gas which is going is to fertilizer and partly to the power, which is on the isolated field or the gas in the Northeast, which cannot come into the main grid. So I mean, I don't think there is much which can come up besides the fact that some iso lated fields get connected to the main grid or ONGC increases the production. I don't think fertilizer, which is already giving a lot of subsidies in the government side will be taken out from the allocation.
Vikash Jain: And there any chance of maybe some kind of a swap that although those isolated fields and those customers get ONGC gas, but they are charged a higher price and effective swap with you? Or effectively, if we do that, then those become unviable, is that?
Management : I think government has already seized of this matter. GAIL and Ministry of Petroleum has already seized of it. There are actual limitations of doing the swap also because the physical customer should be able to take at that price at the increased price. There should be customers at that particular isolated area to consume gas physically, t hen only swap can happen. So the matter is between government and the physical limitation as well as maybe putting up more compressors to link isolated feeds to the main grid. Then this mechanism will be able to work.
Moderator: Thank you. Next question is from the line of Niharika Jain from Aequitas Investments. Please go ahead.
Niharika Jain: Thank you for the opportunity. So my first question is , I think in the call you have mentioned that we would have some impact on forex . Now for the APM gas and all the contracts, is there hedge for us or all the contracts, even including APM are unhedged for us as far as forex is concerned?
Management : See, our dollar exposure -- because all the gas we purchase locally is dollar denominated are not hedged, okay? It's not hedged. And if we want to hedge for INR transaction -- see only the price are dollar -denominated, actual transaction happens in INR. For t his RBI to my understanding, which I have checked few years back, allow s only a forward contract.
So there is a spread -off between whether you want to pay upfront forward cost and increase the cost of the consumer or you remain open and see. In the past, remaining open has benefited us,

whereas some entities who took forward, they had a higher cost. But yes, today, the time is such that we may still evaluate what needs to be done going forward, considering probably expected movement in the forex rates INR and the dollars.
Niharika Jain: Is my understanding correct, if I say that the rupee has depreciated by 3% in, say, quarter 4. So my cost directly gets impacted by 3%, right?
Management : Roughly, my estimate is -- yes, you are right in that sense. It adds around INR 0.22 to INR0.25

per rupee increase on our overall company basis, a rough ballpark number.
Management : But you are right, whatever the foreign exchange devaluation all happened, that will be reflected in the price because APM price and others are all dollar -denominated.
Management : Partly, we are indirectly hedged because we link our i

ndustrial and commercial prices to the
alternate fuels, which are also derived from dollar and then priced in India. And it suppose petrol diesel prices are also linked to Brent in a way, they also should be linked to forex . So in a way, our input as well as output both gets natural hedges t here to a very large extent .
Niharika Jain: Okay. And so I assume that a lot of fertilizer plants take shutdown in quarter 4. So do we get more APM allocation if that happens, fertilizer sector taking a lot of shutdowns?
Management : See that happens, I mean GAIL does this mechanism of what is the plan for the future or when there any plant is going for shutdown or not. So that adjustment they do and do some minor adjustments in the allocation on daily nominated gas quantities. So those are things which we are not privy to that information, maybe GAIL will be in a better place to answer that.
Niharika Jain: Okay, understood. And the last question, I think I missed the part. We said that we have invested in IBC, but when can we see the revenue getting generated from that entity?
Management : First phase we expect , in another 14 months ' time the plant will start operating a 500 -megawatt plant, 14 months from now.
Niharika Jain: Okay, 14 months from now. Okay.
Management : And second phase, another 3, 4 months from that period. That means in 1.5 years' time, we should be able to see 1 gigawatt factory coming online.
Niharika Jain: And do we have contracts in place, or we'll be getting the contracts once it get started?
Management : There is sufficient time, so we will get contracts once we get more clarity about come closer to the production . Now we are testing the product, the results are very good. We have not yet finalized the contract. We will be doing it maybe 1 year down the line.
Niharika Jain: And just from a very macro perspective, considering that it is a very evolving technology. Don't you feel that it will be a big risk if the prices just crash down because China is known to do that. Say we can talk about solar modules also. The price has crashed down and it has been crashing down every year. So being internationally linked, won't it be a risk or are we thinking something on this front also?

Management : No, we don't consider it to be a risk. You are right, China has a maximum production of the battery sales. But again, there is a protection mechanism by the government to such type of pricing mechanism by China in the past also. We have seen with solar PV cells to promote indigenous PV manufacturing, the government has supported the industry quite a lot.
Having said that, we are very much confident that we will be able to source very competitive raw material, lithium -ion and other products, which are required for battery cell manufacturing.
We have a very strong partner -- South Korean partner. And we'll be able to manage the market in terms of whatever be the market pricing mechanism .
And government, as we understand, is going to protect Indian market to a great extent in terms of levying duty because we think that moving away from China is a very thing, very much prevalent mechanism by different countries, including India. So we are ve ry confident we will be able to survive different price mechanisms as and when they appear in the market, in the battery manufacturing space.
Management : Also, I would like to add one more point here, when you manufacture cells locally, and you will get the live user experience , you will be able to manage the life cycle of the cells and the battery properly when an Indian company talking to the local consumers here. Whereas in case of China, if there are problems which pops up at the cell level, the battery pack manufacturer does not have any answer, okay?
So there, I think, technologically and in terms of performance, an Indian company will have a

very, very good upside and edge over the imported cells. And that is going to be one of the USP in the project, which is done locally here with technology as well as the setup of the plant locally.
Moderator: Sorry to interrupt. May I request Ms. Jain to please rejoin the queue. We have participants waiting for their turn. The next question is from the line of Devang Patel from Sameeksha Capital.
Devang Patel: Sir, if you can please quickly share the data points on , what is the share of BEST buses and 3 - wheelers in our volume? And what is the 9 -month growth in each of these 2 segments?
Management : So if I have to tell you the customer segment, so Autorickshaw, the 3 -wheelers, which you asked, they are the highest consuming segment. They consume about 34% of the total volumes that we sell. BEST and others put together, I will call it, the state trans port undertakings, which also includes MSRTC, NMMT, and TMT. They are consuming about only 6% of the total volumes

that we sell.
Management : And just to add to what Mukesh has mentioned is that in 3 -wheelers, almost 98 % is CNG 3 - wheelers. As far as BEST is concerned, we have around 2,000 buses of CNG and around 1,000 buses on diesel and EVs put together.
Devang Patel: Sir, and what is the growth in the BEST buses Y -o-Y. In Delhi we've seen the number of CNG buses also come down with this either being set up, is there a risk to 3 -wheelers and BEST buses volumes?

Management : No, it is the other way around. You are right, BEST buses the last few years have come down from 4,000 numbers, which were running on roads to 3,000 in total. But going forward, we think that the electric buses which were expected to be around 2,000 have n ow not come on roads. So if this particular committee will examine the whole thing and give the recommendation to the government for implementation. And in case some uptick is there, then we can see more buses coming on road and that can include a major portion of CNG also. But we have to see -- wait and watch about how the Transport Ministry and BEST take a call on that. But yes, the overall number of BEST buses have come down, including CNG buses has also come down.
Management : Just to share the physical numbers during the quarter, MSRTC alone has added 142 CNG buses, okay? And BEST, TMT and NMMT put together has added 37 number of buses. And the major part is BEST. So probably BEST because they don't have enough number of buses to run their routes have started adding some either retrofitted or buses on CNG as well.
Devang Patel: Sir, and secondly, on the when you said, there is 10% penetration in commercial vehicles. These are what tonnage vehicles? These are the 1.5, 2 tons vehicles?
Management: So commercial vehicles, what we consider are 3.5 ton gross vehicle weight onwards. So this goes up to -- 18 is the latest addition , goes up to 18 tons.
Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments.
Madhur Rathi: Sir, I wanted to understand when we source our gas. So if there is a pricing currently consider it for an example like $6 pricing, sir, at what price do we get with all these transmission and intermediaries? How much cost does that add up in the landed cost for us?
Management : See, most of our gas purchase falls in Zone 1 and Zone 2, okay? Now if you look at the tariff for Zone 1, it is INR40 per MMBtu. For Zone 2, it is to INR80 per MMBtu. If minor gas is coming from Zone 3, that is INR108 per MMBtu. And there is a small amount of marketing margin, which is being charged on APM gas, GAIL being the aggregator and marketing agency for the domes tically produced gas.
Madhur Rathi: Okay. And sir, the gas which we import, for that what would be the additional transportation as well as...
Management: As far as MGL is concerned, I'm buying from X point t

o Y point. So whatever the pipeline transportation I use, depending on the zone in which from where I'm buying the rates will be applied. As I said, mostly our gas purchase is within Zone 1 and Zone 2 ma ximum.
Madhur Rathi: Okay. Got it. Sir, my second question was, sir, with this APM gas reduction every year, so I guess that would increase our cost for SCM that we sell to our customers. So what is like a steady -state margin ? So what is the landed cost that you can get over the next 1 year?
Management: Around 7% reduction of APM is expected as per the reports and the recommendation by DGH and Kirit Parekh committee . So I mean, it depends what is the LNG prices on the substitute gas of NWG prices of the Indian food basket. HPHT option is also there with us. So we will and --

HS option is also there. So we will do a mix of the alternate sources and then determine what will be the selling price of CNG.
And also we'll have a look at petrol and diesel. The margins, as we mentioned, EBITDA per SCM will be in the range of, say, INR9 to INR11 or INR10 to INR12, depending on situation because we want to keep two things in place: One that the price disruption d oesn't happen or too much price variation doesn't happen in CNG or CNG anyway 100% allocation of APM is coming. So we would like to keep prices steady and keep the growth numbers also in line of sight.
So having said these things, we will take a call on when to -- what is the right time for increase or decrease of CNG prices as well as maintaining our portfolio because right now, we are not exposed to spot prices variation. So that way, we are much more protected and the signals and the policy initiatives are coming, but whatever APM is getting de -allocated will be sold at NWG

prices with CGD entities. So we have a clarity on what will be the de -allocation and what will be the price impact, how much we c an absorb or how much we can pass on, keeping the margins and the growth numbers in place.

Madhur Rathi: Okay. Sir, just a final question from my side. Sir, with this EV economics getting better, so the life of -- over the life of EV, it is getting more attractive than CNG. And with -- I think with increasing gas cost currently, sir, it will look even more at tractive. Sir, so how do we tackle this issue and can this lead to consumers slipping from petrol diesel to directly moving to EV then just moving from where petrol diesel to CNG?

Management : No, I think it is not as simple as what you've mentioned. The total cost of ownership depends on several factors. One is the main cost of differential between EV and CNG and petrol diesel vehicles, the first time purchase cost. The EV is costliest followed by there's marginal difference between CNG and petrol or CNG and diesel.

And third -- second is what is the electricity tariff you have to pay for charging of the EV and the petrol prices or diesel prices vis -a-vis CNG prices. So when we have seen the total cost of ownership in certain segments, the total cost of ownership, lik e in the case of buses, we found CNG cheaper than EVs. But for small vehicles, yes, EV can be cheaper than CNG.

In pollution also, if we see like CNG is its total cost -- life cycle cost of CNG pollution vis -a-vis is a mix of what is being produced in India, the coal -based electricity. The impact on CO_2 is also not much different from CNG, vis -a-vis EV with the curr ent mix of electricity generation.

So we find that going forward, depending on the electricity tariff we will be either in some segments cheaper than EVs or some segments slightly costlier than EV s. But having said that, there is sufficient room in many segments where the per capita consumption of CNG is very high as we were talking about commercial segment, 10% penetration is there.

So that means 90% vehicles are still to be captured by CNG, which is curren

tly running mostly on diesel. So that segment more than compensate for whatever small segment is lost to EVs. Like if 3 -wheelers goes to EV, we can more than compensate it to the co mmercial vehicles, which can come on CNG as compared to diesel. So as far as CGD entities and in particular,

MGL is concerned, we are -- we don't find that EV is going to be very big threat for the whole company.

Moderator: The next question is from the line of Hardik Solanki from ICICI Securities.

Hardik Solanki: Sir, just want -- if you look at the effective tax rate for the quarter, it has reduced below 20%. Sir, is there any specific reason behind that?

Management : Your observation is correct. We have had an assessment of the past year tax returns, and we have got some refund which we have accounted. And that is the reason effective tax rate has come down marginally.

Hardik Solanki: Okay. And sir, can you just break down the volume between industrial and commercial for this quarter versus the last quarter? And how was the margin between these 2 segments?

Management : So industry for this quarter is around INR0.5 million , rest is commercial. And as earlier, we said, margin in case of commercial A and other commercial c ategory is higher than industry, but all these depends on the alternate fuel prices.

If you look at current industrial margins compared to the last quarter because of the LSHS and LDO prices going down, has gone down slightly. Whereas in case of commercial, where most of the customers are linked to commercial LPG 19 kgs where prices have s lightly gone up, the margin is better. But this position keep on changing. So it's not a static or onetime position, which will remain. So depending on the ultimate fuels, price realization will be changing in both these categories.

Hardik Solanki: Ya. Sir, just a follow -up on this. If you look at the current -- the fall in crude prices and with the fuel oil getting a t much discounted prices. So how do -- how are you seeing the impact in this quarter? Have you seen an impact in this quarter? And how do we see coming quarters?

Management : If you see impact on the industry, yes, there was an impact in the current quarter in the realization of -- as I already said, that because there was a reduction in the LDO and FO prices compared to the last quarter. So I think ideally, all these are linke d to Brent in a way.

So if the Brent goes down or up, both will change. If you want to give a view may be Brent looks softer now for some time going ahead. So there could be reduction in those realizations. Also, my industrial volumes or industrial realization has gone down be cause the new customers , which we are adding, we offer them committ ed discount of 10% for 3 years.

And my addition in the volume has happened -- so on a weighted average basis, realization has gone down. It is not only because of the fuel, but average realization is down because of the large addition of the new customers and the increase in volume.

Management : Just to add to what Rajesh mentioned is that LNG marketing also expected to be slightly surplus in next 2, 3 years. So since LNG is being supplied to industrial and commercial. So we think that we will be in a better position to maintain the margins or imp rove the margins because, I mean, most of the analysts and research if we read, crude is expected to be slightly more costlier

as compared to LNG prices, which is expected to be slightly more surplus. So in that, maybe 1, 2 years or 3 years' time, we will see that we will be able to maintain these margins or improve these margins.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to the management for closing comments.

Management : Thank you so much,

all the investors and earnings calls and analysts who have joined on this call. We look forward to your continued support and confidence in the company. Thank you so much for joining in.

Management : Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This transcript has been edited , without altering the content, to ensure clarity a nd improve readability .)

Call: Jun 2025

Ref: MGL/CS/SE/2025/617 Date: May 14, 2025

To,

Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 539957 Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (East),
Mumbai – 400 051
Symbol: MGL

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2025

In continuation to our letter dated May 07, 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘ Listing Regulations’), read with Schedule III of the Listing Regulations, we submit herewith the transcript of the Earnings Conference Call held on May 07, 2025 on the Standalone and Consolidated Financial Results and operational performance of the Company for the quarter and financial year ended March 31, 2025.

The said transcript is also available on the website of the Company at https://www.mahanagargas.com:3000/Mahanagar%20Gas_Q4FY25_Earnings%20Call%20Transcript_Final.pdf

You are requested to take the above information on record.

Thanking You,

Yours Sincerely,

For Mahanagar Gas Limited

Atul Prabhu
Company Secretary & Compliance Officer

Encl.: as above

Mahanagar Gas Limited
Q4 FY'25 Earnings Conference Call
May 0 7, 2025

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR ,
MAHANAGAR GAS LIMITED
MR. SANJAY SHENDE – DEPUTY MANAGING DIRECTOR ,
MAHANAGAR GAS LIMITED
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER ,
MAHANAGAR GAS LIMITED
MR. RAJESH WAGLE –SENIOR VICE PRESIDENT
(MARKETING), MAHANAGAR GAS LIMITED
MODERATOR : MR. S. RAMESH – NIRMAL BANG INSTITUTIONAL EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY25 Earnings Conference Call of Mahanagar Gas Limited , hosted by Nirmal Ban g Institutional Equities Private Limited.
As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. S . Ramesh from Nirmal Bang Institutional Equities.
Thank you and over to you , sir.
S. Ramesh: Good evening, ladies and gentlemen. On behalf of Nirmal Bang Institutional Equities , I have great pleasure in inviting all of you to join the 4th Quarter FY25 Earnings Conference Call with the management of Mahanagar Gas.
Representing the management we have, Mr. Ashu Shinghal – Managing Director; Mr. Sanjay Shende – Deputy Managing Director; Mr. Rajesh Patel – Chief Financial Officer; Mr Rajesh Wagle, Senior Vice President (Marketing) .
So before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and believe that expectations containing the statement are reasonable. However, these statements involve a number of risks and uncertaint ies that may lead to different results. We urge you to consider that quarterly numbers are not a reflection of long-term trends or indication of full year results.
With that said, let me hand over the call to the Management . Over to you, Mr. S hinghal.
Management : Thank you, Ramesh. On behalf of MGL, a very good afternoon to you, and welcome to the earnings call of Mahanagar Gas Limited for the 4th Quarter of the Financial Year 2 024-'25.
I would like to thank all of you for attending the call today . MGL continues to create C GD infrastructure across its business segments in the licensed area.
During this quarter, 1,50,142 domestic households are connected , and thus we have established connectivity for nearly 2.83 million households. We have laid 236.07 kilometers of steel and PE pipelines , taking the total length to over 7 ,459 kilometers. We also added 24 stations during this quarter . With this , we have overall 385 stations as on 31st March 2025.
We have also added 164 I&C i.e., industrial and commercial customers during this quarter . And therefore , as on 31st March 2025, we have 5 ,105 industrial and commercial customers. During the year, 40 CNG stations were added taking total to 385 numbers as on 31st March. We added

3,43,000 domestic households and therefore have established connectivity for nearly 2.83 million households.
Steel and PE p ipeline laid during the year is in excess of 491 kilometer s, taking the total length to 7,459 kilometer s. We w itness ed addition of 798 ,215 CNG vehicles , which is the highest numbers of CNG vehicle addition in our areas of operation since inception. And now we have more than 1 .1 million CNG vehicles running in our geographies as of 31st March.
In respect of our geographical area , Raigad, up to March 2025 we have connected 95 ,714 domestic households and 65 CNG stations which are currently under operation. During the quarter, we have laid 21.27 kilometers of pipeline in Raigad , therefore taking the total length to 466.9 per kilometer.
Coming to MG L's overall operation quarter -on-quarter comparison :
Average sales volume of Q4 '25 is 4.194 mmscmd as compared to the previous quarter of 4.116 mmscmd . Such average sales volume of 4.194 mmscmd consist s of CNG of 2.934 mmscmd , domestic PNG of 0.59 mmscmd , and industrial and commercial volume of 0.67 mmscmd .
The average sales volume for the year ending 31st

March , '25, is 4.045 mmscmd whereas it was
3.609 in the corresponding period last year. Thus, there is an increase of 12.27% in the overall sales volume compared to the previous year. Average sales volume for the year ending 31st March 2025, is 4.052 mmscmd consisting of CNG volume of 2.878 mmscmd , domestic PNG of 0.554 mmscmd , and industrial and commercial volume of 0.621 mmscmd .
Compared to the previous year, sales volume in the case of CNG has increased from 2.591 mmscmd to 2.878 mmscmd , which is an increase of 11.08%. Domestic PNG has increased to 0.554 mmscmd , which is an increase of 6.53 %. A nd the I&C sales have gone up to 0.6 21 mmscmd , which is an increase of 24.46 %.
EBITDA from operations for the quarter is Rs. 378 crore s as compared to the previous year quarter EBIT DA of Rs. 314 crores , which is an increase of 20 %.
Net profit after tax for the quarter is Rs. 252 crores as compared to the previous PAT of Rs. 225 crores , which is an increase of 12%.
EBITDA from operations for the financial year is Rs. 1,510 crores, as compared to the previous financial year EBITDA of Rs. 1,843 crores , reduction is mainly due to reduction in APM allocation and an increase in gas cost impacting margins adversely.
Net profit after tax for the whole financial year is Rs. 1,045 crores compared to net PAT for the previous year of Rs. 1,289 crores .

Now coming to the Unison Enviro Private Limited operations , which is a wholly owned subsi diary:
The Company has added during the quarter 15 CNG station s, connected 4 ,997 domestic households , and added 3 industrial and commercial customers . And has laid 61.34 kilometers of steel and PE pipeline. UEPL has added 26 stations during this year, which has taken its total number to 82. The company has also added 12, 002 domestic households and established connectivity for nearly 39,000 households and added 9 industrial and commercial customer s during the whole financial year.
UEPL has laid 95.63 kilometers of steel and P E pipeline, taking the total length to over 361 kilometer s. There was an addition of 13,678 vehicles in the U EPL area. Now UEPL total 54,000 CNG vehicles in the geographical area as on 31st March 2025. During this quarter, UEPL has achieved an overall average sale of 0.208 mmscmd as against 0.192 mmscmd in the previous quarter , which is an increase of 8% . Current quarter volume consists of CNG volume of 0.189 mmscmd and PNG volume of 0.0186 mmscmd .
During this year, UEPL has achieved an overall average sale volume of 0.182 mmscmd against the 0.129 mmscmd in the previous year, which is an increase of 41%. In the year ending this Financial Year 31st March 2025, MGL as a consolidated entity has achieved total sales volume of 4.235 mmscmd .
I am happy to announce that the Board of Directors ha s approved a total final dividend of Rs. 18 per equity share for this financial year. The total dividend for the year , including interim dividend already paid , is Rs. 30 per share , that is 300% on the face value of Rs. 10 per equity share.
With this , I conclude and would now like to open the floor for the question. Thank you very much for your patien t hearing.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Yash Nandwani from IIFL. Please go ahead.
Yash Nandwani : Yes. Thanks for the opportunity . Sir, firstly on the sharp increase in OPEX per S CM this quarter, I understand there was some marketing scheme for CNG in 4th Quarter and also CSR expenditure typically gets booked in the last quarter. So could you please share the amount spent on marketing and CSR in 4th Quarter ?
Management : In the 4th Quarter , marketing is around Rs. 11 crores . And as far as CSR is concerned, roughly Rs. 10 crores is the expenditure on CSR in the last quarte

r. Apart from that, I think the increase
is mainly attributable to , generally maintenance activities are taken up higher in the 4th Quarter compared to all other quarters. So , the balance is attributable to that , somewhat attributable to consultancy and maybe one or two pipeline rents we have added in the last quarter.

Yash Nandwani: Okay . And secondly , sir, could you please provide the volume growth separately for each of the geograph ies, Mumbai, Thane and Raigad?
Management : We can separately share it with you because there are some details involved in it.
Yash Nandwani: Sir, and last question was , breakdown of 4.2 mmscmd how much came from APM and the RLNG , spot, if any ?
Management : Out of 4.2 mmscmd , roughly 2 million is APM , that is I am talking about average because there

was some increase in January and February , and it kept on changing. So , on average for the quarter it is 2 million. Around 0.5 million is HPHT . Around 1.35 mmscmd to 1.4 mmscmd is term contracts, which includes Brent linked as well as Henry Hub. And balance is through IGX , the majority of IGX is HPHT available on a short -term basis and some small amount of spot . That is the breakup for the quarters , roughly 4.2 million.

Yash Nandwani: Sure, sir. And how do you expect these links to evolve in the upcoming quarters?

Management : So, now I think the allocation of APM has come down to around 1.67 mmscmd . But correspondingly , there is an increase in the NWG available which is around 0.65 mmscmd , okay. So, bearing the replacement of APM with NWG more or less things should remain same. And whatever the incremental volumes are, that should be initially sourced through IGX on a short term basis . And once it stabilizes, we will enter into further term contracts which could be either HH, Brent or available HPHT in the market as and when it comes up.

Moderator: Thank you , sir. We will take our next question from the line of Nirmal Gore from Aditya Birla Sun Life. Please go ahead.

Nirmal Gore: Thank you for the opportunity , sir. I just wanted to ask if there is any status on the Bombay High Court led c ommittee on the electric vehicle transition condition .

Management : Yes, I think discussions are going on. There were four or five meetings already held. And we cannot disclose much of it, but yes, positive discussions are happening about the directions given by the High Court, which is how to curb the pollution primarily and also to promote CNG and EV adoption in the whole area. The committee was formed two months back. Several meetings have been held, and we will submit our report , maybe , in a month ’s time to the High Court, and then it will be disclosed to the public.

Moderator: Thank you. The next question is from the line of Yogesh Pat il from Dolat Capital. Please go ahead.

Yogesh Patil: Thanks for an opportunity , sir. Sir, as you just mentioned 1.3 mmscmd is LNG gas sourcing , can you break it down in how much is crude link ed and Henry Hub , if possible?

Management : Around 1.27 mmscmd is Henry Hub linked and 0.1 mmscmd is Brent linked.

Yogesh Patil: Okay . Sir, my second question is related to the current environment , considering the crude prices at $62 per barrel , and majority of your gas basket is linked to the crude, then the question is , can you guide us on the revised EBITDA margins for FY ‘26?

Management : We are not directly linked to crude . As Rajesh just mentioned, our majority of term contracts are linked to Henry Hub. HPHT is a n index which is based on basket s of three indices and the lower of the three is taken. So we cannot say that our majority of term contracts are linked to crude basket. Coming to the other part that the crude has come down , but Henry Hub has remained stable more or less.

Managemen

t : Maybe you are referring to IBC also linked to in a way indirectly to the Indian crude basket , yes if that comes down.

Management : Yes, new we ll gas is linked to the Indian crude basked, which is at 12%. And A PM also. So if $62 is the current rate and every month average is taken , so again the ceiling is there. So currently the ceiling is $6.75 per MMB TU. So if the crude remains below $67.5 per barrel then the APM prices will come down , and similarly 12% to IBC will also be on the lower side , because earlier the crude was trading in the range of $75 or $80. So this benefit will lower the procurement cost on the average procurement basis for the to tal portfolio. And that will be reflected into our better EBITDA margins .

Coming to your EBITDA margin , this quarter we have earned around Rs. 10. And on the whole for the year is again Rs. 10. So , it depends what the procurement cost is and how much of it we can sustain and how much we can pass on. Depending on that, we can have a guidance of around Rs. 9 to Rs. 11 as EBITDA margin for the whole year coming 2025-26. But you will appreciate that the things are very dynamic in nature. A lso, there are geopolitical things which again may result into wide fluctuation in either crude or gas prices. So , let us see how the things roll out and then we will take a call on the EBITDA margins . Because EBITDA margins depend on the alternate fuel price , the procurement cost, our margins and how much we can absorb, how much we can pass on to bring more stability into CNG prices.

Yogesh Patil: Let me quickly add on the same side , Henry Hub gas prices, which i s the major portion of your LNG -linked gas sourcing , that has also come down. I will not say sharply, but that has also declined by 25 % to 30% in the last 1.5 to 2 months period kind of time. So will it help you to improvise your EBITDA margin guidance for FY ‘26?

Management : Yogesh, I think if you look at Henry Hub, whatever $3 plus or $3.5 nearly was in last few months, four to five months of last year. But if you take the average, it was still lower. So we will have to watch out for the full year because we will be comparing the average which prevailed in 2024-25 with the average which will prevail in 2025-26. So I think we will have to wait and watch.

Management : EBITDA margins , see, we are better performing than our competitor peer companies. So , I think Rs. 9 to Rs. 11 is a very healthy margin. Previously we were having a margin of around Rs. 7, Rs. 8. So it's not very unhealthy, I would say.

Yogesh Patil: Okay. And lastly sir, PNG industrial and the commercial is growing at 20% on the volume side year-on-year basis . Can the same pace of growth be expected from this segment in the coming quarters ? And if you could elaborate on the major growth areas of this segment?

Management : A large c hunk of that growth has come from large industries. We have managed to reach a few new areas and connect a few very large industries who had not been taking gas for a long time. I mean , this rate of growth of 20 -plus-percent, has been unprecedented. And s ustaining it at this rate may not be possible for too long. However, our current I &C sale, which is between 0.6 mmscmd to 0.7 mmscmd , we can foresee that going up to about 0.9 mmscmd or 1.0 mmscmd in the next couple of years or so. Beyond that, and as things stand today, we will have to find ways to break into the solid fuel market because the addressable potential which we see in the FO and other addressable liquid fuel industry is about 1.0-1.1 million .

Moderator: Thank you. The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.

Kirtan Mehta: Thank you , sir, for the opportunity. In terms of the C NG promotion scheme that we have run through FY ‘25, how was th at sort of taken by the co

nsumers, how much we spent and how much vehicles got added under different categories during the FY ’25?

Management : In the current year , the scheme which we ran from October ‘24 to March ’25, a total of 624 vehicles were added through the scheme , which were primarily medium and large commercial vehicles with a gross vehicle weight of more than 3 .5 tons and about 30 -odd buses. And the spend which was there was about Rs. 2 -3 lakh per vehicle.

Management : Overall , in this we have spent around Rs. 32-34 crores on the promotional schemes for vehicles . And for the quarter it was Rs. 11 crores.

Management : Considering that these are, the per capita CNG consumption of these vehicle classes are slightly on the higher side , we get a pretty good payback . And since the method of incentive is through CNG sales card, which can only be used at our CNG stations, we are ensuring that we get all the associated volume out also from these vehicles at our stations.

Management : And if you see overall conversion for the year, this is highest in the history of MG L, that is 98,215 number of conversions happened during the year against around 77,000 the last year. So ,

this is a result of all these things, the scheme, the consistency in the CNG prices and the infrastructure improvement which is happening in our geographical areas.

Kirtan Mehta: Do you plan to continue this in FY ‘26 as well?

Management : We are keeping a close eye on the market and also in constant discussion with the OEs. Look, we ran this last year, we ran this this year. Again, we need to make sure that it is a marketing scheme which gives a push to the volumes and not something which customers anyway will wait and say , okay , every year this is going to come or something. So we will watch the market in time our schemes accordingly. And especially in the schemes where the paybacks are relatively high, like for these large comm ercial vehicles , we will incentivize them . Similarly, we have we are also looking at incentivizing any customer or anybody who comes as a bulk customer to us , like bus fleet operator or a very large transporter. Then we can do one -on-one MOUs with them also to incentivize them to or nudge them towards CNG.

Kirtan Mehta: Right. Could you also give us a break -up of the 98,000 vehicle s that ha ve been added during the year?

Management : Around 55,000 is private car, 7 ,000 is taxis , 25,000 is three w heelers , small commercial and other commercial vehicle s is around 7 ,000, and 3 ,000 is two-wheeler also. And around 450 is around the buses both MSRTC and some N MMT busses are there.

Kirtan Mehta: Thank you. Just the last question from my side. We have entered into two JVs, basically we invested into two companies, 3EV and the battery JV , could you give us the progress on them?

Management : We have 3EV we have already committed for 32% equity and then with the capital of around Rs. 96 crores . So that was linked with certain progress to be made. So we have paid three tranches, and around Rs. 23 crores is balance. So they have started making progress. It is a startup company , so it takes some time for the company to pick up. But the signs are good, their market is now getting established. They have produced around 850 vehicles during this financial year.

With respect to the International Battery Company , IBC, we have committed for 1 gigawatt in

the first two phases and following it up to scale up to maximum 5 gigawatts. Currently the company has been formed , we have got the land, and the site work has started . So maybe within 12 to 14 , 15 months the plant should be in place. We have already given them the initial equity and 40% commitment of equity is there from our side. 60% will be contributed from IBC USA.
Management : In terms of their marketing efforts, IBC has already started seeding the market

by importing the
battery Cells and making battery packs in India from South Korea . So we have line of customers which is getting built up , and the ir response is quite good in terms of vehicle performance using the battery packs manufactured by I BC.

Kirtan Mehta: Right. And in terms of the 3EV, what would be sort of the milestones that we will be looking for in FY '26?
Management : Currently they are producing around 200 vehicles a month , okay. So on an average 2 ,400 vehicles, maybe that will be ramped up by a few hundred more vehicles. There is another plot which has been taken to add the capacity. So once that starts we will be in a better position to tell you their annual capacity on vehicle production.
Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.
Management : Hi, thanks for the opportunity. Just one question, you mentioned that you have almost 1.27 mmscmd of Henry Hub link ed volume , and that number has gone up over the last two q uarter s. And if you look at from your basket of close to 4 mmscmd , which adds more than almost 30% of the volume which come s from Henry Hub . And sir, do you have any strategy that you want to have a both mixture of Henry Hub and oil link? Given that oil link on the spot is very low in the current supply mix , are you comfortable with this kind of ratio and as the volume increases you will keep increasing the Henry Hub volume?
Management : You are right in terms of the proportion of Henry Hub currently in our total portfolio of term contract is higher. I think in further needs we will evaluate and definitely we will be inducting Brent linked if it is available at good index for next five to six years term contract , we are open to that. Certainly , we will balance out in next term contract whenever we tie up.
Management : But overall portfolio, if you see, Henry Hub is there, but we have HPHT of around 0.6 mmscmd which primarily indirectly is linked to crude. And NWG is again Indian crude basket , and even APM is Indian crude basket. So , it is not that we are overly depend ent, I mean , our portfolio is inclined to Henry Hub, i t is a balanced portfolio I would say.
Maulik Patel: Okay . And how much of the NWG have you got in Q4 and currently you are getting?
Management : In the Q4, roughly 0.1 mmscmd of NWG was available and currently we have around 0.65 mmscmd of NWG , in the month of April I am referring to.
Maulik Patel: The industrial growth has been very strong like in the last couple of quarters you have been reporting about 20% kind of volume growth on the industrial side. What's driving this growth, and your assessment will this kind of , on a growth profile will continue in this F Y '26, what's that you want ?
Management : We have partially answered this question some time back , however, just to repeat . There are two main drivers to this growth , one is the call which we took that we will guarantee the customer a 3% or 10% discount on this alternate fuel without any floor. That has helped many customers to

get onboarded. Second is, we have managed to physically reach out to quite a lot of large customers and lay our pipelines right up to their premises , which has also led to this increase in volume. So we made our terms and conditions more favorable , and we can back that up by physical connectivity, which has led to this growth in volume . Expecting similar growth to continue for some time, but not very long. Of course, the last point is , if there is any environmental related upside in terms of air quality and something happening to solid fuels etc ., then this can grow exponentially.
Maulik Patel: Got it. And the last question on the regulatory side, a high -powered committee has been set by PNGRB to l

ook at the open access CGD , network open access . What's your view on that side? And let's say it's come that network is getting open for third party to access , where do you see MGL in terms of benefiting from that particular policy or going to see some competition in the working areas?
Management : The committee is still to give their recommendation. It's an internal committee constituted by PNGRB. Further, you must appreciate that the matter is sub -judice under Delhi High Court and

the discussions are going on. So PN GRB, when they constituted this committee, they mentioned about infrastructure exclusivity, they have categorically mentioned that all this consultation is being done. And this will be subject to the final decision taken by the Delhi High Court.
Now, having said that, if the exclusivity has to end, there are two parts to it, infrastructure exclusivity and marketing exclusivity. The infrastructure exclusivity , there is a provision in the regulation itself to increase in the bracket of 10 years after completion of 25 years . So in two of our areas we have already applied, and it can get , I mean , PNGRB is considering for extension of that. And word over what we have found is that infrastructure exclusivity is generally available to the entity which is working in that area.
Coming to the marketing exclusivity, it has a mix thing because we will be getting paid for the utilization of our assets as and when the areas get opened up. And we can also go to other geographies and other entities to trade our volumes. So it's a mix of thing s. We will be getting returns on our investments and we will have an opportunity to work in other places also , and others will also have an opportunity to work in our area. But all that is subject to the Delhi High Court decision, the high-powered committee as you mentioned , and the way PNGRB opens up this sector , and the way the whole thing rolls up .
Because there are a lot of finer details about how the things will be rolled out, the regulations, the mechanism and the way who will be allowed to come in different areas and so on and so forth. So we have to watch because it will be a mixed bag for us. It will be an opportunity for us also to go in other geographies , and at the same time other people to come in our geograph y. So it's either win -win or loss -loss for both the parties. But we think it is a step in the right direction as far as the marketing e xclusivity is concerned. But let us wait for the Delhi High Court decision before coming to any conclusion on this.

Moderator: Thank you. We will take our next question from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.
Mayank Maheshwari: Thanks , sir. My question was related to LNG and how has LNG trucking kind of picked up in the GAs for you , and what are you seeing in terms of trends or any incentives that you are kind of giving around the entire LNG market for trucking . Thank you.
Management : Mayank, already in case of MGL we have our running station at Savroli , which is presently selling around 4 tons of LNG every day. Our JV company , MLPL, has already started one station in Aurangabad. And the second station at Seoni in MP near Nagpur was commissioned in this year mechanically, which will start selling the LNG by end of Quarter 1 . Two more stations, one in Amravati, Amravati has already started construction , and JNPT station will also be completed in this financial year, probably by Q3 of this year.
We see a very good potential . As we keep on adding the stations we are getting the customer. Presently we have three main customers, one is Concor and Green Line, as well as some other company. And going forward, we see that at least another 1 0 to 12 stations in Maharashtra itself will be required to cater to the demand from trucking . On the supply side, not only

Ashok
Leyland but Volvo Eicher is also very committed on providing the various models of LNG and we see the demand coming from that side also.
Moderator: Thank you , sir. The next question is from the line of Hardik Solanki from ICICI Securities. Please go ahead.
Hardik Solanki: Yes, sir. As you mentioned allocation , just want to check what was the al location , the APM allocation and new gas allocation for the Q4 , and what is in April so far ? Can you break down that?
Management : As I said APM for Q4 was 2 million , and very small quantity of NWG around 0.1 mmscmd .
Hardik Solanki: And what is for the April so far , for APM and new gas?
Management : Right now we are getting APM of around 1.67 mmscmd and 0.65 mmscmd of new well .
Hardik Solanki: Okay . So whatever the additional growth we come up or whatever the additional requirement would be for the CNG segment that will be fulfilled by the new gas well, right , is that understanding correct?
Management : So APM after using for domestic whatever is remaining , then NWG, then we have HPHT contracts , and if there is any shortfall that gets catered through Henry Hub or we buy it from IGX on a spot basis also HPHT.

Hardik Solanki: So, sorry, just getting confused . The new gas well of 0.65 mmscmd , that will be a constant for certain time frame or it will get increased as the volume will get increased ?
Management : No, let me just clarify , their APM quantity is not getting reduced. What is happening is the APM

overall kitty is same. Some of the APM which is getting reduced is reclassified as new well gas.
In fact , the APM reduction was lower and the new well gas addition was more in April. But
overall if we see , the quantity of gas remains the same, except that the reclassification of APM
which is at ceiling of 6.75 mmscmd , will be sold at a higher price, but the quantity of gas remains
the same.
So as Rajesh was mentioning that if we have to increase the CNG volume s with 10% growth , so
maybe we have to source gas from other sources also like Henry Hub or HPH T. Because see,
the overall CGD consumption in the country is growing, whereas APM is stagnant or may
increase slightly. So whatever the growth is happening, the shortfall needs to be met through
other sources, be it HPHT or term contract. The same will be situation for MGL also that APM
kitty either NWG and APM put together , if the requirement is more for the industry , then we
have to source it through other sources.
Hardik Solanki: Okay . That's really helpful. Thank you.
Moderator: Thank you , sir. The next question is from the line of Nitin Tiwari from Phil lipCapital. Please go
ahead.
Nitin Tiwari: Good evening. Thanks for the call. Just bookkeeping ones from my end. So what was the CNG
in kg in this quarter? And also if you can update the industry and commercial volumes down ,
please.
Management : In terms of kg, it was 2.16 million kg per day , in terms of kg, 2.161 million kg .
Nitin Tiwari: Understood , sir. And the breakup of industrial commercial volumes in respective industry and
commercial segments?
Management : Out of total I&C volume around 0.14 mmscmd is the commercial volume.
Nitin Tiwari: 0.14 mmscmd per day ?
Management : Yes, 0.14 mmscmd , and rest is industry.
Moderator: Thank you. We will take our next question from the line of Kartik from CLSA. Please go ahead.
Kartik: Hello sir. Thank you for taking my question. I just wanted to ask about OPEX , so I can see that
OPEX on a year -on-year basis has gone up 22% to Rs. 8.1 billion, which is roughly Rs. 18,018

crores , and g ross profit has been down 6%. So , just wanted to get a sense on how we should be
thinking about OPEX from here on.
Management : As far as OPEX linked to volume is concerned, mainly CNG volume , certainly

it will go up
because most of the expenses, even gas is linked then power and fuel the dispensing charges , the
LCV transportation in case of transportation of gas through non-online Station or the daughter
booster station from mother station . So all those expenses are volume -inclusive and certainly
they have gone up.
And apart from that, some of the one -time expenses, like sales promotion, we have taken up in
this Q4 mainly the drive to do lot of maintenance of the old pipeline, old equipments, etc. And
as I earlier said, this year CSR expenditure on a yearly basis is also more because average profit
of last three -years was up. So what we were spending around Rs. 16 crores, Rs. 17 crores has
gone up to around Rs. 22 crores to 23 crores , okay . And sales promotion is another addition
which is added in the OPEX to push the CNG volume or CNG vehicle adoption.
Kartik: So could you please give a breakdown , so like Rs. 22 crores is the CSR expense, Rs. 32 crores
is the marketing expense. So beyond that, everything else is CNG like volume linked expenses
or is there anything else in that mix ?
Management : No, no , other than that mostly volume link ed things are there. And as I said, some part of its
mainly Q4 numbers you referred to, there is some increase in maintenance of around Rs. 15
crores to Rs. 17 crores in Q4 mainly.
Kartik: So how do you think of this , like as in terms of guidance for FY ‘26 and ‘27?
Management : On an annual basis I think the expenses will remain except one -time expenses like sales
promotion, depending on how much we roll out next year, maybe in the similar quarter or
something , it should remain.
Some amount of variable expenses like transportation of gas from mother station to daughter
booster going forward will reduce in a way , because today we have only one CGS in our Raigad
GA, we are already in the process of setting up other GAs . So once you have a CG S there, the
transportation which is happening from little far will reduce , and that will reduce the cost , okay.
And even in GA 2 I have lot of daughter booster stations . So if those stations get slowly connected
through pipeline, that will also s ave on the transportation costs etc.
Kartik: Sir, one last thing, do you still have the similar guidance on volume and margin for FY ’26-‘27,
which is like 10% volume growth and Rs. 10 to Rs. 12 of unit scm?
Management : Yes. I think volume growth will be in the range of 10% , (+/-1%), maybe it can be more than
10% also . Because you see the momentum has come on CNG part, as well as industrial

commercial this year also we have some scope to increase. DPNG we have been steadily growing and again 7%, 8% DPNG growth can come up. So volume side, similar numbers are expected this financial year also. With respect to the margins , we have just discussed maybe Rs. 9 to Rs. 11 is the right guidance for the next financial year. This year we have got Rs. 10. But one correction is there so we may come down to Rs. 9.5 if that correction is taken into place. Otherwise , Rs. 9.5, Rs. 10, Rs. 10.5, Rs. 11, that r ange would be our expectations.
Moderator: Thank you. The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.
Kirtan Mehta: Thank you , sir, for one more opportunity. In terms of the CAPEX , what is our guidance for the FY '26 and what will be the broad break up?
Management : We are expecting around Rs. 1,300 crores CAPEX for FY '26, and again around Rs. 150 crores will be in UEPL . And we are also in the process of merging UE PL back to MG L. So collectively putting together, Rs. 1,300 crores will be the number expected this financial year.
Kirtan Mehta: Broad break up between the CNG and pipeline , if it's possible to share?
Management : CNG should be in the range of Rs. 200 crores odd in MGL . And maybe Rs

. 50 crores to Rs. 75
crores , depending on how many stations and sites you get in case of UEPL as well.
Management : Balance is both a mix of PNG, steel pipeline, P E pipeline and operational CAPEX . So, as Rajesh mentioned, around Rs. 300 crores will be for CNG , around Rs. 500 crores will be for P NG, including pipelines. Pipelines will be another Rs. 200 crores and OPEX will be around Rs. 100 crores . Replacement CAPEX, around that number broadly.
Kirtan Mehta: Thank you , sir. And in terms of, there has been sort of clarity on that we will have two quarter clarity on the allocation of A PM. So has it already been implemented or when is it likely to get implemented?
Management : No, the allocation of APM happens from time to time, but typically based on certain triggers , because this gas is being produced locally by ONGC , mainly by ONGC and GAIL does the balancing act. So there are certain minor adjustments . But some trigger points do happen like year-on-year reduction of APM and reclassification in NWG as Kirit Parikh C ommittee and DGS recommendation is done by ministry and implemented by GAIL. So , those things happen on regular interval basis.
Management : But also to just reply to what you asked, the government recommendation that we will get guidance two quarters ahead that is not yet formulated.
Management : Yes, we get some notice, but not two quarter notice , if that was your question.

Kirtan Mehta: Sure, sir. Thank you.
Moderator: Thank you.
Management : I think there was a question earlier on G A wise volume breakup. 1.93 mmscmd was sale for GA 1. 1.88 mmscmd is volume for GA-2. And balance around 0.25 mmscmd or 2,50,000 scmd is for GA 3.
Moderator: Okay . Thank you , sir. The next question is from the line of Hardik Solanki from ICI CI Securities. Please go ahead.
Hardik Solanki: Sir, as you said that the CAPEX guidance would be around Rs. 1,300 crores , so can you just break down these GA wise how much would be to the new GA and basically in GA-3 and how much would be in the GA-1 and GA-2?
Management : See, very, very strict breakdown cannot be given because depending on availability of site the CAPEX will be done. But broadly , around 30% could go to GA-3, rest I think almost 60 %, 65% will be in GA-1 and GA-2. And Rs. 1,300 also include s around 15 %, 20% in U EPL.
Moderator: Thank you. The next question is from the line of Karti, who is an investor. Please go ahead.
Karti: Sir, with respect to the reduction in the A PM gas already, is there any discussion on a C GD basis , industry basis , for either reduction of excise or inclusion of NG in the GST regime with the government? Because I seem to understand that at present the volume of APM is at 40% and gradually it may be phased out to 0%. So considering the parameter whether any discussion is there as a C GD industry as a whole to include either reduction in excise or maybe inclusion of NG in GST wherein it will promote mo re usage of NG and will align with the government 's vision also for increasing the gas volumes from 6% to 15% ? Is there any discussion going on , I just wanted to know on that.
Management : A lot of discussion is going on. In fact, our regulator PNGRB has also been following it up with ministry for, one, elimination of excise duty on the CNG , as well as LC NG also. And second is the inclusion of gas in the GST. So , we were hoping that something positive should come out at least in next GST Council meeting as well as in the next budget. But the discussions are going

on for both these items , one is GST as well as excise duty.
Management : Discussions always have happened within the industry also as an industry association also with things are getting discussed. And they have been put up in right perspective to both MOP NG and regulator and other ministr ies, because final decision w

ill either come from GST Council or from the Finance Ministry regarding excise duty. So everything is not in control of the association or the CGD industry. But yes, we keep on pressing our views to the right forums.

Karti: And my second question is related to the I &C volumes. So if we see in Q4 FY '25 the volumes from I&C are at 0.59 mmscmd . So, wherever areas where MDP and steel network is charged , with the connection of further prospective I&C customers, what is the outlook for the I&C volumes over the next three years, maybe medium term we can consider ?
Management : I think we answered this question some time back. Currently our I &C volume is between 0.6 mmscmd and 0.7 mmscmd . And we are looking to take it up to about 1 mmscmd , 1.1 mmscmd in a couple of years.
Moderator: Thank you. We will take our last question from the line of Mr. S Ramesh from Nirmal Bang Institutional Equities. Please go ahead.
S. Ramesh: Hello . So before we close the call I just had a couple of thoughts. One is, if you look at the slowdown in the auto sector, they are growing in at 2% to 3%, what is the kind of run rate one can expect in terms of CNG vehicle additions , what are you seeing this month?
And secondly, if you look at the price increases you have taken between December and April and the kind of stabilization in the input gas cost, are we now there in terms of having passed on most of the gas cost changes ? And eventually will we see volume growth and the price increase helping you improve the top line growth and margins ? How do you read that situation over the next one, two years ?
Management : There were multiple questions , Ramesh, on that, but going one by one . See , the procurement cost has gone up as APM has come down substantially for CNG . As far as DPNG is concerned, we are getting 100% APM allocation, so there is no problem. Coming to CNG, yes , it is a very dynamic situation. Currently we are getting around 36% APM and balance is sourced through multiple bases , HPHT, new well gas, Henry Hub , and a mix of plus some balancing spot gas also. So, since the crude has come down substan tially in the last few months, we think that we will be able to manage with the current prices. But again , it is a very dynamic situation depending on the alternate fuel prices and our cost to procurement . How it looks like in the next few months we will take a call on final whether to increase or decrease the prices.
With respect to margins, yes, we are comfortable , as has already been answered. The volume growth , again , has been addressed at around 10% volume growth is expected. With respect to CNG vehicle additions, we are adding around 98,000 this year, which is a huge number as far as year -on-year growth is also concerned. The auto sector, I mean , again , all the fuels are working closely , like it cannot be said that CNG volumes over the country is growing up. If you see some of the report, CNG was the highest sale in terms of percentage growth , around 46% year-on-year, whereas EV has come down slightly. So it again keeps on changing year on year and also push is there for promoting EV and CNG vehicles even in Mumbai and Delhi, given that Mumbai High Court Committee has been constituted. So we see that as an upside , if pollution is to take into consideration , so we may get some upside from the High Court

Committee recommendations and acceptance by the High Court. So overall, we see it as a mixed bag where we have some positives and some adverse things to deal with, some challenges to deal with.
S. Ramesh: Thank you very much. With that, we shall close the call. We shall thank all the investors and analysts for joining the call with some insightful questions . And we thank the MGL management for giving us this opportu

nity to host the call and for answering all the questions patiently. Thank you very much , sir. Have a good day. Thanks a lot.
Management : Thank you everyone for joining for today's investor call.
Moderator: Thank you. On behalf of Nirmal Bang I nstitutional Equities Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your line s.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Call: Jul 2025

Ref: MGL/CS/SE/ 2025/ 635 Date: July 30, 202 5

To,
Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street, Mumbai – 400 001
Scrip Code : 539957 Head, Listing Compliance Department
National Stock Exchange of India L imited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (East),
Mumbai – 400 051
Symbol: MGL

Dear Sir/ Madam,

Sub: Transcript o f Earnings Conference Call for the quarter ended June 30, 2025
In continuation to our letter dated July 23, 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015 (‘ Listing Regulations’), read with Schedule III of the Listing Regulations, we submit herewith the transcript of the Earnings Conference Call held on July 23, 2025 on the Standalone and Consolidated Financial Results and operational performance of the Company for the quarter ended June 30, 2025.
The said transcript is also available on the website of the Company at https://www.mahanagargas.com:3000/Mahanagar%20Gas_Q1FY26%20Earnings%20Call%20Transcript_Final.pdf
You are requested to take the above information on record.
Thanking You, Yours Sincerely,
For Mahanagar Gas Limited
Atul Prabhu Company Secretary & Compliance Officer
Encl .: as above

Mahanagar Gas Limited
Q1 FY'26 Earnings Conference Call

July 23 , 2025

MANAGEMENT : MR. ASHU SHINGHAL – MANAGING DIRECTOR
MR. SANJAY SHENDE – DEPUTY MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE – SENIOR VICE PRESIDENT (MARKETING)
MODERATOR : MR. SABRI HAZARIKA – EMKAY GLOBAL FINANCIAL SERVICES

Mahanagar Gas Limited
July 23 , 2025

Moderator: Ladies and gentlemen, good day, and welcome to Mahanagar Gas Limited Q1 FY’26 Earnings Conference Call, hosted by Emkay Global Financial Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. With this, I now hand the conference over to Mr. Sabri Hazarika. Thank you, and over to you, sir.

Sabri Hazarika : On behalf of Emkay Global Financial Services, I welcome you all to the Q1 FY'26 Post Earnings Conference Call of Mahanagar Gas Limited.

We have with us the top management of the Company , led by Mr. Ashu Shinghal – Managing Director , Mr. Sanjay Shende – Deputy Managing Director , Mr. Rajesh Patel – Chief Financial Officer , and Mr. Rajesh Wagle – Senior Vice President (Marketing).

Today's session w ould be a brief on the results , followed by Question -and-Answer round.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in the nature and we believe that expectations contained in the statements are reasonable. However, these statements involve a number of risks and uncertainties that may lead to different results. We urge you to consider that quarterly numbers are not a reflection of long -term trends or indication of full year results.

With that said, I will now hand over the call to Management . Over to you, sir.

Ashu Shinghal : A very good afternoon to you all and I welcome on behalf of MGL Management to the Earnings Call of Mahanagar Gas for the First Quarter for the financial year '25 -26. I would like to thank you all for attending the call today.

MGL continues to create CGD infrastructure across its business segments in the license area. During this quarter, 16,348 domestic households were conn ected and thus, we have established connectivity for nearly 2.85 million households. We have also laid 79.08 kilometers of steel and PE pipeline, taking the total length to over 7,538.63 kilometers. We have 385 stations as on 30th June. We also have added 84 industrial and commercial customers during this quarter, and therefore, as on 30th June, we have 5,161 industrial and co mmercial customers in total.

During this quarter, there is an addition of 20,332 CNG vehicles, and now we have more than 1.1 million CNG vehicles registered in our geographies.

With respect to Unison Enviro Private Limited, the wholly owned subsidiary, the Company has added 4 CNG stations during this quarter , and with this, it has 86 stations as on 30th June.

The Company has added 3,338 domestic households and have established connectivity for nearly 42,338 households and added one industrial customer during this quarter. Thus, we have 63 industrial and commercial customers as on 30th June. UEPL has laid 73.78 kilometers of steel and PE pipeline taking the total length to 435.56 kilometers. There was an addition of 3,939 CNG vehicles in UEPL area during this quarter , and with this, now UEPL has nearly 57,537 CNG vehicles registered in its geography as of 30th June.

Coming to MGL's operation :

Overall average gas sales of Q1 for the current financial year compared to the corresponding quarter of the previous year has increased to 4.229 mmscmd from 3.858 mmscmd , which is an increase of 9.61% .

Compared to Q1 of the current year, to the corresponding period of the previous year, sales volume in case of CNG has increased to 2.981 from 2.772 mmscmd, which is an increase of 7.54%. Sales volume for the domestic CNG has increased to 0.569 mmscmd from 0.547 mmscmd, which is an increase of 3.88%. In the case of industrial and

commercial sales, commercial sales volume has
increased to 0.679 mmscmd from 0.539 mmscmd, which is an increase of 26.09%.

During this quarter, we achieved overall average sales of 4.229 mmscmd as against 4.194 mmscmd in the previous quarter, which is an increase of 0.85%. The current quarter volume consists of CNG volume of 2.981, and a domestic volume of 0.569, while 0.679 mmscmd of gas has been supplied to industrial and commercial segments.

EBITDA from operations for the quarter is INR485 crores as compared to previous quarter EBITDA of INR378 crores, which is an increase of 28%. EBITDA excluding one -time trade margin reversal is INR373 crores and INR315 crores for the current quarter and Q4 of the previous year, respectively.

Net profit after tax for the quarter is INR324 crore s as compared to previous quarter net profit after tax of INR252 crores which is an increase of 29%.

Coming to UEPL Operations :

During the quarter, the Company has achieved an overall average sales volume of 0.225 mmscmd as against 0.208 mmscmd in the previous quarter, which is an increase of 8.55%. Current quarter volume consists of CNG volume of 0.204 and PNG volume of 0.021 mmscmd.

Compared to the previous quarter, sales volume in case of CNG has increased to 0.204 mmscmd from 0.189 mmscmd, which is an increase of 7.94%.

For the quarter ended this 30th June, MGL 's consolidated entity has achieved total gas volumes sale of 4.455 mmscmd.

A scheme of amalgamation of UEPL with MGL was filed with NCLT in December '24. The NCLT has approved the scheme of amalgamation and pronounced its final order on 9th July with February

1, 2024 as appointed date of amalgamation. The scheme will become effective upon filing of the certified copy of NCLT order with the ROC, Maharashtra.
MGL has entered into an MoU with BMC for setting up of a CBG plant in Mumbai. During this quarter, the government of Maharashtra has approved the leasing of land to MGL at Deonar, Mumbai, for setting this plant.
With this, I conclude, and would now like to open the floor for questions. Thank you very much for your patience.
Moderator: We will now begin the question -and-answer session. The first question comes from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen : Thank you for the opportunity, sir. Congrats on a strong set of numbers. Two questions . One was that in this quarter, what was the sort of APM net allocation that we saw excluding new well gas , what is the exact percentage that we got for our priority segments ? Number one. Second question was this amalgamation scheme, now that it has been approved, when can we sort of tentatively expect the full consolidated numbers to be available or rather be reported by MGL? And third, if you can give us some color on the CAPEX for the next couple of years, including on the CBG as well as on the battery venture and on our core business ? Those are my three questions, sir.
Management: Thank you, Probal. First question was with respect to APM. APM, this quarter, domestic is 100%, as you are aware. As far as CNG is concerned, 37% of the total CNG volume were catered through APM gas. Does that answer your first question?
Probal Sen : Yes. Sir, just if I can have a small follow -up, how much was then the new well gas that we got in this quarter for CNG?
Management: New well gas was roughly 0.5 million.
Probal Sen : Understood. Right, sir. Right, sir. And the next couple of questions.

Management: Yes. With respect to UEPL, after this pronouncement, the signed copies will be received by us in maybe one or two days now, okay? And within 30 days of that receipt of the copy, both these companies are supposed to file with ROC, companies' registrar within 30 -days. And within that, I think seven , eight days, final order should come, okay? So, in our view, e

verything should get over
by 15th of August, and you will see Quarter 2 as single entity for MGL and UEPL, okay? Coming to Company level, MGL core business CAPEX , along with UEPL, we should be incurring anywhere in the range of INR1,100 crores to INR1,300 crores for the next two years at least, okay? Coming to IBC, the first phase cost is roughly INR850 crores -odd, of that roughly INR350 crores to INR380 crores will be contributed by MGL, that is the range for the 40% stake in that Company . And this should happen gradually. At least the first phase is going to get completed by around April to June next year. So, at least 50% or more will go in the first phase. And maybe in the next six months, balance will go, okay? So, we expect from here around 18 months' time in a phase manner that outflow will happen. We have already paid INR35 crores, INR36 crores. So, balance INR300 crores or a little more than INR300 crores will be there in the next 1.5 years' time , okay? As far as CBG is concerned, the overall project cost is in the range of INR600 crores to INR650 crores, okay? This was an assessment sometimes back. We may have to reassess the cost. But as far as investment by MGL is concerned, since there is a JV partner, and there is going to be funding through debt and equity both, equity from MGL side should be in the range of around INR130 crores.
Probal Sen : Perfect, sir. Thank you so much. I will come back if I have more questions. All the best.
Moderator: The next question comes from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil : Thanks for taking my question, sir. Sir, let me continue with Probal 's question. If you could provide the detailed breakup of gas sourcing in mmscmd unit from each source like APM, NWG, HPHT, Henry Hub and any other we are taking it from the spot or IGX that would be really helpful ? You have already mentioned 0.5 mmscmd NWG. Apart from that, if you could provide ?
Management: So, roughly 1.69 was APM, that is domestic as well as CNG both . 0.5 million is HPHT. Little less than 0.5 million is NWG . Henry Hub, we have contracts of around 1.45, but we consume a little less because NWG was available. So, we might have consumed this quarter around 1.15 . And though we say we bought spot, it was all HPHT through IGX, which was also again in the range of around 0.4.
Yogesh Patil : Okay. So, sir, despite of sharp decline in Henry Hub prices and the crude linked prices during the Q1 versus the Q4 FY'25, your cost of gas per unit has remained flat. Is it because of APM deallocation during the quarter or is there any reason?
Management: See, average APM received in Q4 was around 47%. Against that, APM received in this Q1 is around 37%, okay? And that 10% reduction has been replaced by NWG and other gases. So , more or less,

the increase in the cost due to reduction in APM and reduction in rates of other gases has compensated and roughly cost of gas per molecule on a weighted average basis has remained same. Your observation is correct.

Yogesh Patil : Sir, our operating expenses per unit during the quarter was INR6.6 per SCM. So, generally, remain in the range of INR6, INR6.1, INR6.2 except 4th Quarter . So, is there any higher expenses during the quarter, which is one -off kinds of expenses and which lead to INR6.6 per SCM in this quarter?
Management: There is not much one -off. But let's say, compared to last year, this year Q1 we have done a little bit more on CSR. So, you will see that little lesser in the subsequent quarters, whereas last year, the CSR expenses were back -ended slightly. So, that is one . Other than that I do not think any major expenses are booked . Maybe slight increase is there compared to earlier quarters. Yes, repair maintenance and some amount of lease rent has increased on account of some new plots which are taken by us , and also, there was

some past period demand for some lease rent in the range of few crores, which is a one-off item.
Yogesh Patil : Sir, if you could share the total CNG vehicle additions during the quarter compared to the last quarter Q4 FY'25, that would be helpful ? And lastly, also, if you could throw some light on the seven member committee report draft, when we can expect any timeline from your side?
Management : Vehicle addition was around 20,300 in Q1 against Q4 of 27,000 addition last year Q4. And coming to that Bombay High Court Committee , more or less several meetings have taken place. So, we are still waiting for some fine -tuning of the draft recommendations and some more data is required. So, we expect within a few weeks, the final recommendation from our side will be ready which we will be submitting to the court.
Yogesh Patil: Thanks a lot, sir and best of luck.
Moderator: The next question comes from the line of Yash Nandwani from IIFL Capital. Please go ahead.
Yash Nandwani : Thanks for the opportunity. Sir, my first question is on the slowdown in the CNG volume growth. We have seen about 10% growth or even higher in the last few quarters. This quarter it has a little bit slowed down to 7.5%. So, is it just because of the early monsoon or is there any other reason?
Management : Well, it is very difficult to pinpoint exactly what are the reasons because we typically do not have data at that level of granularity. But if you look at trends, our BEST volumes have been going down. Then in Q1, the number of new vehicles sold is also down . The second part was, there has been a slowdown in new vehicle addition in this quarter primarily because there has been a significant increase in the price of new cars. So, typically, we used to have about 15,000 -odd cars, private

vehicles and cabs, which used to come on to CNG every quarter, that has gone down by about 5,000 - 6,000. So, these are the two reasons . Early monsoons could have an impact on it, but apart from these, I mean, we have not been able to really pin down any very, very concrete reasons for the slowdown. Ups and downs keep happening as long as the trend is towards on increasing side, it is very difficult to ascribe reasons to these.–
Management: And it may vary ; some quarters may see a better result and maybe some monsoon effect could be there because this year, monsoon has arrived slightly earlier as compared to maybe last year. And still, we have got around 7.5% Q1 of last year versus Q1 of this year. So, yes, you are right, not 10%, but at least growth numbers are there, and we expect that going forward in the next three quarters, we will take some steps to ensure that some growth does happen.
Yash Nandwani : Sir, my second question is basically a continuing question on the gas allocation. Sir, what is the APM and NWG gas allocation currently for 2nd Quarter and how it is expected to be 3rd Quarter since it is expected that you will receive the allocation two quarters in advance now?
Management: So, the intimation although it is there mentioned six months in advance, some fine -tuning does happen 15 days or one month in advance. So, as of now, we have around 37% APM and around 16% new well gas. So, we expect adjustment happening not to a very great extent because already last six months, we have seen several adjustments, which has happened. So, we do not expect much reduction as of now, but we do not know really because our experience in the last seven , eight months has been that there has been a lot of variation in allocation, sometimes going up and down. But please be rest assured that since the LNG volumes also we have marked with the term contracts as well as new well gas is getting allocated, the crude is low. So, HPHT gas is also coming on for sale. So, we are well covered. And we think going forward the trend is that LNG prices will be softened , and

therefore,
we expect to manage lower allocation of APM also. But just to reiterate that APM allocation for domestic is 100% available. And this trend is expected to continue like this for a long time because whatever gas is coming , first priority is given to domestic PNG. CNG, the government believes that it can absorb a higher gas price, and MGL as an entity has better margins as compared to some of our peers as well as we have CNG prices which are lower. So, those levers are available with us, and we can do some price adjustment depending on volume growth and our expectations on margins. I hope that answers your question.
Yash Nandwani: Yes, sir. Thanks a lot.
Management: To just comment on the volumes a bit, historically, they have always given guidance on a long -term CAGR kind of a basis. It will not necessarily target will be hit every quarter or something like that.

So, these ups and downs are there, but the volume guidance is always slightly longish -term, directional.

Management: And as per past trend also, Q1 slightly remains lower, maybe because of school vacations, a lot of buses do not operate. That could be one of the reasons. And if you look at number of vehicles added in last Q1, more or less, it is in the same range as 20,0 00 plus. Of course, Q4, it is lower.

Moderator: The next question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Hi, thanks for the opportunity. On UEPL, I think you had earlier mentioned that there will be some unabsorbed depreciation and tax losses, which would be available once the merger is done. Could you quantify how much of that is?

Management: See, we wo uld no t be able to give you the quantum, but what I'm saying is or what I have mentioned earlier also is , today, as an independent entity, whatever capital expenditure being done by UEPL does not get tax benefit because they have cumulative losses yet to be absorbed . But once it is a single entity, all the capital expenditure will become eligible for depreciation because as a single entity, it is a profit -making entity. And there will be some tax benefits on account of merger definitely. So, these are the two aspects on which there will be tax benefits . So, it is a mainly timing difference, let us say individual CAPEX of UEPL, which would have got tax benefit after maybe two to three years since it is part of MGL now or it will be part of MGL now , it will be faster, okay?

Amit Murarka : Understood. And also like on the CAPEX and network expansion, like what is the target of CNG station addition this year?

Management : Last year, we added 66 stations, maybe around 40 from MGL and 26 from Unison. But this year, we target around 80 new stations to be added.

Amit Murarka : Sure. Also, there is a trend of declining throughput per station actually if you see. Obviously, I mean, there is time that . Just wanted to, in that context, understand like in your understanding how much time does it take for a station to fully mature and reach optimal levels of volume?

Management : Look, typically, a good chunk of these new stations are coming up in the daughter booster more because in far -flung areas of GA -2 and GA -3, our pipelines have not yet reached. The typical throughput of a daughter booster station is much lower than the thro ughput of our online station. So, if the ratio of daughter boosters to online is higher, the overall throughput decreases. But whenever we open a new daughter booster station, that reaches its plateau volumes pretty quickly in about two, three months.

Amit Murarka : Okay. So, the decline in throughput is largely you are seeing because of the increase in ratio of daughter booster to online?

Management : Yes, yes.

Management: Since we add number of stations like last year 66, so it takes some time for those geogra phies to actually people start taking vehicles or moving , seeing the queuing problem also, -- it takes some time as Rajesh mentioned, maybe a few months it will take to come up to the earlier levels.

Amit Murarka : Got it. And lastly, just you had also spoken about a scheme wherein the tie -up with BEST filling of, I think, commercial vehicles there. So, is that scheme fully rolled out or you are in the process of doing that?

Management : We are targeting 15 stations. About two months back, we were at 2. Now 6 more have got added. The remaining 5-6 I think will be added by the end of this month or August.

Moderator: The next question comes from the line of Varatharajan from Antique Limited. Please go ahead.

Varatharajan : Thanks for the opportunity. Sir, on the mix of volume in Zone 1 and Zone 2 transportation, so if you have a number to share?

Management: See, as far as MGL is concerned, the Zone 1 should be around 68% to 70% and Zone 2 is around 30%- 32%.

Varatharajan : HPHT will be completely Zone 2?

Management: You are correct. I think HPHT everything is Zone 2. All is from KG Basin. Everything from KG Basin will be Zone 2.

Varatharajan : Fair enough, sir. My second question was on the CAPEX side now. If you can give some kind of a breakdown to indicate how much is going where? For example, you are adding 80 outlets. So, maybe like it broadly costs INR3 crores or INR4 crores per outlet. Where is effectively going? So, how much of pipeline you are planning? And what are the other expenses like which you would be doing and if that can be also broken up between Mumbai GA -1, 2 and 3 and other than that, like any you need to add?

Management: See, at a Company level, I will give you the breakup. Mostly you are right . If I'm putting 80 stations, somewhere in the range of – I am talking about UEPL as well as MGL both , it should be around INR300 crores to INR350 crores, depending on other than equipment, if I am able to take either land on outright purchase basis or on long lease basis, okay? It can range between INR300 crores to

INR350 crores, okay? Then another INR250 crores, INR300 crores will go mainly into steel trunk line. Majority of that will be in UEPL area also and also in GA -3 where we are still connecting,

putting up trunk line. Very small part could be in GA -1 for maybe supply security or looping of area, etc., Some part of steel still will be there in GA -2 as well, okay? Because some of the municipalities, we are laying trunk lines in GA -2. Rest is all further branching out, reaching out to customer or medium pressure lines post these steel trunk line. So, if you take 300, 350 CNG, another 250, 300 is purely steel line and maybe balance is medium pressure line, last -mile connectivity, connecting industrial commercial customers, etc ., Some part could be there for other CAPEX like INR50 crores to INR100 crores, okay, which may include adding small offices in different regions for CRM and O&M purposes and some IT and other CAPEX , which could be in the range of INR50 crores to INR100 crores out of INR1,200 crores or INR1,300 crores of CAPEX .

Moderator: The next question comes from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel : Just one thing on that JV which you made for the IBC, y ou mentioned that the total investment from your side will be close to around INR360 crores, right?

Management : INR375 crores, yes.

Maulik Patel : And we will be holding around 40%, 45% stake, correct?

Management : 40%, 44% is current holding, but that is for a temporary period. Ultimately, 40% will be ours, and 60% will be IBC.

Maulik Patel : From an accounting perspective, you will just add the associated profit in your P&L, right ?

Management : Yes, yes. It will not be line -by-line consolidation, it will be only profit pickup from that.

Maulik Patel : And second is you mention

ed that after many, many quarters, the volume growth on a YoY b asis has come down to 7.5%. But the current month of July has been trending in a similar line, or it has been relatively improved than what you had in Q1?

Management: July numbers , just give me 5, 10 minutes, I will get back to you on that.

Maulik Patel : Sure. Thank you very much.

Moderator: The next question comes from the line of Nitin Tiwari from PhillipCapital. Please go ahead.

Nitin Tiwari : Hi, sir, thanks for the opportunity. Just staying on the volume bit , so what is our current guidance for volume growth for FY'26 and '27 as a whole and also our guidance for margins? And I also wanted to understand the margin perspective from the recent tariff reforms that PNGRB has notified which

perhaps would lead to like, I mean, the applicability of Zone 1 tariff for CNG. So , how do we see that impacting our margins if you can throw some light on that ?

Management : Q1 volume has been slightly low as has been evident. But if you see Q1 volume overall of last financial year versus this financial year, it is still a 9.6% growth. So, for this financial year, although we have said that nearing double -digit or high single -digit volume growth is expected, which we expect, again, high single -digit number should be there by the end of this financial year. Regarding that margins, although EBITDA per SCM for this quarter has been around INR12.6. But going forward, last quarter has been INR10. This INR12.6 also includes some trade margin, which is a single point entry. So, without that, it is around INR10. So, we expect around INR 9.5 or so by the year end the margins number. Regarding the tariff, it will be around INR0.60, INR0.70 per kg CNG impact. But we will see when it is implemented and what are the final numbers for both the zones. And some of it if requi red, we can pass on to the customer. Again, it all will be depending on alternate fuel cost and overall margins on our balance sheet.

Management: Just to add to this, as I said earlier, my current purchase mix is 68% to 70% in Zone 1, okay, and 30% to 32% is in Zone 2, okay? Now the manner in which this PNGRB zone wise tariff is implemented, though we do not know the rate, for all priority purchase, it will be Zone 1 rate, correct? And if you look at MGL total volume out of this 85% - 84% is priority volume. So, there will be some increase, but the Zone 2 tariff which we are paying maybe in the range of 32% or so , 50% of that will again be falling in Zone 1 because my 15% is the only volume which is in I&C, okay? So, there will be some savings on account of Zone 2 getting classified in Zone 1 because of the priority volume and also some volume because of the rate increase, there could be an impact.

Nitin Tiwari : Got it, sir. And sir, second question is around our LNG business. And also like you had indicated in our last meeting that there are two large stations being planned on the Mumbai Port , I suppose. So, what is the status of those two stations?

Management : These stations are being done through Mahanagar LNG Limited, (MLPL) and we have one station operating from MGL side and one Aurangabad station is operating since last October , one more has become ready in Madhya Pradesh in a place called Seoni and 3-4 more stations we are expecting this year to be added . So, 1 will be in Bhiwandi, 1 will be in JNPT and one will be in Amravati and 1 more we are exploring in Maharashtra. So, by the year end, we expect around in total MGL including maybe 6-7 stations will be there.

Nitin Tiwari : Understood, sir. And what is the status of two large CNG stations that you are planning?
Management : Yes, that is also underway, and there was some delay because of some permissions from some of the state authorities but we have put it on fast track. So, another seven , eight months, we expect to

commission one in Sion, that is in Wadala and the other one will be also commissioned in seven, eight months time.
Moderator: The next question comes from the line of Somaiah from Avendus Spark. Please go ahead.
Somaiah : Sir, the first question is on the new well gas mix. So, this 0.5 mmscmd is roughly around 15%, 16%. So, is this the max that we can get or is it because our portfolio we already have HPHT and Henry Hub, so 15% is something that we have opted for?
Management: Ideally, I think any reduction in APM should get replaced by NWG. Because it is basically reclassification of the gas produced from the same well. Unless there is a production going down at the well, whatever is a cut in APM should get replaced by NWG. So, there is no clear cut guideline how much NWG will be available. So, I am not able to very confidently say how much it will be going forward. Because in the past few months, you have seen the manner in which APM cut and NWG replacement has happened, okay? I do not think any linkage is done with HPHT because HPHT we are independently bidding and getting the gas. Ideally, APM and NWG should be considered based on the production from the old fields.
Somaiah : Got it. So, at 16%, whatever is the allocation we have got it completely, it is not because of portfolio mix we have taken --
Management: No, no, I do not think so there is any dependence on that. No.
Management : New well gas whatever is reclassified as from APM to new well gas, again, new well gas is given on priority to CGD only.
Management: APM plus new well gas, I am getting around 2.2 mmscmd overall .
Somaiah : Sir, also on the marketing program that we do on the commercial vehicle side, so this 2.0, where are we on that? I just want to understand.
Management: Yes, the marketing scheme was closed on 31st March. In Q1, we did not run the scheme. Q1 is typically a slow quarter for commercial vehicle sales, et c., and at an appropriate time, we will reinitiate the schemes.
Management : We are also exploring some bulk customers . In case we get some bulk customers, we will do it on B2B type of a deal with customers to see that more fleet of heavy commercial vehicles are added.

Management: So, we are looking at large fleet operators, transporters, et c., and trying to work out bulk deals with some of them.
As regard to the previous question on CNG sales trends in July , the volume is marginally higher than Q1, not appreciably higher, but marginally higher, directionally it is more than the volume of Q1. This is just for the first couple of weeks of July for which data is available.
Somaiah : Sir, the BEST volume decline, if you could just quantify that on a YoY basis, what would have been the impact?
Management: Last year, around this time, BEST, we were selling about 125,000 Kgs per day. That is down to about 98,000 Kgs per day.
Somaiah : Understood, sir. Sir, one last question is on the CAPEX . So, you did mention INR1,100 crores at a core business level. So, including the equity investment, so it is roughly around INR1,300 -1,350 crores of run rate per year including both the other investments.
Management: Yes, you are right because INR1,100 crores or INR1,200 crores does not include the diversification or the new Company investments.
Moderator: The next question comes from the line of S. Ramesh from Nirmal Bang. Please go ahead.
S. Ramesh : Good evening and thank you very much. So, if we were to look at the UEPL performance this quarter, can you just take us through the revenue, EBITDA and PAT? And how do you see the UEPL volumes perform over FY'26 -27 based on the CAPEX you are doing and the growth in the infrastructure?
Management: EBITDA in the current quarter is around INR16 crores . There is a marginal decrease compared to previous quarter, which was around INR17 crores in absolute value

terms . And volumes presently, they are 0. 204 mmscmd only for CNG and another for PNG is around 0.02 1. So, roughly 0.225 mmscmd is the overall volume on quarterly average basis. And we expect that growth should be in the range of 30% every year this year, maybe in next two, three years .
S. Ramesh : Are they making profit after tax or you are still losing money there?
Management: No, no , it is making profit after tax.
Management : Last year, it has made profit after tax of around INR21 crores.

Management: And Mr. Ramesh that includes the interest cost, which is actually an income for MGL also. It is definitely profit -making.
S. Ramesh : So, in terms of the CAPEX you are doing, including UEPL, you are talking about INR1,100 crores, INR1,200 crores , so if you look at the ballpark ROCE expectation, when do you think you will be able to achieve the normalized ROCE on the incremental CAPEX you are doing in the next two years? Can we assume that it will start happening by FY'28 once assets stabilize in your gas sourcing and the volume growth stabilizes or will it take, say, another three years? So, when do you think there will be visibility on the cash flows and the ROCE on the incremental CAPEX you have?
Management: I think it should take three to four years from here.
S. Ramesh : Okay. Fair enough. So, one last thought. Now if you are looking at the long -term cash flows and the CAPEX , when do you think you will achieve the growth CAPEX and when would you move towards a normalized maintenance CAPEX and what will be the normalized maintenance CAPEX to evaluate the long -term cash flows and value the firm on a DCF model because your CAPEX leads to a back - ended return , you will possibly have a good idea in terms of when you think that will achieve a steady state. Can you give us some sense in terms of what will be the steady state CAPEX and when do you think you will achieve that?
Management: See, if we look at existing MGL business, maybe for trunk line, etc ., maybe it may take another three to four years, not beyond that and then whatever remains could be very marginal . And even on account of CNG stations required to cater to the population or making a scenario where you move in and move out of the station very fast, it should not be more than four to five years, putting up new stations and adding. And there also mainly in GA -3 and GA -2, okay? So, our CAPEX for MGL existing GA should taper down within four to five years and then only last -mile connectivity for customers who get added . So, even if I am running at 3 lakh connections per year, and we have already reached out to almost 2.7 million households, considering 4 million, that also I think takes another four, five years max in my view . When it comes to UEPL, I think the CAPEX cycle should be for another at least six, seven years minimum. But that will be a smaller this, maybe initially a few years 150 to 200, and then it should taper down to below 100 for next four, five years. We do not segregate on DCF this, but CNG business should have a replacement CAPEX a little earlier … when I say a little earlier, around 15 to 18 years, mainly the equipments I am saying, but rest of the CAPEX , it is pretty long, minimum 25 years and beyond it is . Of course, barring some of the assets which are above ground, like say, risers or meters, et c., which may need replacement again, 15 to 18 years' time. So, majority of CAPEX last very long. As per PNGRB at least I think 25 years is the authorization period, beyond that it should last . But we do not have history in India. Globally, I think there are examples where 40 to 60 years also PE lines and steel lines in the range of 40 years should be there.

S. Ramesh : That is useful. Sir, can you give us some color on the GA -3 volumes this quarter? And what is the kind o

f growth you expect? And what is the kind of CAPEX required in GA -3 in the next one to two years?
Management: GA-3 volumes presently are 0.2 to 0.245 and current quarter GA -3 volume I think 0.324.
S. Ramesh : Okay. And how do you see the growth in the FY'26 , '27?
Management: FY '26 , '27, I think it should grow at, at least 15% to 20%.
Management : Probably a bit more, same as UEPL around 30% or so.
S. Ramesh: Okay. And what is the CAPEX required in GA -3 specifically? And also on the shifting from daughter booster to online stations, when do you think that will happen?
Management : The shifting from daughter booster to online is a slightly long process because we have to lay long pipelines to reach all the places. But what we are also doing is we are adding three more city gate stations. So, one will be added in this month only at Usarghar and two more will be added in maybe 7, 8, 9 months or in a year's time or so. So, that will ease out . Our daughter booster stations will be gradually converted to online station. But at the same time, we are adding more stations every year in this geography. So, there will be definitely more DBS also will be coming on. And maybe in two, three years' time, the things will get normalized, then it will be mostly on online and some still be operating on DBS because everywhere, we will not be able to lay the pipeline to make every station online.
Moderator: The next question comes from the line of Mr. Arya Patel. Please go ahead.
Arya Patel : I just had one question. So, what was the average realization for industrial and commercial customers in Q1 as well as the average realization in FY'25 and Quarter 4 FY'25?
Management: Industrial and commercial average realization without tax is around INR50, okay? And it is slightly lower, maybe around 5% lower linked to Brent compared to last quarter. So, INR50 is the average for the last year. And this quarter, it is slightly lower, 5% lower.
Arya Patel : Got it. And what was Q4, sorry?

Management: Specifically for Q4 also was in the same range, INR50 average realization, which ranges some segment more than INR 50, some segment near INR50 or a little less INR50, mainly commercial LPG

bottle -linked segment is earning higher and the LDO /FO-linked customers between INR45 to INR50 is the range.
Moderator: The next question comes from the line of Sagar Kapadia from Prabhudas Lilladher.
Sagar Kapadia: Sir, recently, we have read news that MSRTC is going to procure more of this hybrid CNG, LNG buses. So, I wanted to know, earlier, we used to give figures how much conversions have been made from the MSRTC buses. And also I would like to know in our geographical area, how many bus depots of MSRTC are there? And what are the plans of MGL? How many CNG station s can be established in those bus depots?
Management : Currently around 600 buses of MSRTC are running, and they had added some more buses in the last few months. However, there is some potential because as they are having a fleet of around 18,000 buses, but that is all across Maharashtra, and they are, I mean, having both the options. They are also exploring LNG option and CNG option. So, we are in touch with them . Some more MSRTC stations we are adding gradually. As of now, maybe around 12 or so are operating right now .
Management: Going forward, they will be informing us as regards which depots they will be deploying these buses, mainly they will be in the Raigarh district, GA -3, a few in GA -2, and we will upgrade or add infrastructure as required to fuel those buses.
Sagar Kapadia: Okay. Sir, so that can compensate for the lesser volume of the BEST, which has declined?
Management : To some extent, yes. But BEST, we were operating around 3,000 buses at one point of time. Now it has come down to 1,800 buses. So, yes, you are right, MSRTC will compensate for some, but we are also i

n touch with BEST, let us see if something gets materialized there also.
Sagar Kapadia: Okay. So, we said we are operating 600 buses on CNG, right, from the MSRTC side, currently?
Management : Yes.
Sagar Kapadia: Okay. So, that number can improve if they go for the option of CNG?
Management : There will be a mix. I mean, it is not that only on CNG. There will be a mix of both CNG, LNG and diesel.
Moderator: The next question comes from the line of Keshav from Kotak.
Keshav : Sir, can you please give us GA -wise volume breakup and the YoY growth rate?

Management : Around 50% is from GA -1 and around 0.3 was GA -3 and balance is GA -2, maybe around 45% or so.
Management: Total volume for this quarter is around 4.23. GA -1 is 1.9 , GA-2 is 2 million and 0.33 is GA -3.
Keshav : And sir, can you also help us with YoY growth rate of this volume?
Management: So, if you compare Q4, average FY'24, there is slightly degrowth in GA -1, but GA -2 has grown from 1.85 to 2, and GA -3 has grown from 0.24 to 0.333.
Moderator: Thank you.
Management: There was one question by Mr. Ramesh regarding GA -3 CAPEX , GA -3 CAPEX planned for this year '25 -'26 is in the range of INR200 crores.
Moderator: The next question comes from the line of S. Ramesh from Nirmal Bang.
S. Ramesh: As a follow -up to the question, so if I look at your overall business now in terms of the gas sourcing and the price increase required, what is the additional price increases required to improve margins? And when do you think you will be able to do that? And if you see gas prices remaining stable at these levels, do you see the operating leverage and volume growth helping you improve your EBITDA growth and earnings growth, say, over the next few quarters?
Management: So, Ramesh, if I exclude the one -time reversal of trade margin from both the quarters, this quarter as well as the previous quarter, my Q4 EBITDA was 8.35 per SCM and my Q1 this year EBITDA is 9.68 to be very precise. So, actually, there is a growth in EBITDA margin, okay? And that also, I am saying will improve because Brent in the Q1 was slightly lower. So, realization in industrial and commercial compared to previous quarter, our previous average was lower by 5% to 6%. We expect that if Brent remains on average, better than Q1, then that will also add somewhat. And gas costs, I am seeing on the softer side. So, right now, I think on margin front, we did not do anything unless there is some change in the input gas costs or any other factors like foreign exchange or allocation.
Management : Tariff also.
Management: And zone -wise tariff.
Management : So, as mentioned earlier also, Mr. Ramesh that we are having good margin on EBITDA also. Earlier if you used to track our margins, we were in the range of INR7 or so. So, now we are in the range of INR9.5. Secondly, we are still selling CNG at a lower price as compared to many of our peers. So,

therefore, we have some margins available there also to pass on the price in case it is required. Also, it depends on how petrol, diesel prices fare and what is the movement of Brent and the procurement of all the cost for LNG also. So, all this is a, I mean, dynamic situation. So, we keep a track on these parameters to take a decision on price hike or price reduction in CNG. The other segments are more or less every month; we do the price declaration.

Moderator: Ladies and gentlemen, we will take this as a last question for today. I would now like to hand the conference over to the management for closing comments.

Management l: I would like to thank once again all the investors for placing faith on the Mahanagar Gas and wish you all the best. Thank you so much for joining in.

Management: Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this con

ference.

Thank you all for joining us, and you may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

Mahanagar Gas Limited
July 23 , 2025

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Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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To,
Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code : 539957 Head, Listing Compliance Department
National Stock Exchange of India L imited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: MGL
Dear Sir / Madam,
Sub: Transcript o f Earnings Conference Call for the quarter and nine months ended December 31, 2025
In continuation to our letter dated February 09, 2026 and pursuant to Regulation 30 and Schedule III of SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call held on February 09, 2026 on the Unaudited Standalone and Consolidated Financial Results and operational performance of the Company for the quarter and nine months ended December 31, 2025.
The said transcript is also available on the website of the Company at www.mahanagargas.com .

You are requested to take the above information on record.
Thanking you, Yours s incerely,
For Mahanagar Gas Limited
Atul Prabhu
Company Secretary & Compliance Officer
Encl.: as above

Q3&9MFY26 Earnings Conference Call
February 09, 2026
MANAGEMENT : M R.ASHUSHINGHAL –MANAGING DIRECTOR
MR.RAJESH PATEL –CHIEF FINANCIAL OFFICER
MR.RAJESH WAGLE –SENIOR VICEPRESIDENT –
MARKETING
MODERATOR : M R.SUDEEP ANAND –SYSTEMATIX INSTITUTIONAL
EQUITIES
Moderator: Ladies and gentlemen, good day, and welcome to Mahanagar Gas Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sudeep Anand from Systematix Institutional Equities.
Thank you, and over to you, sir.

Sudeep Anand: Thank you, Rutuja and a very good afternoon to everyone. Thanks for joining us today for the Q3 and 9 months FY '26 Earnings call of Mahanagar Gas Limited. On behalf of Systematix, I would like to thank the management for giving us the opportunity to host the call and also many congratulations for the great set of numbers.
We have with us the top management represented by Mr. Ashu Shinghal, Managing Director; Mr. Rajesh Patel, Chief Financial Officer; and Mr. Rajesh Wagle, Senior Vice President, Marketing. Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and we believe that expectations contained in the statements are reasonable.
However, these statements involve a number of risks and uncertainties that may lead to a different result. We urge you to consider that quarterly numbers are not a reflection of long-term trends or indication of full year results. Now I would like to hand over the call to Mr. Ashu Shinghal for his opening remarks and then we can move to the question-and-answer session.
Over to you, sir.
Ashu Shinghal: Thank you, Rutuja and Sudeep. First of all, a very good afternoon, and welcome to the earnings

call of Mahanagar Gas Limited for the third quarter of the financial year '25-'26. I would like to thank all of you for attending this call today.

MGL continues to create CGD infrastructure across its business segment in the licensed areas. During the quarter, 1,24,908 domestic households were connected and thus, we have established connectivity for nearly 3.07 million households. We have laid 120.3 kilometers of steel and PE pipeline, taking the total length to over 8,182 kilometers. We have added 6 CNG stations during this quarter. And with this, we have 491 stations as on 31 December '25. We added 337 industrial and commercial customers during this quarter.

As on 31st December, we have 5,618 industrial and commercial customers. During the quarter, there is addition of 32,315 CNG vehicles. And now we have more than 1.25 million CNG vehicles registered in our geographies as of 31 December, '25.

Coming to MGL's operations during the quarter, we achieved overall average sales volume of 4.62 MMSCMD as against 4.593 in the previous quarter, which is an increase of 0.59%.

Current quarter volume consists of CNG volume of 3.281, DPNG volume of 0.604, and 0.735 MMSCMD of gas was supplied to industrial and commercial segment. Compared to the corresponding quarter of last year, average overall sales volume have increased from 4.31 to 4.62 MMSCMD, which is an increase of 7.19%.

Sales volume of CNG has increased from 3.098 to 3.281 MMSCMD, which is an increase of 5.92%. Sales for domestic PNG have increased from 0.554 to 0.604 MMSCMD which is an increase of 9.04%. In case of industrial and commercial, sales volume has increased from 0.659 to 0.735 MMSCMD, which is an increase of 11.63%.

Average gas sales for 9 months ending 31 December, '25 is 4.556, whereas it was 4.181 MMSCMD in the corresponding previous period of the last year, which is an increase of 8.97%.

Sales volume in the case of CNG has also increased from 3.022 to 3.241 MMSCMD, which is an increase of 7.24%.

In case of industrial and commercial, the volumes has increased from 0.615 to 0.730 MMSCMD, which is an increase of 18.76%. And the volumes for domestic CNG has increased from 0.545 to 0.586 MMSCMD which is an increase of 7.53%. EBITDA from operations for the quarter is INR352 crores as compared to previous quarter EBITDA of INR338 crores.

Net profit after tax for the quarter is INR202 crores as compared to previous quarter net profit after tax of INR193 crores. EBITDA for the 9 months ending December '25 is INR1,191 crores and net PAT is INR715 crores.

During this quarter, MGL's Annual Report 2025 was honored with a Bronze Award at the Public Relations Council

of India, Excellence Award 2025.

In the areas related to UEPL, MGL has commissioned 100th CNG station in the month of January at Latur. At the time of acquisition, UEPL geographical areas had 53 CNG outlets. Over the last 23 months, 47 ROs have been added, translating to an average of approximately 2 stations per month.

I'm also happy to announce that Board has approved an interim dividend for the current financial year at the rate of 120%, which is INR12 per equity share. With this, I conclude and would now like to open the floor for the questions. Thank you very much for your patience hearing.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Probal Sen from ICICI Securities.

Probal Sen: Three questions from my side. Firstly, in the 4.62 MMSCMD volume, is it possible to bifurcate how much was the UEPL sales volume and to give the corresponding sales in the quarter 3 of last year?

Rajesh Patel: Quarter Q3 UEPL average was 0.283 MMSCMD.

Probal Sen: And sir, corresponding volume last year for UEPL?

Rajesh Patel: One moment. I don't have readily, but I can say it was roughly around 0.2 MMSCMD or so.

Probal Sen: 0.2 MMSCMD.

Rajesh Patel: Yes, 0.2 MMSCMD.

Probal Sen: Got it, sir. Sir, the second question was, has there been any price hikes or changes that has happened?

Rajesh Patel: Last year same quarter of UEPL was 0.194.

Probal Sen: 0.194. Got it, sir. The second question was, sir, any price changes that have happened in any segment in this quarter or any price changes planned in the fourth quarter? Can you give us any color?

Rajesh Patel: If you have noted, I think on 1st of February, we increased our CNG price by INR0.50 per kg.

Probal Sen: And third question was, sir, this quarter saw Henry Hub prices actually rising quite sharply and yet we have actually managed to show some improvement in our margins on a sequential basis. Just wanted to understand what measures we have taken or any changes in our sourcing mix in this quarter that has enabled this?

Rajesh Patel: So we tried taking as less as possible Henry Hub and replaced it either HPHT or spot. However, if you look at the average Henry Hub Index and the actual cost of Henry Hub, compared to previous quarter has hardly gone up by around $0.14. As against that, if you see APM, since Brent was lower, has seen a savings of almost $0.20.

And so is the case with HPHT and NWG, et cetera. So overall, lower Brent has contributed to all the contracts relating to Brent, which is at least more than $0.20. In case of Henry Hub, the average price was higher by around $0.14. So net-net, I think there is a reduction in the cost slightly.

And since we took the price increase in the previous quarter, last month, that is in the month of September, the benefit of that price increase has accrued in this quarter fully. So both put together, better sales realization despite, I think, a lower realization in case of industry, our overall company EBITDA per SCM has gone up by around INR0.30 per SCM.

Probal Sen: Got it, sir.

Ashu Shinghal: Major point maybe which we have in the recent memory is, in January the HH prices have gone up high. So maybe you had that point in reference when you're asking this question.

Probal Sen: Right, sir. Sir, last question, if I may. Any change in the guidance for medium- to long-term volume growth? Are we maintaining that 8% to 9% kind of volume growth overall on an annualized basis?

Ashu Shinghal: If you see year-on-year, the growth is around 9% -- 9 months year-on-year. But we are expecting that Q4 will be slightly better, so we may touch around double-digit number. And guidance for the future year is, yes, around double-digit number we are planning.

Moderator: The next question is from the line of Yash Nandwani from IIFL.

Yash Nandwani: First question is on the CNG volume growth. It has moderated to around 6% in this quarter, so could you h

elp us understand the impact of gas supply disruption that was there due to the pipeline damage in Q3?

Ashu Shinghal: It was a very small quantity. I mean the production was down for 1 day.

Rajesh Wagle: The restoration took about a couple of days in which we had to shut down quite a few CNG outlets in Mumbai and GA-2. So during that time, we made sure that CNG supply was available to BEST and STUs, and a few critical CNG stations, because there was only a limited amount of gas which we could draw from Mahape for use in Mumbai. And not only CNG, the impact of that hit the industrial and commercial sector also pretty hard. So one of the reasons for a drop in industrial volumes is also this thing.

Yash Nandwani: Sir, could you quantify that volume?

Rajesh Wagle: I think roughly, it is about 1% of CNG volumes. And had that thing not been there, CNG volumes would have been 1% higher.

Yash Nandwani: Okay. And secondly, sir, again, on Henry Hub linked volumes. So how should we look at the margins going ahead in Q4 and next year onwards, given that fact we have seen sharp volatility in the Henry prices, and considering a meaningful portion of our volumes are also linked to Henry Hub linked contracts?

Rajesh Patel: So within the contract, I think there is a lot of flexibility available. As you are already aware, probably one can go as low as 60% because of the take-or-pay threshold is 60%. Within that also, we can do some amount of lag behind in-taking little less quantity and then recoup it in the subsequent months, because the annual average has to be maintained at 60%.

So we will do fine-tune management of how do we end up the cheapest gas available and reduce the costliest gas, which is what is done in the Q3 also and our endeavor is there, we will do it in going forward also. And so whichever month it is higher, we will manage it through this mechanism to a certain extent.

Yash Nandwani: So you maintain the margin guidance?

Rajesh Patel: Yes, to certain level.

Ashu Shinghal: Margin guidance, which was answered in the previous question also, we will be around the same -- similar numbers, INR8 to INR8.5. Sorry, volume growth was talked about in the earlier question, but the margin guidance will be in the similar range of, say, INR8 to INR8.5 as we have seen for this. Although 9 months margins are around INR10 and Q3 is INR8.3.

So slightly lower side. But going forward for FY '26, given that HH prices are slightly higher as we will be doing some readjustment in our procurement strategies and some of the term contracts will be expiring, some we will be entering into different contracts. Also the volume growth, which is coming up, 10%, we have that flexibility to go in with Brent-linked contracts also or other indices. So we do this and HPHT gas will also come on play. There's new well gas also some quantity variation keep on happening. So overall, portfolio management is very critical,

which we closely monitor, and we are also looking for some hedging to be done at the right appropriate time to further optimize our procurement costs.
Rajesh Patel: And on the sales realization side, if you look at now, Brent has started looking up. So industrial realization should increase slightly, though my APM cost is protected by ceiling. And we have

already taken, as I said earlier, INR0.50 per kg increase in the month of 1st of February. So that will help to a certain extent, to maintain margin.
Moderator: The next question is from the line of Mayank Maheswari from Morgan Stanley.
Mayank Maheswari: I had 2 questions. One, I think, was related to around the volume growth in the Mumbai area. I think if you look at the CNG growth, definitely has seen a bit of tepidness here. Anything that you can help us around what's driving that and anything you're doing to kind of help that growth up?
Rajesh Wagle: Look, in Mumbai, the CNG growth is muted basi

cally because of 2 reasons. One is the BEST CNG fleet is reducing. And they have not yet managed to get more CNG buses. They seem to be going more towards electric. And other big issue in Mumbai is availability of land to open up new CNG stations. We land up opening just single-digit kind of additional stations, whereas GA-2, GA-3, it's much easier to get land and open CNG stations. And these are the 2 main reasons for the flat or muted growth of CNG in Mumbai.
Mayank Maheswari: And sir, would you be able to quantify the impact of the shift to electric from the BEST buses?
Rajesh Wagle: Well, at its peak, BEST used to run about 3,000 CNG buses. They are down to a few hundred now. So cumulatively, we would have lost about no more than a 1 lakh kgs per day.
Rajesh Patel: Just to add to that, the unutilized capacity as BEST is getting used through the Tez scheme where slowly, I think the private vehicles are getting filled. So that also, in a way, adds a number of CNG stations available to other than BEST consumers. And we are also in the process of setting up at least 2, 3 large stations. So in terms of numbers, you may see single-digit numbers getting added in GA-1, but those will be with higher capacity especially in South Mumbai. So that should help going forward.
Ashu Shinghal: As we have discussed earlier also, in Sion, that is in Wadala, we have where our CGD City Gate Station there, and we are planning a very big station, maybe the biggest in India, which will have around 60 filling points or around 30 dispensing units. It will be done in phased manner. First phase will be completed somewhere in April, May. And the next phase will be taking another 5, 6 months. So that will be one place where you will be finding CNG filling all the time, most likely without any queuing. So that can be a big support for the queuing issue in the main city.
Rajesh Wagle: We'll also be opening two large CNG stations in South Mumbai on Bombay Port Trust land. The first one of them, I think, should be open in a couple of months and the other one in the coming financial year. Plus, in the coming financial year, we are also expecting to have one large CNG station come up on the Western Express Highway in Goregaon. Maybe in a year, 1.5 years' time frame, we'll also be having a very large station coming up on the Eastern Express Highway near Mulund. So the numbers may be small, but as we are saying -- we have said that these will be large stations where the sale will be pretty high.
Mayank Maheswari: So sir, if I put it all in context, if you look at growth in terms of CNG now for you outside of Unison, how should we think about that going forward now?

Rajesh Wagle: Outside of Unison, I think we have been growing at around 7% or so. So the base is pretty high in the non-Unison areas. Mumbai and GA-2 put together account for a big chunk. So the overall company is growing at whatever, 8%, 9%, Mumbai will be 2% or below that.
Mayank Maheswari: Got it, sir. Very clear. And the second question is around strategy around gas sourcing. You did say that you are looking at alternative sources around Brent-linked contracts. So if I was to think about in 3 years' time, how do you think your mix of gas sourcing will look like in terms of Henry Hub and crude? Obviously, domestic is linked to crude as well. So if you kind of put it on all altogether, how do you see that mix for you, which you think is optimal?
Ashu Shinghal: Too early to predict a very ideal mix because things are geopolitically very, I would say, dynamic in nature. And because of small event, the prices go up and down, especially with gas-linked contracts. So what we have found is that we will have a portfolio, which we'll have all these things.
Second is that APM gas will be also maybe slightly more declining in 3 years' time. So having said that, I mean, Brent is a more stable index if we have to discuss in that manner. And the projections in

future about Brent is that it will be slightly on a lower side. Whereas, Henry Hub traditionally has been on the very lower side, but of late, there have been some indications that

HH can go slightly up. So we will have a mix of both.
HPHT gas is also slightly linked to Brent contracts. As of now, APM and NWG is Indian crude basket, which again is Brent. So barring our direct contracts of HH, which is around 1.67 MMSCMD, balance all is, you can say, directly or indirectly linked to Brent.
So if something change very dramatically, unless that point of time, we have -- we want -- we will be expecting similar or maybe slightly more inclined towards Brent and less towards HH. That is as of now, if we see 3 years down the line. But we can't say if things change very unpredictably in future.
Rajesh Patel: Just to add, to take care of current HH volatility, we have already signed and started drawing from January some amount of Brent-linked contracts, new contracts, almost 12,500 MMBtu. And we have already in pipeline another additional maybe 10,000 MMBtu contract from April onwards. But the one which I'm saying we have started drawing is for a period of 1 year. And other, we have tied up for maybe around 2 to 3 years' time line. So we are already on that and I think, hopefully, we should be able to optimize as best as possible.
Moderator: The next question is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Sir, could you please share the gas sourcing in MMSCMD term, mostly how was the APM, NWG, HH, HPHT and crude fuel during the quarter?
Rajesh Patel: Yes. So in case of APM, slightly the percentage went up. But as against that some NWG decrease has happened. So both put together, more or less around 45-odd percent or Q2 was 46% and now it is 45%. I'm saying APM as well as NWG, okay, was there. We have, as I said earlier, reduced our offtake of Henry Hub by around 4% and swapped it with HPHT and spot whenever

it was cheaper than Henry Hub. Otherwise, it has been more or less remained similar to last quarter.
Yogesh Patil: If possible, could you please share these numbers in MMSCMD terms, sir, if possible?
Rajesh Patel: I'll just share like Henry Hub has come down almost to 1.3 from the earlier offtake in the current quarter. And both APM as well as NWG, it is almost 2.1 MMSCMD in the current quarter and was similar. But between APM and NWG, there is a better improvement. I have got more APM slightly and some reduction in NWG.
Yogesh Patil: Okay. Fair enough, sir. Sir, recently, zonal unified tariffs are implemented from the 1st January. How has impacted to our overall gas cost? Can you provide a little bit number in rupees per SCM terms on the gas cost side?
Rajesh Patel: So our gas zone-wise earlier before the change, roughly 70% was already in Zone 1 and 30% in Zone 2, okay? But of that 30%, whatever I'm consuming for priority segment, now Zone 1 will be applicable. As you are aware, the Zone 1 rate has gone up from 40 to 54, and zone 2 roughly from 80 to 102.
Now from this month onwards, we have started evaluating, inclusive of transportation tariff, because it matters where I'm getting the gas from and which zone rate is applicable. So if I have to say, even if I manage outside Zone 1, gas for the purpose of industrial commercial, I should be able to manage around 10%.
So my weighted average tariff under Zone 1, at least we will be able to achieve 90% or more. And Zone 2, if at all we take, it should be below 10%. With that, you can work out the weighted average of both. Earlier, I said it was 70%-30%. Now at most, I will have 10% Zone 2 and 90% Zone 1, compared to the volumes and the contracts which we have in place.
Yogesh Patil: Really helpful, sir. And the last one, Henry Hub gas cost side, little bit clarity. We wanted to understand the lag effect on the company's gas cost. If today, suppose Henry Hub gas prices close 10% down or 10% up, then how much time i

t takes to reflect it into our LNG cost? Is it a 1-month lag, 1.5-month lag or 15 days lag?
Rajesh Patel: There are multiple contracts, four to five contracts. In some of them, it is with a lag of 2 months and in some of them it is with a lag of 1 month. When I say 1 month, so rate is of the previous month and some contract, it is previous to previous month rate is applicable. So in fact, it evens out the impact to a very large extent, and that is why you don't see much actual impact on the weighted average rate of Henry Hub. And within that we can always do which contract I should bring down more and which contract I should consume full, depending on the other sources available. So we do that fine-tune management to optimize the gas cost.
Moderator: The next question is from the line of Vivekanand S from Ambit Capital.
Vivekanand S: So my first question is on the volume drivers. So previously, you've spoken about triggering volume growth by acquiring customers who have larger consumption objectives like fleet owners, and you have run CNG Mahotsavs in the past. So is there any update on the schemes

that you are running to acquire customers and improve volume growth in your core areas? That's

question one?
And the second one related to volume drivers is the committee that was formed to explore pollution concerns in Mumbai, the pollution concerns have become perhaps even more prolonged, right, in the sense the problem is more severe than before. So do you think that the government mandate to push some of these vehicle segments, particularly LCVs or medium commercial vehicles could come in, say, in FY '27 or '28 since you're part of the panel? That's question one. I'll ask the next one after this?
Rajesh Wagle: Volume growth, if you're looking at the CNG segment and the commercial goods vehicle segment, rather than having a blanket scheme for everyone, we are now trying to target large fleet owners and transporters. We have had some traction with one large transporter in the JNPT area, with whom we are signing for converting about 300 of its trucks on to CNG.
So we keep continuously looking at these kind of opportunities and offer them a good upfront discount also through a fuel card or something for getting their economics right. And this works better with large transporters, we observe, because large transporters typically have a set of vehicles, which log in a large number of kilometers.
So it is in that segment where they get the quickest payback for their investment on the conversion to CNG or buying a new CNG truck. And of course, our attempt to open more and more large format CNG stations, which can accommodate these big vehicles, that continues, especially in GA-2 and GA-3 areas.
Ashu Shinghal: Regarding that Bombay High Court committee, we have prepared a draft recommendation, and these are under discussion in the ministry. So they will submit after that consent, we will -- I mean, I'm not exactly aware that when the final report will be submitted to the High Court. But there are not going to be very major knee-jerk reactions, because we have to make sure that not some -- I mean, recommendations are submitted, which are not implementable.
So most likely, the bigger segment, more polluting segment of the vehicles like BS4 and more -
- below segment vehicles can have been -- have some span time to be described and other such measures, some routes, description, some other measures will be implemented depending on high court's intervention. And in case High Court suo moto gives some more stringent views, then it will be -- for overall impact will be found as and when it is prescribed with the court or the government.
Vivekanand S: Okay. My second question is on the recent India-U.S. trade deal where India has committed to purchasing more from the U.S. Have you received any communication from the government to perhaps explore purchase of more energy from the U.S. or ink more

contracts with GAIL, such
that you can downstream the energy -- U.S. energy?
Ashu Shinghal: I think CGDs per se -- I mean, it's such a distributed segment. We have around 40 entities taking all the amount of gas. Obviously, IGL, MGL, Adani and Gujarat Gas are the big players. But having said that, we have a mix of APM also available, which is domestic gas. We have new well gas, HPHT gas.

Then we have a choice to take Henry Hub or Brent-linked contract. So as this macro level discussion about India and U.S., they are not directly linked to the CGD entities. They are done at a government-to-government negotiation or B2B negotiations and discussions. So we don't generally make any impacts towards that direction.
Ours is agnostic to who is the seller, either GAIL or other parties. We are more concerned about what is the likely movement of these indices, whether gas-based indices or Brent-linked or oil-based indices, and how much will be our growth, and which is the right mix. Making sure that under different scenarios, which can unfold in future, we are equipped to handle with minimum disruption in prices and maintaining the procurement cost to the minimum. So those are our targets, not very much directly related to India-U.S. deal.
Moderator: The next question is from the line of Daksh Choudhary from Ratnatraya Investment Management LLP.
Daksh Choudhary: My question is, if possible could you provide a breakdown of the revenue from CNG by 3-wheeler, commercial vehicles and private vehicles?
Rajesh Wagle: In Q3, we had about 6,600 taxis added, about 14,000 private cars, about 9,000 3-wheelers, about 2,200 small commercial vehicles. Total vehicles in the quarter were about 32,000. The remaining 100-odd would be a mix of buses and commercial vehicles.
Ashu Shinghal: Maybe he was asking total CNG revenue, with segment 4-wheelers, 3-wheelers, how much is being generated.
Daksh Choudhary: Yes, like I'm asking about the revenue from each segment?
Rajesh Wagle: Revenue-wise, almost equal chunk will come from private car taxis plus 3-wheelers.
Daksh Choudhary: Can you quantify it?
Rajesh Wagle: Maybe about 7% or 8% may come from state transport undertakings.
Management: Private cars and taxis will be about 35%, 40%; almost a similar number for 3-wheelers; 7%-8%

STUs and the remaining will be for commercial good vehicles, private buses etc.
Daksh Choudhary: Okay. Thank you so much.
Moderator: The next question is from the line of Vikas Jain from CLSA.
Vikas Jain: I just wanted to know your guidance or how should we think about margins, say, for the upcoming quarter, where there will be some impact of that zone tariff change and some of those other things, and the recent change in Henry Hub price. And also your longer-term unit margin guidance, how should we think about that, please?
Rajesh Patel: I think we've discussed both these points partly, but I'll just repeat. I hope you referred about the zone-wise transportation tariff change first. As I said, at the most, maximum 10% could fall outside Zone 2 because we evaluate now, including the transportation, whether landed cost is

the cheapest. So under that scenario, my transportation cost per SCM may marginally go up from INR0.10 to INR0.20 per SCM, not more than that.
And coming to Henry Hub, yes, Henry Hub, some impact will be there because the February Henry Hub Index has remained high. So some part of it will be impacted in March, and maybe after that. We have already taken INR0.50 price increase per kg in case of CNG from 1st of February, so that partly offsets the impact.
And maybe overall realization in case of industrial commercial is looking better compared to previous quarter, whereas previous quarter had very low Brent and there was a good amount of impact on realization of I&C. So with some improvement in I&C realization, price increase already taken, there could

be marginal impact for this quarter specifically.
And as far as possible, we will try and postpone our withdrawal of Henry Hub to subsequent months, because you can always do that fine-tune management and make the 60% threshold over a period of 1 year. And that period has just -- it's a calendar year. So we have balance ones in the calendar year to manage that threshold. Our endeavor will be reduce as much as possible the costlier gas and take it subsequently when indices improve.
Ashu Shinghal: And regarding the guidance for margins, I think we discussed earlier around INR10.20 for this year we have got EBITDA per SCM. And going forward, maybe INR8 to INR9 margins would be -- the numbers which we can look at. Because many of these impacts, which Rajesh just mentioned, have been already impacted -- started impacting Q3 also.
So with more portfolio management and things like hedging and procurement at a different point of time with different indices, we should be able to handle different type of scenarios unfolding in future. And going forward, it seems that gas will be available. It is only a matter of time that which gas will be available.
Some of the Russian gas will find its market in some other areas like China and some other places. So there will be obviously supplies coming from different countries, like Qatar is also increasing their supply, and some supplies from U.S. will also be added. And there will be some shift in rearrangement in Europe also. So we expect that there will be not much of a disruption happening in gas or Brent market, at least for next near future.
Vikas Jain: Just one more thing. Could you also provide the breakup of APM and new well gas? You said both together where APM share increased and new well decreased a little bit in that mix?
Rajesh Patel: Total APM available was roughly 39% and 6% was NWG.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Services.
Sabri Hazarika: Yes. So just one clarification. You mentioned the EBITDA per SCM for 9 months is around how much? Around INR10.4, right?
Ashu Shinghal: No, it is INR9.5 -- sorry, I correct myself. INR9.5 is for this 9 months, and INR10.2 was for the last financial year 9-months.

Sabri Hazarika: Okay. INR9.5. And your guidance for this year would be how much and next year? Next year would be how much?
Ashu Shinghal: I mean, this year, for 9 months, it is INR9.5, right? So maybe Q4 will be coming. So we will be in the range between, again, maybe slightly more than INR9 or in that range. For next year, it is INR8 to INR9, which we were talking about.
Sabri Hazarika: INR8 to INR9. Okay, fair enough. So INR8 to INR9 versus INR9.5?
Ashu Shinghal: Again, it is -- I mean, it depends on so many situations as you might have seen that some years, it has gone in double digit, then it has come down slightly. And if you look back 3, 4 years back, it was in the range of INR6, INR7 also. So these keep on changing depending on our procurement cost as well as alternate fuel cost, industrial, commercial, Brent movement, and our optimization in procurement and operational efficiencies and so on and so forth.
So we have also been increasing a lot of our assets to upgrade it, like we have gone for SAP upgradation, customer relationship management, we have had Salesforce. Some of our older

assets have been shifted. We are also going for more carbon neutrality, and maybe by 2036, we will have net-zero Scope 1 and 2.

We are importing green energy also for greenification of our electric-driven compressors in Mumbai region and nearby areas. So all these things, I mean, somewhere or other reflect on the margins for a temporary reason, temporary space. But over a long period of time, they will be taking the company in the right strait.

Sabri Hazarika: Got it. Secondly, what was the capex for the 9 months?

Rajesh Patel: Roughly INR760 crores.

Sabri Hazarika: Okay. So you'll be end

ing at INR1,100 crores, INR1,200 crores for the full year?

Rajesh Patel: Yes, in that range. Yes.

Sabri Hazarika: Okay, yes. And I'm not sure whether you have answered this before, but can you give us a breakup of volume between the various GAs?

Ashu Shinghal: Maybe around 50% will go to GA-1 or slightly less than that if we include SBU also. And GA-2 is similar around 45%. And then GA-3, which is Raigarh will be around 0.3 MMSCMD, so which is 7%, 8%. And SBU, whole, together is around 0.3. So it is again 7% to 8%.

Rajesh Patel: GA-1, GA-2, both roughly 2 million, 2 million each. That makes 4. Raigarh and UEPL will be around 0.6, 0.65. Yes.

Sabri Hazarika: Okay, 0.6, 0.65. Yes.

Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital (India) Limited.

Nitin Tiwari: Pardon me for a very naive line of questioning. I just wanted to understand that how does the gas pricing of the contract works? I mean, when you -- suppose -- when you're importing HH-linked gas, and if the price of gas changes in the transit, so at what point in time, I mean, is the gas price fixed? When it leaves the port in the U.S. or when it lands in India? And how does entire dynamic work?

Rajesh Patel: So the question, Nitin, which you are asking, I think, is applicable more to the person who is directly importing the gas, okay? So we don't import RLNG, whether Henry Hub or Brent-linked directly. We enter into contract with the suppliers, who gives us aggregators like GAIL or Shell or any of these OMCs.

So we typically have a contract where pricing formula is, one part is linked to the benchmark. It could be Henry Hub, it could be Brent, okay? Other part is either fixed or some portion linked to variation. But the change in the high sea and all that is – because we are not importing any cargoes directly. This is not fully applicable right now.

Ashu Shinghal: Yes. Just to further add on to what Rajesh has mentioned, these are different contracts entered at different points of time. So if HH contracts are there, we have the liberty to some extent that which index we are choosing. Some of the conditions we can, and some are the standard conditions.

So HH is maybe one particular month rate is there, which is all across the industry, similar practice is being followed. On that day, particular, whatever is the HH rate is taken the rate for the next month. Brent is average for the month. So generally, these are the traditional practices, which are the contracts available in the market, and we follow on similar, I mean, practices -- and practices in the contract which we have. Although some fine-tune adjustments will be there from contract to contract, depending on the market.

Nitin Tiwari: Got it, sir. So the flexibility that you mentioned is between you and GAIL in terms of how much drawdown you want to take from the contract? Is that the right understanding?

Ashu Shinghal: Again, contract to contract it can vary. Like there can be contracts which have more take-or-pay, there can be contracts which have got less take and pay. And this is an evolving market, like it is again a demand/supply or a buyer/seller arrangement. So some of the instruments every time economics or dynamics changes, so sellers are more flexible. Sometimes they are not very flexible.

So we have to go with what is available in the market at that point of time. Obviously, we can't dictate everything from the buyer side. So market keeps on changing. But more or less, from the rigid contracts, which were there available maybe 5 years back, now the things have started shifting to more of a buyer market than the seller market, because multiple buyers are coming into the market and with multiple flexibilities are being offered to the sellers -- by the sellers to the buyers.

So buyers can tailor some of these conditions in the contract. And accordingly, the buyers sell the gas and may mark their rates at which those gas is

sold. So it's a very flexible, dynamic

situation, and we have to make sure that whatever type of contracts we are choosing or the terms and conditions which we are choosing is beneficial for the company in the long run.
Moderator: The next question is from the line of Bineet Banka from Nomura.
Bineet Banka: Just one question on CBG blending. So I understand there was some exemption on excise duty in this budget. So what could be the impact on EBITDA per SCM on MGL? And what is the current volume of CBG blending for the company?
Ashu Shinghal: Right now, it is not very significant. At two-three places, we are doing some CBG blending. Maybe you can give exact numbers in case you have.
Rajesh Patel: It's below 1% actually.
Ashu Shinghal: Very small number.
Rajesh Patel: And we are operating three stations on CBG.
Ashu Shinghal: So EBITDA per SCM will be?
Rajesh Wagle: 14,000 kgs a day.
Ashu Shinghal: Yes, 14,000 kg per day in the overall sale of how much 20?
Rajesh Wagle: 22 lakh -- 23 lakh kg.
Ashu Shinghal: 23 lakh kg per day. So it's very small amount. And this excise duty impact will be over a period of time. Right now, all the CBG players, they find it difficult to make an economically viable proposition at several places, because the feedstock availability is one issue, the quality of feedstock, the rate at which it is available.
So to promote CBG promotion as a big macro level policy, the government has included this benefit for CBG producers. And that will make CBG production more viable, rather than having a very big impact on the CGD entities as such. But if you see 5 years down the line, maybe CBG will have a very significant production level. And then we can see that these type of incentives and promotions by the government will overall benefit the greenification of the CGD grid as well as for betterment of the environment, and the viability of CBG plant as a whole.
Bineet Banka: What is the current cost of CBG that you procure compared to, say, your gas procurement cost? Any number you can share?
Ashu Shinghal: There are three schemes, I would say. One is that CBG producer is free to sell its gas at its own price to anybody. Second is they can accept SATAT scheme, which is the ongoing scheme at which some discount price is available. And third is synchronization scheme at which a tripartite agreement is signed between CBG producers, CGD entity, and GAIL, which is the coordinating agency for this type of arrangement under the synchronization scheme.

The better output or the input, which is available to both CGD and the CBG entity is under synchronization scheme. So several of those CBG players are coming up with synchronization scheme in which they get a price, which is determined by, I mean, government from time to time, and the returns are much better.
They are on discount to slightly on CNG and with excise duty exemption, that return to the CBG player will further improve as well as it will become beneficial for CGD entity also. Yes. The CNG or CGD entity gets the cost of whatever quantity of CBG, which is inserted into the grid at APM prices. So that is the advantage for the CGD entity, whereas the CBG producer gets the price at CNG relevant prices at that place. So that is the advantage of CBG. So in net, whatever is the cost of CBG is getting distributed on unified blending price mechanism of APM.
Rajesh Patel: Yes. So if you look at if APM price without blending is say \$6.75. Overall, at the country level, APM price blended with CBG is in the range of, say, \$6.95 or so. So it's around \$0.18, \$0.20 are added on account of CBG blending that is the current impact on all CGD entities in the country.
Moderator: The next question is from the line of Somaiah V from Avendus Spark.
Somaiah V: Sir, the first question is initial remarks, you did mention about one of the contracts that you have signed for 1 year in MMB

tu terms. So this is equivalent to 0.3x, 0.4x MMSCMD for this year?
And is it a take-or-pay contract?
Rajesh Patel: Every contract has take-or-pay. So these contract also has take-or-pay, okay?
Ashu Shinghal: I think he is referring to the Brent contract, which you mentioned.
Rajesh Patel: Brent contract, yes. But this has more than one contracts. The contract which we have signed through IGX, there it is 100% you have to take, but that is a smaller quantity. Because through IGX, it's a firm price and full quantity you have to draw. But the other contract, which is one-on-one with the party, there is a threshold of take-or-pay, and it can be adjusted over a year's time.
Ashu Shinghal: It is on a year's annual quantity take-off basis.
Somaiah V: Got it, sir. So you were referring to one that has started from January, the other one will start from April. So these are the two contracts.
Rajesh Patel: So already two contracts have started from January, where smaller quantity is through IGX, and larger part of the contract is one-on-one bilateral contract, and some more contracts are starting from April bilateral. Those bilateral contracts will always have take-or-pay thresholds.

Somaiah V: Got sir. Sir, also, any update on the battery cell manufacturing project?
Ashu Shinghal: I mean, as we have mentioned, maybe discussed in last earnings call also, the land is in our position, but there has been some changes in overall global scenarios related to the prices at which the battery is being sold. So everything is in place in terms of technology availability.

We have got some of those batteries in India, and testing in with different users, and we are getting a very positive feedback, except for the fact that the last 6 months or so, the price of the battery has come down significantly. Much of it is to the fact also that the price of procurement of materials, primarily the cathode material, which has come down. So it has impacted the battery cell overall prices to come down significantly.
Now we are slightly reassessing the situation, trying to find a mechanism and the proposition, which is best suited for all the parties involved. And therefore, we are putting it in a maybe few months hold to finalize this contractual arrangement, wherein we can survive in different scenarios when the prices of the battery are maintained at a lower level for a significantly longer period of time. And we are also looking at some of the strategic partners to make it run and maybe mitigate some of the risk.
Somaiah V: Got it. Sir, also, for the next 12 months, the capex outlook that we have, how much are we considering as a capex for this project or investments for this project from our side?
Rajesh Patel: On battery project you mean?
Somaiah V: Yes, sir.
Rajesh Patel: We have in our hand approval of roughly INR380 crores for 2 phases, okay. So that's the maximum, but I think next 12 months to 18 months.
Ashu Shinghal: This is readjustment, which I said, maybe this can be slightly lower than the number which Rajesh just mentioned. Because if we bring some more equity partner, obviously, it will be intimated to the exchange as and when it happens. Right now, it is on a very preliminary stage of discussion. So we can't just declare anything as of now. But yes, the higher limit is what Rajesh has mentioned, which has been declared to the exchange 12 months back.
Moderator: The next question is from the line of Tanay Kotecha from Nuvama.
Tanay Kotecha: Just a bookkeeping question from my side. Can you please specify what was the share of HPHT in your sourcing like?
Rajesh Patel: HPHT contracted quantity, we had roughly 0.6, and we have been buying HPHT through IGX also. So in the last quarter, we bought a little amount of IGX HPHT.
Moderator: The next question is from the line of Aditya Welekar from Axis Securities.
Aditya Welekar: Sir, just one question. What is our capex guidance for FY '27?
Ashu Shin

ghal: Capex should be in the range of around INR1,200 crores.
Aditya Welekar: And that will be towards which geographical area?
Ashu Shinghal: Mainly GA-2, GA-3, larger amount. Maybe slightly lesser amount only on CNG in GA-1. And all 3 Unison acquired areas, roughly INR200 crores.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.
Lokesh Manik: Sir, just one clarification. Under the CBG schemes that you mentioned, the synchronization scheme is the one that benefits CBGs. The clarification here was that in the synchronization CBG scheme, even the HPHT gas will be available at APM price if it gets blended with CBG?
.
Ashu Shinghal: No, no, it is not like that. It is only this scheme -- the synchronization scheme is only for CBG production. It is not for HPHT.
Rajesh Patel: HPHT is available to CGD on priority basis. If CGD company and other sectors bid for that gas, CGD gets the first priority if the price quoted by the CGD and other companies is similar. That's only priority allocation during bidding of HPHT gas.
Lokesh Manik: Sir, the blending benefit will be in which source of gas?
Rajesh Patel: APM and CBG.
Ashu Shinghal: CBG is loaded to the overall consumption of APM in the country by CGD entities. And beneficiary is the CBG producers, and also the CGD entities to the extent in whichever entity is using that CBG. Like if we are taking, say, 20,000 kg of CBG in our area, 20,000 kg of APM will be allocated to us over and above our APM allocation, which traditionally happens. This will benefit by 20,000 to the extent APM prices. And this 20,000 will be rationalized over the overall consumption of APM in the whole country.
Lokesh Manik: Understood.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management of Mahanagar Gas Limited for closing comments.

Ashu Shinghal: Thank you so much to all our shareholders and stakeholders for posing confidence on the company. And I hope that the same enthu, the investment is maintained in the company. Thank you so much for joining for the earnings call today.

Moderator: Thank you. On behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Call: May 2026

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To,
Head, Listing Compliance Department
BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code : 539957 Head, Listing Compliance Department
National Stock Exchange of India L imited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: MGL
Dear Sir / Madam,
Sub: Transcript o f Earnings Conference Call for the financial year ended March 31, 2026
Pursuant to Regulation 30 and Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Earnings Conference Call held on May 08, 2026 on the Audited Standalone and Consolidated Financial Results and operational performance of the Company for the financial year ended March 31, 2026. The said transcript is also available on the website of the Company at www.mahanagargas.com .

You are requested to take the above information on record.
Thanking you, Yours s incerely,
For Mahanagar Gas Limited
Atul Prabhu
Company Secretary & Compliance Officer
Encl.: as above

Mahanagar Gas Limited
Q4 FY26 Earnings Conference Call
May 08 , 202 6

MANAGEMENT : MR. PRAVEER KUMAR SRIVASTAVA – MANAGING DIRECTOR
MR. AJAY SINHA – DEPUTY MANAGING DIRECTOR
MR. RAJESH PATEL – CHIEF FINANCIAL OFFICER
MR. RAJESH WAGLE – SENIOR VICE PRESIDENT , MARKETING

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Mahanagar Gas Limited ’s Q4 FY26 Earnings Conference Call , hosted by Elara Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Gagan Dixit . Thank you, and over to you, sir.
Gagan Dixit : Yes. Thank you. A very warm welcome to everyone to discuss Mahanagar Gas Q4 FY26 results. It is our pleasure to be able to bring to you the management of Mahanagar Gas led by Mr. Praveer Kumar Srivastava, Managing Director; Mr. Ajay Sinha, Deputy Managing Director; Mr. Rajesh Patel, Chief Financial Officer; and Mr. Rajesh Wagle, Sen ior Vice President, Marketing.

So, with these words, I would now hand over the conference to the Mahanagar Gas management. Over to you, sir.

Praveer K. Srivastava: A very good afternoon, and welcome to the earnings call of Mahanagar Gas Limited for the fourth quarter of the financial year 2025 -2026. I would like to thank you all for attending our earnings call today. Due to the supply disruptions arising from the recent ongoing geopolitical crisis in Iran and wider Gulf region, which has adversely impacted LNG facilities and created significant challenges in the global LNG supply chain, particularly cargoes routed thro ugh the Strait of Hormuz, our 100% DPNG and major part of CNG requirement is supported by domestically produced gas, ensuring 100% supply to these customers.

Gas supplies to industrial and commercial customers is partly curtailed. Prices may be affected due to global indices in the near term. However, they are expected to improve over time. MGL continues to create CGD infrastructure across its business segments in the license d area. During the quarter, 1 ,43,997 domestic households were connected and thus, we have established connectivity for nearly 3.21 million households.

We have laid 138.48 kilometers of steel and PE pipeline, taking the total length to over 8,320.43 kilometers. We added 28 CNG stations during this quarter. With this, we have 518 stations as on 31st March 2026. We added 334 industrial and commercial customers during this quarter. As on 31st March 2026, we have 5,924 industrial and commercial customers. During the quarter, there was an addition of 34,854 CNG vehicles, and now we have more than 1.28 million CNG vehicles registered in our geographies as of 31st March 2026.

During the year, 3,42,157 domestic households were connected and thus, the company has established connectivity for nearly 3.21 million households. We have laid 499 kilometers of steel and PE pipeline, taking the total length to over 8,320 kilometers. We also added 52 CNG stations during the year. And with this, we have 518 stations as on 31st March 2026.

We also have added 872 industrial and commercial customers during the year. And therefore, as on 31st March 2026, we have 5,924 industrial and commercial customers. We have added 1,18,590 vehicles during the year and the total vehicle, as on 31st March 2026, is 12,84,828.

Coming to MGL’s operation during the quarter, we achieved overall average sales volume of 4.672 mmscmd as against 4.620 mmscmd in the previous quarter, which is an increase of 1.12%. Current quarter volumes consist of CNG volume of 3.349 mmscmd, DPNG volume of 0.605 mmscmd and 0.719 mmscmd of gas was supplied to the industrial and commercial customers. Compared to the corresponding quarter of last year, average overall sales volume has increased from 4.402 to 4.672 mmscmd, which is an increase of 6.15%. Sales

volume of CNG has
increased from 3.125 mmscmd to 3.349 mmscmd, which is an increase of 7.12%. Sa les for domestic DPNG have increased from 0.591 mmscmd to 0.605 mmscmd, which is an increase of 2.24%.

In case of industrial and commercial, sales volume has increased from 0.686 mmscmd to 0.719 mmscmd, an increase of 4.87%. Average gas sales for the current year ending 31st March 2026 is 4.585 mmscmd, whereas it was 4.235 mmscmd in the last financial year, which is an increase of 8.25%.

Sales volume in the case of CNG has also increased from 3.047 mmscmd to 3. 26 mmscmd, which is an increase of 7.2% volume. Volumes for domestic PNG has increased from 0.556 to 0.590 mmscmd, which is an increase of 6.14%. And in case of industrial and commercial, the volume has increased from 0.632 to 0.727 mmscmd, which is an incre ase of 15.04%.

Our LNG supplies are disrupted due to West Asia crisis and hence supply to industrial and commercial customers is curtailed to approximately 80% as per tariff time to time, impacting the volumes adversely. Due to major impact of supply of LPG due to the cr isis, the Government has taken all measures at the central and state level to push faster adoption of PNG, and this is a very positive move for the CGD sector in the long run, and MGL is going to seize this opportunity to roll out infrastructure and incre ase its volume.

Net profit after tax for this quarter is INR132 crores as compared to the previous quarter net profit after tax of INR202 crores.

EBITDA from operations for the financial year 2025 -'26 is INR1,451 crores compared to previous financial year EBITDA of INR1,570 crores. Net profit after tax for FY 2025 -'26 is INR847 crores compared to net profit after tax for the previous financial year of INR1,041 crores.

I'm happy to announce that Board has approved a final dividend subject to the approval of shareholders at the AGM at the rate of 180%, that is INR18 per equity share for the current financial year. Thus , including interim dividend already paid at the rate of INR12, total dividend is INR30 per share for the financial year 2025 -'26.

With this, I conclude and would now like to open the floor for the questions. Thank you very much for the patience.

Moderator : Thank you. We will now begin the question -and-answer session. T he first question is from the line of Probal Sen from ICICI Securities.

Probal Sen: Sir, a few questions. Firstly, with respect to the supply disruptions, we understand from Petronet LNG also that Dahej utilization slipped to about 53% in March versus about 108% average in Jan-Feb. So , in terms of our business, sir, did we also see this much of volatility in terms of our gas sale, especially in March? Can we just get a sense of how the business was in March?

Rajesh Patel : As I think MD already said in his opening remarks, as far as domestic PNG and CNG is concerned, 100% of the domestic PNG is through AP M, which is locally produced. And as far as CNG is concerned, majority is out of domestically produced and balance was assured through pooled gas mechanism, which was announced somewhere around 9th of March.

As far as industrial and commercial customer category has been concerned, roughly 80% supply was maintained, curtailing around 20%, within which probably from time-to-time directives have changed to ensure that small commercial restaurants, schools, colleges, crematorium, et c, should be supplied 100%.

And wherever large industrial customers who can afford to switch to either alternate fuels or who can afford to pay higher market price prevailing at that time can be given. So overall, there was not much of an impact. Maybe after 9th of March, there were 2, 3 days which are holidays, so there was no impact practically . But second fortnight maybe...

Rajesh Wagle : Overall, in the month of March, we lost about 1.25 lakh, 1.3 lakh scmd out of, let's say, Feb average of 5.75. About 20%, 22% volume we lost.

Rajesh Patel : This is in case of industrial , excluding commercial .

Rajesh Wagle : Commercial, we managed to maintain supplies because many of them were going to critical customers, hospitals, canteens, messes of gover nment institutions, schools, et cetera. It was a large industry where the supply was curtailed a bit.

Rajesh Patel : However, it was ready to take at the prevailing price and that also we have given. But under the normal this, we curtailed the supply to around 80%.

Rajesh Wagle : There were some 10 or 12 customers, industrial customers, for them gas supply was very critical. They had request ed for you source any market price gas; we are okay. So, then we managed to source a small volume separately and that they have to get a premium.

Probal Sen: Got it. So, sir, is it fair to assume that April, May has seen similar kind of volume and supply levels that we are seeing now? Or has there been any change in the environment?

Rajesh Wagle : April is more or less similar as far as the industry goes. Let's see. May has just started, but we are expecting maybe some small improvement to happen.

Probal Sen: Got it. The second question, sir, was with respect to sourcing mix. So, you already mentioned about domestic PNG and of course, most of CNG. But if I can just get a little bit of granularity out of the 4.7 mmscmd total sales, is it possible to sort of split out how much of, let's say,

domestic -- I mean, APM and how much of Henry Hub link and how much of spot we sort of sourced it from for this quarter?

Rajesh Patel : So APM, which is anyway available 100% for domestic PNG as well as including CNG, was in the range of around 1.6 mmscmd, okay . NWG and pooled gas is another 0.73 or 0.75, okay . HPHT, we could source apart from the term contract, maybe through exchange, etcetera, which was in the range of around 0.9, okay . This I'm talking about March only very specifically, not quarter.

Because there was a disruption only in March, okay . HH was curtailed to a slightly lower level, maybe to 50% of our 1.5 contracted quantity. And we had to rely for some quantity on spot as well. If you wish to know specifically for the quarter, maybe apart from small amount of -- because see, it will get averaged out. A small amount of pool gas was there.

Probal Sen: Yes. And also, I think this March is useful, sir. March is useful because that will probably be the sort of template for Q1 from what I understand if the situation persists . So, this is fairly useful.

Rajesh Patel : Yes. But the pooled and NWG quantities are depending on availability has been changing. So, I'm really not able to give any clue that the same level will continue in April or May or going forward because depending on the availability of gas, how things move, how the supplies come from that, this will keep on changing, and we have to leave this t ime in uncertainty.

Probal Sen: Right, sir. One last question, if I may. Any price changes envisaged on the CNG front going forward? Is this something that we are looking at?
Rajesh Patel : So, we have already taken a price increase on 22nd of April, INR1, okay . And let us see how the alternate fuel prices move , specifically for CNG since you asked. We will take the call. And definitely, we can sustain for some time the higher cost. But if it is slightly longer or it sustains for a longer time, we will be considering appropriate price rise in CNG as well as in d omestic PNG if required.
And compared to probably last quarter, definitely because of the Brent -linked alternate fuels are already high, there is an improvement in the realization on INC sector because we follow alternate fuel linked pricing.
Moderator : The next question is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Sir, just continuin

g with the previous participant question. APM, HPHT, NWG, HH, if we add up all of them, it is giving closer to 4 mmscmd only. So remaining was a spot? Is it a correct understanding?
Rajesh Patel : We did sign some of the term contracts in the beginning of Jan. Some is also signed during April, okay . But due to the disruption, the quantity may not come fully. Your understanding is correct, but spot is likely to be in the range of 0.4 or so, not 0.7 as you are expecting.

Yogesh Patil: Okay. Fair enough, sir. Sir, recent price hikes in the DPNG and the CNG, so how much percentage it has covered up the increase in the gas cost of the last 2 months? Any broader idea, if you could give us?
Rajesh Patel : Last 2 months?
Yogesh Patil: Yes. I mean we have seen the gas cost has gone up from March and the April only, if I'm not wrong. And we have taken DPNG and the CNG price hikes in the month of April. So just wanted to understand how much percentage of that increase in the gas cost we h ave already covered up or the burden has already passed on to the consumer and the partial burden we have taken up. Any probable number, if you could share?
Rajesh Patel : See, if you consider domestic PNG, as you know, it is 100% through APM supplies. And there is a $0.25 increase from 1st of April linked to this Kirit Parikh Committee circular, okay . So $0.25 plus there is an upside in the cost due to exchange rate. So considering both these , we have taken a hike of INR1* on 22nd April 2026 . Before that also, there was some hike, but a little earlier than this.
So that, more or less, covers the DPNG increase. We also consider that, okay, for some time, exchange rate has spiked, but it could stabilize. So, we didn't want to take a complete hit, and we will watch out further how does exchange rate move from here.
As far as CNG is concerned, I think you can understand that it's a temporary volatile situation. So there could be increase in the gas cost. But as far as pricing is concerned, we would prefer to keep it in a stable manner, and we might absorb this short -term volatility. And if it stabilizes at a higher level, definitely we will take a call to increase price. Also considering how is the movement on alternate fuel petrol diesel, we will certainly take a call and do the pass -through.
But to be very specific to your answer, CNG, yes, since we have taken only INR1 increase and prior to that, probably in February, we took some increase. It's certainly not fully passed on. Cost increase, considering mixing of pooled gas and current Brent level, other gas prices have gone up. So, it is not fully passed on. But we consider that this is a short -term phenomenon, it should improve going forward.
Yogesh Patil: Fair enough. Sir, next question, as per the 9th March government notification, CGDs will get the supply based upon the last 6 months average sales volume. But now the question comes here, how are you managing the incremental growth in the CNG and the DPNG ? Are we sourcing from the spot? Or you just mentioned about the recently contracted LNG, which you are still not getting. So, are you right now managing the incremental CNG sales and the DPNG sales volume through the spot?
Rajesh Patel : So, any term contract during this time can go under force majeure, whether recently signed or signed earlier. So that impact was there on us as well, okay? So definitely, for CNG as well as domestic PNG, we might have to source some amount of spot.

*It was wrongly mentioned as Rs 1.5 during the call.

Yogesh Patil: Okay, sir. And lastly, sequentially, our other expenses have gone up. Is there any one -off item which has led to increase in other expenses?
Rajesh Patel : You are referring year -on-year, then I can tell you, see, CNG volumes have gone up by almost 8%. So dir

ectly variable expenses like power and fuel, LCV transpo rtation, dispensing charges, etcetera, have gone up in line with the volumes increase, okay? Other than that, there is an increase of around INR30 crore s, INR35 crore s in case of employee salaries, which mainly consists of an actual provision on account of new wage code, which is in the range of around INR14 crores.
And maybe in the same employee category, there was a normal increment, which consists of around INR11 crores and some marginal increase on account of some staff welfare activity.
Other than that, miscellaneous opex is mainly repair maintenance and some of the rent for the CNG plot o r stores, et cetera, which we have hired, and some of them are already commissioned, some of them work is still going on, has gone up. So, this is broadly the breakup or reason for increase in the operating costs.
Moderator : The next question is from the line of Vikas Jain from CLSA.
Vikas Jain : I have a couple of them. Firstly, sir, if you could give the breakup of commercial and industrial volume for this particular quarter. So where did it stand in terms of this year?
Rajesh Patel : I think Mr. Wagle already said 0.57 was industry. And if my total was 0.719, balance is commercial. So, this is for this quarter.
Rajesh Wagle : 1.4 lakh, 1.5 lakh will be commercial.
Rajesh Patel : Yes. But this is not a representative volume because despite demand, we had to curtail. Even though we might have connected new customers, we have deferred because overall category was asked to be curtailed at 80%.
Vikas Jain: Okay. And I just want to understand, see, till March, honestly, there wasn't really so much of impact that you would have faced because by the time the government put in those restrictions, it was more towards the latter part of March. And pricing increas es for many contracts like New Well Gas only happened later, right?
And at the same point of time, how does the -- after now that you're getting gas based on the allocations that everybody is at 80%, how does that work? I mean, are your old contracts still live, for example the earlier contracts you had from Henry Hub, are you still getting gas at the same price? Or there is a pool price at which you get the gas required?
Rajesh Patel : So, I think my broad understanding and probably that is the way supplies have worked is that every contract has some supply or pay threshold or take or pay threshold, right . So, for the purpose of pooled gas, over and above the supplier or pay commitment has been pooled and given as a pool price to all the CGDs. But balance gas has definitely come to all of us.

But there is a caveat. If there is a force majeure, even that can be reduced. But as far as Q4 is concerned, up to supplier pay level, all the contracts we have received the gas. And as far as you are saying that impact of this crisis not only at the fag end of the March, it was for the full second half of the March.
So, second fortnight, we received pooled gas and part of the first fortnight as well. So it started around 12th of March almost. So, I would say 2/3 of the month of March was impacted and 10 days or 11 days w ere normal.
Vikas Jain: So, for example, CNG, I believe you said, correct me if I'm wrong, 0.7 mmscmd is what you are using New Well Gas for.
Rajesh Patel : No, no, no. I think Mr. Yogesh Patil from Dolat said the contract -wise and APM, what I gave numbers, totals to around 4. So where did you source balance 0.7? So, when it says balance 0.7, it is meant for all the categories, .
Vikas Jain: Okay. So, what is the New Well Gas number that you said? Sorry, I missed taking that number.
Rajesh : New Well Gas, I said in the second fortnight was in the range of 0.4, a little more than 0.4.
Vikas Jain: Okay. So that's about 10%, a little 12% of your CNG requirement. So, on that, for example, gas

price has gone up by 70% or so, right? Like it's now $14 or so right now for the month of May.
Rajesh Patel : No, no, not really. Not so much. It range s maybe $11, $11.5. Maybe it spiked a little bit in April and then again it is looking down probably now. Because you see, Brent also went up and then came down. And Indian crude basket also went up and came down.
Vikas Jain: Okay. But the May price is based on April price, right? I mean, April you met...
Rajesh Patel : Yes.
In the price, the moment you change the weighted average source of gas, it may change. So we are really not having any clue how it gets calculated.

Vikas Jain: Okay . I get that. Yes, so sure. But in terms of your blended price of raw material, that has gone up considerably in April, May as compared to where it was in March, right? Is that correct?
Rajesh Patel : Certainly , yes, because if pool gas hovers between $11 to $13 and other indices are also up because, see, earlier quarter, we were below even the ceiling and because Brent was hovering $60-$65 kind of a thing. Now if Brent is at $90 or $100, there is going to be impact o n the gas cost. Also, exchange rate went up and slightly it has now come down. So that is saving a little bit.
Vikas Jain: Okay. And so, given all of this, what is your volume growth guidance for, say, FY27 and also your margin guidance, if any? And then, okay, and as things normalize, do you maintain guidance beyond the war to be how it was historically? And could you repeat those numbers?

Rajesh Patel : If you look at whatever blessings in disguise has happened due to this war is circular or gazette notification dated 24th of March, where a lot of functioning of CGD has been eased out. Also, there is a reduction in the road reinstatement charges. Permiss ions are becoming faster. If you apply for a road digging permission and it is not received within specified time, you can assume it as a deemed permission and start your work. RI charges have been slashed down and central has specified very lower RI. So, it will save on the cost. It will faster my network creation.
So, we are very positive that there will be certainly a very good boost to the volumes, especially in PNG, domestic PNG, industrial and commercial customers, because we'll be able to connect the customers faster, including even private societies where you hav e a neighboring society who was not giving earlier permission. According to that notification, even private property also, they have to give permission or give reasoning.
So, there are a lot of enablers which have come for CGD industry, and that will definitely put us on a fast track as far as laying pipeline and connecting the new customer is concerned. So, our guess is if I have clocked 8.25 overall volume growth this year, it should be certainly more than that. We should be able to cross double digit if this remains for a longer time, and we are able to see.
Of course, there are constraints in terms of how do you get the required amount of labor, plumbers, contractors to execute that work, okay? Because all the CGDs are eyeing for the same pool of resources as far as pipeline laying abilities or the labor avai lable in the country. So considering that, our view is if we do faster connection, volumes will be maintained or it will be increasing.
Coming to margins, I think it's a very difficult call as of today because nobody knows how long this kind of a situation and supply of RLNG will improve. But our endeavor is if there is a room compared to the alternate fuels; we will be certainly trying to take required price increase to pass through the gas cost impact. So maybe our wish and endeavor could be we will maintain more than INR8 EBITDA per SCM, but we'll have to consider multiple factors before we decide to do any price changes.
However, one good factor is if Brent is remaining sli

ghtly higher, it is helping us in industrial
commercial sector realization much better compared to earlier 2 quarters, I would say, where Brent was in the range of $65, $70. And now it is at least $90, $ 100. So giving a number is really difficult as of now.
Vikas Jain: More than INR8 in FY27 will possibly mean an exit of closer to double digit, right? Because first quarter is more or less in front of us and that's going to be most likely lower than what the 4Q margins are. So more than 8 average for FY27 will require a reasonably high margin exit for the year, right?
Rajesh Patel : That's why I'm saying that it is very difficult to give a number, but our endeavor and let's hope that things normalize. But I'm saying that in the long run, this is going to be a very good opportunity for MGL to create infrastructure and volume and margin both.

Rajesh Wagle : Our focus on increasing infrastructure and volumes will be at a slightly higher priority than maintaining margins. If we have to temporarily lose margins for gaining volumes, I think we are okay to do that because the margins can be changed pretty quickly, but these kinds of opportunities to grow infrastructure volume, they come pretty rarely.
Vikas Jain: Okay. Post war normalization margin guidance, sir, before I kind of let go.
Rajesh Patel : See, another positive thing on margin is earlier, you had a lot of volatility in Henry Hub, whereas we have 1.5 contracted quantity, even if we are getting half of that at least. And so, I hope that

there is no force majeure, and we continue to get that. We just stabilized below $3. So, there is already a respite in terms of pricing of Henry Hub, which is almost 1/3 of our contracted quantity or a little more than 1/3 of our contracted quantity. So, there are multiple factors which are against, and some are positive also, I'm saying.

Moderator : The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund.

Gaurav Jain: A couple of questions from my side. One is on the Henry Hub, the volume that we are getting is at HH -linked and the earlier terms only? Or is there some change in the pricing that we are getting it at? That is first.

Second, sir, you mentioned somewhere that while you can add more commercial and industrial users, but you are not adding it currently because of the restriction of 80% of total gas in that sector or something. But we have the opportunity because there is demand. So how does that tie? These are the 2 questions, sir.

Rajesh Patel : See, first, Henry Hub, it is formula linked . There can be change in the quantity. The formula and the pricing remain same linked to the index and whatever constant and the slope you have. So, there is no change for whatever supplies you are getting, okay .

What I said in case of industrial commercial connection is that we will be connecting the customers faster. But because of the overall 80% curtailment of the volume, unless I get some market -linked volume and the customer is ready to take, volume may not increase.

Rajesh Wagle : On the commercial side, there is a good potential for increase because the situation of LPG is not very good. So a lot of demand is there for pipe gas even at a premium. So we are getting a lot of registrations. I mean previously, the registrations would number in 100s. Now they're coming in 1000s.

And with the ease of infrastructure link, pip eline permissions, et cetera, we will connect these customers. And overall commercial volumes are not that high, plus the government is also telling us that give uninterrupted supply to critical commercial customers who are involved in food .

Rajesh Patel : So small restaurants are falling in that critical customer category.

Rajesh wagle : So, they are continuing to get their requirement and that sector is growing very high. It is only some large industries wher

e we are facing some curtailment and that too at present, I think the

curtailment level has reduced significantly in the month of May. Hopefully, if that continues, we'll be back to our normal I &C volume growth.

Gaurav Jain: And lastly, sir, on spot LNG, if you can highlight that at what price from what region, how easy is the availability? I mean whatever color you can give on the spot LNG availability for you and the country at large also, that will be helpful.

Rajesh Patel : Spot LNG, we are sourcing through IGX or wherever we have a framework agreement with multiple suppliers, we keep on checking. If somebody has a quantity, then we get it. So that's the two mechanisms through which we get spot LNG.

As far as pricing, I think it is available in the public domain. It is ranging between $11.5 to $13, sometimes $14. And that keeps on changing depending on the volumes available, depending on the time at which we are trying to approach the market.

Rajesh Wagle : So, we don't source cargoes directly. So, it's usually through aggregators.

Moderator : The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So, when you say that you expect more than 10% growth in FY27, I think you also said that industrial is down 20%. So , are you like expecting much higher growth from domestic PNG as well as CNG? If you could break out the expected growth rate segment -wise also.

Rajesh Patel : I think I would like to correct the understanding. What I said is since infrastructure laying has been eased out and there is a demand increasing for PNG due to LPG curtailment, definitely we have an opportunity to connect more and more customers. So goin g forward, if we are able to work and lay the infrastructure and connect the customers, this year we have done 8%, we can definitely -- if number of customers get added faster, we can achieve 10% volume. Okay . Not necessarily, I'm saying 26 -27.

Rajesh Wagle : The delta will probably come from pipe gas. CNG may be at the usual normal rate of growth.

Amit Murarka: Sure. So piped gas and like is it possible then that we add maybe a lot of customers and maybe we get like 20% or higher growth rate in pipe gas volume this year? That seems like a new possibility.

Rajesh Patel : If you see industrial commercial last year, I'm saying 2024-'25, we grew by 24%. This year also we have grown by 15%. And with this happening, if our ability to lay and connect is faster because of a lot of easements on th e road digging, permissions, et cetera, we expect that we will be able to do better than in the past.

Rajesh Wagle : But again, one more caveat on it because we are already into May now. The monsoon won't start soon. So once the monsoon starts, then it's not going to be possible to lay too much infrastructure

on public roads. Inside housing societies, inside industrial premises, yes, that work will continue.
But there would be some slowing in growth in June -July once the rains start.
Rajesh Patel : So basically because of LPG, dependence is very uncertain. There's a lot of demand for commercial LPG. Household, if you see the notification, wherever there is a gas connection

available if somebody is using LPG, that will not be allowed beyond 3 months, and he has to mandatorily opt for PNG. So, in our view, that will help us grow our domestic customers also high compared to what we have done in the past, okay? So that will result in definitely volume growth.
Amit Murarka: Sure. And I guess then capex would also be higher this year if you're looking to lay so much of your pipeline infrastructure?
Rajesh Patel : Some capex may get reoriented. As Mr. Wagle said earlier, we will be focusing on laying of pipeline infrastructure and connecting the customer.
And there is a reduction in the RI cost substant

ially. So that will get saved. So overall, there could be an increase, but not very substantial because RI has almost come down by more than half.
Amit Murarka: What is the guidance that we give for capex then for 2027?
Rajesh Patel : Certainly, it will be whatever we have been giving, INR1,200 crores range. It can be a little more than that if we are able to do and see, as I also said, there is a constraint on the labor supply, plumbers, et cetera, because every CGD is now in the same situation. So, there's a lot of coaching for the resources is happening.
There could be some impact of this crisis on the availability of material also. Depending on the availability of both these, we will be definitely connecting more people and infrastructure.
Rajesh Wagle : Only one uncertainty which used to be there in the past on capex , which is will we get permissions or no. That has gone away.
Moderator : The next question is from the line of Bineet Banka from Nomura.
Bineet Banka: Sir, the recently contracted volume that you talked about, which we signed in Jan and April, are these Brent linked?
Rajesh Patel : Yes. Brent linked.
Bineet Banka: Sir, what is the logic of signing Brent -linked contracts when Henry Hub is like $3, $4 per mmbtu cheaper, I think.
Rajes h Patel : These were contracted sometimes before, okay? And to balance our portfolio of industrial commercial supply with Henry Hub, we are more skewed towards Henry Hub. So in the shorter period like a quarter or 2 quarters, things can move over here and there. Bu t if you have balanced portfolio, it helps over a longer period of time.
Bineet Banka: Sir, why was Henry Hub volume cut to 50% in March? Is it going to the pooled gas?
Rajesh Patel : Yes. May be going to the pool gas, we don't get any, but our supply is curtailed. Definitely where GAIL will get the gas from all the term contracts, which they have, they will pull by curtailing

the supply to every buyer to the extent of supply or pay and they will put it to pool for supplying to CGD requirement, but we do not know.
Rajesh Wagle : We don't have direct visibility on that. So difficult to answer.
Bineet Banka: So, any idea when this pooling mechanism will be discontinued? Because Henry Hub is the cheapest source of gas for you and this has been curtailed by 50%.
Rajesh Patel : I think all depends on how fast and when West Asia crisis is over, which nobody can tell today.
Bineet Banka: Okay, sir. And sir, do you have any flexibility in terms of increasing HPHT gas because New Well Gas is now much more expensive than even the HPHT? So, any way you can increase HPHT in place of New Well?
Rajesh Patel : HPHT gas has been coming through IGX in small quantities. And there are some old contracts which are expiring. And whenever they come up for rebidding, since CGD has a priority now, we will be hopeful that we will get some HPHT in coming months. Definitel y there will be some availability of HPHT in this quarter or Q2.
Bineet Banka: Lastly, how is the pricing of pooled gas derived?
Rajesh Patel : We are not privy to that. So, we don't know.
Bineet Banka: Okay. But the pooled gas is basically the imported gas, right? So probably the weighted average of all the volumes that come to GAIL.
Rajesh Patel : I think it is anybody's guess. I will not be able to -- it could be some local also, I don't know.

You should ask GAIL.
Bineet Banka: Sure, sir. Okay. Sir, lastly, incremental volume, do you have a number on how much volume upside we can see on DPNG conversion because of LPG supply not being there and also easier access to lay down pipeline? Maybe not for the near term, maybe for the lo nger term, what is the incremental volume upside from there?
Rajesh Wagle : Look, historically, DPNG has not grown very fast, more 6% or so. Definitely, this can go to double digits. Again, one thing we ne

ed to keep in mind that our penetration in the city of Mumbai, for example, in whichever buildings we are in at is pretty high, almost 90%. The resid ual potential is relatively less.
And in our expansion areas, if we go towards the municipalities, which are in the suburbs and further away, the ir per capita consumption comes out to be lower. So today, we have 2 million burning DPNG customers and we are trying to add at least 4 lakh or 5 lakh additional to that in the shortest possible span of time. But the incremental additions will not give you the sale per capita consumption because this is going out in the extended suburbs. B ut definitely, the volume contribution we expect to be more than 10%.
Rajesh Patel : Apart from even extended suburbs in the existing area where it was gasified , say, 90% and 10% people who stay 6 months in India and 6 months outside or somewhere else outside Mumbai,

since they will be mandated to switch to PNG because of the government notification, their average consumption also will be low. So I think the additional connections will not ensure the same per capita consumption.
Rajesh Wagle : So even if we do a 20% increase in customer base of DPNG burning customers, actively burning customers, that may translate into maybe 12% or so kind of increase in volumes in DPNG.
Moderator : The next question is from the line of Indra kumar Gupta from PL Capital.
Indrakumar Gupta: I think the first question was answered. I just have a second question, which is more on housekeeping. Can you please break down the CNG vehicles added in terms of buses, cars, autos for FY26?
Ajay Sinha : So, year-on-year, we have added taxis26,000; private cars 48,238; 3 -wheelers 33,200; private buses 223, minibuses 188. We have MSRTC buses 48; trucks 318; tempos 105; small commercial vehicles 7,400 and 2 -wheelers 2,465. So , in total, around 1.18 lakh of CNG vehicles have been added in the last financial year.
Moderator : The next question is from the line of Nitin Tiwari from Phillip Capital.
Nitin Tiwari: Sir, my question first one is a clarificatory one. So, if you could, I mean, just for the sake of clarity, reiterate what was our gas supply breakdown for the fourth quarter and also for the month of March? I suppose you gave it out for the month of March. And then I mean, if we can put the contracted quantit y in perspective as well. So that would be the first one.
Rajesh Patel : You want March again, ?
Nitin Tiwari: No. If you can first, I mean, give out the contracted quantity that we have against that. How much did we get in the fourth quarter and in March? That's what I'm trying to understand.
Rajesh Patel : HH, w e got around in the Q4, 0.78.
Nitin Tiwari: Okay. Against the contract of 1.5 you said, right?
Rajesh Patel : Correct. See, it was also done by us in some months purposely because price was high. I'm saying this quantity will not matter because depending on the relative price in the next month or next quarter, we will keep on changing. Because you saw in January -February when Henry Hub was as $7.5, we did not take even contracted quantity, and we took spot. But you want a figure, I'm giving you.
Nitin Tiwari: And in the month of March, how much was this quantity, the term HH quantity?
Rajesh Patel : In the month of March -- you are saying HH in the month of March? HH was for the second fortnight was a little more than 0.5 million. First fortnight, it was almost 0.75 or 0. 78. So , average could be 0.65 or 0.7.
Nitin Tiwari: Sure, sir. And if we can have the same figures for your HPHT contracted quantity as well as other term or any contract?

Rajesh Patel : I don't have HPHT, whatever we get contracted or through IGX, I have the combined number. As I said earlier, in the month of March, we have taken almost 0.9 HP

HT.
Nitin Tiwari: Okay. And in the fourth quarter?
Rajesh Patel : Fourth quarter combined HPHT, 0.7 average.
Nitin Tiwari: Okay. And same figures for, sir, APM and NWG for the fourth quarter and for the month of March again?
Rajesh Patel : No, no. APM for the full quarter on an average was more than 1.73. For March, first fortnight could be in the range of 1.7, but second fortnight was somewhere around 1.56 or something.
Nitin Tiwari: Okay. And NWG, sir?
Rajesh Patel : Both, you can take a little more than 0.4 quarter as well as...
Nitin Tiwari: For the quarter?
Rajesh Patel : Both, March also. A little more than 0.5. Not much difference because balance came through pooled gas.
Nitin Tiwari: Sorry, sir, you had initially mentioned that NWG and pool was around 0.73 to 0.75 for the month of March, right?
Rajesh Patel : I said NWG plus pool, I had said, okay
Nitin Tiwari: Okay. So NWG was 0.4?
Rajesh Patel : A little more than 0.4 yes.
Nitin Tiwari: Okay. And remaining was pool, right?
Rajesh Patel : Yes, yes. But as I said earlier also, these quantities keep on changing. There is no guarantee.
Nitin Tiwari: No, I understand, sir. But I mean, what I'm trying to understand is that in the fourth quarter, basically pool pricing came in only in March, right? So, I mean, when we are looking at the quantity for the entire quarter, the effect of pool would be only in the month of March. So, what was the NWG quantity for the entire quarter? It is still 0.4 only and...
Rajesh Patel : Pool was there for some part of first fortnight also. So not only the second fortnight. March, yes, you are saying roughly 2/3 of the March was having pooled gas.
Moderator : The next question is from the line of Tanay Kotecha from Nuvama.
Tanay Kotecha: It seems that there's a 1% year -on-year fall in your PNG domestic volumes. Is there any specific reason for the same?

Rajesh Patel : There's no fall in domestic PNG volume. Are you talking about per capita consumption or you're talking about absolute volume fall?
Tanay Kotecha: Absolute volume, sir, Q4 to Q4.
Rajesh Patel : Domestic volume year -on-year has grown by 7% or something, 6.6%. There is an increase in domestic volume. There is no fall in the domestic volume.
Moderator : The next question is from the line of Yash Mandhana from Aequitas Investment.
Yash Mandhana: If we look at the longer -term vision, we were sort of talking about the LNG prices sort of going downwards in, say, 2 -3 years because of the increased capacity coming in, in U.S. What do you think would be the price in the long term at which it would become attractive for most of the Indian people to switch? So last time you were mentioning somewhere around $9 to $10 would be the price at which price sensitive customers would convert. What would be the price right now for you?
Rajesh Wagle: It totally depends on what the alternate energy sources or alternate fuel prices are. 10 -15 years back, I mean, $5 looked very high. Today, $15 is normal.
Yash Mandhana: Okay. So basically, it will be a function of, say, petrol diesel versus LNG, right?
Rajesh Wagle : LPG and industrial fuels.
Moderator : The next question is from the line of Shreyas Divan , an Individual Investor .
Shreyas Divan : I just wanted to understand that when the Brent goes from, let's say, 60 to 95, right, there is, of course, an input cost pressure that we get because of our sourcing mix. And there is an output price benefit that we get from our I&C because it's linked to the Brent crude. But as a net impact, generally is this beneficial for our company, like when it goes from 60 to 95 or it hurts us? That's what I wanted to understand.
Rajesh Patel : See, as you rightly said, the realization will go up, okay? When you say hurt is because if my input gas cost is linked to Brent, more proportion, then it may remain sim

ilar. But we have a mix, and mix is skewed towards HH, which has remained low while Brent is higher. So, under this scenario, it should benefit us in terms of net margin.
Rajesh Wagle : Especially in the I&C segment, on absolute terms, the increase in gas cost is lower than the realization. So that way, higher oil prices help us in I&C.
Shreyas Divan: Correct. In I&C, they do help us. But in the other segments where we still -- there is an input cost that gets impacted because of our -- like the sources which are linked to the Brent, that is also going to have a negative impact at an overall level. So at an overall le vel, I just wanted to understand .
Rajesh Patel : No, no. See, as far as domestic PNG is concerned, it is fully through APM, which has a ceiling.

Even CNG, 1/3 of the quantity is through APM, which has a ceiling. If I have 0.9 roughly HPHT, which is also ceiling driven. So, it doesn't impact directly.

Rajesh Wagle : Directionally, if you look, if there is a sustained high level of Brent, then after some time, petrol, diesel prices do go up. I mean, yes, the government will stabilize for some time, but that cannot happen indefinitely.
Rajesh Patel : So, if Brent is up and petrol diesel prices are kept artificially at a lower level, then I will certainly get impacted.
Rajesh Wagle : That is a temporary impact.
Rajesh Patel : But otherwise, it is not there. So, Brent going up generally will help.
Rajesh Wagle : Generally, it is good for margins.
Moderator : The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: So, I just wanted to understand like the CNG vehicle addition seems to have slowed down a bit as we can see from the Vahan data. So, what are the reasons for the slowdown?
Rajesh Patel : Which period you are referring to, Amit?
Amit Murarka: Like generally, I was looking in the last 6 months.
Rajesh Patel : So, if you see last 2 quarters, we have added almost 67,000 vehicles, okay, which is quite a high number compared to earlier 2 quarters, which was roughly 50,000. So, in fact, there is an increase. There is no decrease.
Amit Murarka: Okay. Maybe I'll just reconnect with you. I thought I saw the data and...
Rajesh Patel : These data are available on our presentation as well. You can see them.
Amit Murarka: Sure, sure. And on the margin, if I can just reconfirm, you mentioned that the near -term margin is a bit lower than what it was in Q4, right? I mean, what you're seeing right now in April and March. In April and May, you said that the cost price increase i s not fully covered for the cost increases. That understanding is correct, right?
Rajesh Patel : Yes, yes. Specifically in case of CNG, complete pass -through could not be done.
Moderator : Thank you. Due to time constraints, we'll take this as the last question. I now hand the conference over to Mr. Gagan sir. Thank you, and over to you.
Gagan Dixit : Before we end the call, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature, and we believe that expectations contained in the statement are reasonable. However, these statements involve a number of risks and uncertainties that may lead to different results. We urge you to consider that quarterly numbers are not a reflection of long -term trends or indication of full year results.
With that, I will now hand over the call to the management for closing remarks. Over to you, sir.
Management : Thank you, everybody, for joining us on this call.

Moderator : Thank you. On behalf of Elara Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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